

User Manual (V10)



Options Scalping
Learn & Earn

 **DiVPulse** 

Contents

How can one become a successful trader?	5
How will “OI Pulse” help me become a successful trader?	6
Why is Open Interest Analysis(OI) important to us?	6
Uniqueness of OI Pulse tool	6
What are the prerequisites for using this tool?	6
Features of OI Pulse tool	6

SECTION A

A. Login information	7
B. Home Page	7
C. Dashboard	9
D. Futures	10
E. Options	12
<i>E1. OI Analysis</i>	12
<i>E2. OI Chart</i>	13
<i>E3. OI Statistics</i>	14
<i>E4. OI Spurts</i>	16
E5. Options Chain	17
<i>E6. Options Premium</i>	18
<i>E7. Multiple OI Chart</i>	19
F. VIX & Index	19

SECTION B

Dots that need to be connected	21
A. Global markets	21
B. Future Open Interest	25
Open Interest & Volume	25
Long Build Up	25
Short Build Up	25
Short Covering	25
Long Unwinding	25
Special Note on importance of Volume	34
C. OPTIONS OPEN INTEREST	34
C1. OI of Options and Market Range	34
C2. OI spurt and Market Direction	36
Quadrant 1 (Q1): Rise in OI- Rise in Price	36
Quadrant 2 (Q2) : Rise in OI-Slide in Price	37
Quadrant 3 (Q3) : Slide in OI-Rise in Price	37
Quadrant 4 (Q4) :Slide in OI-Slide in Price	38
C3. OI analysis of Options with OI Pulse	40
Optimum Utilisation of different timeframes	42
C4. OI and LTP crossover	45
C5. Strike Selection with help of OI Pulse tool	48
D. Implied Volatility (IV)	48
E. VIX	52
F. Price Action:	55
EXAMPLES	57
MAGIC OF IMPLIED VOLATILITY	71
Conclusion	71

Addendum 1 **73**

Multiple Window

Addendum 2 **81**

1. Futures/OI Analysis/15.30-EOD Data
2. Futures/OI Spurt
3. Futures/OI Chart
4. Futures/EOD OI Analyzer
5. Options/Options Chain- Cell highlighting
6. Options/Active Strikes OI

Addendum 3 **105**

1. Options/Trending OI
2. Futures/OI Buzz
3. Futures/Banks Analysis

Addendum 4 **122**

Select Period

Trending OI

Addendum 5 **152**

FII/DII Activity

Expiry Day Strategy

Trading Plan for Expiry Day

Addendum 6 **190**

Big Oi Movement

Participant wise OI

Strategies- Straddle & Strangle

Addendum 7 **223**

Open & High

Advance Chart

OSPL Signal

Pre-open Market

Morning Trade

3.20 Strategy

INTRODUCTION

How can one become a successful trader?

Before getting to know how to become a successful trader it is very important to know who is a “Successful” Trader. We may tend to classify traders as successful based on their Profits and Earnings but that is not true. There are two main traits that differentiate few successful traders from other traders who occur in large numbers.

Firstly, a successful trader is one who understands the dynamics of the market and is able to identify the right opportunities in an ever changing market scenario.

Identifying the opportunity is just half the job, the other half lies in converting the opportunity into trade and executing it while having strict emotional control.

These two traits together provide an “Edge” to a trader and separates him from the others. So if you want to become a “Successful” Trader then start thinking in this direction.

The main idea behind our Proprietary In House tool -“**OI Pulse**” is to facilitate the transition of an individual from a trader to a “Successful” trader.

How will “OI Pulse” help me become a successful trader?

As mentioned earlier, having the skill to identify right opportunities in the market is one of the keys to success. In order to understand the market sentiment it is necessary that we analyse all the market related information and process it simultaneously to arrive at a conclusion. OI pulse will help to **connect all the dots** together in a short time frame to enable one to identify trading opportunities.

OI Pulse analyzes multiple variables simultaneously in real time during trading hours. It simplifies the complex data analysis and presents the information in simplified graphical representation. With this information one can catch the pulse of the market sentiment and amplify the probability of a trade going in a favourable direction.

We have been using this tool and these concepts exclusively to trade in derivatives. Thus this tool and the concepts explained herein are sufficient alone for defining a trading system. If you already have a well developed trading system then also this tool would reinforce your confidence by providing a highly accurate data analysis that you can trust to build your position and manage your risk.

Why is Open Interest Analysis(OI) important to us?

We consider OI as our God. The key to understanding the market sentiment lies in decoding the information given by OI. This data reveals what the majority of market participants are doing at the moment. If we can align our trade with the dominant sentiment of the market, it enhances the probability of successful trades. Market pulse does exactly the same and makes the job

easier. We shall be analyzing the OI of both Futures and Options to get a hold of the market pulse.

Uniqueness of OI Pulse tool

As discussed previously OI dataplays major role in determining the course of price movement of any security, thus analysing it on a continuous basis is very important. In order to do so we must know how OI data changes on a minute to minute basis. Unfortunately this was not possible earlier for majority of the traders as they had to rely on the NSE website for the OI data. **NSE website publishes OI data with a lag of 3 minutes** thus not enabling us to get the true picture in real time. However we have taken care of this issue while developing OI Pulse. On the options chain page of OI pulse you get OI data “**every minute**”. This unique aspect of OI pulse gives you an added advantage while analysing OI data.

What are the prerequisites for using this tool?

Derivative trading is an advanced stage of trading. Thus a basic to intermediate level of understanding of Options and Futures is desirable for using this tool.

Features of OI Pulse tool

We will explain the features of the OI Pulse tool in two sections A & B. In section A we will present all the features and the menu of the OI Pulse tool for a basic understanding of the tool and in Section B we will focus on the application part wherein we will learn how to use this tool to identify trading opportunities.

SECTION A

A. Login information

Currently OI pulse tool is a web based application tool and can be accessed on URL <https://oipulse.com/signin>.

In order to use the tool the first step is to create an account on the home page. Simply use the option “Create an account” on the home page and sign up

The image displays two side-by-side screenshots of the OI Pulse web application's authentication pages.

Left Screenshot (Sign In):

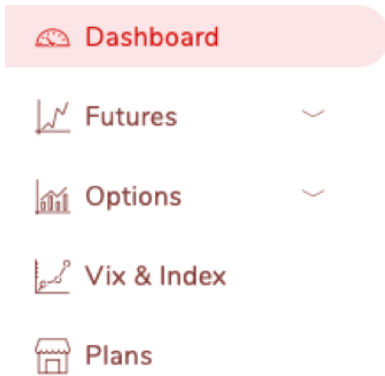
- Header: **Sign In**
- Form Fields:
 - Email Address:
 - Password:
- Validation Messages:
 - Below Email Address: **Email is required.**
 - Below Password: **Password is required.**
- Buttons:
 - Sign In** (Red button)
 - Create an account** (Red button)
 - [Forgot Password?](#) (Link)

Right Screenshot (Sign Up):

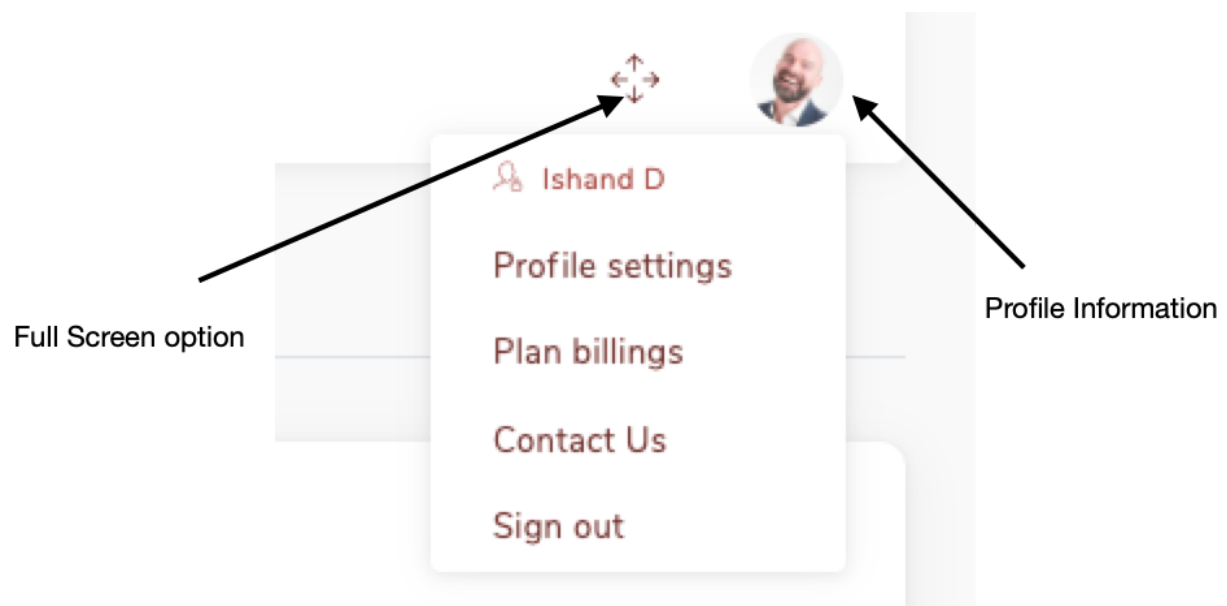
- Header: **Sign Up**
- Form Fields:
 - First name:
 - Last name:
 - Email Address:
 - Password:
 - Confirm password:
 - Country phone code:
 - Phone number:
 - Country:
 - State:
 - City:
- Validation Messages:
 - Below Email Address: **Email is required.**
 - Below Password: **Password is required.**
- Buttons:
 - Sign Up** (Red button)
 - [Already have an account?](#) (Link)

B. Home Page

Once inside the home page you will see a sidebar on the Left hand side and under this “Dashboard” information will be preselected.



On the Top RHS corner there are two options



C. Dashboard

The default option selected on the Home page is Dashboard. Under this option you will be able to see how the Nifty and Bank nifty are faring with respect to important traded securities on a global level.

This page has candlestick charts of different global securities that may be plotted on any time frame as one desires. Since these are full featured charts, any kind of technical analysis with any indicator may also be done on them.



For Example: in the above chart you can see RSI on Crude Oil and VWAP on USD INR.

The Nifty 50 Futures shown here are not Nifty Futures of NSE but traded on SIMEX (Singapore International Monetary Exchange). Since international players have access to both NSE and SIMEX, the future prices on SIMEX have direct proportional relation with Nifty 50 futures of NSE. Also the timings of IND 50 (Scrip name of Nifty Future on SIMEX) is 06.30-22.30 hours IST, this will help you to do pre market analysis for present trading day and post market analysis for next trading day as well.

At present you can see following global securities featuring on the dashboard

1. Dow Jones Futures
2. Crude Oil WTI Futures
3. USD-INR Real Times FX

DOW Jones is said to be the “Mother of all Markets”. Any major change in the Dow Jones has a major implication for our markets. Say for example if DOW falls significantly then there is a high

probability that our markets may witness a fall too. Though nothing is guaranteed, there is a high probability of this to happen.

Likewise Crude Oil and USD-INR too have their implications. It has generally been seen that when Crude rallies and INR depreciates with respect to the US Dollar, our indices especially Bank Nifty tend to underperform.

Such small clues can help you decide the direction of trade for the current trading session. The purpose of the OI pulse dashboard is to present all the important global securities on a single page to facilitate faster and responsive decision making.

India VIX can also be seen on the dashboard and that too will help to understand the market sentiment.

We also plan to introduce the state of Global markets on the dashboard in order to strengthen market analysis.

D. Futures

This section of the tool is dedicated to the analysis of Open interest of Future contracts. On selecting this option we get following screen

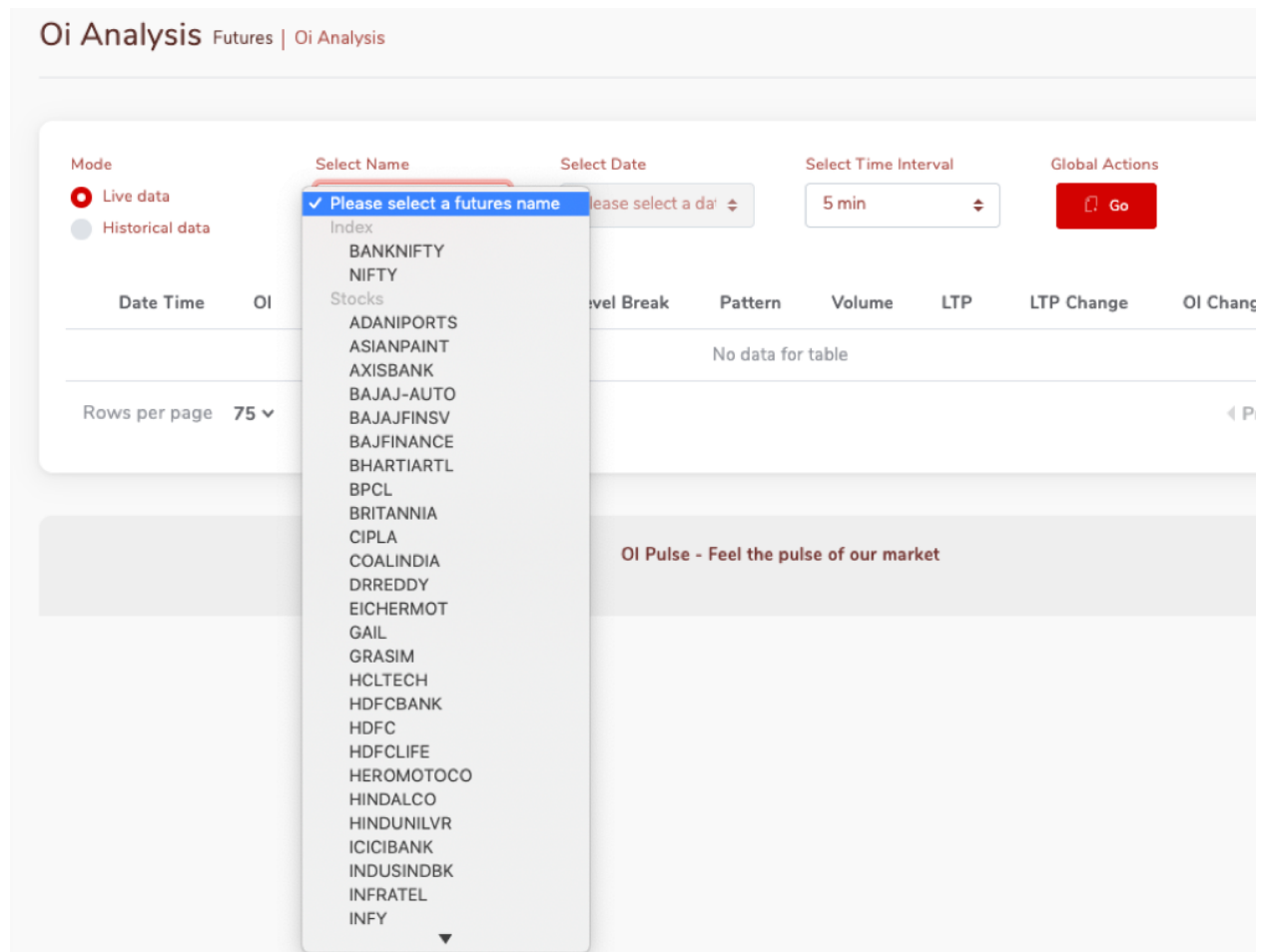
The screenshot displays the Futures tool interface. At the top, there are four filter sections: 'Mode' with 'Live data' selected, 'Select Name' with a dropdown 'Please select a fut', 'Select Date' with a dropdown 'Please select a da', and 'Select Time Interval' with a dropdown '5 min'. A 'Global Actions' section contains a red 'Go' button. Below these filters is a table with columns: 'Date Time', 'OI', 'Day High', 'Day Low', 'Level Break', 'Pattern', 'Volume', 'LTP', 'LTP Change', 'OI Change', and 'OI Interpretation'. The table currently shows 'No data for table'. At the bottom, there is a 'Rows per page' dropdown set to '25' and pagination controls showing '0 - 0 of 0'.

D.1 Mode

Under this menu there are two options: Live Data and Historical Data. Live data will stream Future data directly from the NSE server while historical data option can be used to analyse open interest (OI) data of previous days.

D.2 Select Name

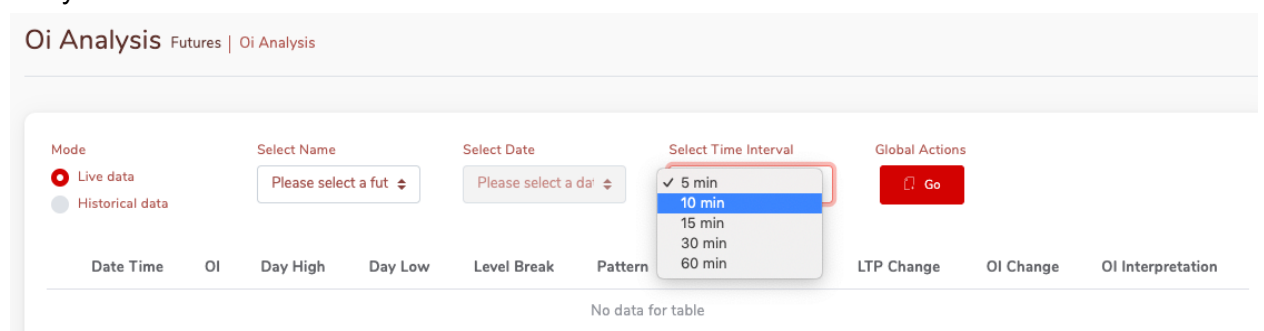
This feature of the tool is to be used for selecting the underlying future contract. With this tool you can analyse OI data of indices and stocks. Both Nifty as well as Bank-nifty future contracts feature on the tool. In addition to the two main indices this tool can also be used to analyse OI of FNO stocks.



D.3 Time Interval

In order to catch the correct market sentiment it is necessary to analyse the OI data on different timeframes. Analysing the OI data on an hourly basis will give you information of the prevailing trend of the day while analysing it on a shorter time frame like 5 or 15 mins would help to take an entry/exit in the trade.

In order to facilitate this analysis OI pulse tool has given the flexibility of choosing from 5 different time frames. Select one of the timeframes from 5/10/15/30 and 60 mins to correctly analyse the OI data.



D.4 Rows per page

Use this option to select the number of rows you want to see on one page. This option will be useful mainly while analysing OI data on shorter time frames.

The screenshot shows a trading tool interface with the following elements:

- Mode:** Radio buttons for 'Live data' (selected) and 'Historical data'.
- Select Name:** A dropdown menu with the text 'Please select a futures'.
- Select Date:** A dropdown menu with the text 'Please select a date'.
- Select Time Interval:** A dropdown menu with '10 min' selected.
- Global Actions:** A red 'Go' button.
- Table Headers:** Date Time, OI, Day High, Day Low, Level Break, Pattern, Volume, LTP, LTP Change, OI Change, OI Interpretation.
- Table Content:** A message 'No data for table'.
- Rows per page:** A dropdown menu with options 25 (selected), 50, 75, and All.
- Page Navigation:** '« Prev', '0 - 0 of 0', and 'Next »'.

In section B we will explore how we can use this feature of the tool to analyse the market sentiment

E. Options

Under this feature we shall be analysing the complex Options data in a simplified manner. For this purpose there are 7 different sub categories

- (i) OI Analysis
- (ii) OI chart
- (iii) OI Statistics
- (iv) OI Spurt
- (v) Option Chain
- (vi) Option Premium
- (vii) Multiple OI chart

E1. OI Analysis

The manner in which OI of Options is analysed is similar to that of analysis of OI of futures. Thus all the options on this page are similar to that of futures. However in the outcome we will see data of both “CALL: options and “PUT” options simultaneously.

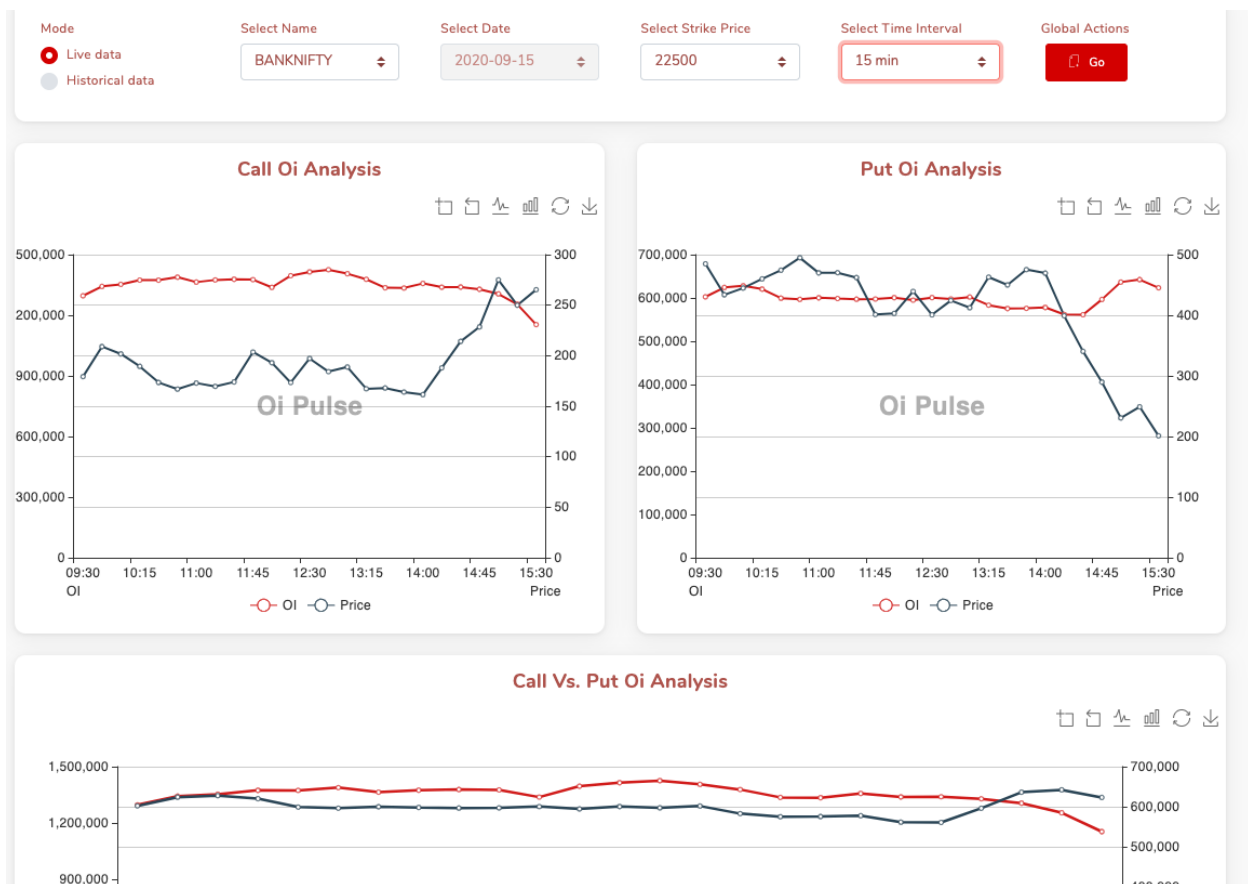
E2. OI Chart

This feature will present the OI data of a particular strike in a graphical form. We can see both live market data as well as historical data.

In the following example 22500 strike of Bank nifty has been selected over a 15 min time frame

On this page 3 different charts are displayed

1. CALL OI Analysis
2. PUT OI Analysis
3. CALL vs PUT OI Analysis



In the CALL & PUT OI analysis chart we can see the variation of Price of the strike price along with OI of that particular strike price on one single chart.

This is a proprietary in-house developed tool. The scales of this tool have been developed after extensive research and have given wonderful trading results over the years. In section B we will see in detail how to use the charts for taking a trading decision.

Also on the same page we can see comparative variation of Call and Put OI of the same strike price.

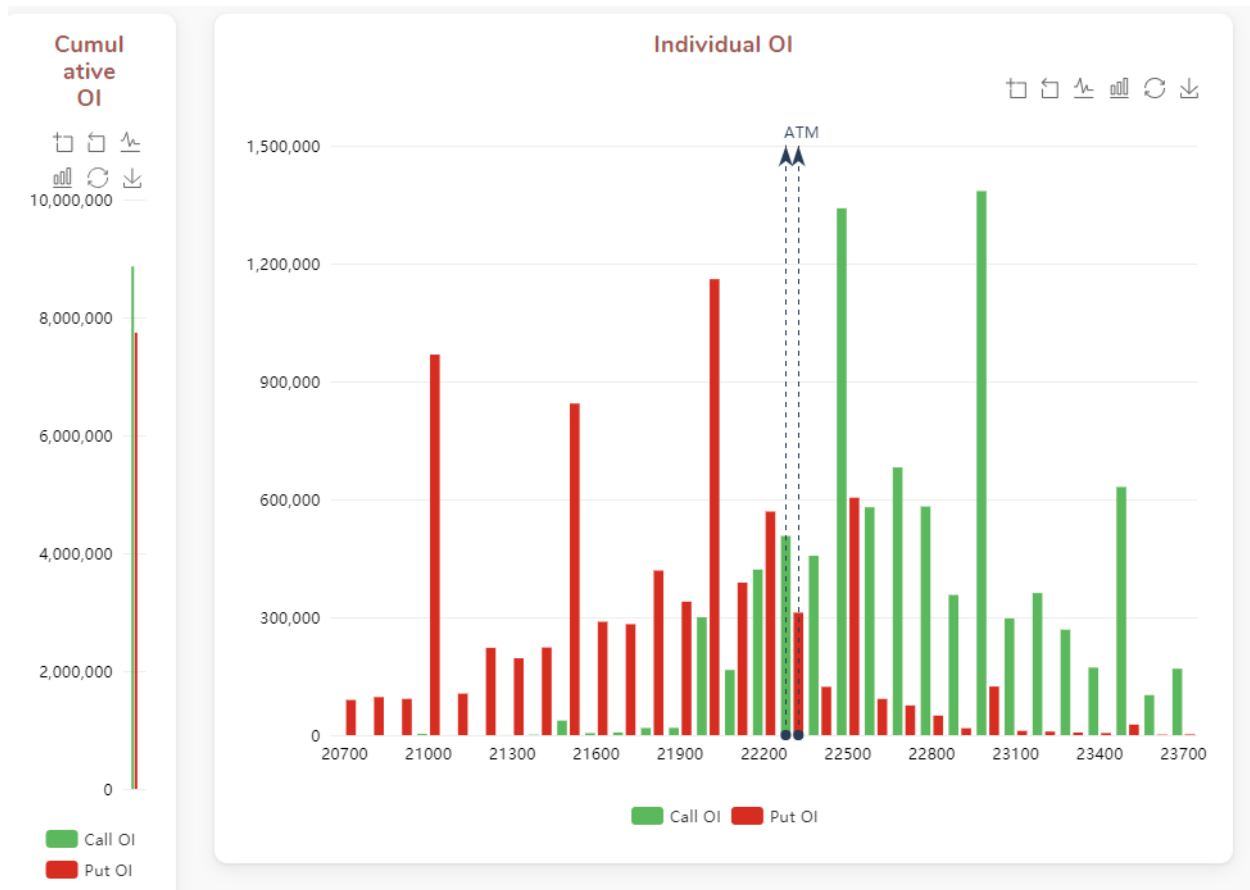
On every graph there are 5 options for better user interface

- a. Zoom
- b. Restore Zoom
- c. Line Chart-(the default option)
- d. Bar Chart
- e. Restore chart
- f. Save image

E3. OI Statistics

This unique feature of the tool would enable you to get a holistic picture of the entire Open Interest of both calls and Puts.

With this feature you can see the OI of different Calls and Puts with just a single click. You can analyse the OI of ATM strikes and see whether the CALLS are more or the PUTS. Also we can catch a glimpse of whether CALL writers are dominating or the PUT writers and at what strike prices.



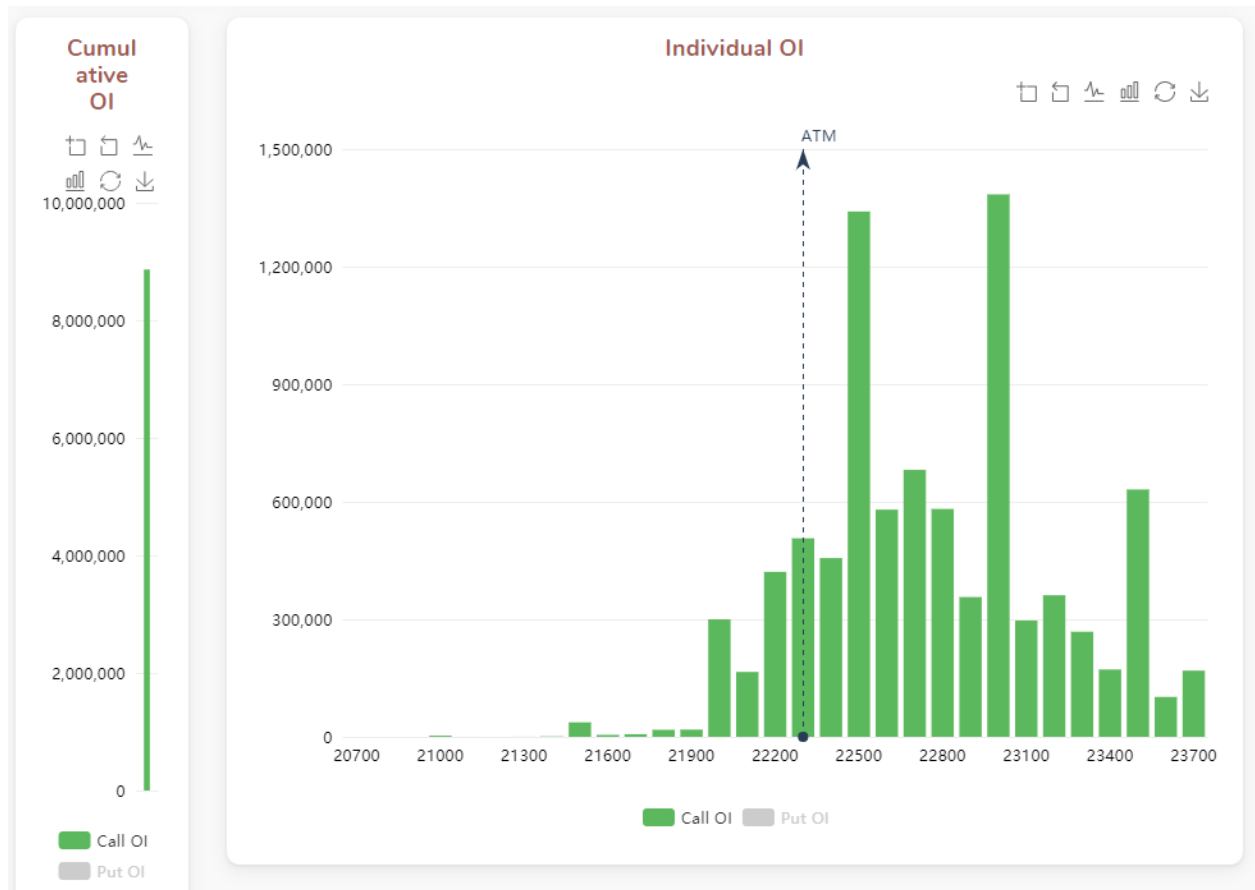
For example in the above diagram we can see that OI of Calls is very high at 22500, 23000 and 23500. Similarly PUT OI is appreciable at 22000, 21500 and 21000. These high OI at these strikes would enable us to find a range for the market.

ATM strike price will always be shown with a double arrow.

Also on this page we can see the cumulative OI of all the calls and all the Puts. This would give a hint whether the CALL writers are active or Put writers are active.

Another very interesting feature of the chart is that you can deselect either the CALL or PUT from the chart and visualise the other option exclusively on the screen.

For Example if you want to analyse just the CALL options then deselect the Put OI button at bottom of the chart and you will get only the Call OI on the chart.



E4. OI Spurts

OI spurt is an important connecting dot of the market analysis. OI pulse quantifies the options data into four different quadrants namely

1. Rise in OI-Rise in Prices
2. Rise in OI-Slide in Prices
3. Slide in OI- Rise in Prices
4. Slide in OI-Slide in Prices

In these quadrants we will analyse the market sentiment on the basis of strikes appearing in different quadrants and their respective LTP, % change in LTP, Change in OI and Volume.

E5. Options Chain

Options chain form the foundation of analysis of market sentiment. Though the Options chain is available on the NSE website but OI pulse tool has many added advantages.

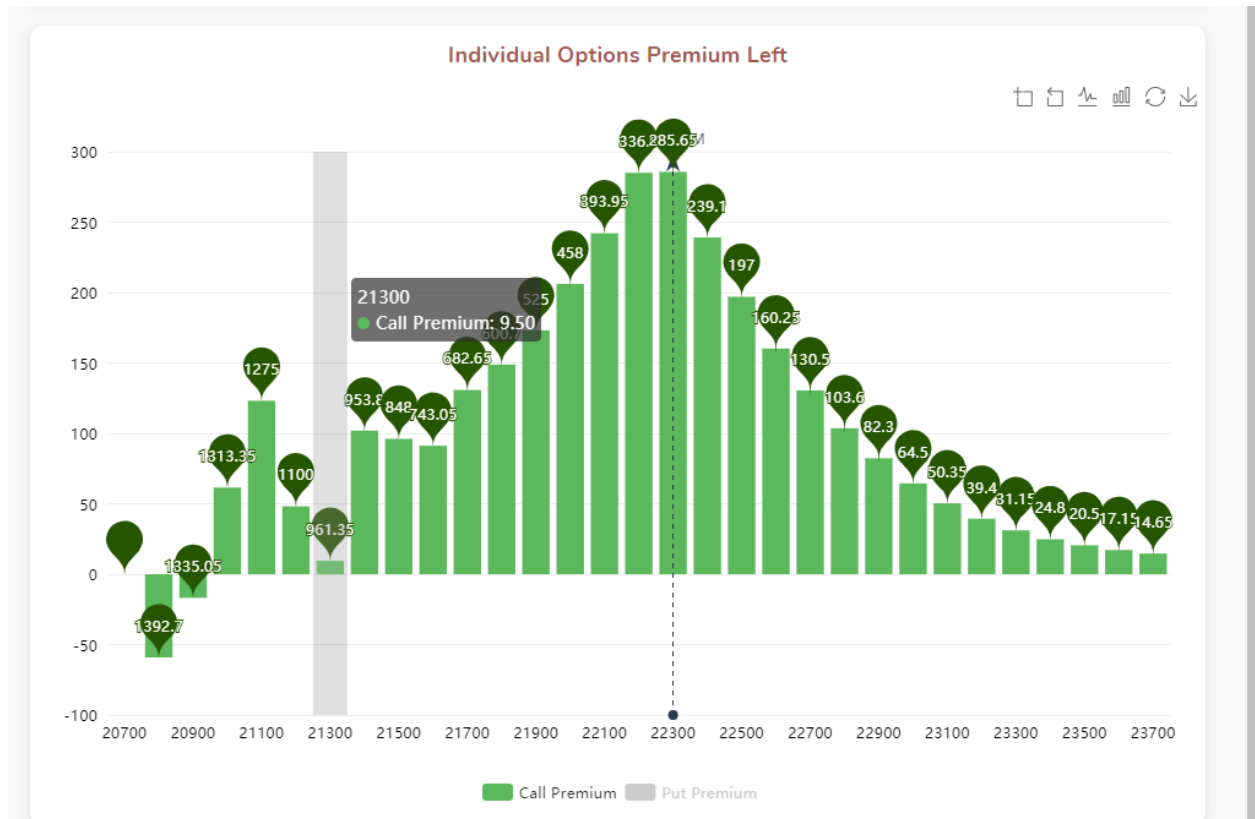
1. OI Pulse fetched OI data on a minute **by minute basis**. This unique feature of the tool gives you an added advantage as the NSE website publishes OI data with a delay of 3 minutes.
2. The options chain page displays PCR Ratio on a live basis, another unique feature of the tool.
3. OI Pulse will provide **historical Options chain data** which is a unique feature of OI Pulse.
4. Options chain data here will also provide **Implied Volatility (IV) data on Expiry days for weekly expiries**.

E6. Options Premium

This is one of the unique features of the OI Pulse tool. Whenever we buy something we always feel satisfied if we are able to buy them at the cheapest price, then why not extend the same principle to options. This feature of the tool will show the Premiums at which the options are being traded. If we see all the options together we can analyse which option is relatively cheaper than the other.

As we know $LTP \text{ of any options} = \text{Intrinsic Value} + \text{Extrinsic Value (Premium/Discount)}$. This chart will display the Extrinsic Value (Premium/Discount) of all the options.

Example



In the above chart Put Premium option is deselected for better clarity.

Just focus on 21300 CE. It is an ITM strike and at the time of capturing this data the Spot price was 22251.85.

Now 21300 CE is an ITM option and it should be trading at $22251.85 - 21300 = \text{Rs } 951.85$.

You can know the LTP of the strike price by selecting the LTP button on the screen.

Mode: ☒ Live data ☐ Historical data

Select Name: BANKNIFTY

Select Date: 2020-09-15

Select Expiry Date: 17-Sep-2020

Global Actions:

Underlying Index: NIFTY BANK at 22188 as on 15 Sep 2020, 13:15:00 IST

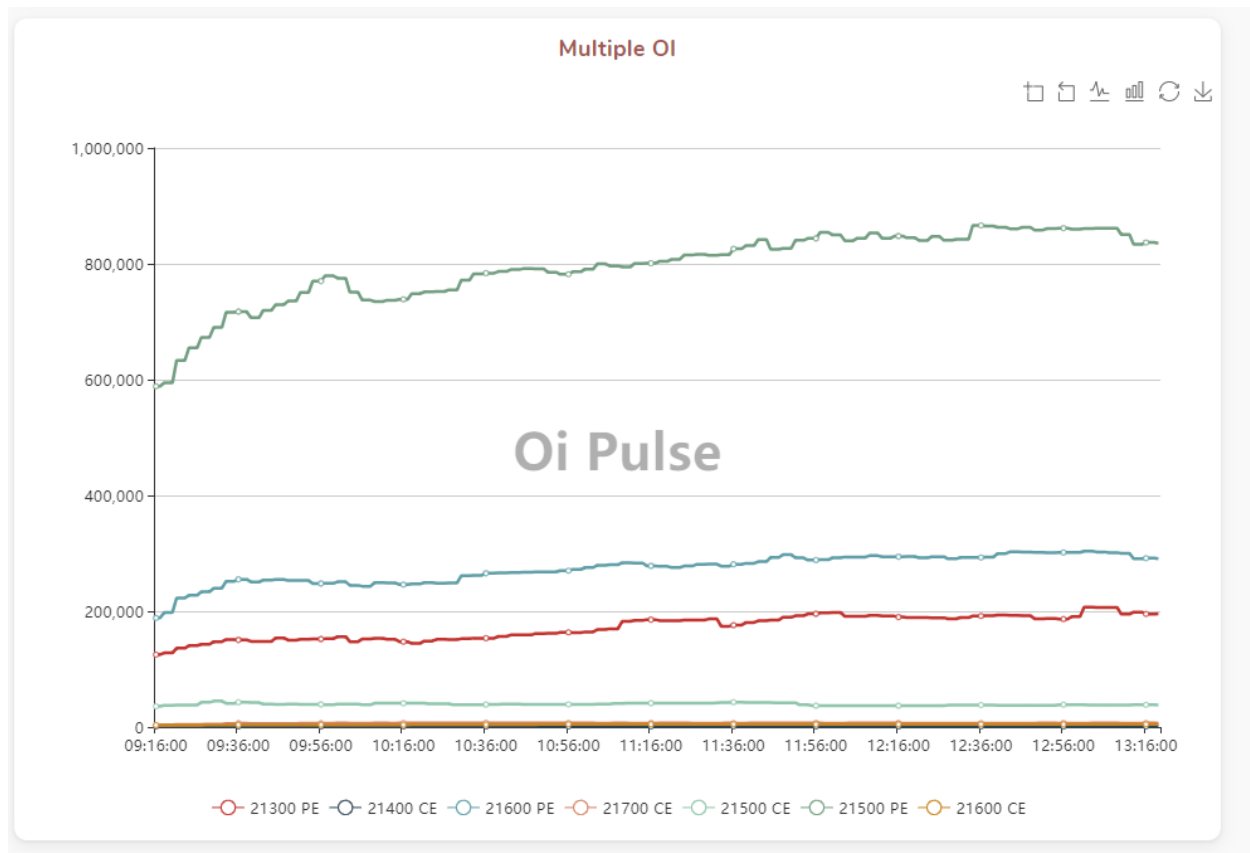
However it is trading at 961.35 thus it is trading at a premium of $961.35 - 951.85 = \text{Rs } 9.5$.

The green bars in this chart represent the premiums at which all the call options are trading. If we just consider this then we see that 21300 CE is relatively cheaper than its neighbouring 21400 CE & 21200 CE.

This feature will enable you to find the best suitable option to buy. It will be a game changer for you especially on Expiry days.

E7. Multiple OI Chart

This is a very flexible feature of the tool that represents variation in OI of different strikes. Use this option to see the variation in OI of different strikes. You can select different strikes from the drop down menu and plot them simultaneously.



This tool can be used for Nifty as well as bank Nifty.

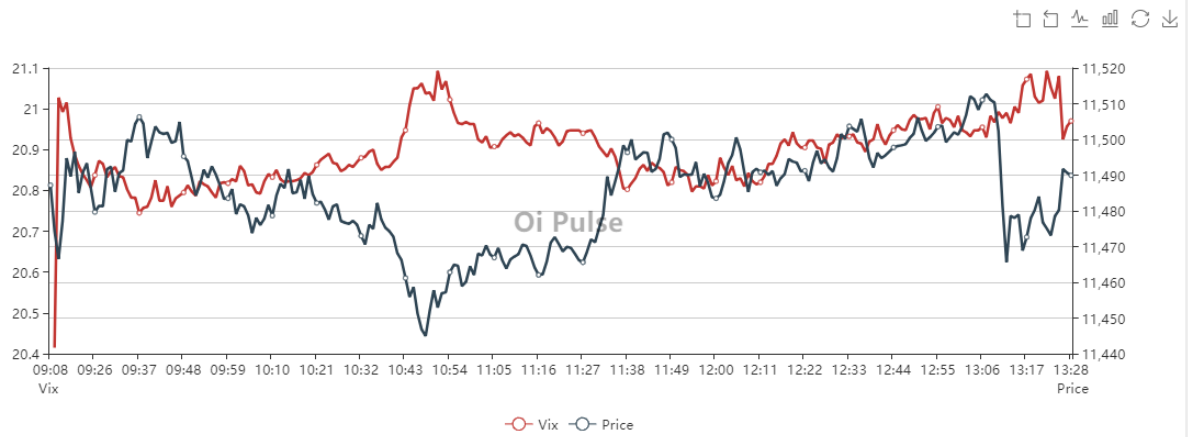
The respective strikes may be selected/deselected from the bottom of the chart as well.

Also you may see this data for historical dates as well.

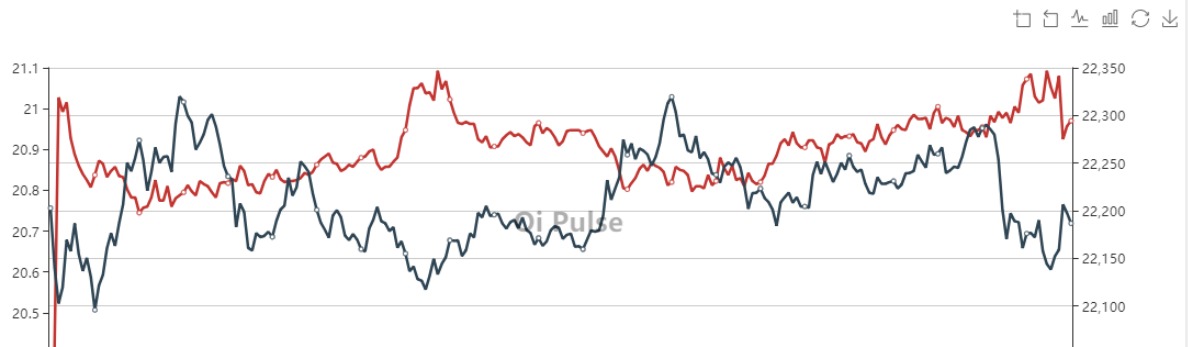
F. VIX & Index

VIX represents Volatility in the market. The market sentiment directly gets affected because of VIX and can be seen in the price of the index. VIX is derived using OTM Call and Put option premiums, thus its relevance for options trading is very high. In order to catch this essence, the OI Pulse tool represents the VIX vs Nifty and VIX vs Banknifty graphs as shown below.

India Vix Vs. Nifty



India Vix Vs. Banknifty



SECTION B

In Section A we saw the basic features of the OI Pulse tool. In this section we will explore all the major dots that we must analyse to decode the market. We will also see how the OI pulse tool would be helpful in this regard. Once we are familiar with all the dots we will take an example wherein we will decode the markets using the OI Pulse tool.

Dots that need to be connected

Our core philosophy behind taking any trade is to catch the market sentiment. In order to do so we must connect all the dots. These dots are nothing but variables that determine the market behaviour. Analysing them collectively would help us decode the market. Following are the dots that need to be analysed

- A. Global Markets**
- B. Futures Open Interest**
- C. Options Open Interest**
- D. India VIX**
- E. Implied Volatility**
- F. Price Action**

Before proceeding further it is very important to mention that there would be days where all the dots would align themselves and give a unilateral indication but there would be days where some dots would go against the majority. During such periods we need to discount such dots from our analysis.

A very good example of this would be discounting Global Markets from our analysis. Though our markets would be aligned with global markets for the majority of days, there would be certain days where domestic news would set the tone for the day and our markets may go against global markets. Thus on days where we have major domestic economic/policy/news events we must discount global markets.

Now let's see all these dots in detail and how an OI pulse would help you to analyse them.

A. Global markets

In this era of globalisation the world has become more and more connected and interdependent. Global markets have considerable influence on our domestic markets, thus any Pro trader must take them into consideration before taking any trade.

Following global securities have considerable influence on our domestic markets

1. US Dow Jones Futures- It is considered to be the mother of all markets. Any major change in Dow Jones is immediately reflected upon our markets in a direct manner. Meaning if the Dow future falls appreciably then the probability of fall of our indices also increases.
2. WTI Crude Oil
3. USD-INR Forex.
Crude and USD-INR does have influence on our indices especially Bank Nifty at times. It has been observed generally that when Crude rallies and INR depreciates with respect to USD Bank nifty tends to underperform. So if you see such a pattern emerging at times then it would be a good signal for the direction of the market.
4. Nifty Futures (Traded on SIMEX): Singapore International Monetary Exchange is accessible by the FIIs who trade on Indian markets. Thus keeping a tab on the Nifty Futures on SIMEX becomes important especially before the opening of Indian markets.

All these global securities feature on the dashboard of OI Pulse tool and can be seen collectively. It would also be wise to analyse **Asian Markets** in the morning before our markets open and the **European markets** around afternoon to get a better perspective. Following table highlights the Opening and Closing time of major exchanges of the world.

Stock Exchange	Country	Opening Time (IST)	Closing Time (IST)
Japan Exchange Group	Japan	5:30 AM	11:30 AM
Australian Securities Exchange	Australia	5:30 AM	11:30 AM
Korea Exchange	South Korea	5:30 AM	11:30 AM
Taiwan Stock Exchange	Taiwan	6:30 AM	11:00 AM
Hong Kong Stock Exchange	Hong Kong	6:45 AM	1:30 PM
Shanghai Stock Exchange	China	7:00 AM	12:30 PM
Shenzhen Stock Exchange	China	7:00 AM	12:30 PM
Deutsche Borse	Germany	12:30 PM	2:30 AM
JSE Limited	South Africa	12:30 PM	8:30 PM
Euronext	European Union	12:30 PM	9:00 PM
SIX Swiss Exchange	Switzerland	1:30 PM	10:00 PM
BME Spanish Exchange	Spain	1:30 PM	10:00 PM

London Stock Exchange	UK and Italy	1:30 PM	10:00 PM
BM&FBovespa	Brazil	6:30 PM	1:30 AM
New York Stock Exchange	USA	7:00 PM	1:30 AM
NASDAQ	USA	7:00 PM	1:30 AM
TMX Group	Canada	8:00 PM	2:30 AM

Example of Direct relationship between Bank Nifty and Dow Jones as seen on Dashboard of OI Pulse



Banknifty



Consider the above example. The data shown is for date 15 Sep 2020. Just notice the movement of Dow Jones and bank Nifty after 14.00 hours. Just observe the direct relationship between DOW and bank nifty in this case.

As mentioned earlier there would be certain days where domestic events/news would set the tone for the day and our markets may go against global markets. Thus on days where we have major domestic economic/policy/news events we must discount global markets.

Thus observe the global markets on a continuous basis while decoding the markets.

B. Future Open Interest

Before we proceed further we need to have a crystal clear understanding of following concepts

1. *Open Interest & Volume*
2. *Long Build Up*
3. *Short Build Up*
4. *Short Covering*
5. *Long Unwinding*

So let's explore these topics in a practical manner.

Open Interest & Volume

For trading to take place there must be some underlying security. Whenever we trade stocks the underlying security is the stock itself. A seller sells that stock and a buyer purchases that particular stock. After a transaction is successful the stock is transferred into the demat account of the new buyer from that of the seller. This is plain and simple. Just take note of the fact that the maximum number of stocks that can be traded is fixed and is originally issued by the parent company. However the situation is not the same in derivatives. We will be dealing with two kinds of derivatives namely Futures and options. So let us take Futures first. In Future Derivative Trading the underlying security is a "contract" that is issued not by any company or organisation but by an individual who we know as "SELLER". Another individual buys this contract.

Once a contract is written between original buyer and seller the Open Interest becomes one. Now this written contract may be "traded" multiple times. Imagine the buyer wants to exit his position, he will find another prospective buyer and "transfer" the contract that he originally holds to the new buyer. In this transaction the number of active contracts in the market remained "one" only but now the same contract has been traded "two" times. This number "two" is captured as "Volume".

In order to simplify things I'll take an example. Consider a real estate developer, he builds a house and sells it to you. If we think in terms of OI and Volume after this transaction both OI and Volume are 1 and 1. Now let's say you don't like the house anymore and want to move out. What would you do? You would find another prospective buyer and transfer the house in his name. After this transaction the underlying security i.e the house still remains "one" but it has now been "traded" "twice". So Volume for this house would be "2" but the OI would remain "1" only.

Now coming back to our markets the sellers and buyers create OI in the first transaction. Thereafter the contract that gets created can be traded multiple times and these transactions get recorded under "Volume".

At any given time when you see a figure for OI of Nifty futures that reflects the number of Contracts that are in the market and are being traded. Volume would refer to the number of

times the contract has been traded. Volume would always be greater than OI and never less than it.

Now we also need to understand how OI increases and decreases. Whenever “sellers” write fresh contracts and buyers buy them OI would always increase and when sellers buy back the contracts they sold earlier OI decreases.

Now having understood the basic concept of OI and Volume we will understand the remaining 4 terms. For understanding these four terms we will take a practical approach.

Let us say it is Monday Morning and trading begins. There is no strong news in the market and the general outlook is neutral. So market participants would also be neutral. Sellers would start writing fresh contracts and sell them to prospective buyers in the market. OI would increase and so would the volume as trading would be happening.

Now assume some positive but not so strong rumour comes in the markets. What would happen? There would be a buzz among the buyers that prices may increase. They would start buying more and more. Soon there would be a competition among the buyers to buy at the earliest. Sellers on the other hand would also get cautious. So overall the demand would begin to rise and supply would get constrained. However as the prices increase further sellers would be tempted to write more contracts as they would be getting very good prices, so they would also write new contracts in the hope that it is just a rumour and may be false and prices would fall at the end of the day. In this situation Open Interest would increase and so would the price. This situation is known as “**LONG BUILD UP**”. It is characterised by rise in OI and rise in price.

Now assume it is 14.00 hours and the positive rumour that led to rise in prices is confirmed. What do you think is going to be the state of buyers and sellers? Buyers would be on cloud nine and begin preparing for evening celebrations because they know they are going to win big time today, but what about sellers. Earlier in the day they were uncertain after rumour but high price tempted them to write fresh contracts but now that rumour has now been confirmed....they would panic..It would be a catastrophic situation for them. They would run to minimise their losses. In order to do so they would need to buy back the contracts they had written earlier and in this process they would offer any price that the contract holder(who now happens to be the original buyer) would ask for. Once he buybacks the contract, he would book his loss to a minimum and subsequently OI would decrease. But the price of the contract would increase. NOW if another seller wants to close his position he would have to buy back the contract at this higher level. The OI would further decrease but LTP would increase further. Likewise in this manner the OI would decrease and price would increase. This situation is known as “**SHORT COVERING**”. It is characterised by Decrease in OI and rise in Price.

Now let's assume it is 15.00 hours, the market has risen considerably and shorts have covered their position and there are some original buyers who want to book their profit towards the end of day. What would they do? They would sell their contracts which they bought in the morning. In doing so the supply would increase and thus price would decrease. It would be a good opportunity for the original sellers to close their open position too. Thus overall Price would

reduce and OI would also reduce. This situation is known as “**Long Unwinding**”. It is characterised by Fall in OI and fall in prices.

Let us see how the OI pulse tool is able to capture this information.

The following example is of Bank Nifty Future OI Analysis for 24 August 2020 set on a 60 min time frame.

Mode

☐ Live data
 ☒ Historical data

Select Name

BANKNIFTY

Select Date

2020-08-24

Select Time Interval

60 min

Global Actions

Go

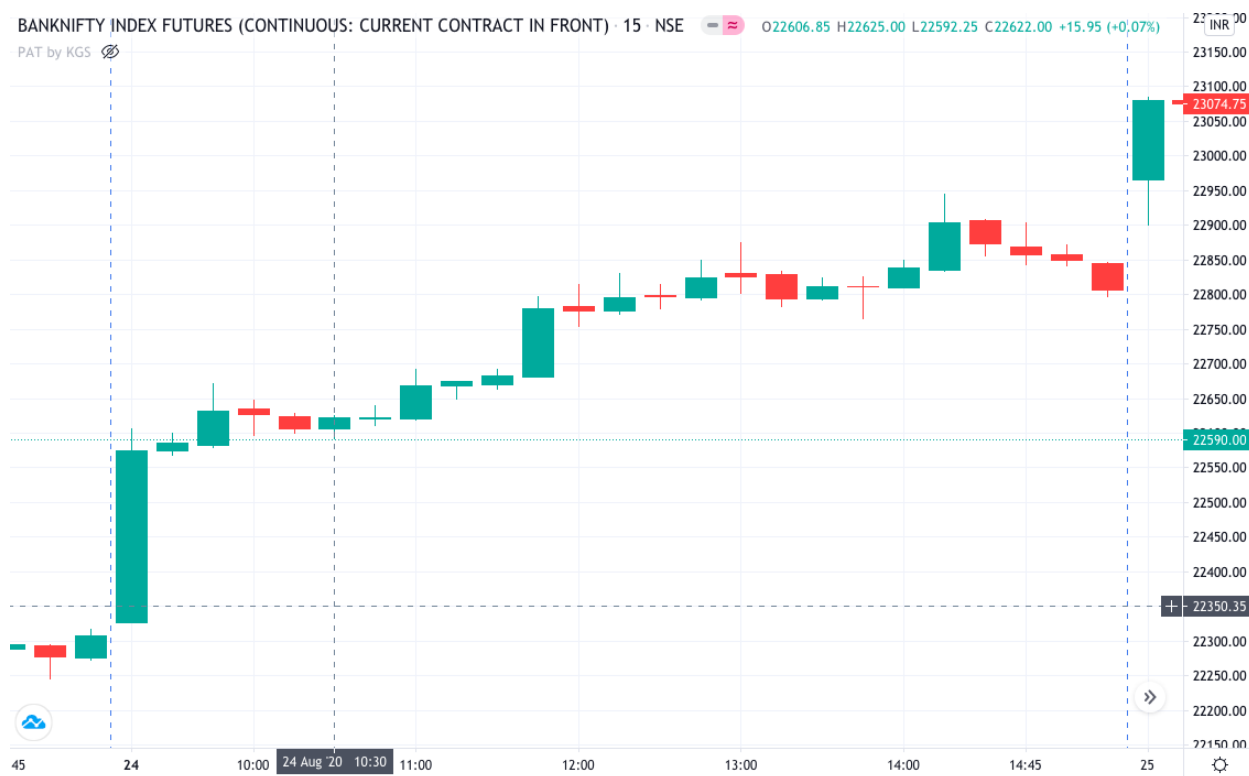
	Date Time	OI	Day High	Day Low	Level Break	Pattern	Volume	LTP	LTP Change	OI Change	OI Interpretation
1	14:30-15:30	13,09,000	22944.85	22327.2		-	9,71,800	22806.95	-96.20	-2,48,750	Long Unwinding
2	13:30-14:30	15,57,750	22944.85	22327.2	D.H.B. (22875.00) ↑	-	7,27,850	22903.15	109.90	-32,675	Short Covering
3	12:30-13:30	15,90,425	22875	22327.2	D.H.B. (22830.00) ↑	-	5,75,600	22793.25	-1.75	5,500	Short Build Up
4	11:30-12:30	15,84,925	22830	22327.2	D.H.B. (22692.00) ↑	-	9,42,050	22795.00	121.00	42,500	Long Build Up
5	10:30-11:30	15,42,425	22692	22327.2	D.H.B. (22672.00) ↑	-	4,62,750	22674.00	67.15	32,400	Long Build Up
6	09:30-10:30	15,10,025	22672	22327.2	D.H.B. (22607.00) ↑	-	7,28,350	22606.85	31.90	91,275	Long Build Up
7	09:15-09:30	14,18,750	22607	22327.2			5,96,850	22574.95	247.70	1,21,475	Long Build Up

Rows per page 25

Prev
 1 - 7 of 7
 Next

We see that during the entire day there was a Long build up. Towards the end of the day we also saw Short Covering and then Long Unwinding.

Now let us see the price chart for that particular day.



Just match the timings of the OI Pulse data with the Price and see the magic.

Now having analysed this bullish scenario it would be relatively easier to understand the bearish scenario.

Let us say it is Tuesday Morning and trading begins. There is no strong news in the market and the general outlook is neutral. So market participants would also be neutral. Sellers would start writing fresh contracts and sell them to prospective buyers in the market. OI would increase and so would the volume as trading would be happening.

Now assume some negative but not so strong rumour comes in the markets. What would happen? There would be a buzz among the sellers that prices may decrease. They would start selling more and more. Soon there would be a competition among the sellers to sell at the earliest. Buyers on the other hand would also get cautious. So overall the supply would begin to rise and demand would get constrained. However as the prices decrease further buyers would be tempted to purchase more contracts as they would be getting it at cheap good prices, so they would also buy new contracts in the hope that it is just a rumour and may be false and prices would rise at the end of the day. In this situation Open Interest would increase but price would decrease. This situation is known as **“SHORT BUILD UP”**. It is characterised by rise in OI and fall in price.

Now assume it is 14.00 hours and the negative rumour that led to rise in prices is confirmed. What do you think is going to be the state of buyers and sellers? sellers would be on cloud nine and begin preparing for evening celebrations because they know they are going to win big time today, but what about buyers. Earlier in the day they were uncertain after rumour but cheap price tempted them to buy fresh contracts but now that rumour has now been confirmed....they would panic..It would be a catastrophic situation for them. They would run to minimise their losses. In order to do so they would need to sell the contracts they had purchased earlier and in this process they would sell at any price that the contract buyer(who now happens to be the original seller) would ask for. Once he resells the contract, he would book his loss to a minimum and subsequently OI would decrease. But the price of the contract would decrease. Now if another buyer wants to close his position he would have to resell the contract at this lower level. The OI would further decrease but LTP would decrease further. Likewise in this manner the OI would decrease and so would the price. This situation is known as “**LONG UNWINDING**”. It is characterised by Decrease in OI and fall in Price.

Now let's assume it is 15.00 hours, the market has fallen considerably and longs have covered their position and there are some original sellers who want to book their profit towards the end of day. What would they do? They would buy back their contracts which they sold in the morning. In doing so the supply would decrease and thus price would increase. It would be a good opportunity for the original buyers to close their open position too. Thus overall Price would increase and OI would also reduce. This situation is known as “**SHORT COVERING**”. It is characterised by Fall in OI and rise in prices.

Let us see how the OI pulse tool is able to capture this information.

The following example is of Bank Nifty Future OI Analysis for 31 August 2020 set on a 60 min time frame.

Just match the timings of the OI Pulse data with the Price and see the magic.

We need to understand that these four terms that we just understood need to be applied in the context of the market. Short covering for example does not always mean that shorts are covering their position to minimise their losses. On a bullish day shorts would cover their position to minimise their losses but on a bearish day they would cover their position to book their profits. Thus don't go exclusively on the definition but analyse the market scenario in which that phenomenon is happening.

BULLISH SCENARIO			
	CHANGE IN OI	CHANGE IN PRICE	INTERPRETATION
LONG BUILD UP	INCREASE	INCREASE	Longs are building the position in expectation of market to rise
LONG UNWINDING	DECREASE	DECREASE	The longs are unwinding their position in order to book their profits
SHORT COVERING	DECREASE	INCREASE	Shorts are covering their position to book/minimise their losses
BEARISH SCENARIO			
	CHANGE IN OI	CHANGE IN PRICE	INTERPRETATION
SHORT BUILD UP	INCREASE	DECREASE	Shorts are building the position in expectation of market to fall
LONG UNWINDING	DECREASE	DECREASE	The longs are unwinding their position in order to book/minimise their losses
SHORT COVERING	DECREASE	INCREASE	Shorts are covering their position to book their profits

The next step in understanding these OI interpretations is judging the strength of the phenomena itself. For this you have to ask questions like is this Short Build up a strong one or a weak one?

IN order to answer these questions you need to look at four corresponding parameters which OI pulse presents to you readily-”LEVEL BREAK” ,”VOLUME”,”LTP” & “Change in OI”

Any phenomenon that is accompanied with large volumes and significant change in OI & price will be a strong phenomenon while those with small volumes and insignificant change in OI and LTP may be kindly ignored. If any phenomenon would be accompanied with corresponding level break then it would add to its strength.

Following table would help you understand better

OI INTERPRETATION	VOLUME	LEVEL BREAK	Change in LTP	Change in OI	STRENGTH
LONG BUILD UP	HIGH	D.H.B (DAY HIGH BREAK)	Significant	Significant	STRONGEST
	HIGH	-	Significant	Insignificant	STRONG
	LOW	-	Insignificant	Insignificant	WEAK
SHORT BUILD UP	HIGH	D.L.B (DAY LOW BREAK)	Significant	Significant	STRONGEST
	HIGH	-	Significant	Insignificant	STRONG
	LOW	-	Insignificant	Insignificant	WEAK
SHORT COVERING	HIGH	D.H.B (DAY HIGH BREAK)	Significant	Significant	STRONGEST (DURING BULLISH SCENARIO)
	HIGH	-	Significant	Insignificant	STRONG
	LOW	-	Insignificant	Insignificant	WEAK
LONG UNWINDING	HIGH	D.L.B (DAY LOW BREAK)	Significant	Significant	STRONGEST (DURING BEARISH SCENARIO)
	HIGH	-	Significant	Insignificant	STRONG
	LOW	-	Insignificant	Insignificant	WEAK

Now if you are clear with these basic concepts you are ready to proceed further.

Now let us come back to analysing Future Open Interest.

Let us analyse Future OI for one day as an example and see how it may be useful for us.

Consider the Bank Nifty Future OI Analysis for 15 Sep 2020 on a 60 min time frame.

Mode		Select Name	Select Date	Select Time Interval	Global Actions	
☒	Live data	BANKNIFTY	2020-09-15	60 min		Go
☐	Historical data					

	Date Time	OI	Day High	Day Low	Level Break	Pattern	Volume	LTP	LTP Change	OI Change	OI Interpretation
1	14:30-15:30	17,39,300	22597	22084.05	D.H.B. (22410.00) ↑	-	17,69,800	22590.00	190.00	-1,41,700	Short Covering
2	13:30-14:30	18,81,000	22410	22084.05		-	10,25,450	22400.00	147.10	26,750	Long Build Up
3	12:30-13:30	18,54,250	22410	22084.05		-	9,03,775	22252.90	-74.60	20,075	Short Build Up
4	11:30-12:30	18,34,175	22410	22084.05	D.H.B. (22388.00) ↑	-	10,46,975	22327.50	88.30	4,200	Long Build Up
5	10:30-11:30	18,29,975	22388	22084.05		-	6,30,750	22239.20	16.35	-11,325	Short Covering
6	09:30-10:30	18,41,300	22388	22084.05	D.H.B. (22259.90) ↑	-	14,65,100	22222.85	5.90	66,150	Long Build Up
7	09:15-09:30	17,75,150	22259.9	22084.05			6,16,975	22216.95	21.95	13,500	Long Build Up

Rows per page 25 ▾

◀ Prev 1 - 7 of 7 Next ▶

Till 10.30 we see that the OI pulse has given a Long Build up as interpretation. Now we see that we have a D.H.B level break along with a very high volume and significant OI change. However the price has not moved much. This clearly points towards a Strong Long build up. Now shorts have to break this volume in order to take the market lower.

Shorts are decently active as we see that LTP has not gone upwards significantly and they are thus supplying at higher levels.

In the next one hour we see “Short Covering: though a weak one. This is the first sign of weakness from the shorts and a\presents an opportunity for the Longs to take the market higher.

During the next one hour (11.30-12.30) Longs took advantage of the weakness of the shorts and led to Long build up. This is a very interesting Long buildup. Even with a very small change in OI the longs were able to take the price significantly higher and even break the Day's High. The volume was also considerable.

12.30-13.30 was a comeback period for the Bears as they came back with significant price reduction with relatively insignificant change in OI which meant longs were being cautious.

In this situation the next hour becomes crucial.

13.30 to 14.30 was a comeback for the Bulls and we witnessed a Significant Long build up.

Now the stage was set for the bears to panic as the day belonged to the bulls and they couldn't take the markets lower. Consequently they ran to cover their position and we saw the Strongest possible Shortcovering rally in the last one hour where even the Day High was taken out.

Thus this kind of analysis would have given you the confidence to trade at different time periods.

The most effective way would have been to use a smaller time frame Future OI analysis to enter a trade once you see a trend emerging on a larger time frame.

Special Note on importance of Volume

Any analysis of the future is incomplete without taking into consideration the “Volume”. As already explained, Volume data captures the trading activity. If volume is low that means that trading is low and if the volume is high that means trading is high. High Volume scenarios are very important. As we know for trading to take place both buyers and sellers are required. Think of high volume scenarios as times of stiff competition between the buyers and sellers. And the result of this competition is very important to be analysed. If the Longs dominate this competition then we are likely to witness Long build up or Short covering and if sellers dominate then we are likely to have Short build up or Long Liquidation. In any case whatever the outcome is, it would be a strong signal and would have implications for the coming time frames. So analyse the time periods with High Volumes with great care as they would reveal crucial information.

Suggestion for Expiry Day: *Analyse Future OI of past 10 days with OI pulse to decode the activities of big players dominating the market. This would really be helpful for trading along with expiry moves.*

C. OPTIONS OPEN INTEREST

After analysing the Open Interest of Futures (Nifty/Banknifty) the next important step comes to analysing the Options OI. This would give you strong signals about the activities of dominant market participants and help you align the trade accordingly.

In order to analyse the OI of options one thing that needs to be kept in mind is that OI of both Calls and Puts have to be considered simultaneously. The OI of options will reveal very interesting information.

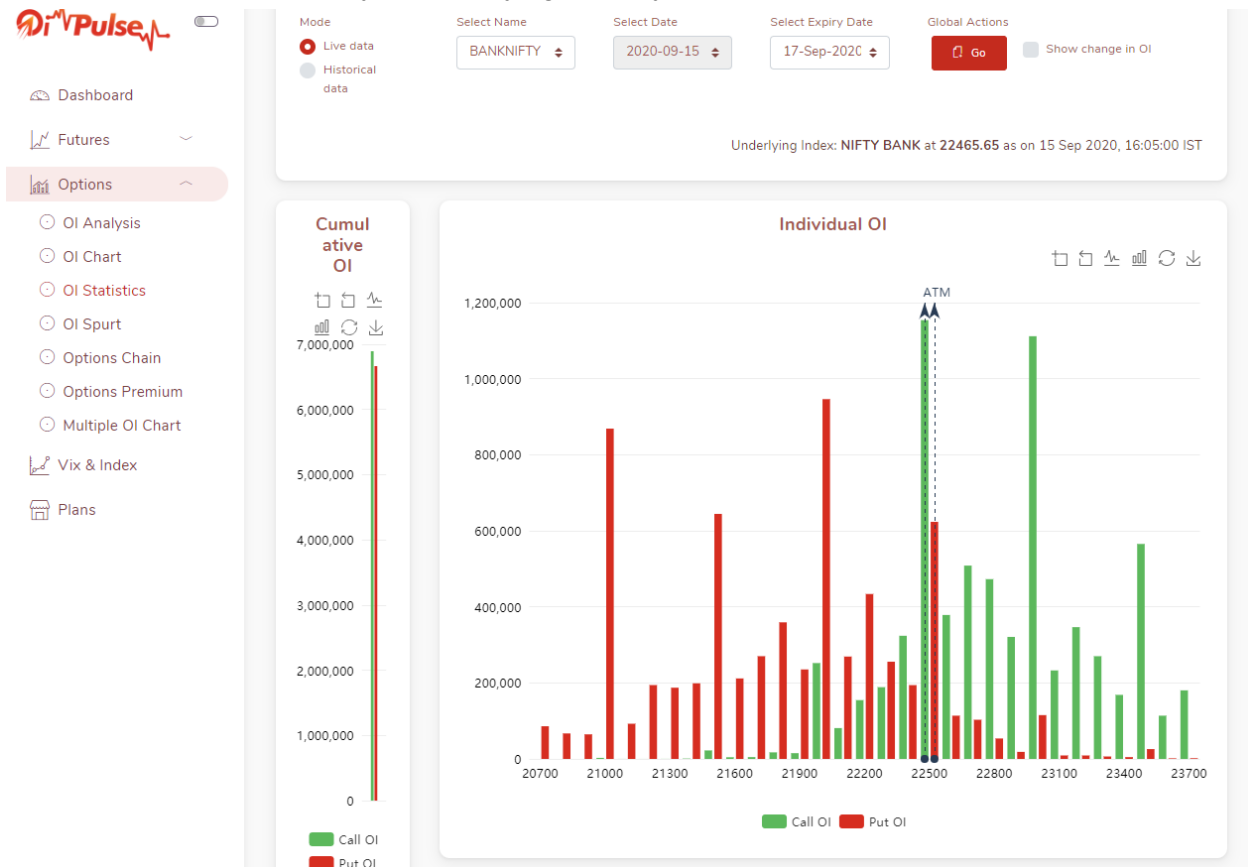
C1. OI of Options and Market Range

As we have discussed earlier “option writers or sellers” have an upper hand in determining OI at any given moment. Taking this further, if we are able to identify the price levels where the maximum OI of options is, we can get a clue about the range wherein the market players expect the price to play around.

Simplifying it further if we identify the price levels around which there is a maximum OI of Calls and Puts we can know the range of the markets. The price levels around which there is maximum OI of calls is the level which Call writers believe would act as a stiff resistance level. Similarly the price levels around which there is maximum OI of Puts is the region which Put writers believe would act as a strong support level.

This information can be analysed from option chain data but with much effort. In order to simplify this, OI pulse tool presents this information in graphical form.

Simply use the “**OI statistics**” option as per instructions in section A. Following screen would appear if we select Banknifty as underlying security



Simply looking at the length of the bars at the right and left hand of ATM strikes would tell you where there is major support and resistance.

The strikes with big Green bars on RHS of ATM have high OI, thus CALL writers expect that these price levels will not be breached. Similarly on LHS of ATM strikes we see big Red bars which represent price levels which Put writers expect will not be breached.

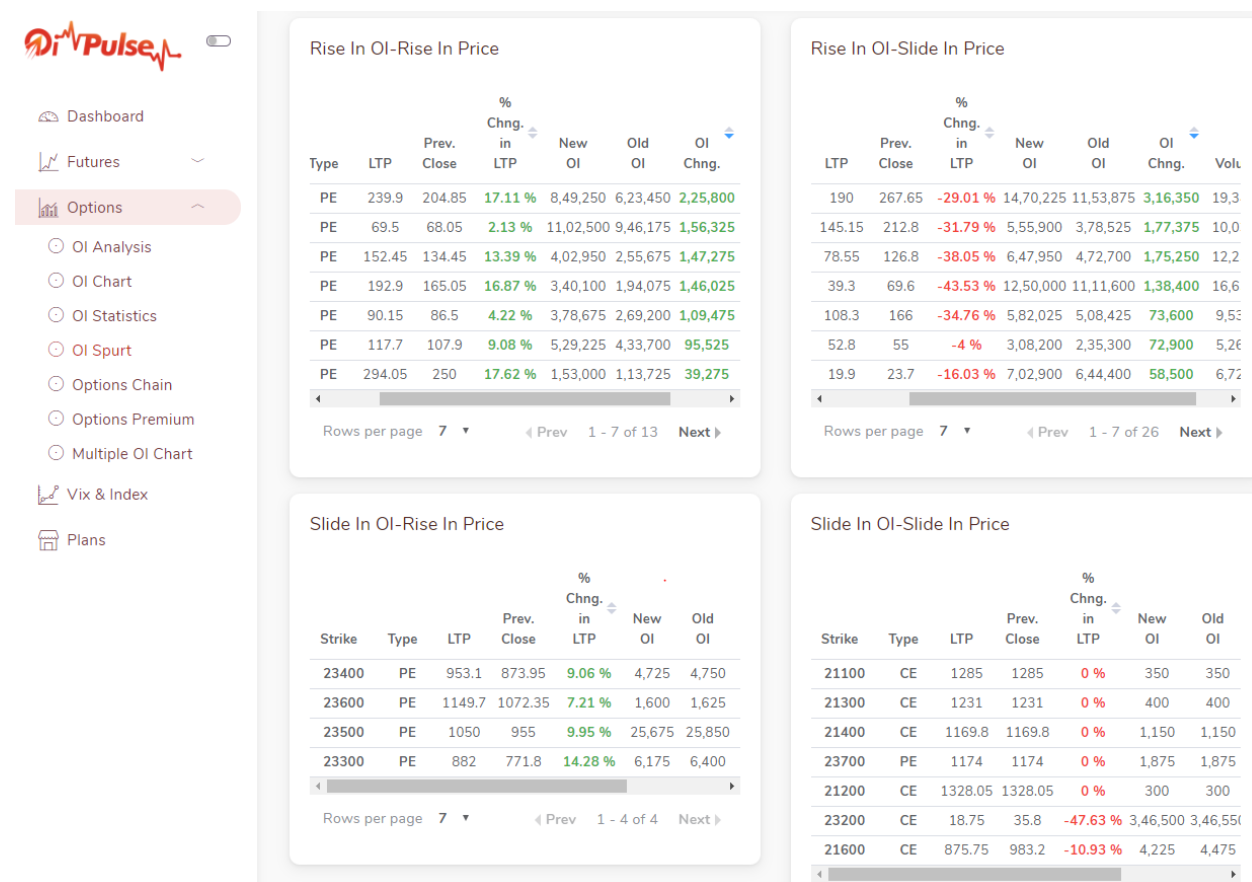
Thus we can identify the probable range for the day.

Suggestion: The strikes with high OI will be usually dominated by Sellers. At any given moment if the price breaches these price levels then these writers (CALL or PUT) would run to cover their position and we would witness strong Short Covering. That time would be a good time to buy the options for a short time and gain from the price appreciation.

C2. OI spurt and Market Direction

In the previous section we saw how to judge the overall OI at a basic level. Now in addition to this we must analyse the “**CHANGE**” in OI. OI Pulse tool analyses this “change” in OI through the “OI spurt” feature.

After selecting the options as given in Section A following page would appear on the screen



Here you can see that data is compiled in 4 tables and different strikes appear under these quadrants. We call these tables “Quadrants”. If you see the headings of these tables you would find something that is familiar with what you have already learnt in this manual. Lets see what these quadrants are and what do the strikes appearing in them represent

1. Quadrant 1 (Q1): Rise in OI- Rise in Price

If you can recall this is something similar to Long Build up that we learnt while analysing Futures OI. This holds true for options as well.

The strikes appearing under this quadrant (either CALL or PUTS) are those strikes where the Option buyers are showing interest. If the **buyers are active** they would **drive the OI as well as the price upwards** and this is what is the essence of this quadrant. So if you are a buyer then you must focus on the strikes appearing in this quadrant. However there is a very important catch in this. **A strike simply appearing in the quadrant does not qualify to be a prospective buying option.** We have to assess its **"STRENGTH"**. The strength has to be assessed on the basis of % change in LTP and % change in OI. If we see more than 50% change in LTP and more than 50% change in OI then it is a strong signal that buyers are aggressively buying these options and thus they may drive the prices further upwards.

Also if you see CALLs appearing in this quadrant with strength then it points that markets may witness an upward movement. Similarly if PUTS appear in this quadrant with strength then it points that markets may witness a downward movement.

So as a buyer of Options always focus on strikes appearing in Q1. If they are appearing with more than 50 % change in LTP and OI then it is likely that the Premiums of these strikes may rise further and thus they may be considered for buying provided all the other connecting dots are also giving the same signal.

2. Quadrant 2 (Q2) : Rise in OI-Slide in Price

As learnt earlier Rise in OI along with slide in price points towards Short build up in Futures. Similarly in options the concept is valid too. Strikes appearing in these quadrants are those where the option writers are getting aggressive. They would like the option premiums to slide further and expire worthless, so that they can capture the maximum profit. However, as in Q1 not all the strikes convey strong signals. Only those strikes with more than 50% rise in OI and more than 50% slide in price would actually give a strong signal.

Thus if you are an Option writer then you need to focus on strikes appearing in this quadrant provided that change in LTP and OI are more than 50%.

Also if you see CALLs appearing in this quadrant with strength then it points that markets may witness either a downward movement or may just consolidate.. Similarly if PUTS appear in this quadrant with strength then it points that markets may witness an upward movement or may just consolidate.

3. Quadrant 3 (Q3) : Slide in OI-Rise in Price

This quadrant is very similar to the Short Covering phenomenon of Futures. If the strikes appear in this quadrant then it means that the writers of these options are covering their position thus we may witness a rise in premiums and provide a buying opportunity.

Needless to say the strength aspect that we saw in the other two quadrants also apply to this quadrant.

If you are an options buyer then strikes appearing in these quadrants with strength may be good buys for the option buyers. However it needs to be taken into consideration that short covering rallies though violent are usually short lived. Thus perfect timing and execution is very essential to play with strikes appearing in this quadrant.

4. Quadrant 4 (Q4) :Slide in OI-Slide in Price

We advise retail traders to avoid strikes appearing in this quadrant. Usually deep OTM options would appear in this quadrant. Such strikes are usually used by big players for hedging their positions and may see sudden movements. Thus it is best to avoid these strikes especially for buying.

Now let's see an example for OI spurts and how this get captured by OI Pulse
Consider the OI spurt data of Bank nifty for 14 Sep 2020 for weekly expiry of 17 Sep 2020

Mode

Live data

Historical data

Select Name

BANKNIFTY

Select Date

2020-09-14

Select Expiry Date

17-Sep-2020

Global Actions

Go

Underlying Index:

NIFTY BANK at 22101.25 as on 14 Sep 2020, 16:05:00 IST

Rise In OI-Rise In Price

Strike	Type	LTP	Prev. Close	% Chng. in LTP	New OI	Old OI	OI Chng.
22000	PE	268	82.75	223.87 %	7,29,525	5,38,050	1,91,475
21500	PE	104	27.95	272.09 %	5,84,400	4,13,250	1,71,150
21900	PE	226.9	66.3	242.23 %	1,91,525	1,01,650	89,875
21600	PE	128	34.35	272.63 %	2,07,450	1,24,250	83,200
22500	PE	550.15	223.35	146.32 %	5,64,025	4,93,750	70,275
21400	PE	85	22.7	274.45 %	1,36,125	70,850	65,275
21200	PE	55	15.3	259.48 %	1,54,275	94,125	60,150

Rows per page 7

Prev 1 - 7 of 24 Next

Rise In OI-Slide In Price

Strike	Type	LTP	Prev. Close	% Chng. in LTP	New OI	Old OI	OI Chng.
23000	CE	78	178	-56.18 %	12,66,200	6,75,175	5,91,025
22500	CE	190.05	408.9	-53.52 %	11,34,700	6,80,475	4,54,225
22700	CE	137	302.15	-54.66 %	6,26,600	2,17,475	4,09,125
22800	CE	113.05	255	-55.67 %	5,25,750	2,03,225	3,22,525
22600	CE	160.05	354.05	-54.79 %	5,11,625	2,68,450	2,43,175
22300	CE	262.8	530	-50.42 %	2,94,175	81,750	2,12,425
22900	CE	94.95	215.45	-55.93 %	2,95,575	1,04,375	1,91,200

Rows per page 7

Prev 1 - 7 of 31 Next

Slide In OI-Rise In Price

Strike	Type	LTP	Prev. Close	% Chng. in LTP	New OI	Old OI	OI Chng.
24000	PE	1907.85	1300	46.76 %	9,575	10,025	-450
22800	PE	786.1	371.65	111.52 %	47,925	48,975	-1,050
23500	PE	1396.7	878	59.08 %	25,850	27,925	-2,075
23000	PE	953.65	494.75	92.75 %	1,23,525	1,38,100	-14,575

Rows per page 7

Prev 0 - 0 of 0 Next

Slide In OI-Slide In Price

No data for table

Rows per page 7

Prev 0 - 0 of 0 Next

We see that Put options with more than 50 % change in LTP and more than 50 % change in OI appear in Q1. Similarly Calls with adequate strength appear in Q2. Also Q3 saw OTM Put options. Q1 witnessed Long build up with Puts, Q2 witnessed short build up with CALLS and Q3 witnessed Short Covering of OTM Puts. It simply points out that the market would have surely fallen. Now let's check the price of Bank nifty on that particular day



The OI spurt data if followed on OI Pulse during market hours surely would have helped to capture this fall in the market.

C3. OI analysis of Options with OI Pulse

This feature of the OI pulse is quite similar to that of OI analysis of Futures. However there are two differentiating factors

(i) We have to do OI analysis of a particular strike for options, whereas in Futures we only did OI analysis for Futures Contract. Thus we need to select a strike price first. It is advisable that you do OI analysis of ATM strikes and strikes with major OI one after another to get a clear picture.

(ii) In Futures we looked at the OI interpretation given by the OI pulse tool and then measured the strength of the interpretation by looking at LTP, Change in OI, Volume and Day level Break. Now in options we need to do it for both calls and puts together for a particular time frame

Let's take an example.

Oi Analysis Options | Oi Analysis

Mode: ☐ Live data ☒ Historical data

Select Name: BANKNIFTY

Select Date: 2020-09-14

Select Strike Price: 22700

Select Time Interval: 60 min

Global Actions: [Go](#)

	Time	Call OI	Total OI Chng	Call D. H/L Break	Call LTP	Call LTP Chng	Call Chng. in OI	Call OI Interpretation	Strike	Put OI Interpretation	Put Chng. in OI	Put LTP Chng	Put LTP	Put D. H/L Break	Total OI Chng
1	14:30-15:30	626600	409125	D.L.B (128.55) ↓	135.00	-6.10	-1,81,625	Long Unwinding ↓	22700	↑ Shorts Covering	-52,700	4.75	699.55	D.H.B (739.40) ↑	37925
2	13:30-14:30	808225	590750	D.L.B (203.00) ↓	141.10	-66.15	17,650	Short Build Up ↓	22700	↑ Shorts Covering	-87,300	249.15	694.80	D.H.B (450.00) ↑	90625
3	12:30-13:30	790575	573100	D.L.B (236.10) ↓	207.25	-48.40	80,675	Short Build Up ↓	22700	↑ Shorts Covering	-92,075	80.80	445.65	D.H.B (413.40) ↑	177925
4	11:30-12:30	709900	492425	D.L.B (253.65) ↓	255.65	-25.55	39,100	Short Build Up ↓	22700	↑ Shorts Covering	-45,350	56.20	364.85	D.H.B (350.55) ↑	270000
5	10:30-11:30	670800	453325	D.L.B (258.10) ↓	281.20	-2.80	68,800	Short Build Up ↓	22700	↓ Short Build Up	33,175	-6.70	308.65		315350
6	09:30-10:30	602000	384525	D.L.B (274.65) ↓	284.00	-22.60	2,15,500	Short Build Up ↓	22700	↑ Long Build Up	69,425	35.00	315.35	D.H.B (330.00) ↑	282175
7	09:15-09:30	386500	169025		306.60	-36.35	1,69,025	Short Build Up ↓	22700	↓ Short Build Up	2,12,750	-39.60	280.35		212750

As you can see that the selected date is 14 Sep 2020. Now focus on the time frame 09.30 to 10.30 AM.

On the CALL side what do we see

1. Short build Up:
2. Now let us assess the strength of this Short build up. If we look at the change in OI, it is quite significant.
3. Also the price drop is quite appreciable.
4. Along with this we see the D.L.B breakout pattern.

So I can assume that it is a strong short build up on the Call side.

Now let's analyse PUT side on the same time frame

1. Long build Up:
2. Now let us assess the strength of this Long build up. If we look at the change in OI, it is quite significant.
3. Also the price rise is quite appreciable.
4. Along with this we see the D.H.B breakout pattern.

So I can assume that it is a strong long build up on the Put side.

Now what does it indicate?

It indicates that Option writers are very keen to write the 22700 Call option and Option buyers are very keen to buy the 22700 Put option. This only means one thing: that the market may witness a downward movement.

From 11.30 onwards we saw that CALL writers started strengthening their position as the Short Build up on the Call side became more and more aggressive. On the Put side option writers covered their position and we saw a very strong Short Covering rally.

As the day progressed we saw premiums of Calls decreasing on a continuous basis whereas premiums of Puts saw a continuous surge in price throughout the day on account of short covering.

Thus identifying strong signals is very important and OI pulse makes the job easier for you. The crucial aspect in using this feature would be to identify strong signals which we now know.

Optimum Utilisation of different timeframes

While analysing the Future and the Options OI we should use different time frames. We have given 5 different timeframe options 5/10/15/30 & 60 minutes.

Although one can use timeframes as per one's comfort level, what we have been practising in the past is as follows

1. **60 Minute Time Frame:** This time frame is used in two ways. We use 60 min TF to analyse how the day has been and what are going to be the implications for the next day. This would be a very useful feature if you want to do trades within a few minutes of the market opening the next day. Let us take an example for this

If you consider the following example (Date 25 Aug 2020) we can see that the last one hour saw some major short covering rally wherein the OI decreased drastically. What do you think could be the reason and implication of this action?

Mode

Live data

Historical data

Select Name

BANKNIFTY

Select Date

2020-08-25

Select Time Interval

60 min

Global Actions

Go

	Date Time	OI	Day High	Day Low	Level Break	Pattern	Volume	LTP	LTP Change	OI Change	OI Interpretation
1	14:30-15:30	12,76,200	23168.65	22825		-	8,24,475	23090.75	147.10	-2,84,975	Short Covering
2	13:30-14:30	15,61,175	23168.65	22825		-	12,25,525	22943.65	-191.35	7,900	Short Build Up
3	12:30-13:30	15,53,275	23168.65	22825	D.H.B. (23119.50) ↑	-	8,82,250	23135.00	113.75	-45,050	Short Covering
4	11:30-12:30	15,98,325	23119.5	22825		-	6,85,775	23021.25	50.85	35,750	Long Build Up
5	10:30-11:30	15,62,575	23119.5	22825	D.L.B. (22900.15) ↓	-	13,74,050	22970.40	-107.60	20,800	Short Build Up
6	09:30-10:30	15,41,775	23119.5	22900.15	D.H.B. (23085.00) ↑	-	7,58,850	23078.00	-1.90	99,100	Short Build Up
7	09:15-09:30	14,42,675	23085	22900.15			5,75,575	23079.90	114.90	1,78,000	Long Build Up

Though we do not know the reasons, certainly the shorts got scared of something and covered their positions in a major way. This would certainly have implications for the next day. If the World markets are supportive the next day then it would make sense to go Long as we do not expect any selling pressure in the initial moments.

The market played exactly in the same manner the next day at opening.



Just see how the market behaved in the morning hours.

Suggestion: Morning trades is an advanced form of trading and in the example shown above OI was one of the major dots to take the trade. We recommend traders to take morning trades only after obtaining a certain level of proficiency.)

The second major utility of the 60 minute time frame is that it is very useful to take trades in the second half of the trading session as it would help to determine the major trend for the day.

2. 15 minute Time frame:

The major limitation of 60 min tf analysis is that it cannot be used in the first half of the day. Thus we use 15 min tf to determine the intermediate trend for the day. We have used this time frame over many years now and can certainly say with a great degree of conviction that if analysed properly 15 min tf gives you a very good result.

3. 5 minute Time frame:

5 min time frame can be used to time the trades. Though it will give many mixed signals while doing analysis, when analysed in light of trend set by 15 and 60 minute time frame it would be a good entry strategy.

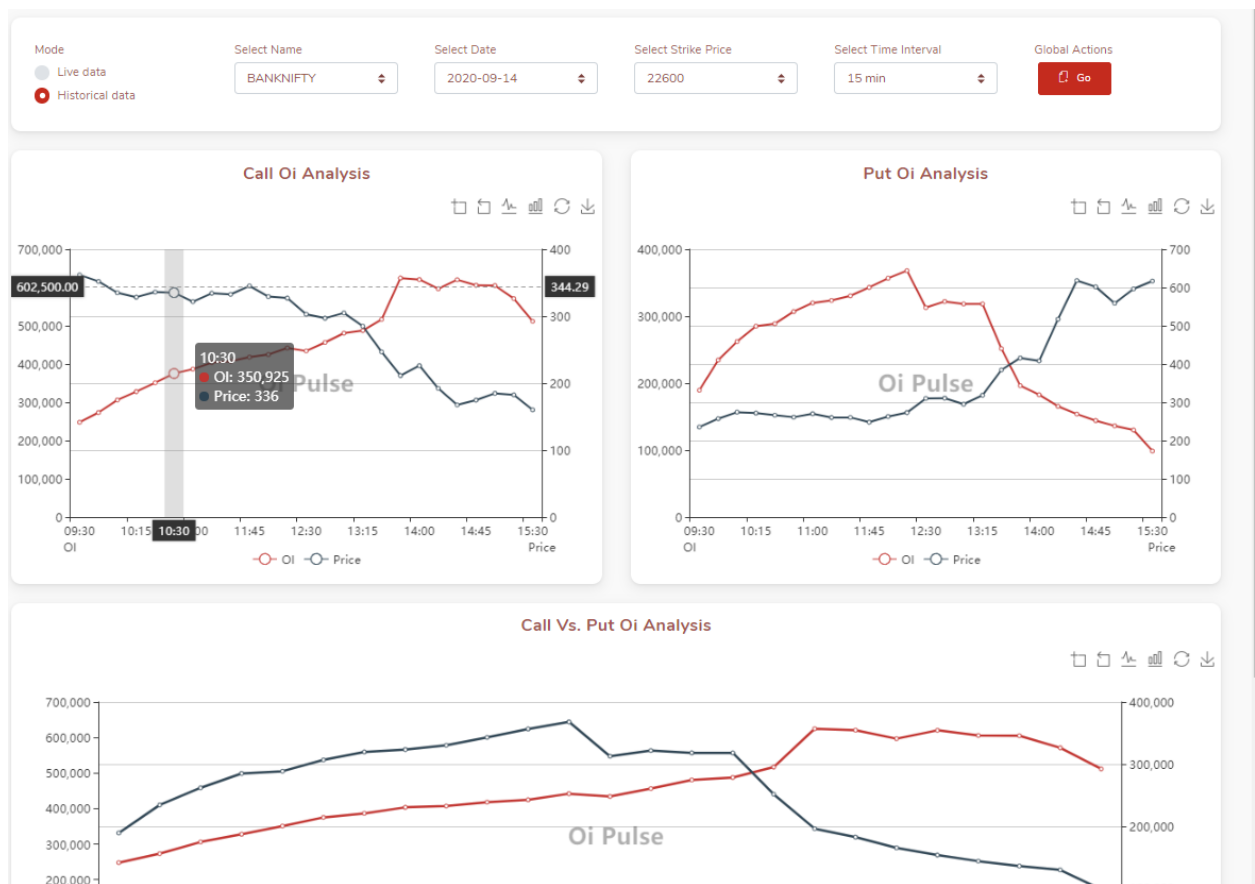
Thus overall we recommend to use different timeframes in order to grasp the market sentiment.

C4. OI and LTP crossover

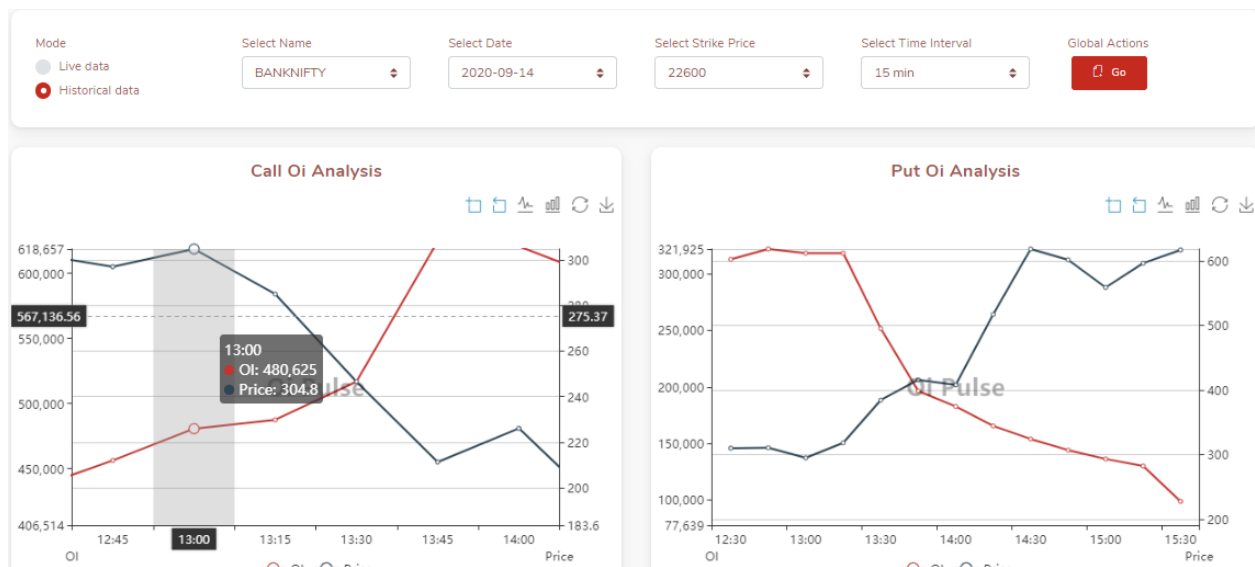
This is a unique feature of the OI Pulse tool and has been developed after extensive trading experience. We have developed a unique system wherein you would be able to see the variation of price and open interest in pictorial form. This would simplify the analysis for you.

In order to use this feature follow the instructions to use “OI CHARTS” in section A of the manual.

Let's take an example. Following is the Option OI chart for strike 22600 for 14 Sep



Below this I have zoomed images of both the Call and Put OI analysis that I have obtained using OI pulse tool



On this chart you see that we have plotted both OI and LTP of the selected strike price along the Y axis. Along the X axis we have used time. The scales have been set as per propriety in house trading experience formulas.

We have observed that whenever we receive a strong crossover of “X” shape type in either CALL or PUT then momentum builds up in options premiums and changes in OI of both calls and puts. By “X” shape we mean that LTP & OI lines should cross each other at a steep angle.

In the example given above, at 13.30 we saw a “X” shaped crossover happening on the Call side. Now what does it imply? It means that the price is decreasing rapidly and Open interest is increasing rapidly. This means there is a **strong Short build up**. In such a situation it has been observed that the corresponding opposite Option would witness **strong Short Covering** i.e it's LTP would increase rapidly and Oi would decrease rapidly.

In this case the 22600 Put witnessed a rapid increase in premiums and drop in OI. It also saw a crossover though after 15 mins and thereafter you can see that the Put option premium increased from Rs 384 to Rs 408 and then to Rs 618.

Thus the basic essence of this feature is that it helps you identify **Strong Short build up and Strong Short Covering**. In our personal experience Strong Short covering moves are very powerful and are a great opportunity for the option buyers. Also this crossover may be used to identify an opportunity to write options if you are a seller. The only catch is that Short Covering moves are not long lasting and must be caught at the right moment. OI pulse tool helps you hit bulls eye on this.

Suggestion: In our personal experience “X” shaped crossovers give best results when observed on a 15 minute time frame though one may use any timeframe as per his/her convenience.

C5. Strike Selection with help of OI Pulse tool

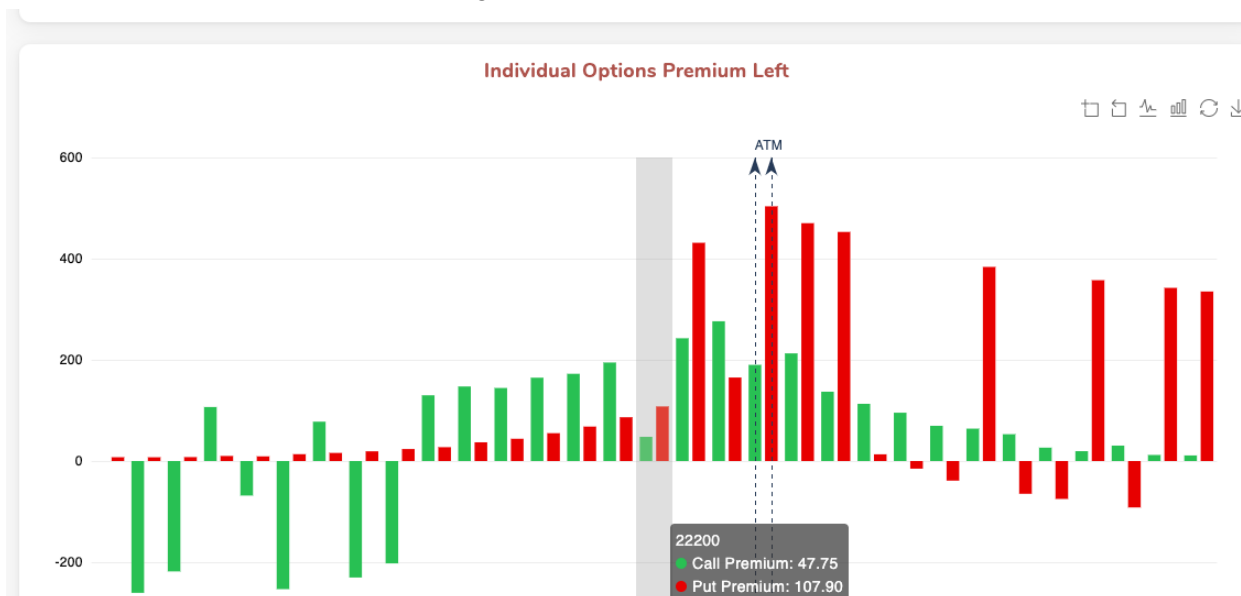
There are some basic thumb rules that we follow for strike selection and OI Pulse would further help us to select the strike.

In general we should avoid OTM strikes for trading, especially buying. The reason for this is that they do not have any intrinsic value and are susceptible to rapid changes in the premiums which may be detrimental for an option buyer. The % rate of change of the capital invested would be very high in OTM strikes and should be avoided.

It is better to trade with ATM or ITM options if you are a buyer. With the help of OI pulse tool you can know which strikes are relatively cheaper and which ones are relatively expensive.

Just use the “Options Premium” feature of the tool and you would get an answer instantly.

For example consider the following chart



In the above diagram you can see the 22200 CE which is an ITM strike has a very low premium as compared to its neighbouring strikes. Now if signals come wherein you should buy Call's then 22200 CE would be an excellent buy. If the Banknifty rises then the appreciation of the premium would be very high in 22200 CE as compared to other strikes.

So use this feature before selecting the strike.

D. Implied Volatility (IV)

IV is one of the most important but least understood aspects of options trading. So before moving ahead and learning how to use IV let's discuss some basics about IV.

IV is presented as a complex mathematical and statistical tool derived out of another complex mathematical model known as **Black Scholes Model** that looks like this

$$C = SN(d_1) - N(d_2) Ke^{-rt}$$

All this is something that is good to know and prove useful if you want to show off or win an argument in a discussion held during parties or dinner tables. But if you want to really use it for trading then you need to know the utility and the implications of IV.

So we would focus only upon that.

Let's revise some basics to understand it better. We know that
Option Premium=Intrinsic Value + Extrinsic Value

For OTM options Intrinsic Value=0 (always)

For ITM options Intrinsic Value=|Spot -Strike Price|

Extrinsic value is applicable on both ITM and OTM strikes. It is dependent majorly on 2 factors

1. Risk Free Interest Rate Value
2. Risk Value

Both these factors are determined by an Option writer while determining the price at which he would write an option. Both these factors collectively figure in the Extrinsic Value of an options Premium.

To put it simply, whenever we hear that Option premiums are high or options are very expensive then it actually means that “Extrinsic Value” is high. Similarly when we hear that Options premiums are very cheap or low it actually means that its Extrinsic Value is low. Quite often we would also hear the term “**Premium Erosion**”. This also points towards reduction of Extrinsic Value of option. The Intrinsic value is always fixed. It is “0” for OTM strikes and difference of Spot and Strike for ITM options.

Extrinsic Value of the options is directly reflected as Implied Volatility thus it is very very important to understand this if you want to trade them seriously.

So put simply IV is nothing but a reflection of Extrinsic Value of an option. Let's understand this more clearly.

Now imagine yourself as an Option writer and consider the following hypothetical example.
Bank Nifty Spot=22500

Now if you have to write a 22000 CE option, at what price or premium would you write it? Clearly since it is an ITM option you would demand a minimum of Rs 500 i.e 22500-22000 or Spot -Strike price. But would you actually sell it at just Rs 500? Clearly NO. Any Seller with a sound mind would demand some extra premium over and above this Intrinsic Value. You would

determine this extra premium based on the above two factors i.e Risk free interest Value and Risk value.

Risk free interest Value is nothing but the value you would easily get by placing the margin that the exchange would block in F.D of banks or any other safe instrument.

Risk Value is something that an option seller would determine based on market conditions.

Let's say that there is negative news floating in the market and signals are that the market may fall or just consolidate and there is no chance of the market to rise further.

In this scenario (A) Option seller would determine the premium as

Intrinsic Value	=500
Risk Free interest Value	=5
Risk Value(Low)	=50
Total Premium	=555

And IV will be something that would be directly proportional to 5 & 50. Lets represent it as $IV(A) = F(5,50)$

Now consider a different situation with the same strike and spot. But there is positive news in the market and there is a high probability that the market will rise. Now what would you do if you want to write a Call option? You will make some calculations and research to determine upto what price the market would climb higher. Let's say that your best estimate is that market may climb by at max 300 points then in this situation (B) you should determine the call option premium as

Intrinsic Value	=500
Risk Free interest Value	=5
Risk Value(Low)	=500
Total Premium	=1005

So the same call option now becomes expensive. Though the intrinsic value remains the same but extrinsic value has risen significantly.

Now IV will be something that would be directly proportional to 5 & 500. Lets represent it as $IV(A) = F(5,500)$

Now you have $IV(A) = F(5,50)$ and $IV(B) = F(5,500)$, which IV do you think would be greater? Certainly $IV(B) > IV(A)$

This is how IV values are determined. It is a direct reflection of Extrinsic Value of options that is further majorly dependent on Risk Value perceived by an option seller.

So we may simply say that IV levels are a direct reflection of Risk seen by Option sellers.

I hope all this makes some sense till this point. Kindly go through this again if things are not clear.

So I would simply summarise it as higher the IV higher the risk seen by the Option seller in writing the option and lower the IV, lower the risk seen by Option seller.

Now we have seen what IV levels mean for option sellers. But we need to see this from an Option buyers view point too to get a clear idea.

Consider the above example only. In case A we saw that there was negative news in the market and there was a possibility of the market to fall or consolidate. Option premiums were very less and IV was relatively low. What can you say about the demand from the buyers? If you are an informed trader would you buy Call options in such a situation? Certainly NO, but there would always be some buyers. Overall we can say that demand would be low.

So we can now say **LOW IV implies less perceived risk from sellers and less demand from buyers.**

Now let's revisit scenario (B) where there was positive news in the market. Option seller demanded a high premium on account of more risk so IV was high. What can you say about demand from buyers? Would you like to buy options in such a situation? Certainly YES. Thus we can say HIGH IV implies more perceived risk from sellers and more demand from buyers.

Following table summarises our findings.

IV LEVELS	SELLER	BUYER
HIGH	MORE PERCEIVED RISK	MORE DEMAND
LOW	LESS PERCEIVED RISK	LESS DEMAND

IV levels may be obtained from Options chain page on OI pulse tool. With the OI pulse tool you would be able to get IV levels on expiry days too. Something that is new. Also you would be able to see the Options chain page for historical dates.

So now that we understand IV and from where to see the values let's move on to IV levels.

While analysing the IV levels you need to focus upon two things. One is that we need to see the IV of Calls and Puts on both the sides of Options Chain i.e for both Calls and Puts simultaneously and secondly focus upon the magnitude of the levels.

We will analyse them as follows

1. 10-10
2. 10-15

3. 20-20
4. 20-30
5. 40-40

1. IV Levels 10-10

When we see low IV levels and the relative difference between them is very less then this situation is very good for Trend moves and the market may witness Trend moves.

2. IV Levels 10-15

When the relative difference between IV levels on Call and Put side is of the order of 5 and both the IV levels are in this range then we will witness premium erosion on the side with high IV levels. If Calls have higher IV then Calls would witness more premium erosion and if Puts have higher IV then Puts will witness higher Premium Erosion. These would be very tricky days.

3. IV Levels 20-20

These days would see complete premium erosion on both sides and it would be better to stay away from positional trades on such occasions.

4. IV Levels 20-30

This is a good situation for option buyers. If the market moves in direction of the option with higher IV then it would see higher Premium appreciation. But if the reverse happens then we will witness Premium Erosion.

5. IV Levels 40-40

These are very volatile times and it would be perfect to stay away from such volatile markets especially if you are a beginner.

These IV levels have been developed after extensive trading experience and are very effective in getting best results out of derivative trading.

So always take IV into consideration before trading with options. By applying this simple concept your trading would reach a new level.

E. VIX

VIX or the Volatility Index is the next dot that we need to connect in order to decode the market. If you have understood the concept of IV well then understanding VIX would be quite easy for you. As you may observe both IV and VIX have one thing in common i.e “VOLATILITY”. Though it may be analysed in different manners, the best way to see VIX if you are an options trader is that it is an indicator that measures the “**Risk perceived by majority of market participants**”. This is the reason it is sometimes also referred to as the Fear Index as well.

So if we have to understand what VIX actually means, we can think of it as an indicator that quantifies the risk perceived by the majority of market participants. Much clarity can be gained if we go through the procedure of determining it. Like IV it is also computed through complex mathematical formula that looks like this

$$\frac{\Delta K_i}{K_i^2} e^{R_1 T_1} Q(K_i)$$

But we don't need to go through this formula. All we need to know is what variables the mathematical formula takes into consideration and how they are related to VIX.

So there are two major factors that determine VIX are

- (i) Premiums of OTM options (both Calls & Puts) of Nifty (and not Bank nifty) of monthly (and not weekly) near and far months expiry
- (ii) Strike price of OTM options

VIX is calculated by adding up the contribution of individual strikes. Mathematically it would look something like this

$$VIX = F(OTM CALL 1) + F(OTM CALL 2) + \dots + F(OTM PUT 1) + F(OTM PUT 2) + \dots$$

Now $F(OTM \text{ option})$ is **directly proportional to Option Premium and inversely proportional to Strike price.**

Now we know that the premium of Put is relatively more than that of calls. What can be said about the strike price of OTM Put options. If 22500 is spot then OTM call would be 22600 and OTM put would be 22400.

So for Put options the Premium is more but strike price is less thus **Puts have a greater weightage in determining the VIX.** Always keep this factor in mind while analysing VIX.

Now let us examine a bullish scenario. **What would happen if the market is trending upwards?**

Premiums of OTM Puts would decrease and that of Calls would increase. As the markets move higher and higher Strike prices of OTM options for both Calls and Puts would increase as a result the overall contribution of Puts would decrease and so would the VIX. Thus VIX would decrease and index would rise.

Likewise we have summarised correlation between index prices and VIX which is as under

- a. If Price Increases and VIX decreases it is a bullish scenario.
- b. If Price Increases and VIX increases it means the market doesn't like upwards movement of Price so it may revert back.
- c. If Price decreases and VIX increases it is a bearish scenario.
- d. If Price decreases and VIX decreases it means it doesn't like the down movement of the market.

- e. If VIX behaves erratic during the day then VIX should not be taken into consideration as a factor.

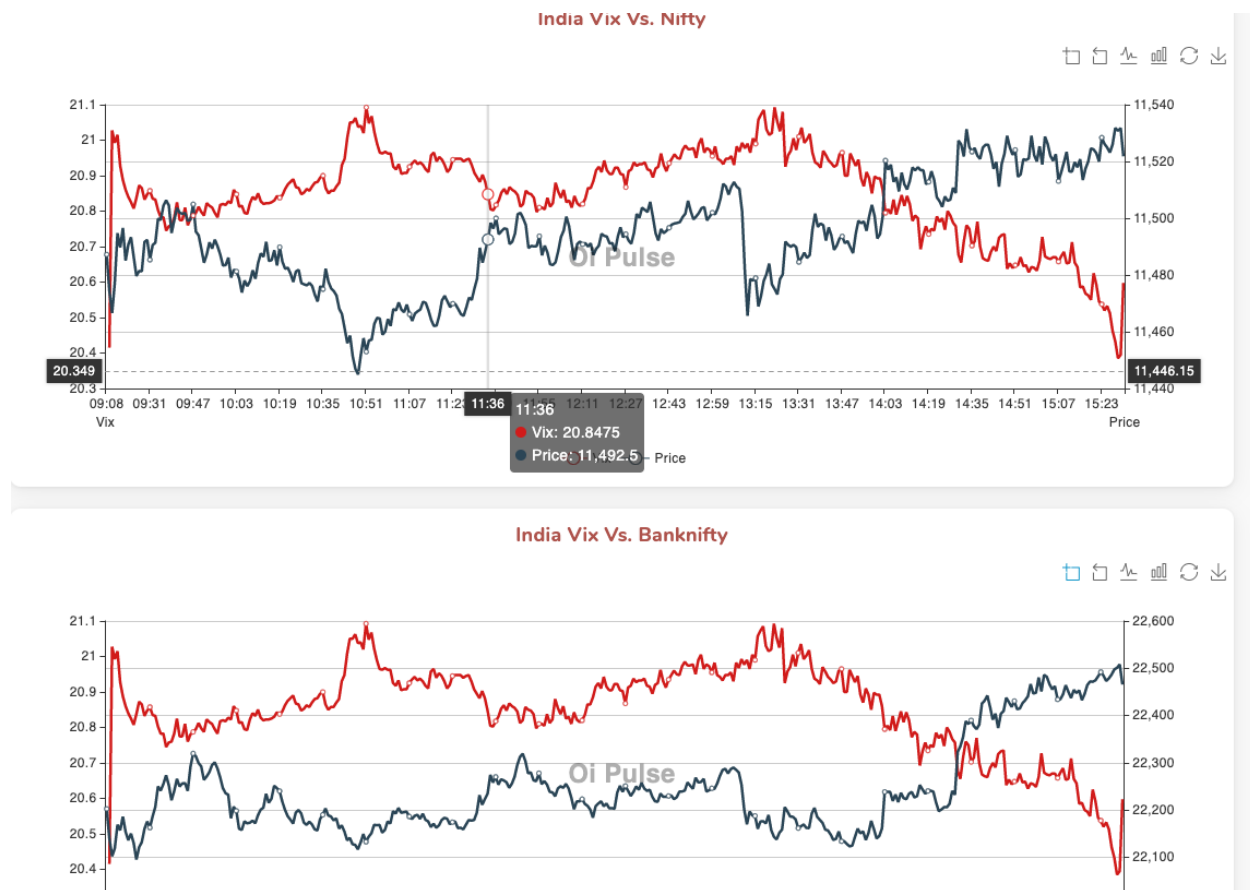
Bank nifty and VIX

Though VIX is computed entirely on the basis of Nifty options, it has significant implications for bank nifty as well. The reason behind it is that Bank nifty is the major constituent of the Nifty index and thus indirectly connected to VIX.

VIX and OI pulse

OI pulse tool simplifies the job of analysing VIX and index prices. We have developed a unique charting technique based on our extensive trading experience. In this chart we plot VIX and Price along the Y axis and time along X axis. The scales have been set on the basis of extensive trading experience.

Use the “VIX and Index” feature from the menu of the OI pulse tool and select the date. Following charts would appear.



The most important feature of these charts is they instantly let you know when the scenario is going to turn bullish or bearish. This can be identified through crossovers of VIX and the index. Whenever the two lines cross each other in “X” shape pattern with steep angles the probability of momentum build up in the prices would increase. Thus this would be a major indication for taking a trade.

Thus OI Pulse simplifies your job of analysing VIX and index price movement.

F. Price Action:

This is the last dot to connect in decoding the market sentiment. You may use any chart settings with any timeframe of your choice to analyse the price movement. Analysing the price movement in the backdrop of all the other dots would give you ample confidence to trade. You may use indicators of your choice to analyse the price movements.

However an important indicator that we strongly suggest is that of “**VOLUMES**” on the Futures chart. In order to identify a directional sentiment of the market you must see large volume candles of similar colour on your chart. And if they appear consecutively then it is a string signal. Say for example if the price drops for two consecutive candles in a 3 min time frame and we see

large red colored candles of volume greater than 50K each then it suggests that the market is trying to head lower. If all the other dots align in downward movement then go forward and punch orders on your terminal, don't think twice.

You are totally free to use any chart settings and any indicators. The data signals generated by the OI pulse tool would supplement any chart settings.

This is the manner in which we connect the dots and decode the market sentiment. OI pulse tool simplifies this job as it presents to you complex information in a very simplified manner.

Thus we strongly recommend you to use all the features to connect all the dots. Using this tool would boost your confidence and take your trading to the next level.

EXAMPLES

Now that we have covered most of the features of the tool and basic theoretical concepts, let's move on to see how you can actually take a trade while we walk through some examples.

Example 1:

Date 14 September 2020

Instrument: Bank Nifty

Signal 1: Future OI analysis

I would start the example with 60 min Futures OI Analysis page

Oi Analysis

Futures

Oi Analysis

Mode

Live data

Historical data

Select Name

BANKNIFTY

Select Date

2020-09-14

Select Time Interval

60 min

Global Actions

Go

	Date Time	OI	Day High	Day Low	Level Break	Pattern	Volume	LTP	LTP Change	OI Change	OI Interpretation
1	14:30-15:30	18,56,650	22820.5	22105		-	16,13,875	22155.65	-5.45	-2,18,125	Long Unwinding
2	13:30-14:30	20,74,775	22820.5	22105	D.L.B. (22443.00) ↓	-	18,48,975	22161.10	-281.90	27,675	Short Build Up
3	12:30-13:30	20,47,100	22820.5	22443	D.L.B. (22552.00) ↓	-	10,97,150	22443.00	-168.00	1,49,100	Short Build Up
4	11:30-12:30	18,98,000	22820.5	22552	D.L.B. (22621.00) ↓	-	7,46,000	22611.00	-79.00	29,600	Short Build Up
5	10:30-11:30	18,68,400	22820.5	22621		-	4,54,175	22690.00	5.95	47,900	Long Build Up
6	09:30-10:30	18,20,500	22820.5	22621	D.L.B. (22634.75) ↓	-	10,53,650	22684.05	-50.85	1,56,950	Short Build Up
7	09:15-09:30	16,63,550	22820.5	22634.75			7,09,175	22734.90	70.55	1,66,575	Long Build Up

Rows per page

25

Prev

1 - 7 of 7

Next

Take any daily life example. Let us consider the price of “Onions”-a necessity of almost every household in India. You know there have been numerous instances when Prices of Onions reach a very high level. What do you think is the main reason behind it? It is chiefly the “Supply”-i.e the quantity grown by Farmers in their fields and quantity imported into the country by onion traders. Now when the supply gets constrained then prices rise. Because there are a lot of buyers for a limited number of onions. Higher is the imbalance between demand and supply at this juncture higher would be the price of onions. Now just think of another scenario where there is a bumper harvest of onions. What would happen? The situation would simply reverse. There would be a lot of sellers and limited buyers. In order to sell their onions, sellers would give a discount to the buyers and thus prices would drop. Higher is the imbalance between demand and supply at this juncture lower would be the price of onions.

Now just think of normal days where there is an equilibrium between demand and supply. In such a situation the prices remain stable and do not fluctuate much.

Now let's come back to our example. Similar demand and supply concepts shall also be applicable for future contracts. What we saw was that though the number of contracts increased by 47900 between 10.30-11.30 the price escalated by just Rs 5. What does this indicate? It indicates that any demand by the “longs” was supplied by the “shorts” in that timeframe. **So overall we see that “shorts” are trying to gain control.**

4. Now what happened in the next hour between 11.30-12.30? The shorts dominated as they increased the OI by 29600 and led the prices down by Rs 79. This is a clear indication that “Sellers” are going to control the market. So what would you do as a trader? If you are a buyer buy Put option and if you are a seller, sell Call options. So by 12.30, OI pulse gave me a strong signal about the direction of the market.

From now on I would start looking for signals on smaller time frames, other features of OI Pulse and on the price chart.

The period between 13.15 to 13.30 was the beginning of the Golden movement

Lets see the Price chart first.



The highlighted box is the time period for 13.15 to 13.30. During this period my first confirmatory signal came-**Two volume candles greater than 50 K-back to back**". This means that the market has broken and the probability of going down is very high.

Signal 2: Options OI analysis

Now let us shift our focus to Options OI Analysis.

4	14:30-14:45	1182925	502450		205.05	9.00	-13,600	Shorts Covering ↑	22500	↓ Long Unwinding	-16,925	-23.30	530.30	
5	14:15-14:30	1196525	516050	D.L.B (214.95) ↓	196.05	-30.65	1,05,350	Short Build Up ↓	22500	↑ Shorts Covering	-53,900	102.60	553.60	D.H.B (214.95) ↓
6	14:00-14:15	1091175	410700	D.L.B (231.00) ↓	226.70	-42.20	-33,600	Long Unwinding ↓	22500	↑ Shorts Covering	-79,350	100.95	451.00	D.H.B (231.00) ↓
7	13:45-14:00	1124775	444300		268.90	16.95	48,200	Long Build Up ↑	22500	↓ Long Unwinding	-45,950	-6.70	350.05	
8	13:30-13:45	1076575	396100	D.L.B (286.95) ↓	251.95	-38.65	99,425	Short Build Up ↓	22500	↑ Shorts Covering	-78,350	26.75	356.75	D.H.B (286.95) ↓
9	13:15-13:30	977150	296675	D.L.B (311.00) ↓	290.60	-44.20	75,875	Short Build Up ↓	22500	↑ Shorts Covering	-1,02,850	61.05	330.00	D.H.B (311.00) ↓
10	13:00-13:15	901275	220800	D.L.B (325.05) ↓	334.80	-23.15	11,275	Short Build Up ↓	22500	↑ Shorts Covering	-550	20.95	268.95	

Just notice the time period 13.15 to 13.30. Closely observe the change in OI on both Calls and Puts. On the Put side we saw a massive Short Covering while simultaneously Shorts build their position on the Call side. What does this indicate?

This means that shorts will not allow the market to go higher in any case. The shorts have covered their position from the Put side and created positions on the Call side. After this the shorts consolidated their position as can be seen from further Short build up on Call side and another round of Short covering on Put side.

Also observe the same phenomenon on 22600 strike

☐ Live data
☒ Historical data

BANKNIFTY 2020-09-14 22600 15 min Go

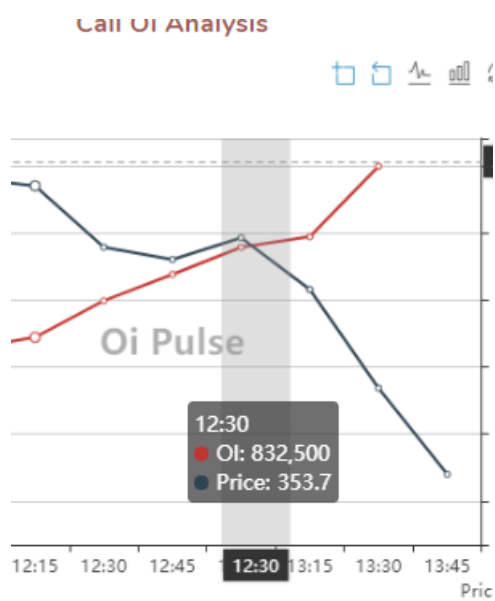
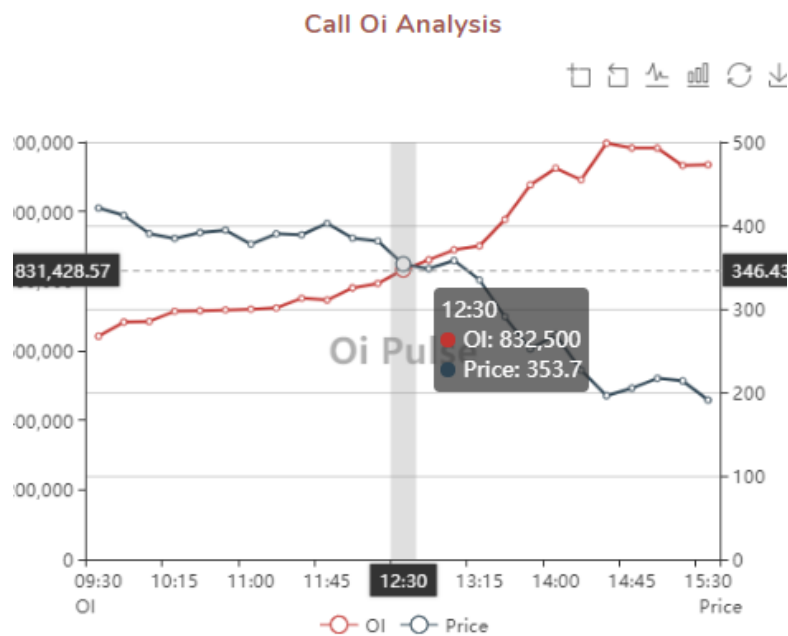
	Time	Call OI	Total OI Chng	Call D. H/L Break	Call LTP	Call LTP Chng	Call Chng. in OI	Call OI Interpretation	Strike	Put OI Interpretation	Put Chng. in OI	Put LTP Chng	Put LTP	Put D. H/L
1	15:15-15:30	511625	243175		160.05	-22.45	-59,350	Long Unwinding ↓	22600	↑ Shorts Covering	-31,300	20.55	616.85	
2	15:00-15:15	570975	302525		182.50	-2.30	-34,025	Long Unwinding ↓	22600	↑ Shorts Covering	-6,250	37.55	596.30	
3	14:45-15:00	605000	336550		184.80	10.15	-700	Shorts Covering ↑	22600	↓ Long Unwinding	-7,825	-42.80	558.75	
4	14:30-14:45	605700	337250		174.65	7.15	-14,600	Shorts Covering ↑	22600	↓ Long Unwinding	-9,800	-16.70	601.55	
5	14:15-14:30	620300	351850	D.L.B (181.85) ↓	167.50	-24.60	23,650	Short Build Up ↓	22600	↑ Shorts Covering	-11,600	101.20	618.25	D.H.B (55)
6	14:00-14:15	596650	328200	D.L.B (193.20) ↓	192.10	-34.00	-24,050	Long Unwinding ↓	22600	↑ Shorts Covering	-17,225	109.05	517.05	D.H.B (44)
7	13:45-14:00	620700	352250		226.10	14.80	-3,850	Shorts Covering ↑	22600	↓ Long Unwinding	-13,650	-7.75	408.00	
8	13:30-13:45	624550	356100	D.L.B (242.25) ↓	211.30	-35.30	1,07,800	Short Build Up ↓	22600	↑ Shorts Covering	-55,300	31.40	415.75	D.H.B (38)
9	13:15-13:30	516750	248300	D.L.B (269.40) ↓	246.60	-38.40	29,325	Short Build Up ↓	22600	↑ Shorts Covering	-66,575	66.05	384.35	D.H.B (35)

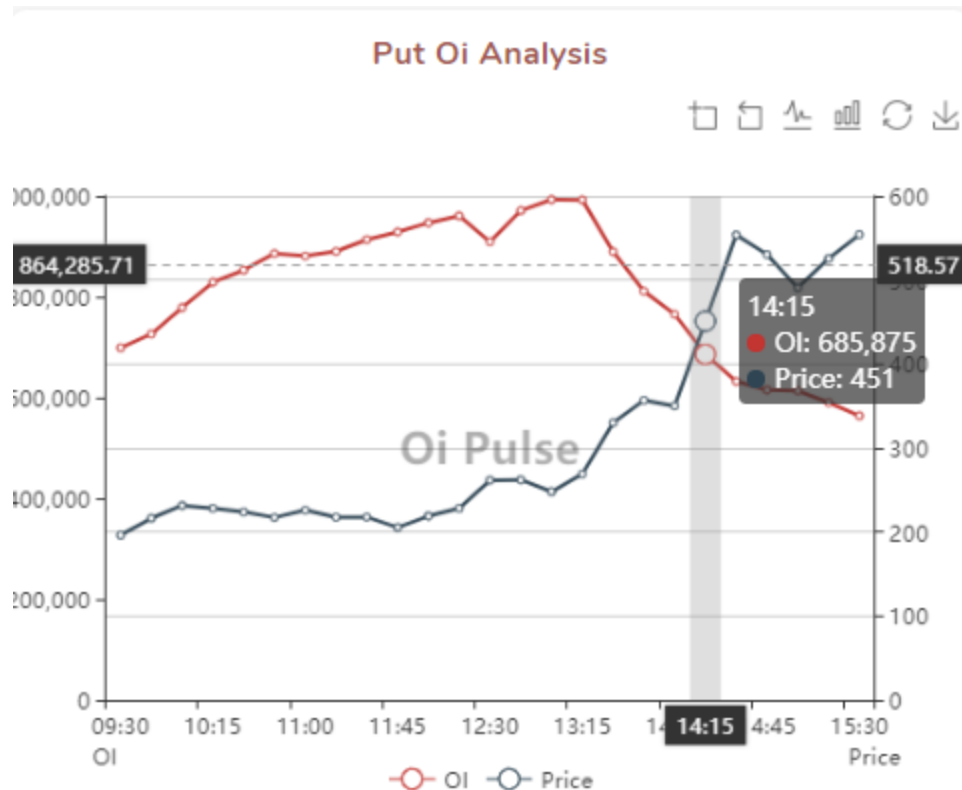
Observe the massive Short build up at 13.30-13.45 period.

This strong consolidation by shorts is a sure sign of markets to fall.

Signal 3: Options OI Chart

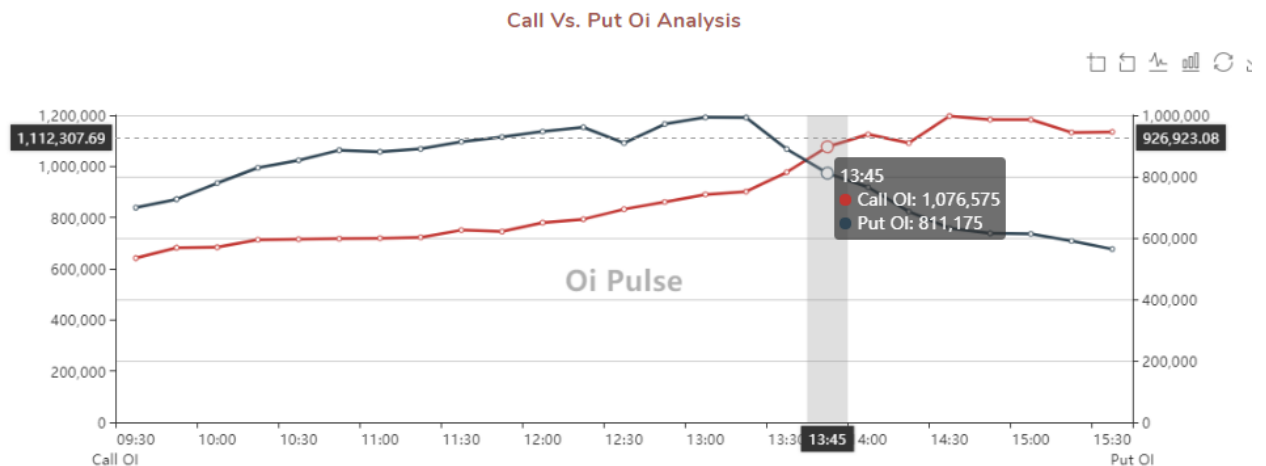
Now let us look at the OI Chart and look for hints on the 22500 strike.





Observe the crossovers on the above two diagrams. Around 12.30 we saw a “Short buildup” crossover on the Call side. And after that the probability of the Short Covering increased on the Put side. Around 14.15 the “Short Covering” crossover happened on the Put side. A very good opportunity for buying Puts. Price of the PE option increased from 451 to 553, an increase of 100 points in just 15 minutes.

These types of signals generated by OI pulse would give you the confidence to take trades without fear.



Kindly note that there is a delay between the crossover on Call and Put side. What could be the possible reason for this? The answer lies in Implied Volatility (IV) which we will check shortly.

Let's look for some more signals

Signal 4 : OI Spurt

Long Build Up								
Strike	Type	LTP	Prev. Close	% Chng. in LTP	% Chng. in OI	New OI	Old OI	
22000	PE	268	82.75	223.87 %	35.59 %	7,29,525	5,38,050	
21500	PE	104	27.95	272.09 %	41.42 %	5,84,400	4,13,250	
21900	PE	226.9	66.3	242.23 %	88.42 %	1,91,525	1,01,650	
21600	PE	128	34.35	272.63 %	66.96 %	2,07,450	1,24,250	
22500	PE	550.15	223.35	146.32 %	14.23 %	5,64,025	4,93,750	
21400	PE	85	22.7	274.45 %	92.13 %	1,36,125	70,850	
21200	PE	55	15.3	259.48 %	63.9 %	1,54,275	94,125	
Rows per page 7 Prev 1 - 7 of 24 Next								

Short Build Up								
Strike	Type	LTP	Prev. Close	% Chng. in LTP	% Chng. in OI	New OI	Old OI	
23000	CE	78	178	-56.18 %	87.54 %	12,66,200	6,75,17	
22500	CE	190.05	408.9	-53.52 %	66.75 %	11,34,700	6,80,47	
22700	CE	137	302.15	-54.66 %	188.13 %	6,26,600	2,17,47	
22800	CE	113.05	255	-55.67 %	158.7 %	5,25,750	2,03,22	
22600	CE	160.05	354.05	-54.79 %	90.58 %	5,11,625	2,68,45	
22300	CE	262.8	530	-50.42 %	259.85 %	2,94,175	81,750	
22900	CE	94.95	215.45	-55.93 %	183.19 %	2,95,575	1,04,37	
Rows per page 7 Prev 1 - 7 of 31 Next								

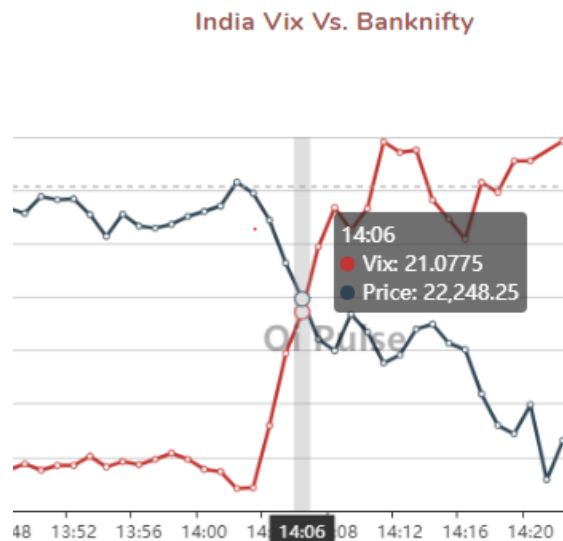
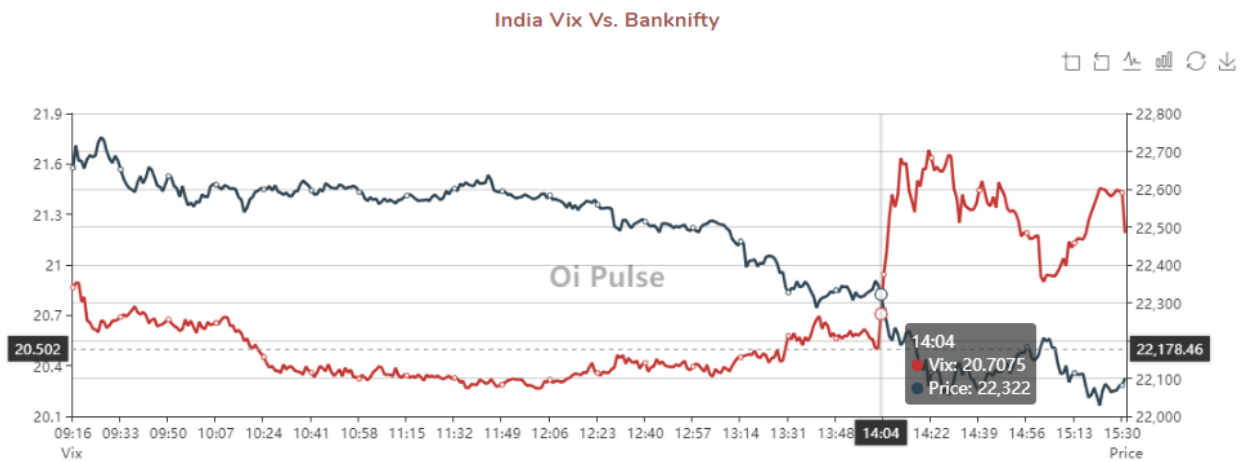
Short Unwinding								
Strike	Type	LTP	Prev. Close	% Chng. in LTP	% Chng. in OI	New OI	Old OI	
22400	PE	490	184.15	166.09 %	-32.48 %	88,975	1,31,775	
22300	PE	431.35	151.2	185.28 %	-25.04 %	1,11,200	1,48,350	
23000	PE	953.65	494.75	92.75 %	-10.55 %	1,23,525	1,38,100	
23500	PE	1396.7	878	59.08 %	-7.43 %	25,850	27,925	
22800	PE	786.1	371.65	111.52 %	-2.14 %	47,925	48,975	
24000	PE	1907.85	1300	46.76 %	-4.49 %	9,575	10,025	
Rows per page 7 Prev 0 - 0 of 0 Next								

Long Unwinding								
Strike	Type	LTP	Prev. Close	% Chng. in LTP	% Chng. in OI	New OI	Old OI	
No data for table								
Rows per page 7 Prev 0 - 0 of 0 Next								

Analyse the four quadrants in OI Spurt. Though this data is at the end of day, during the period after 12.30 the picture on OI spurt was clear. PE's with more than 50 % change in OI and more than 50 % change in LTP appeared in Q1. CE's with more than 50 % change in OI and more than 50% drop in LTP appeared in Q2. OTM PE's which saw major short covering appeared in Q3. This is a strong signal of the market moving in the downward direction. When all the 3 quadrants clearly form then the probability of successful trade is very high and that happened in this case.

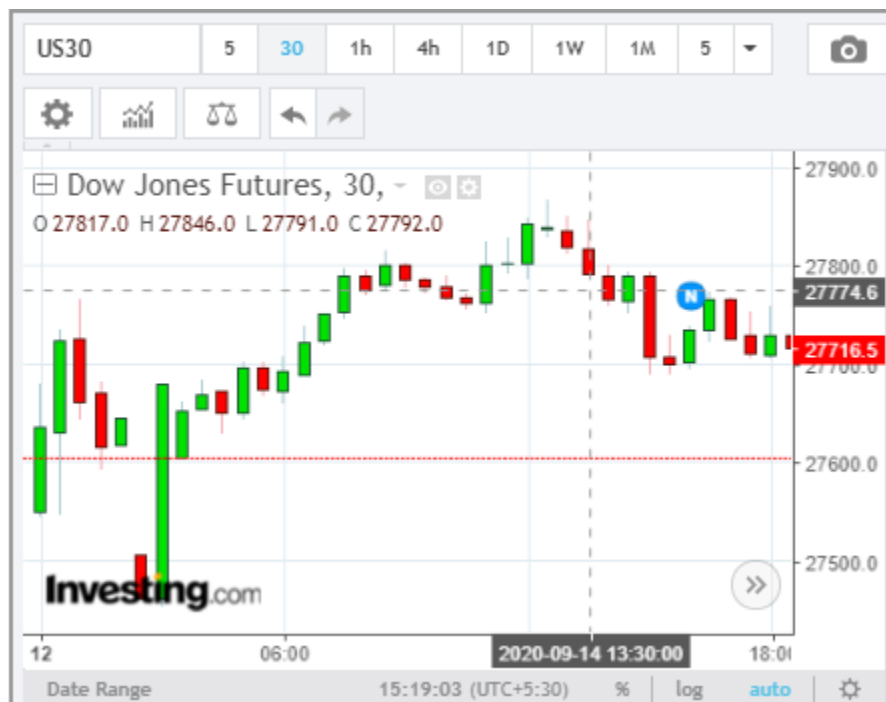
Signal 5: VIX and Bank Nifty

We know that a rising VIX favours Bearish markets and a falling VIX favours bullish markets. So what happened in our case? Let's observe



Observe the strong crossover at 14.06. Just observe how VIX rose and the price dropped. And focus on the time. All this was a strong signal to go on the short side.

Signal 6 DOW



Just observe the DOW 30 min chart for that particular day. Although DOW was on the rise during initial hours, after 13.00 hours it too saw a fall. So overall it supported the fall during the second half.

So we saw that there were 5 strong signals that favoured taking the trade. As we mentioned earlier there are going to be some days where some dots will not go in your favour and on these days we need to discount them. So let's observe them as well.

Implied Volatility

As we have discussed earlier in the manual, premium appreciation happens best when there is a relative difference of almost 10 points between IV's of Calls and Puts on the options Chain and the side which has higher IV sees faster appreciation if price moves in that direction.

So if we were expecting a fall in this trade then we would expect IV's on the Put side to be higher.

Let's check what actually happened

Live data

Historical data

BANKNIFTY

2020-09-14

17-Sep-2020

Go

NIFTY BANK at 22101.25 as on 14 Sep 2020, 16:05:00 IST

Call							Put						
OI	OI Chng	Volume	IV	LTP	LTP Chng	Strike Price	LTP Chng	LTP	IV	Volume	OI Chng	OI	PCR Ratio
350	200	400	49.23	1090.2	-518.55	21100	25.35	38.7	40.97	15,69,150	16,375	88,425	252.6429
175	75	200	47.90	1000	-510.85	21200	39.70	55	42.08	18,30,325	60,150	1,54,275	881.5714
125	100	375	65.02	1020	-442.20	21300	53.95	72.35	42.55	23,41,900	30,800	1,35,350	1082.8000
1,075	450	1,625	44.98	823	-521.95	21400	62.30	85	41.48	24,84,800	65,275	1,36,125	126.6279
35,775	21,000	1,27,675	45.74	750.95	-524.00	21500	76.05	104	41.11	1,04,14,600	1,71,150	5,84,400	16.3354
3,600	3,000	8,375	44.92	672.7	-503.65	21600	93.65	128	40.99	41,66,975	83,200	2,07,450	57.6250
3,225	2,175	11,775	43.77	595.25	-464.45	21700	111.65	154.4	40.64	42,11,275	4,675	1,29,775	40.2403
9,475	4,950	68,475	43.00	523.9	-423.15	21800	132.85	185.9	40.44	68,92,175	51,500	2,05,025	21.6385
13,825	7,975	92,200	42.31	457	-443.00	21900	160.60	226.9	40.89	64,21,025	89,875	1,91,525	13.8535
2,53,175	1,79,375	17,81,575	42.96	405	-356.30	22000	185.25	268	40.71	2,34,59,650	1,91,475	7,29,525	2.8815
1,05,175	91,825	11,42,650	43.26	354.95	-324.25	22100	207.70	310	40.05	74,76,625	40,250	1,81,150	1.7224
2,02,925	1,74,925	27,23,400	42.48	301	-297.30	22200	235.00	360.05	39.78	97,98,050	33,650	1,97,850	0.9750
2,94,175	2,12,425	32,37,825	43.11	262.8	-267.20	22300	280.15	431.35	41.59	88,80,775	-37,150	1,11,200	0.3780
3,19,475	1,79,625	42,85,675	43.36	226	-241.25	22400	305.85	490	41.21	81,58,025	-42,800	88,975	0.2785
11,34,700	4,54,225	1,30,27,975	43.17	190.05	-218.85	22500	326.80	550.15	40.39	1,67,47,250	70,275	5,64,025	0.4971
5,11,625	2,43,175	91,87,825	43.23	160.05	-194.00	22600	350.20	616.85	39.81	69,96,575	29,800	98,650	0.1928
6,26,600	4,09,125	1,13,34,700	43.77	137	-165.15	22700	383.70	699.55	41.04	51,29,775	37,925	71,850	0.1147

As you can see, the IV on the Call side is 43.17 and that on the Put side is 40.39. Earlier during the day IV on the Put side was even lower around 34. This dot was against all others today and because of this the Premium appreciation on PE side was limited. Had IV on the Put side been higher we could have gotten more premium appreciation.

So now let's combine all the dots and see on our chart where a suitable entry was possible.

Lets see the price chart again



On this chart entry at 14.03 was highly desirable, majority of dots were in the favour and there was a failed attempt by the longs in the previous two candles to take the market higher. The futures fell from 22450 to 22105 after this. This was a great opportunity to buy a Put or short the Future. We made great money in this trade.

Hope you will be able to connect all the dots and catch similar opportunities whenever it happens again.

Example 2

Date: 17 Sep 2020 (Expiry Day)

Instrument: Bank Nifty

17 Sep was Weekly Expiry day. Let us analyse how the OI Pulse tool helped us decode the market.

Signal 1: Options OI Analysis

Sometimes the market gives very mixed signals and it becomes very difficult to decode the market but OI Pulse will help you sail through these tricky days as well. One of such days was 7 Sep.

However OI Pulse tool captured an unusual market activity on the Options OI Analysis page

5	11:45-12:00	2441900	1501675	D.L.B (33.80) ↓	31.55	-3.50	1,55,725	Short Build Up ↓	22500	↑ Shorts Covering	-87,950	17.80	199.75	
6	11:30-11:45	2286175	1345950	D.L.B (39.20) ↓	35.05	-17.85	86,500	Short Build Up ↓	22500	↑ Shorts Covering	-99,450	34.85	181.95	
7	11:15-11:30	2199675	1259450		52.90	-23.00	1,60,225	Short Build Up ↓	22500	↑ Shorts Covering	-86,850	32.65	147.10	
8	11:00-11:15	2039450	1099225		75.90	-7.35	27,850	Short Build Up ↓	22500	↑ Long Build Up	40,575	10.20	114.45	D.L.B (90.2)
9	10:45-11:00	2011600	1071375		83.25	-7.85	82,375	Short Build Up ↓	22500	↑ Long Build Up	53,225	3.10	104.25	
0	10:30-10:45	1929225	989000	D.H.B (89.00) ↑	91.10	15.90	-1,61,775	Shorts Covering ↑	22500	↓ Short Build Up	1,57,700	-28.55	101.15	D.L.B (125)
1	10:15-10:30	2091000	1150775		75.20	5.30	1,27,525	Long Build Up ↑	22500	↓ Short Build Up	26,650	-15.30	129.70	D.L.B (141)
2	10:00-10:15	1963475	1023250		69.90	9.15	70,275	Long Build Up ↑	22500	↓ Long Unwinding	-31,850	-26.25	145.00	D.L.B (143)
3	09:45-10:00	1893200	952975		60.75	7.45	1,44,675	Long Build Up ↑	22500	↓ Short Build Up	21,375	-25.75	171.25	D.L.B (150)
4	09:30-09:45	1748525	808300		53.30	1.85	2,37,450	Long Build Up ↑	22500	↓ Long Unwinding	-19,325	-10.30	197.00	
5	09:15-09:30	1511075	570850		51.45	-32.95	5,70,850	Short Build Up ↓	22500	↑ Shorts Covering	-14,875	18.50	207.30	

The very beginning of the day saw a very strong Short Build up on the 22500 Call side, with 570950 contracts being written in the opening 15 minutes. Corresponding Put side saw Short Covering. So bears had set the mood for the day. Though there was an attempt by the bulls to take the market higher but it was not strong enough. As can be seen on 15 min tf every attempt by the longs to take the market higher was resisted by short sellers who sold at higher levels.

Lets see the same chart on 60 minutes now

Mode

Live data

Historical data

Select Name

BANKNIFTY

Select Date

2020-09-17

Select Strike Price

22500

Select Time Interval

60 min

Global Actions

Go

	Time	Call OI	Total OI Chng	Call D. H/L Break	Call LTP	Call LTP Chng	Call Chng. in OI	Call OI Interpretation	Strike	Put OI Interpretation	Put Chng. in OI	Put LTP Chng	Put LTP	Put D. H/L Break	Total OI Chng	Put OI
1	14:30-15:30	1635550	695325	D.L.B (12.00) ↓	0.05	-27.75	-16,49,775	Long Unwinding ↓	22500	↑ Shorts Covering	-5,26,250	106.00	179.95	D.L.B (65.00) ↓	-567525	188175
2	13:30-14:30	3285325	2345100	D.L.B (18.05) ↓	27.80	6.05	3,19,200	Long Build Up ↑	22500	↓ Short Build Up	60,800	-93.35	73.95	D.L.B (86.00) ↓	-41275	714425
3	12:30-13:30	2966125	2025900	D.L.B (26.60) ↓	21.75	-17.35	4,10,500	Short Build Up ↓	22500	↑ Shorts Covering	-5,075	15.30	167.30		-102075	653625
4	11:30-12:30	2555625	1615400	D.L.B (39.20) ↓	39.10	-13.80	3,55,950	Short Build Up ↓	22500	↑ Shorts Covering	-2,43,625	4.90	152.00		-97000	658700
5	10:30-11:30	2199675	1259450	D.H.B (89.00) ↑	52.90	-22.30	1,08,675	Short Build Up ↓	22500	↑ Long Build Up	1,64,650	17.40	147.10	D.L.B (125.70) ↓	146625	902325
6	09:30-10:30	2091000	1150775		75.20	23.75	5,79,925	Long Build Up ↑	22500	↓ Long Unwinding	-3,150	-77.60	129.70	D.L.B (150.65) ↓	-18025	737675
7	09:15-09:30	1511075	570850		51.45	-32.95	5,70,850	Short Build Up ↓	22500	↑ Shorts Covering	-14,875	18.50	207.30		-14875	740825

Rows per page

25

◀ Prev

1 - 7 of 7

Next ▶

As you can observe the shorts dominated entirely after 10.30 on the CALL side. The situation would have been more comfortable had we seen “Long build up” on the Put side. At 14.30 the situation was very interesting.

During the entire day, CALL writers dominated on 22500 strike that means they wanted the expiry to happen below 22500, and on the other hand we saw some Long build up and Short Covering on the put side i.e Put writers were not interested at all in writing fresh Put contracts. However from 13.30 to 14.30 we saw that there was “LONG BUILD UP” on CALL side and “SHORT BUILD UP” on Put side that means an attempt to take the market higher, but the question is- “Was this attempt a genuine one or a Trap”. To answer this just look at the total OI of Calls and Puts. The total OI of 22500 is 32,85,325 whereas it is just 7,14,425 on the Put side. Also look at what happened to the CALL premium with an increase in OI..it increased by just Rs 6..So the CALL writers are in no mood to lose the control and they should strike back. Also at 2.30 the Future price made a high of 22506



Now at this moment we must switch to 5 min tf for options Oi analysis.

Live data

Historical data

BANKNIFTY

2020-09-17

22500

5 min

Go

	Time	Call OI	Total OI Chng	Call D. H/L Break	Call LTP	Call LTP Chng	Call Chng. in OI	Call OI Interpretation	Strike	Put OI Interpretation	Put Chng. in OI	Put LTP Chng	Put LTP	Put D. H/L
1	15:25-15:30	1635550	695325	D.L.B (0.15) ↓	0.05	-0.10	-2,60,400	Long Unwinding ↓	22500	↑ Shorts Covering	-25,425	3.15	179.95	
2	15:20-15:25	1895950	955725	D.L.B (0.20) ↓	0.15	-0.05	-4,24,050	Long Unwinding ↓	22500	↑ Shorts Covering	-81,800	5.25	176.80	
3	15:15-15:20	2320000	1379775	D.L.B (0.25) ↓	0.20	-0.10	-5,51,550	Long Unwinding ↓	22500	↓ Long Unwinding	-53,750	-2.65	171.55	
4	15:10-15:15	2871550	1931325	D.L.B (0.50) ↓	0.30	-0.25	-2,48,375	Long Unwinding ↓	22500	↑ Long Build Up	1,700	1.85	174.20	
5	15:05-15:10	3119925	2179700	D.L.B (0.75) ↓	0.55	-0.50	-1,49,450	Long Unwinding ↓	22500	↓ Long Unwinding	-82,800	-4.85	172.35	
6	15:00-15:05	3269375	2329150	D.L.B (1.45) ↓	1.05	-0.45	-3,06,575	Long Unwinding ↓	22500	↓ Long Unwinding	-1,28,550	-10.75	177.20	
7	14:55-15:00	3575950	2635725		1.50	-0.70	7,400	Short Build Up ↓	22500	↑ Shorts Covering	-70,125	47.25	187.95	
8	14:50-14:55	3568550	2628325	D.L.B (2.30) ↓	2.20	-0.90	-72,250	Long Unwinding ↓	22500	↓ Long Unwinding	-1,39,550	-13.95	140.70	
9	14:45-14:50	3640800	2700575	D.L.B (9.05) ↓	3.10	-7.60	1,32,075	Short Build Up ↓	22500	↑ Shorts Covering	-47,900	58.10	154.65	
10	14:40-14:45	3508725	2568500		10.70	0.70	94,450	Long Build Up ↑	22500	↓ Long Unwinding	-42,300	-14.05	96.55	
11	14:35-14:40	3414275	2474050	D.L.B (12.00) ↓	10.00	-12.55	88,700	Short Build Up ↓	22500	↑ Shorts Covering	-43,225	34.60	110.60	
12	14:30-14:35	3325575	2385350		22.55	-5.25	40,250	Short Build Up ↓	22500	↑ Long Build Up	1,87,475	2.05	76.00	D.L.B (65)
13	14:25-14:30	3285325	2345100		27.80	0.00	-33,125	Long Unwinding ↓	22500	↓ Short Build Up	79,225	-9.35	73.95	D.L.B (71)
11	14:35-14:40	3414275	2474050	D.L.B (12.00) ↓	10.00	-12.55	88,700	Short Build Up ↓	22500	↑ Shorts Covering	-43,225	34.60	110.60	
12	14:30-14:35	3325575	2385350		22.55	-5.25	40,250	Short Build Up ↓	22500	↑ Long Build Up	1,87,475	2.05	76.00	

Just notice the extremely strong Long build up on Put side and Short build up on the Call side. This means that since the future price is at 22500 and there is massive OI on CALL side and throughout the day CALL writers dominated these writers would make every attempt to push the future prices down and thus PE prices must rise.

And it happened. After this the Future prices came down and PE prices jumped from 70 to 200.

This could have been possible only with thorough analysis of OI and OI Pulse made the job much easier.

MAGIC OF IMPLIED VOLATILITY

Just observe the following sentences carefully...

On 17 Sep after 14.30 BN made a high of 22506 and then low of 22338.75 around 15.00. A drop of 167 points but 22500 saw an increase from 76 to 200. This strong movement could have been possible only if IV is supportive.

On that day IV on PE side was higher and that played its magical role.

Getting IV data on expiry day is a unique feature of OI Pulse and would be of great help on expiry days.

Mode

Live data

Historical data

Select Name

BANKNIFTY

Select Date

2020-09-17

Select Expiry Date

17-Sep-2020

Global Actions

Go

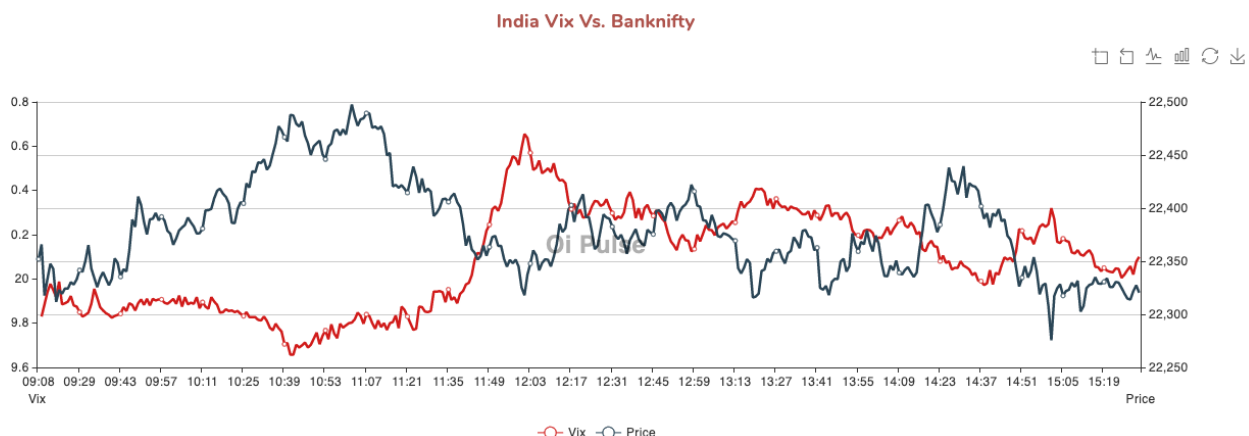
Underlying Index:

NIFTY BANK at 22320.35 as on 17 Sep 2020, 16:05:00 IST

Call								Put						
OI	OI Chng	Volume	IV	LTP	LTP Chng	Strike Price	LTP Chng	LTP	IV	Volume	OI Chng	OI	PCR Ratio	
350	0	200	59.29	1234.8	1.90	21100	-1.90	0.1	35.00	5,81,825	-3,850	63,825	182.3571	
375	50	475	0.00	1106.55	-36.40	21200	-2.35	0.05	30.63	12,03,050	84,175	2,05,875	549.0000	
850	-75	400	0.00	1003.4	-74.10	21300	-2.90	0.05	28.13	11,33,825	27,550	1,50,850	177.4706	
1,525	275	1,225	0.00	910.65	-35.05	21400	-3.80	0.1	26.88	14,15,200	-18,525	1,51,000	99.0164	
13,050	-3,900	49,575	0.00	819.7	-58.75	21500	-4.95	0.05	22.81	49,07,325	-1,32,775	3,92,150	30.0498	
4,025	-1,325	12,050	0.00	720	9.05	21600	-6.15	0.05	20.31	31,24,225	29,400	2,21,775	55.0994	
4,600	-1,675	10,125	0.00	619.1	-60.05	21700	-7.50	0.05	17.81	53,58,075	-1,775	2,66,275	57.8859	
14,950	-850	1,08,700	0.00	520.2	-60.85	21800	-8.95	0.05	15.00	1,09,66,200	2,01,150	4,83,225	32.3227	
13,375	-1,375	1,77,375	0.00	419.85	-66.55	21900	-22.80	0.1	13.13	1,65,92,025	1,15,850	4,29,675	32.1252	
57,825	-61,050	28,41,775	0.00	320	-80.85	22000	-32.80	0.05	9.69	4,57,86,550	3,17,550	13,25,425	22.9213	
40,800	0	28,54,225	0.00	219.95	0.00	22100	-41.90	0.1	7.42	3,87,63,825	3,87,100	7,70,200	18.8775	
1,05,275	-275	1,00,20,100	0.00	120.05	-328.35	22200	0.00	0.05	4.06	6,76,60,350	0	10,61,950	10.0874	
4,07,800	2,56,150	4,01,94,775	0.00	20	-137.95	22300	-88.90	0.05	1.02	10,05,08,200	10,75,075	15,49,200	3.7989	
17,36,850	15,25,800	8,46,53,550	2.50	0.05	-110.05	22400	-58.65	78.2	5.76	6,62,02,275	-1,03,150	4,69,950	0.2706	
16,35,550	6,87,550	10,04,93,950	5.39	0.05	-213.95	22500	79.50	179.5	11.39	3,24,47,225	-6,04,850	1,88,175	0.1151	
10,83,875	6,66,150	6,02,44,275	8.13	0.05	-55.05	22600	131.85	277.85	14.90	87,12,500	-1,75,050	1,08,175	0.0998	
9,45,400	0	4,16,91,875	10.78	0.05	0.00	22700	28.90	377.6	18.85	44,30,850	-1,03,125	77,225	0.0817	
8,02,200	2,24,025	2,55,45,550	12.44	0.05	14.65	22800	46.95	477.65	22.07	16,10,300	44,300	27,625	0.0417	

OI pulse also generated additional signals for that trade but these were the major ones.

VIX crossover happened shortly after 14.30



Options Premium chart too gave impressive signals during that day.

So in a nutshell OI pulse gave you ample signals to take the trade.

We will be coming out with more examples in the future to explain various features of OI pulse with trading examples. You can watch more examples related to OI pulse on our youtube channel “Options Scalping” that can be reached by following URL

<https://www.youtube.com/channel/UC0kKxsSzUbJdbfRo89Cuxlw/featured>

Conclusion

The entire ecosystem of Trading stands on the foundation of “Probability”. What it means is that nothing is guaranteed in the Trading World. There is **NO HOLY GRAIL** and we firmly believe in that. What we intend to do through our analysis is to align with the Collective Thinking of the majority of dominant Market Participants. This is one of our core objectives to achieve. OI Pulse would simplify this process and help you catch the Pulse of the market. By following this process you would have ample opportunities to take trade. If your analysis is correct you would be successful in the majority of trades. There would be some slippages as well as there is no Holy Grail and we don't claim OI pulse to be one. But with a high probability of winning and winning big In every trade the outcome over a series of Trade would be wonderful and a life changing experience for you. Don't judge your performance in one or two trades but take into consideration a series of trades. Thinking and trading on such lines with OI pulse as a constant supportive factor you would learn to **Trade with confidence and without any fear** and that is something that we want you to become.

So wishing you all the best.

Regards

TEAM OI PULSE.

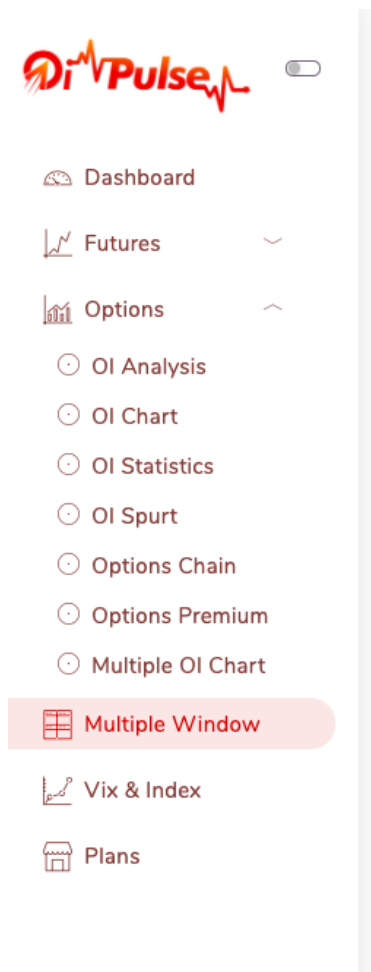


ADDENDUM 1

As mentioned earlier, our endeavour is to simplify the complex market analysis for you. Thus working in this direction we aim to add new features in OI Pulse regularly that would make the job easier for you.

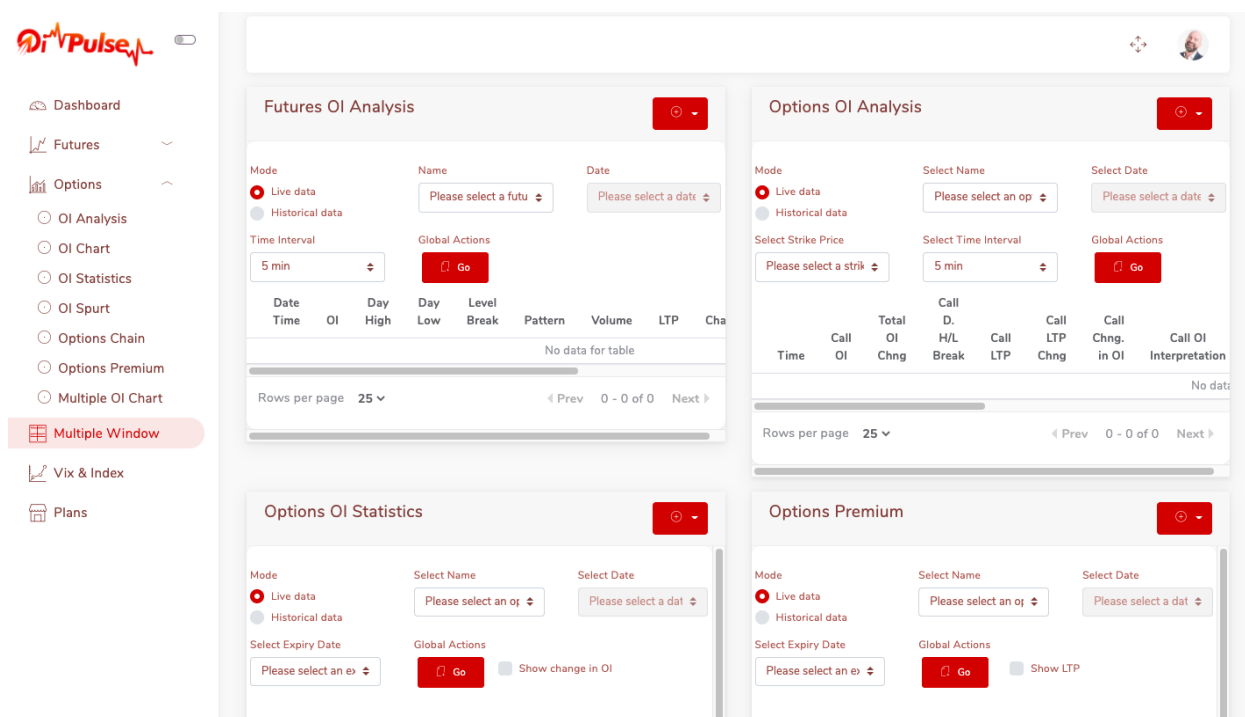
Latest version of OI Pulse now has a new feature called “MULTIPLE WINDOW”. Let's take a look at this new feature and how it would enable you to take a trade.

The new feature appears in the menu bar on the left hand side of the home page as shown below



With this new function you can see four different features of the OI Pulse simultaneously on one single screen. Thus there is no need to open different tabs simultaneously and switch from one tab to another to analyse the market.

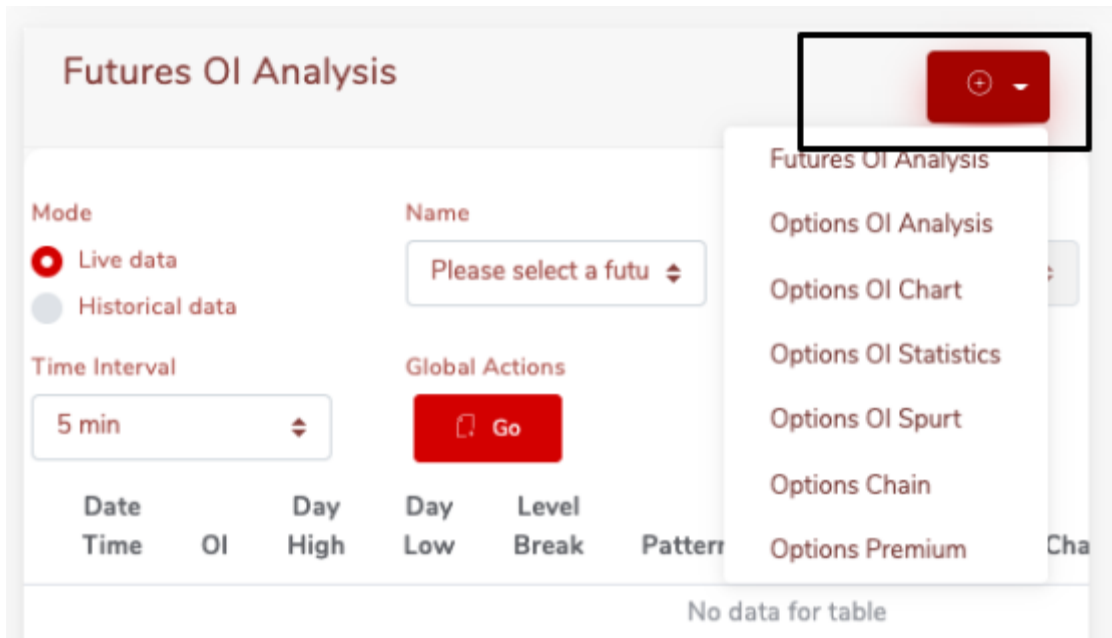
The default screen of Multiple window would look like the picture below



We have kept the system pretty flexible and you can choose what features you want to see together.

For this just click on the Red button on the top right corner and you would get multiple choices from the Futures and Options functions of OI Pulse menu bar.

Select one of the features to appear on that particular screen and then do simultaneous exercise for 4 screens as per your choice or select the default options as such.



Now let's see how this new feature can enable you to take a trade

Example Date: 22 Sep 2020

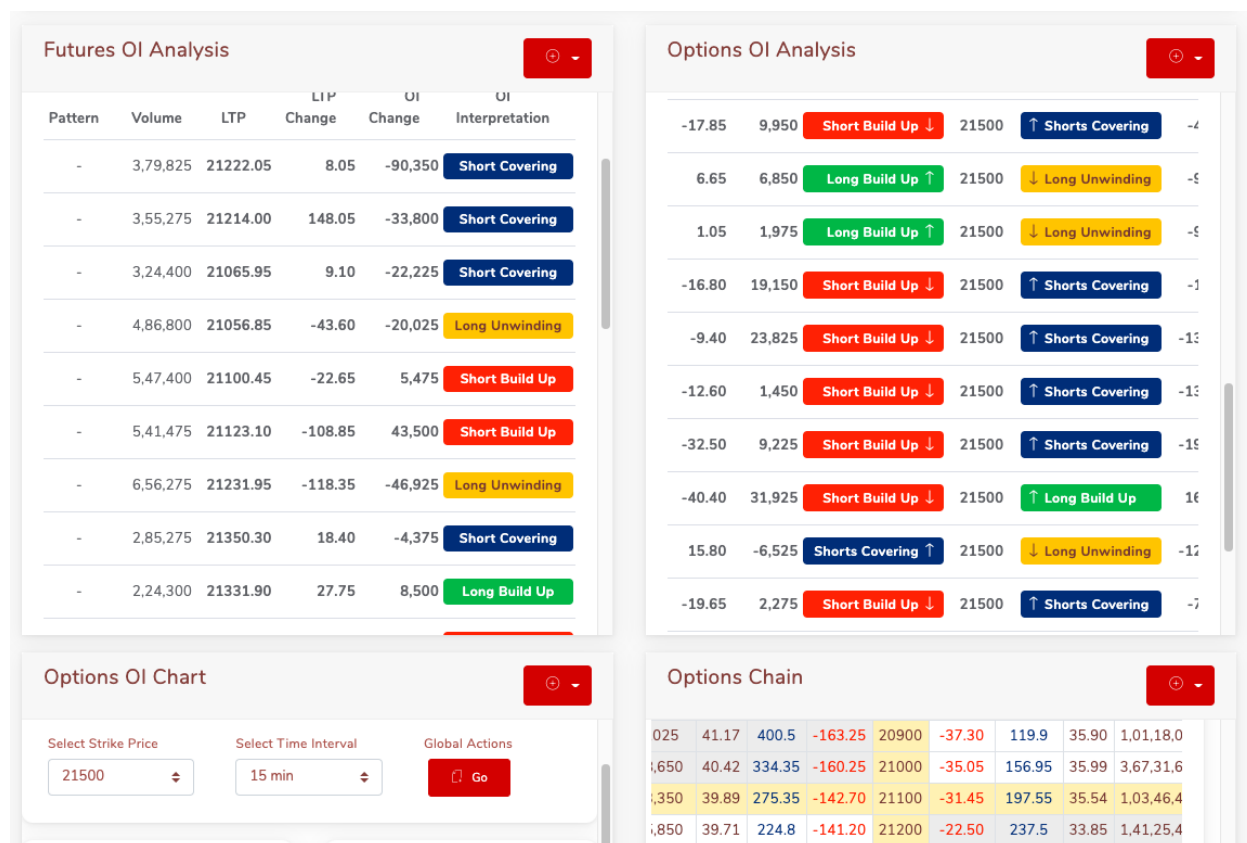
Instrument: Bank Nifty Future

A. I chose to see four different features of OI Pulse together namely

1. ***Futures OI for 15 min time Interval***
2. ***Options OI Analysis for strike 21500 for 5 min Time Interval***
3. ***Options Chain***
4. ***OI Charts for 15 min Time Interval***

All the four were for Bank Nifty and in "Live data" mode.

My initial screen looked like this



B. The Futures OI data gave a strong signal for the time interval 13.45-14.00.

During the entire day The Shorts dominated the Futures OI though Longs made some attempt in between some intervals but they could not sustain the upward momentum. So in the selected time interval i.e 13.45-14.00 we witnessed a strong Long Liquidation for the first time in the day. It was a strong Long Liquidation meaning the Longs were panicking ,trying to exit their positions very fast. Thus OI dropped by around 47 K and price dropped by 118. This was captured by OI Pulse and was the first signal of a downward movement in the market.

Mode

Live data

Historical data

BANKNIFTY

Date

2020-09-22

Time Interval

15 min

Global Actions

Go

	Date Time	OI	Day High	Day Low	Level Break	Pattern	Volume	LTP	LTP Change	OI Change	OI Interpretation
1	15:15-15:30	16,89,925	21512	20967.5		-	3,79,825	21222.05	8.05	-90,350	Short Covering
2	15:00-15:15	17,80,275	21512	20967.5		-	3,55,275	21214.00	148.05	-33,800	Short Covering
3	14:45-15:00	18,14,075	21512	20967.5		-	3,24,400	21065.95	9.10	-22,225	Short Covering
4	14:30-14:45	18,36,300	21512	20967.5	D.L.B. (21041.00) ↓	-	4,86,800	21056.85	-43.60	-20,025	Long Unwinding
5	14:15-14:30	18,56,325	21512	21041	D.L.B. (21111.00) ↓	-	5,47,400	21100.45	-22.65	5,475	Short Build Up
6	14:00-14:15	18,50,850	21512	21111	D.L.B. (21157.55) ↓	-	5,41,475	21123.10	-108.85	43,500	Short Build Up
7	13:45-14:00	18,07,350	21512	21157.55		-	6,56,275	21231.95	-118.35	-46,925	Long Unwinding
8	13:30-13:45	18,54,275	21512	21157.55		-	2,85,275	21350.30	18.40	-4,375	Short Covering
9	13:15-13:30	18,58,650	21512	21157.55		-	2,24,300	21331.90	27.75	8,500	Long Build Up
10	13:00-13:15	18,50,150	21512	21157.55		-	3,10,150	21304.15	-63.10	1,325	Short Build Up

C. Then I was monitoring **Options OI** of strike 21500 very carefully during the day. During the time period 13.45 to 14.00 OI Pulse recorded that Put Writers at 21500 were covering their position Call writers started strengthening their position. Thus there was Short Build up on the CALL side and Short Covering on the PUT side. A strong signal for bearish downmove.

Mode

Live data

Historical data

Select Name

BANKNIFTY

Select Date

2020-09-22

Select Strike Price

21500

Select Time Interval

15 min

Global Actions

Go

	Time	Call OI	Total OI Chng	Call D. H/L Break	Call LTP	Call LTP Chng	Call Chng. in OI	Call OI Interpretation	Strike	Put OI Interpretation	Put Chng. in OI	Put LTP Chng	Put LTP	Put E
1	15:15-15:30	826650	462700		110.00	-2.05	-1,08,150	Long Unwinding ↓	21500	↓ Long Unwinding	-6,150	-20.60	380.00	
2	15:00-15:15	934800	570850		112.05	22.45	-35,275	Shorts Covering ↑	21500	↓ Long Unwinding	-1,650	-124.25	400.60	
3	14:45-15:00	970075	606125		89.60	-2.40	27,900	Short Build Up ↓	21500	↓ Long Unwinding	-6,200	-11.70	524.85	
4	14:30-14:45	942175	578225	D.L.B (91.65) ↓	92.00	-13.05	27,800	Short Build Up ↓	21500	↑ Shorts Covering	-15,900	35.30	536.55	D.H.B
5	14:15-14:30	914375	550425	D.L.B (110.60) ↓	105.05	-10.15	18,775	Short Build Up ↓	21500	↑ Shorts Covering	-22,925	13.40	501.25	D.H.B
6	14:00-14:15	895600	531650	D.L.B (133.10) ↓	115.20	-38.80	44,425	Short Build Up ↓	21500	↑ Shorts Covering	-27,700	64.50	487.85	D.H.B
7	13:45-14:00	851175	487225	D.L.B (163.50) ↓	154.00	-57.10	34,625	Short Build Up ↓	21500	↑ Shorts Covering	-15,075	63.75	423.35	D.L.B
8	13:30-13:45	826650	462700		110.00	-2.05	-1,08,150	Long Unwinding ↓	21500	↓ Long Unwinding	-6,150	-20.60	380.00	

D. On the **Options Chain Page** I was monitoring the IV levels which was the non conforming dot for the upcoming trade. As IV on the CALL sides were higher than the IV on the Put side. This meant that any movement in the downward direction will not yield much premium appreciation.

Mode
☒ Live data ☐ Historical data

Select Name
BANKNIFTY

Select Date
2020-09-22

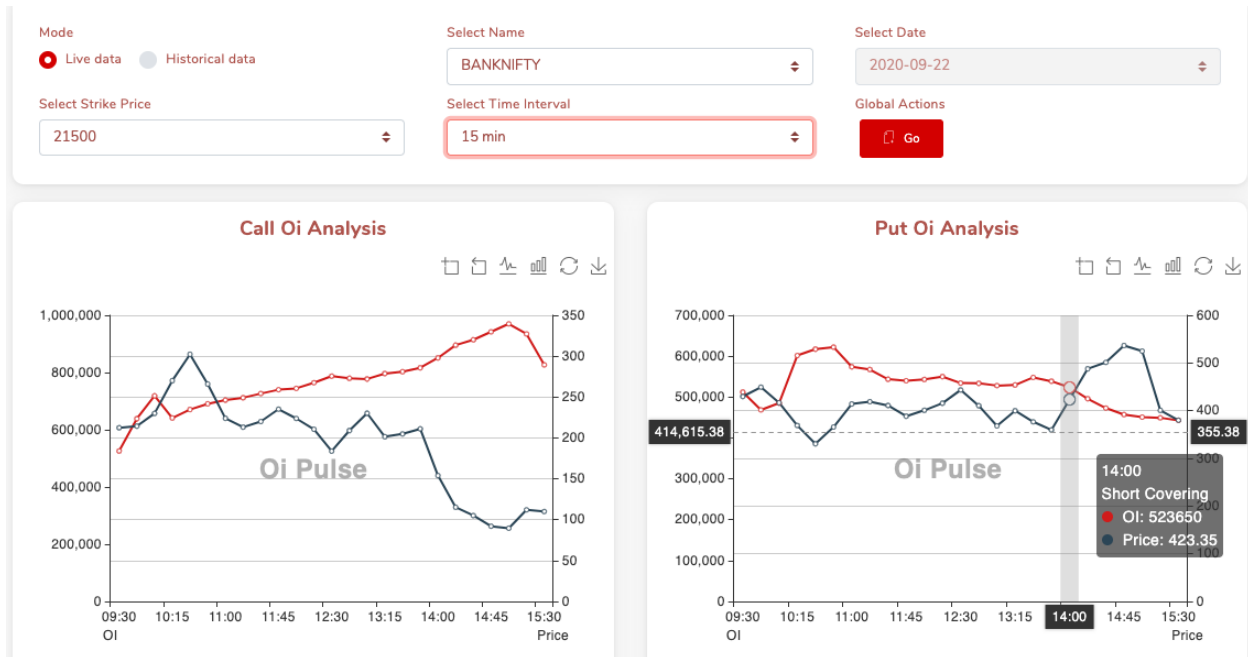
Select Expiry Date
24-Sep-2020

Global Actions
Go

Underlying Index: NIFTY BANK at 21139.1 as on 22 Sep 2020, 20:47:00 IST

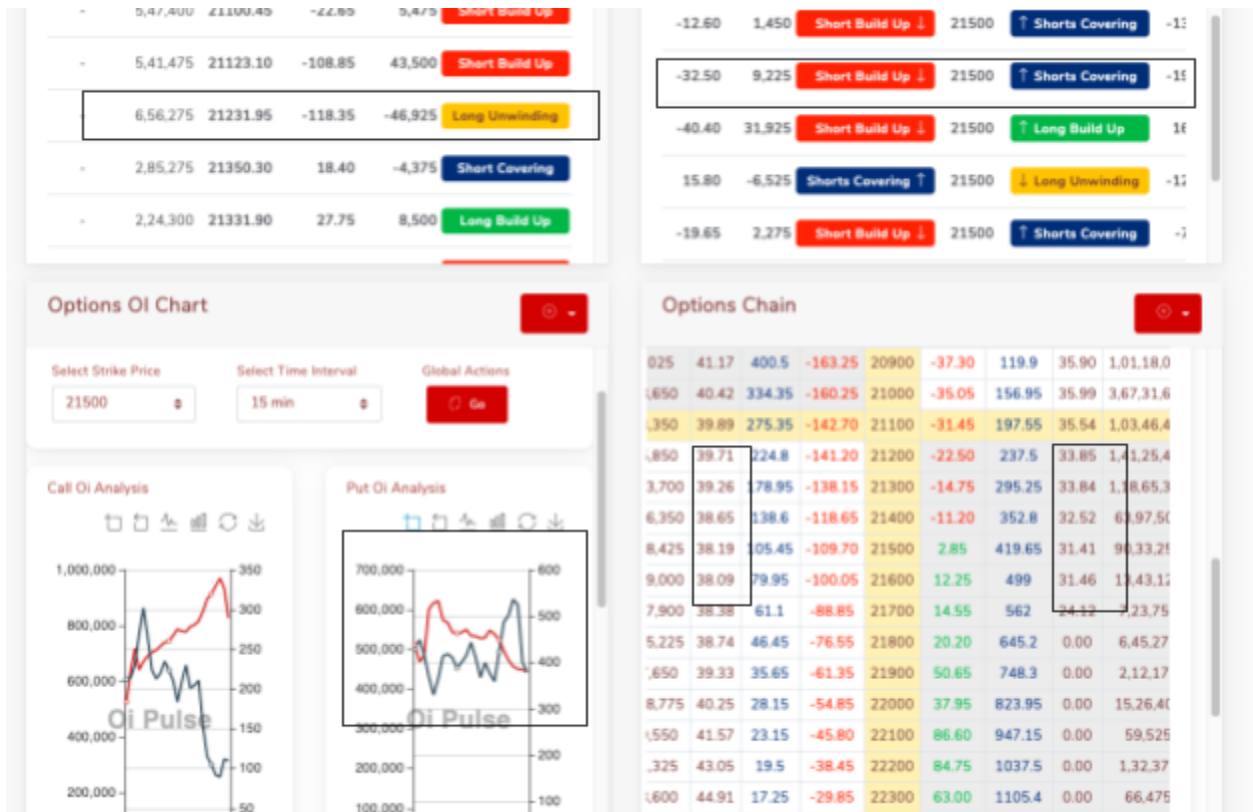
Call						Put							
OI	OI Chng	Volume	IV	LTP	LTP Chng	Strike Price	LTP Chng	LTP	IV	Volume	OI Chng	OI	PCR Ratio
-	-	-	-	-	-	19800	-14.25	12.35	50.76	19,41,875	49,075	1,19,675	-
150	125	250	0.00	1212.7	-79.00	19900	-17.25	14.7	49.21	20,25,450	2,62,650	3,01,400	2009.3333
8,925	-4,350	26,575	0.00	1147.3	-124.05	20000	-21.10	17.25	47.47	1,03,24,650	88,125	7,69,550	86.2241
150	125	350	52.34	1085.6	-107.75	20100	-27.50	19.05	45.05	26,00,300	-5,400	69,975	466.5000
75	50	1,075	64.05	1037	-50.45	20200	-33.20	22.3	43.14	33,56,250	-1,39,225	91,375	1218.3333
50	50	50	0.00	850	69.95	20300	-39.20	27.2	41.59	37,88,800	-1,650	1,06,925	2138.5000
2,100	1,950	12,450	45.64	801.7	-98.30	20400	-44.95	34.1	40.28	41,65,875	1,950	2,32,475	110.7024
23,625	15,850	1,61,625	43.79	710.85	-118.90	20500	-47.45	45.9	39.86	2,12,43,500	7,200	7,05,200	29.8497
1,800	1,475	12,425	44.52	633.35	-155.00	20600	-34.10	57.1	38.47	82,56,675	52,250	1,59,600	88.6667
4,700	4,375	49,175	44.60	557.7	-146.65	20700	-35.50	75.5	38.02	1,02,21,425	1,30,175	2,57,125	54.7074
14,525	13,100	1,62,725	43.51	480.55	-158.60	20800	-39.80	95.2	36.93	1,33,27,100	1,48,400	2,67,450	18.4131
18,625	17,875	2,82,025	41.17	400.5	-163.25	20900	-37.30	119.9	35.90	1,01,18,075	63,025	1,83,850	9.8711
3,16,150	2,21,475	44,98,650	40.42	334.35	-160.25	21000	-35.05	156.95	35.99	3,67,31,650	2,45,400	8,76,625	2.7728
99,050	92,475	31,03,350	39.89	275.35	-142.70	21100	-31.45	197.55	35.54	1,03,46,400	69,475	1,54,775	1.5626
2,52,375	2,34,250	69,55,850	39.71	224.8	-141.20	21200	-22.50	237.5	33.85	1,41,25,450	51,225	2,05,500	0.8143
2,49,925	2,06,650	1,13,23,700	39.26	178.95	-138.15	21300	-14.75	295.25	33.84	1,18,65,350	-8,500	1,63,675	0.6549

E. Lastly now since the probability of downward movement of Future was there I expected Premium Appreciation of 21500 PE on account of Short Covering rally which may occur. And what better feature than our **OI Chart** can tell this. So I referred that feature and it worked wonders



At 14.00 hours OI Pulse recorded a sharp increase in OI on CALL side with a drop in price, thus a Short Build up and a Crossover of “X type” just about to happen on the Put side. Now with Futures and Options data also pointing to further fall in the market there was not even an iota of doubt that the premium of 21500 PE would rise further and it did from 423 it went to 487 and then making a high of 536. It was a winning trade decoded by OI Pulse.

Now the best utility of Multiple Window is that I saw all the features together on one screen and made a decision very quickly to enter the trade.



With the new function you are able to see all the features together and make informed trading decisions swiftly.

This new feature would enable you to take trades more confidently and swiftly. Hope you will enjoy this new feature.

We shall be coming up with new features regularly to enhance your capabilities.

Thanks

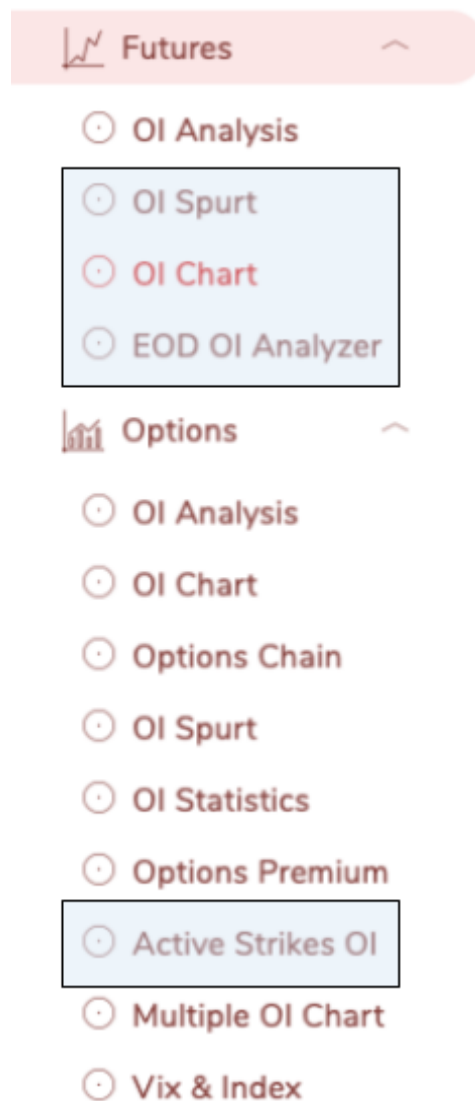
Team OI Pulse



ADDENDUM 2

As mentioned earlier, our endeavour is to simplify the complex market analysis for you. Thus working in this direction we aim to add new features in OI Pulse regularly that would make the job easier for you.

Latest version of OI Pulse now has the following new features that further simplifies the complex market data for its users.



1. Futures/OI Analysis/15.30-EOD Data
2. Futures/OI Spurt
3. Futures/OI Chart
4. Futures/EOD OI Analyzer
5. Options/Options Chain- Cell highlighting
6. Options/Active Strikes OI

Let us examine all these features in detail and how they can be used in demystifying the markets.

1. Futures/OI Analysis/15.30-EOD Data

This latest feature on the OI Pulse would enable you to capture the true change in Open Interest (OI) for the day.

Now one may wonder if we are able to see the change in OI data on a Live basis during the day, what is the necessity of this feature. Now in order to understand what and why of this aspect let us have a look at the phenomenon through the lens of OI Pulse.

Mode		Name		Date		Time Interval		Global Actions				
Live data		BANKNIFTY			2020-11-19		15 min		Go			
Historical data												
	Date Time	Total OI	Total Chng. In OI	Day High	Day Low	Level Break	Volume	LTP	LTP Change	OI Change	OI Interpretation	
1	15:30-EOD	17,20,600	-1,03,550	29608	28820	-	-	28912.05	54.05	-89,450	Short Covering	
2	15:15-15:30	18,10,050	-14,100	29608	28820	-	3,68,800	28858.00	-71.00	-92,600	Long Unwinding	
3	15:00-15:15	19,02,650	78,500	29608	28820	-	3,46,100	28929.00	-112.00	200	Short Build Up	
4	14:45-15:00	19,02,450	78,300	29608	28820	-	4,03,650	29041.00	-47.55	-31,925	Long Unwinding	

Now pay specific attention to the Total OI and Time column in the above example that is for Bank Nifty Future(Current Month) and for 19 Nov 2020.

	Date Time	Total OI
1	15:30- EOD	17,20,600
2	15:15- 15:30	18,10,050

As you may see, there are two values of OI. One is from 15.15-15.30 and the other is from 15.30-EOD. What we see as live data on the screen and NSE website during market hours till 15.30 is “18,10,050” as in above example, but NSE makes some adjustment in the OI data after trading closes and publishes the final OI after a few hours. This adjusted OI data as published by NSE is what OI represents as 15.30-EOD data which is “17,20,600” for the day. There is a significant difference between the two figures.

The disparity between these figures is much more in case of stock Futures. Take for example SBIN

Mode		Name		
☐	Live data	SBIN		
☒	Historical data			
	Date Time	Total OI	Total Chng. In OI	D Hi
1	15:30- EOD	9,34,08,000	-1,05,00,000	2!
2	15:15- 15:30	10,28,55,000	-10,53,000	2!

Take another example of Tata Motors

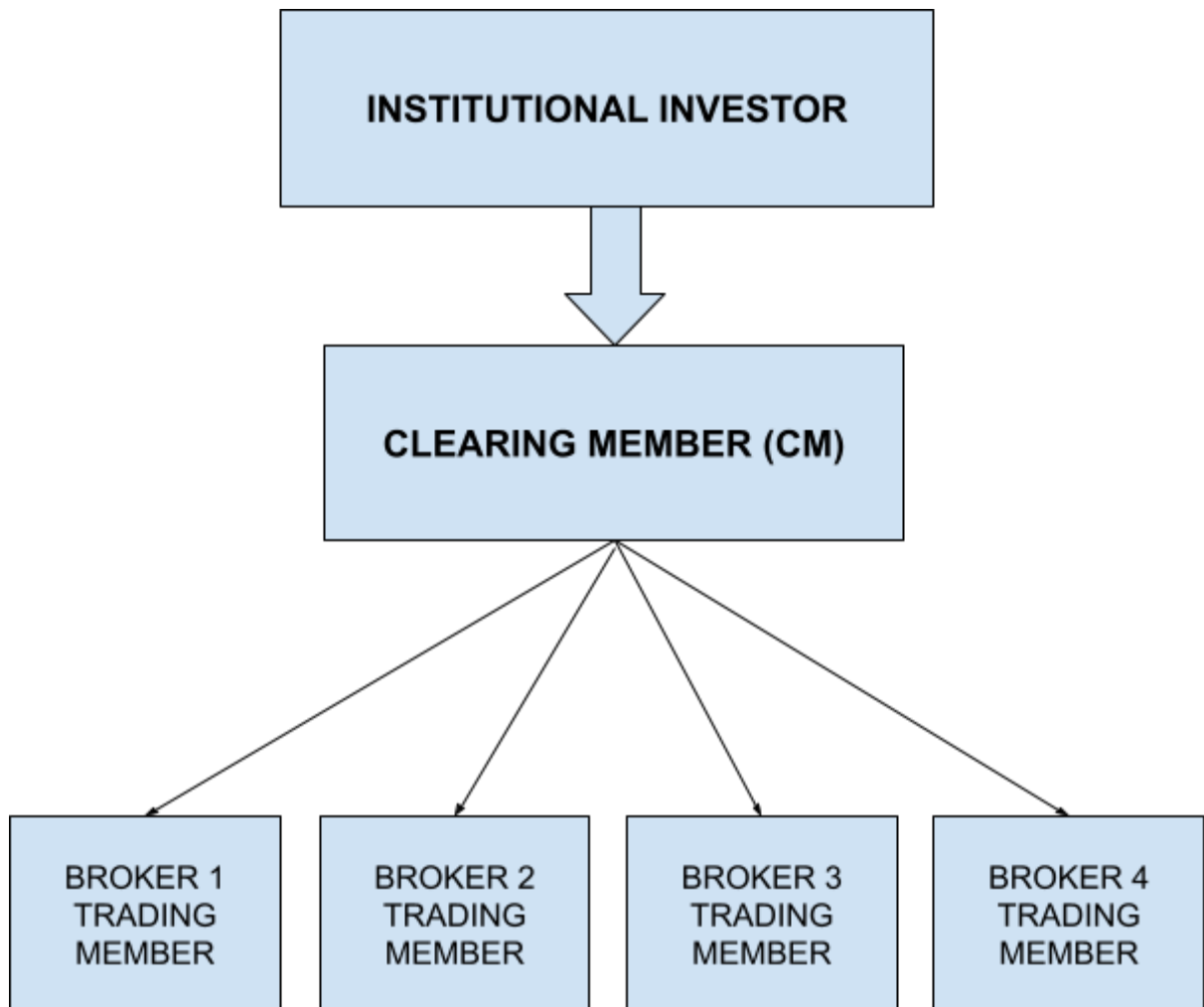
Mode		Name		Date	
☐	Live data	TITAN		2020-11-19	
☒	Historical data				
	Date Time	Total OI	Total Chng. In OI	Day High	Day Low
1	15:30-EOD	53,52,000	-36,000	1347.45	1274.6
2	14:30-15:30	60,16,500	6,28,500	1347.45	1274.6

As you can see NSE does some readjustment in the OI data that it publishes during the day.

Now there are two aspects of this readjustment- **Reason and Impact**. So let us first have a look at the reason behind this readjustment.

- ***Reason for Adjustment in Open Interest at EOD***

The primary reason for this adjustment lies in the trading methodology adopted by **Institutional Investors**. The manner in which big players like FIIs trade is different from normal retail traders. We trade directly through a broker while for an institutional investor there is one more intermediary known as a “**Clearing Member (CM)**”. Usually big players have many brokers and to manage all these brokers they have one CM.



During the day different brokers carry out trades on behalf of Institutional Investors and Clearing Member confirms to the Exchange that this particular trade is carried out on behalf of the Institutional investor by the Broker or Trading Member (TM). Till the time CM gives confirmation the exchange counts this trade to have been carried out by the broker in its individual capacity. Now the exchange gives time to the CM to confirm this trade till 16.15 which is beyond market hours, thus this is the primary reason behind adjustment of Open Interest for the day.

Let us try to understand this activity through an example.

Let us say there is a big Hedge Fund that trades in Indian markets. He appoints any clearing member/custodian etc for his trading let us say Goldman Sachs. Also he has two brokers, let us say Zerodha and Samco. Now let us say that Zerodha bought 1000 lots of Bank Nifty Futures for Hedge Fund yesterday and Goldman Sachs, its custodian, confirmed to the exchange that this trade was actually carried out by Zerodha on behalf of Hedge Fund. So its position is 1000

long at the start of the day. Now let us assume the market begins to fall around 13.00 hours and SAMCO tells the Hedge Fund manager that the market is likely to fall further and thus advises him to exit his position. Hedge fund manager gives him a thumbs up and SAMCO (and not Zerodha) sells 1000 Future lots. Now the CM i.e Goldman Sachs should ideally confirm to the exchange that the Hedge Fund has sold 1000 lots of Future and squared up its Long position of yesterday but it doesn't and plans to inform the exchange after market hours. In this case the exchange would assume that SAMCO has created fresh short positions in the market and thus increases the OI whereas in actual the OI has actually decreased as the Hedge Fund has squared off its position. Now when at 16.00 hours Goldman Sachs informs the exchange that the trade done by SAMCO at 13.00 hours was actually carried on behalf of his hedge fund client NSE would make the adjustments in Open Interest and that would get reflected on NSE website. **OI Pulse** would automatically update the EOD Open Interest data.

A key takeaway from this understanding is that in readjustment OI always decreases and never increases.

So now having understood the reason behind adjustment of Open Interest let us focus upon Impact of this EOD data.

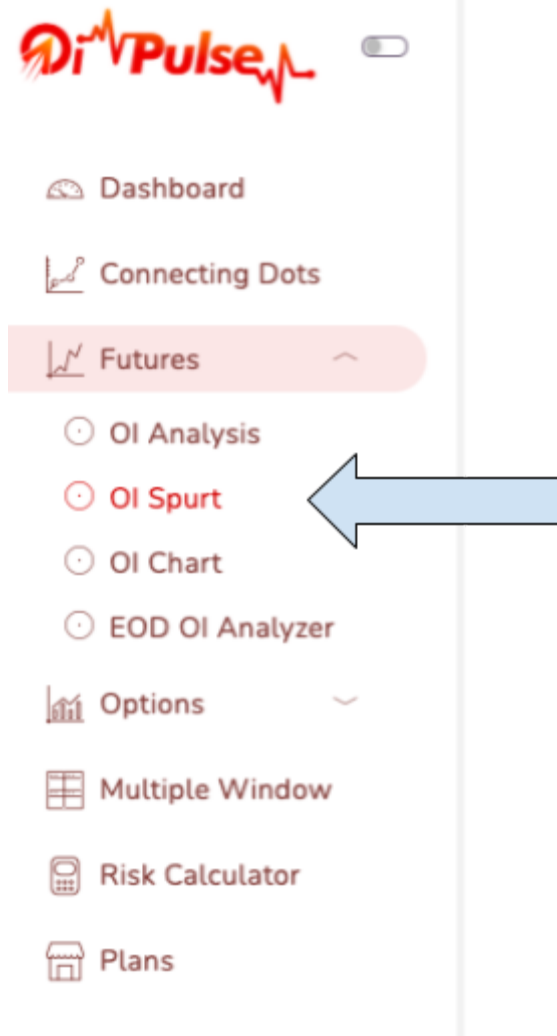
- ***Impact Adjustment in Open Interest at EOD***

The impact of change in OI would be directly reflected in interpretation of change in OI vs price. The change in OI is sometimes quite significant in case of Stock Futures (around 40%). In such a situation one interpretation of Short Buildup may actually convert into Long Liquidation or a Long Buildup may convert into Short Covering. Thus it is always advisable to check EOD data for next day analysis. Thus this feature on OI pulse would give you complete information to generate your view for the next trading session.

2. Futures/OI Spurt

This feature of OI Pulse is of significant importance to those who want to invest in **stocks**. The basic concept of OI Spurts of Futures is similar to the OI Spurt concept explained in Options in the user manual.

This feature may be accessed in following manner



Further we need to select from following options



Live Data is for viewing intraday data whereas **Historical Data** shows previous 2 months data. Historical data may be viewed for any date from drop down availability. Also the “**Search**” option may be used for analysing data of a particular stock.

After selecting the options we can see the following results on the screen.

Long Build Up							
Name	LTP	Prev. Close	% Chng. in LTP	% Chng. in OI	New OI	Old OI	
HCLTECH	793	790.4	0.33 %	8.98 %	1,69,31,600	1,55,35,80	
LT	916.15	906.75	1.04 %	6.09 %	1,45,13,950	1,36,80,70	
SBIN	200.6	200.2	0.2 %	4.3 %	11,56,80,000	11,09,13,00	
DRREDDY	4459	4400.15	1.34 %	4.18 %	29,71,250	28,52,00	
KOTAKBANK	1330.95	1304	2.07 %	4.16 %	1,15,75,600	1,11,13,60	
INDUSINBK	640.55	604.8	5.91 %	4.04 %	2,94,72,800	2,83,27,20	
NIFTY	11534	11466.05	0.59 %	3.89 %	1,15,83,075	1,11,49,12	
Rows per page 7 Prev 1 - 7 of 20 Next							

Short Build Up							
Name	LTP	Prev. Close	% Chng. in LTP	% Chng. in OI	New OI	Old OI	
TITAN	1174.3	1201.65	-2.28 %	14.15 %	61,94,250	54,26,250	
WIPRO	306.6	307.35	-0.24 %	12.44 %	3,11,90,400	2,77,40,800	
TCS	2496.2	2504.45	-0.33 %	8.88 %	1,15,57,800	1,06,15,200	
ITC	182.7	183.7	-0.54 %	5.4 %	10,02,78,400	9,51,39,200	
COALINDIA	124.7	125.7	-0.8 %	5.35 %	3,60,89,800	3,42,58,300	
MARUTI	7077	7178.3	-1.41 %	5.14 %	20,72,300	19,70,900	
NESTLEIND	16110	16136.15	-0.16 %	3.57 %	4,46,950	4,31,550	
Rows per page 7 Prev 1 - 7 of 16 Next							

Short Covering							
Name	LTP	Prev. Close	% Chng. in LTP	% Chng. in OI	New OI	Old OI	
BAJFINANCE	3518.1	3471	1.36 %	-5.95 %	49,18,750	52,30,000	
ZEEL	217.85	217.65	0.09 %	-1.75 %	2,67,27,000	2,72,04,000	
SUNPHARMA	508.55	498.65	1.99 %	-1.58 %	3,49,41,200	3,55,02,600	
TATAMOTORS	149.45	148.7	0.5 %	-1.27 %	6,62,11,200	6,70,60,500	

Long Unwinding							
Name	LTP	Prev. Close	% Chng. in LTP	% Chng. in OI	New OI	Old OI	
TECHM	790.6	792.1	-0.19 %	-3.94 %	1,04,62,800	1,08,92,400	
IOC	82.7	83.1	-0.48 %	-0.94 %	5,74,27,500	5,79,74,700	
INFRATEL	202.7	203.2	-0.25 %	-0.35 %	1,60,91,600	1,61,47,600	
ADANIPORTS	352.35	355.85	-0.98 %	-0.1 %	2,89,87,500	2,90,17,500	

Here also we may see 4 quadrants just like in Options OI Spurt.

Long Build up

Short Build up

Short Covering

Long Unwinding

The only difference here is that this data is for the stocks futures, the analyses would remain the same.

A brief analysis is represented here.

- Long Build Up:** In this quadrant would appear those stock futures which see a rise in OI and rise in Price. This quadrant represents a zone where the demand surpasses the supply. This simply means that the buyers of these stock Futures expect a further rise in the prices. So though the prices have increased and the stocks may appear expensive but they actually represent a good buying opportunity.

Also this option may be used to explore the **Support Zone**. On any particular day for a stock whenever we see significant Long Build Up (high rise in OI and price) then the price levels of that particular day (VWAP to Day Low) would become a strong support zone. So if the price comes back to this zone then it may represent a good buying opportunity ,provided the OI doesn't decrease.

- b. **Short Build Up:** In this quadrant would appear those stock futures which see a rise in OI and fall in Price. This quadrant represents a zone where the supply surpasses the demand. This simply means that the sellers of these stock Futures expect a further fall in the prices. So though the prices have decreased and the stocks may appear cheap but they actually represent a good selling opportunity rather than buying. Also this option may be used to explore the **Resistance Zone**. On any particular day for a stock whenever we see significant Short Build Up (high rise in OI and fall in price) then the price levels of that particular day (VWAP to Day High) would become a strong resistance zone. So if the price comes back to this zone then it may represent a good selling/shorting opportunity, provided the OI doesn't decrease.
- c. **Short Covering:** This quadrant represents a zone where the Shorts or sellers of Futures are actually covering their position. The possible reason for this could be that they are booking their losses. Whenever someone shorts a Future he/she expects the price to fall further down so that they may buy it again later at a lower price. But if the prices rather than falling further begin to rise then the sellers might want to book their losses. In such a situation the OI would decrease and price would increase further. This short covering rally may represent a buying opportunity but it is only for a limited time period. When price further rises then some Longs may also like to book their profits. Thus this quadrant should be used with great caution to identify Long opportunities.
- d. **Long Unwinding:** This quadrant is mainly used by big players for hedging. Thus big players may be hedging their cash positions through futures sometimes and it is very likely that such futures may appear in this quadrant. Thus it is advisable for retail traders to avoid stock futures appearing in this quadrant.

It may be stressed again that stock futures appearing in these four quadrants are just opportunities and to convert these opportunities into trade we need to connect other dots as well. So use this feature to identify opportunities.

3. Futures/OI Chart

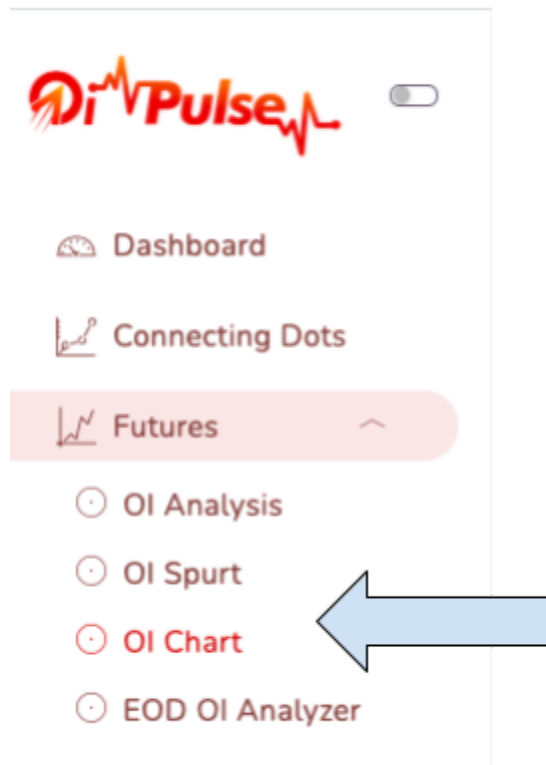
This new feature of OI Pulse helps to make the analysis of Futures data for Nifty/Bank Nifty and Stock Futures much easier as we can see it graphically. The analysis that we saw in tabular form in OI Spurt feature can also be seen via graphical form.

The uniqueness of this feature is that for Bank nifty and nifty we can see data for all the 3 series namely

- i. Current Series
- ii. Next Month
- iii. Far Month

This is for both Nifty as well as for Bank Nifty.

In order to access this feature use the following path



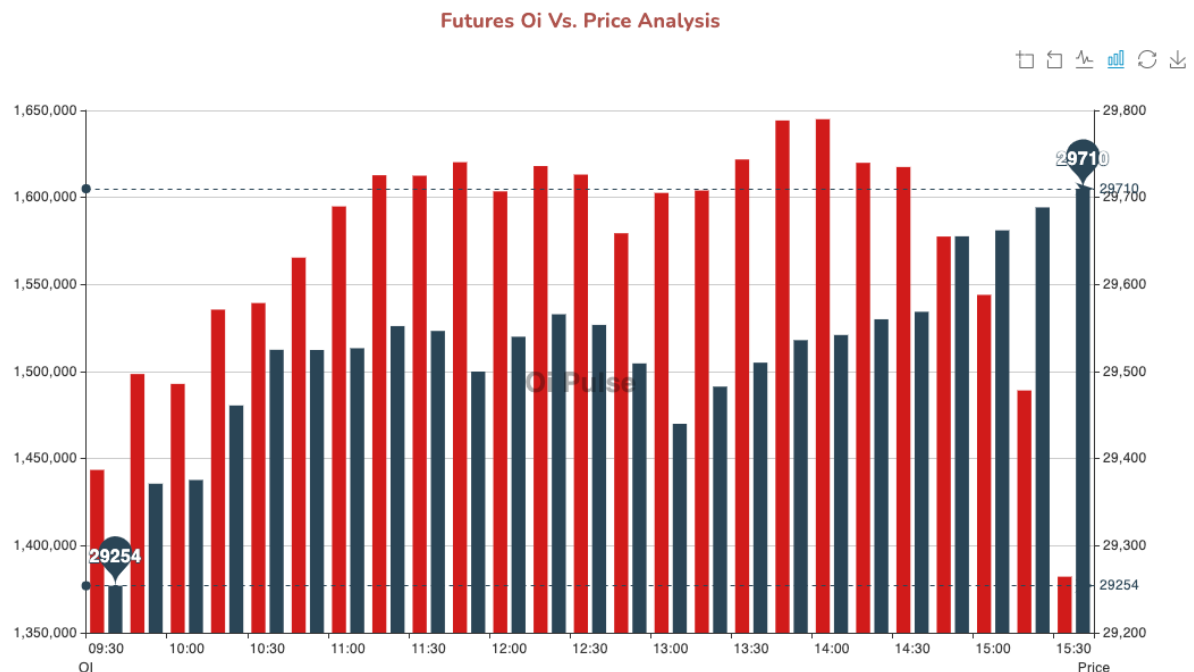
Further select the options to see the desired results

Mode	Name	Date	Time Interval	Global Actions
☐ Live data ☒ Historical data	BANKNIFTY	2020-11-24	15 min	Go

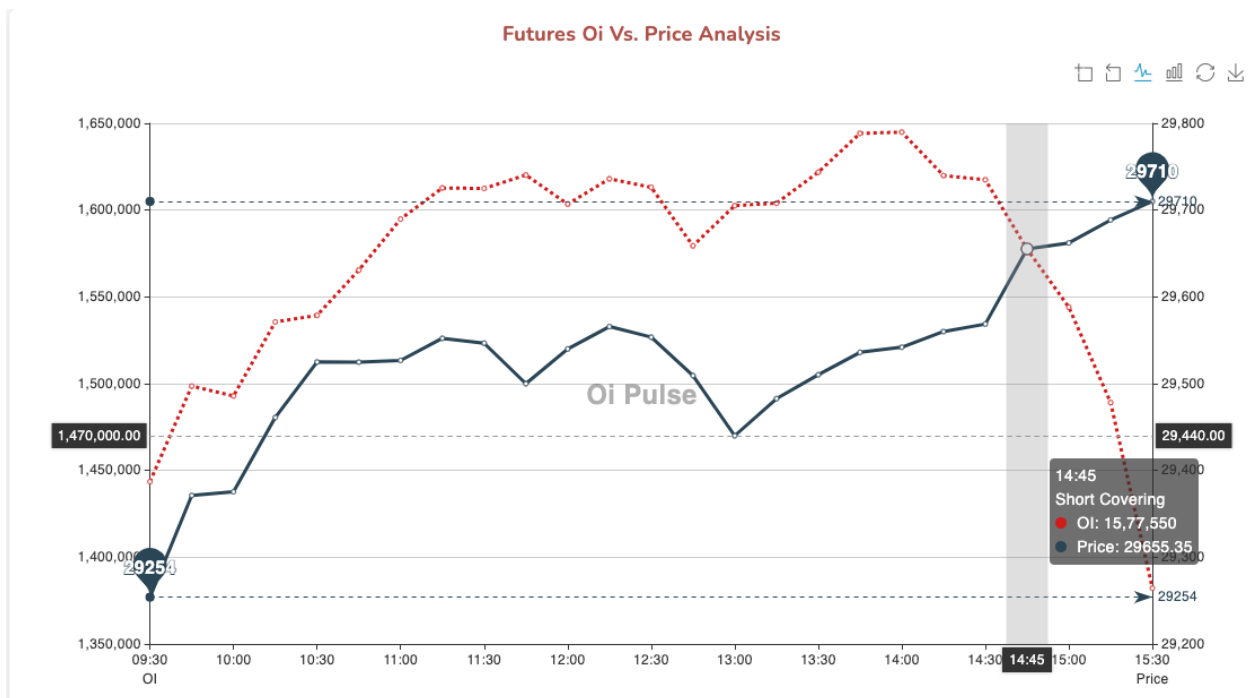
For this particular day following chart would appear



On the Top RHS corner there are further options as well and you may choose to see the Chart in line form or bar form. The bar chart of same data would look like this



There is another unique element in this feature. As you scroll along the lines of the graph the Oi and price interpretation would also get reflected. Check the same line graph with this feature as below



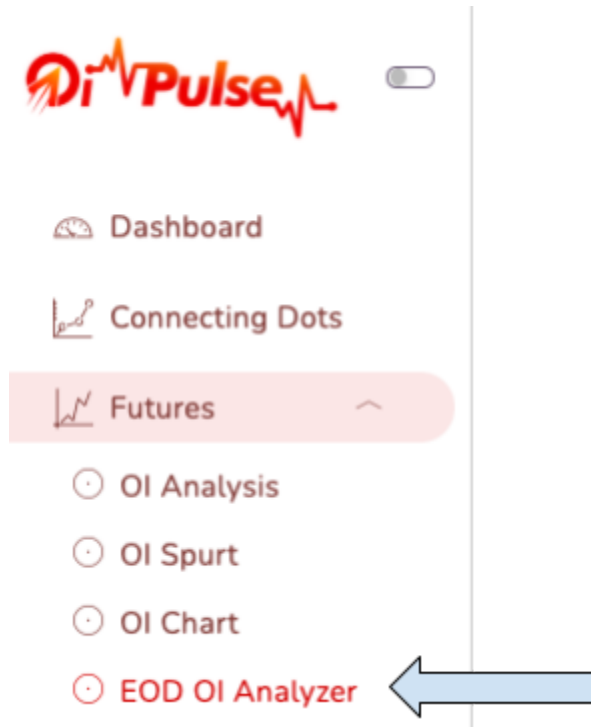
You can observe in this graph that the red line is OI and black line is Price (Bank Nifty Future). We know that Short covering happens whenever there is a Rise in Price and fall in OI. If you see at 11.45, the highlighted portion represents Short Covering as in the previous 15 minutes the OI decreased and Price increased. Also we see a crossover happening. The scales have been set based on years of experience and Artificial Intelligence based systems. This represents a good opportunity to go Long and it would have been a great scalping opportunity at this juncture.

Thus overall this feature of OI pulse would help you to analyse OI data for intraday trading through a graphical interface.

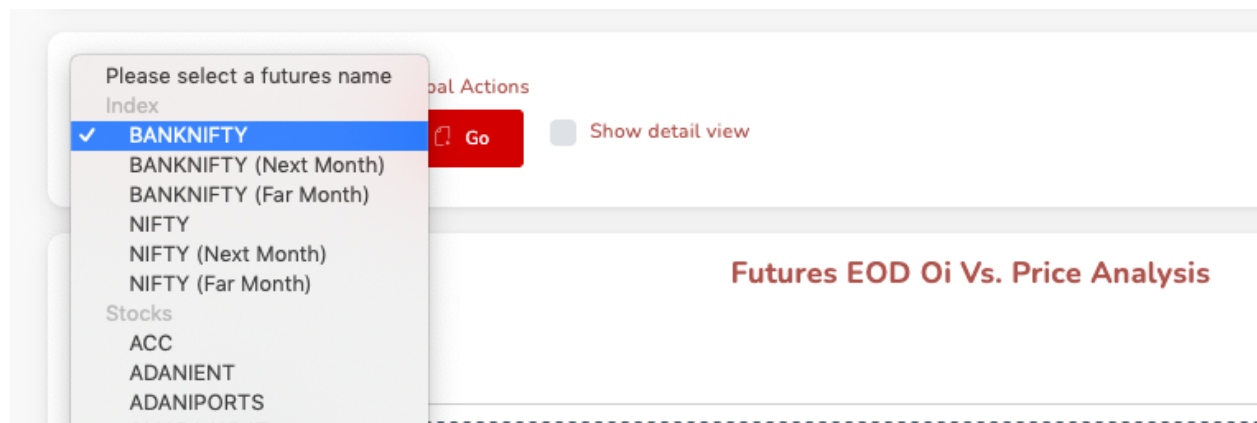
4. Futures/EOD OI Analyser

The previous feature of OI chart was for analysing intraday data, however to get a better perspective it is important that we analyse EOD data on a daily basis too. Thus to cater to this necessity we have this feature in OI pulse.

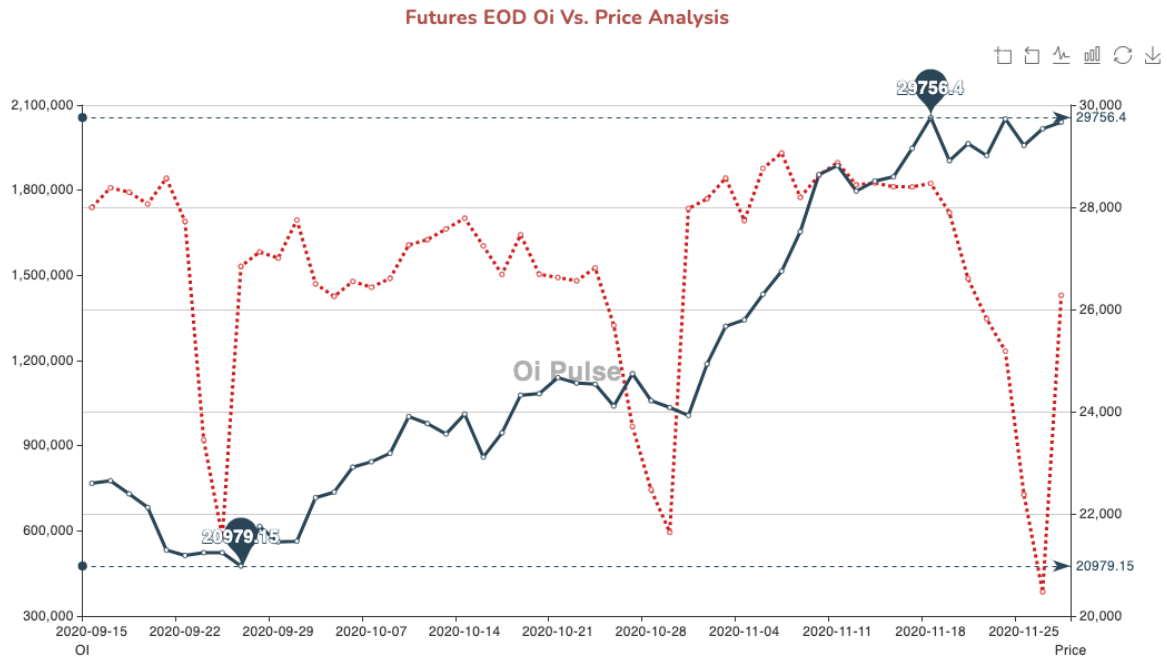
In order to access this feature follow the path mentioned below



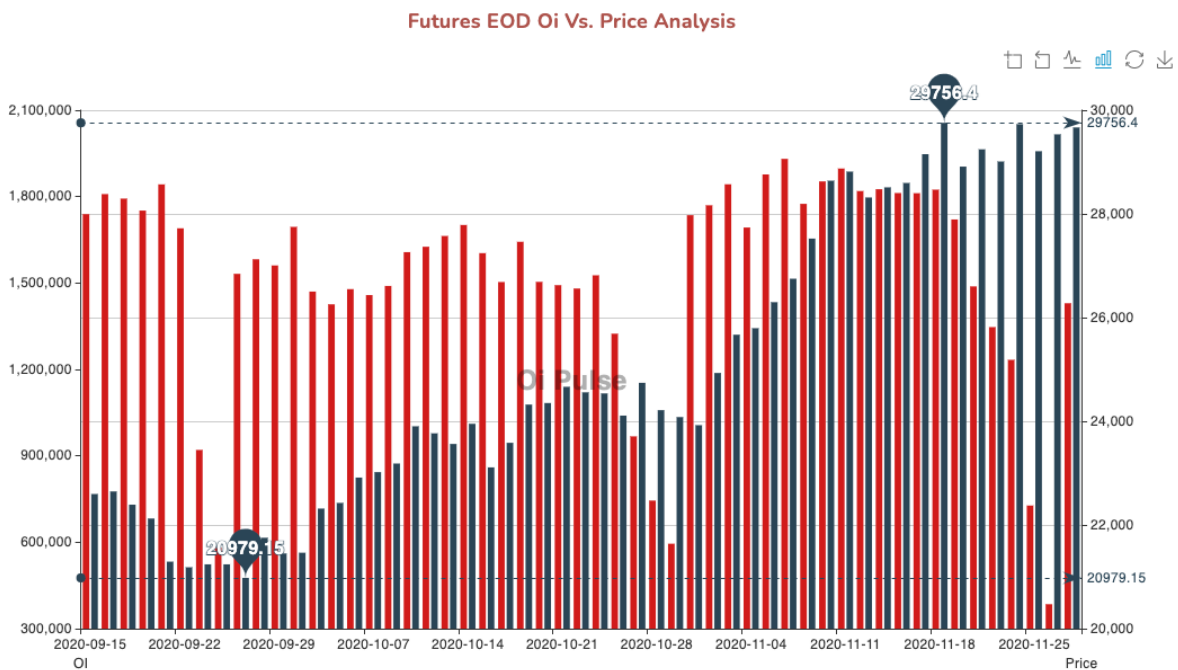
This feature is for Nifty, Bank Nifty and stock Futures. Further for the indices this feature gives results for current month/next month and far month.



On selecting one of the drop down options you will get the EOD OI status along with price variation as shown below



Like in OI chart the same line form may also be seen in bar form by selecting “Bar chart” option in top RHS corner, that would look as under



Similar set of rules as explained earlier may be used to analyse the data on an inter day basis.

While analysing the inter-day data it is very important to know the Day's high and Low of any particular day. The price level we see on the charts is the adjusted closing price. In order to know that particular day's high or low switch to the detailed view through “**Show Detail View**” in the menu bar of this feature



On selecting this option you will get the detailed data for **almost 2 months**.

	Date	Total OI	Day Open	Day High	Day Low	LTP	LTP Change	OI Change	OI Change in %	OI Interpretation
1	2020-11-27	14,29,725	29649.95	29780	29381.85	29667.20	132.85	10,44,875	271.50 %	Long Build Up
2	2020-11-26	3,84,850	29300.05	29626.8	28901.1	29534.35	325.65	-3,42,525	-47.09 %	Short Covering
3	2020-11-25	7,27,375	29953	30190	29148.2	29208.70	-521.20	-5,05,875	-41.02 %	Long Unwinding
4	2020-11-24	12,33,250	29200	29783	29151.15	29729.90	719.50	-1,13,650	-8.44 %	Short Covering
5	2020-11-23	13,46,900	29430	29641	28802.2	29010.40	-234.50	-1,41,300	-9.49 %	Long Unwinding
6	2020-11-20	14,88,200	28949.2	29412	28562.15	29244.90	332.85	-2,32,400	-13.51 %	Short Covering
7	2020-11-19	17,20,600	29375.5	29608	28820	28912.05	-844.35	-1,03,550	-5.68 %	Long Unwinding
8	2020-11-18	18,24,150	29049.95	29790	29037	29756.40	604.50	12,375	0.68 %	Long Build Up

This tabular data would have all the information about price (open/high/low/LTP) and OI. OI interpretation would also be there to simplify the data analysis. This feature would give many insights about current trading day especially if it is an Expiry Trading day.

5. Options/Options Chain/Cell Highlighting

Options chain feature is a basic element of OI Pulse but in the new version we have added a new feature of **cell highlighting** in order to make decision making fast and accurate.

In this new feature the cells with highest activity will get highlighted on the Call and the Put side respectively.

To simplify, OI Pulse will highlight the cell on the CALL and PUT side of options chain where there is

- Max OI

- Max OI Change
- Min OI Change
- Max Volume

Mode

Live data
Historical data

Select Name

BANKNIFTY

Select Date

2020-11-26

Select Expiry Date

26-Nov-2020

Global Actions

Go

Underlying Index: NIFTY BANK at 29549.75 as on 26 Nov 2020, 23:09:00 IST

OI	OI Chng	Volume	IV	LTP	LTP Chng	Strike Price	LTP Chng	LTP	IV	Volume	OI Chng	OI	PCR Ratio
1,19,100	-12,925	5,93,050	0.00	1032.9	223.45	28500	-18.65	0.25	26.02	4,68,07,125	-9,27,150	8,22,175	6.9032
9,500	-1,850	1,44,225	0.00	927.45	201.25	28600	-26.75	0.35	24.61	2,67,13,900	-4,47,975	2,99,050	31.4789
24,275	-13,575	5,21,300	0.00	819.45	182.75	28700	-39.70	0.3	22.03	3,08,22,200	-4,33,275	3,73,550	15.3883
25,500	-46,000	17,78,800	0.00	726.6	341.60	28800	-52.45	0.3	19.84	4,16,71,075	1,82,675	4,33,950	17.0176
44,425	-6,150	37,28,525	0.00	627	158.75	28900	-86.05	0.35	17.89	3,91,38,175	-2,23,050	5,45,575	12.2808
2,57,300	-3,97,650	2,37,72,325	0.00	523.3	281.25	29000	-115.90	0.35	15.63	9,58,55,525	-4,68,025	12,41,200	4.8239
57,550	-3,93,975	1,97,53,300	0.00	422.2	276.60	29100	-132.60	0.55	14.02	4,82,24,050	3,21,675	5,49,975	9.5565
85,550	-1,34,975	3,92,27,725	0.00	310.15	49.25	29200	-205.90	0.85	12.27	5,98,16,975	2,69,975	7,23,350	8.4553
1,19,425	-1,59,550	5,04,38,950	0.00	202.75	-1.45	29300	-265.30	2.35	11.38	5,73,17,100	5,14,475	7,90,850	6.6221
2,50,625	-5,96,200	6,61,30,050	0.00	100.15	37.40	29400	-262.95	7.55	10.88	5,35,86,875	7,18,625	8,42,600	3.3620
9,51,925	74,200	13,77,16,825	0.00	31.8	-85.25	29500	-316.85	13.35	8.55	5,04,13,400	7,71,875	11,64,650	1.2235
15,40,100	12,11,800	10,95,96,450	2.98	4.4	-79.65	29600	-325.35	68.25	12.47	1,30,49,900	1,19,725	1,93,000	0.1253
8,93,725	4,60,075	8,59,25,550	3.33	1.15	-57.90	29700	-302.50	165.65	19.48	38,10,875	3,425	1,00,125	0.1120
8,43,325	3,62,550	5,07,73,925	5.47	0.45	-40.55	29800	-283.10	269.6	26.33	13,57,575	-8,375	53,450	0.0634
4,37,400	76,750	3,07,68,075	7.85	0.4	-25.55	29900	-272.70	371.25	32.22	4,43,900	-7,775	42,575	0.0973
12,91,775	-17,71,975	4,98,19,350	10.04	0.35	-5.30	30000	-414.75	464.85	36.14	8,69,725	-40,900	1,47,225	0.1140

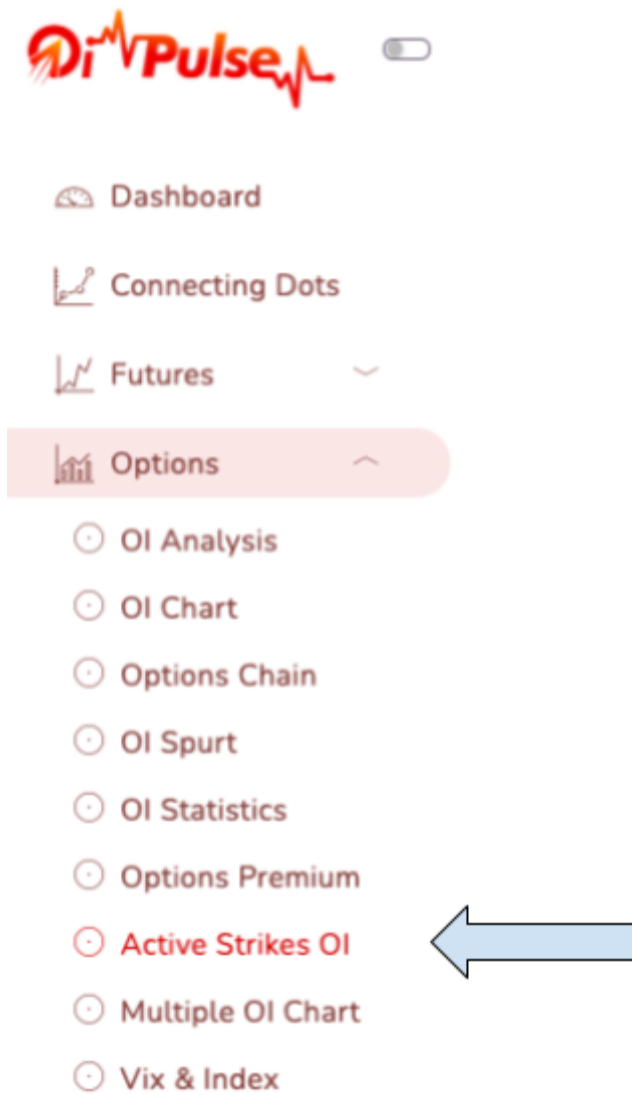
The highlighted cells would help you make analysis in a quick manner and identify strikes where there is maximum activity. The detailed analysis of the Options chain has been explained earlier in the manual.

This new element is part of an endeavour for continuous improvement of OI Pulse.

6. Options/Active Strikes OI

This is a unique new feature of OI Pulse that would help you to determine the direction in which the market is most likely being headed.

Starting first this feature may be accessed in following manner



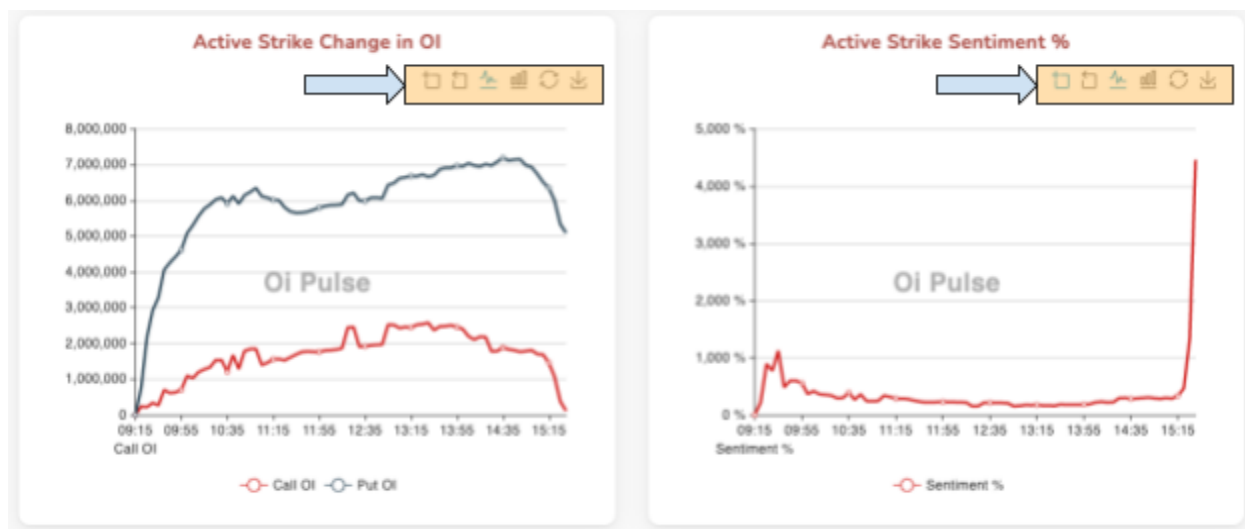
This feature is an intraday tool currently available for the present month Future series of Nifty and Bank Nifty only.

On entering this feature you can view it for live market or historical analyses over any time period from 5 mins to 60 mins. Use below option to select the time element

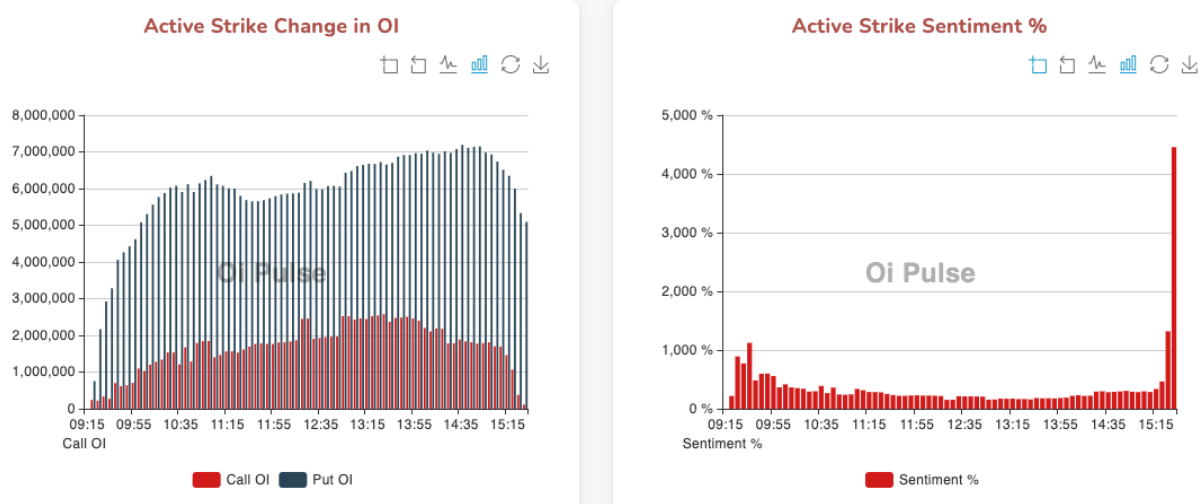
Mode	Name	Date	Time Interval	Global Actions
☐ Live data	NIFTY	2020-11-24	5 min	Go
☒ Historical data				

After selecting this mode you would get two graphical representations. One is “**Active Strike change in OI**” and the other one is “**Active Strike Sentiment %**”.

These diagrams are by default in Line Chart form as shown below



However they may also be viewed in Bar chart form by selecting the option from the Top RHS corner as shown above. Any portion may also be zoomed in/out using other options in the Top RHS corner box. The bar diagram would look like this



These are different representations of the same data.

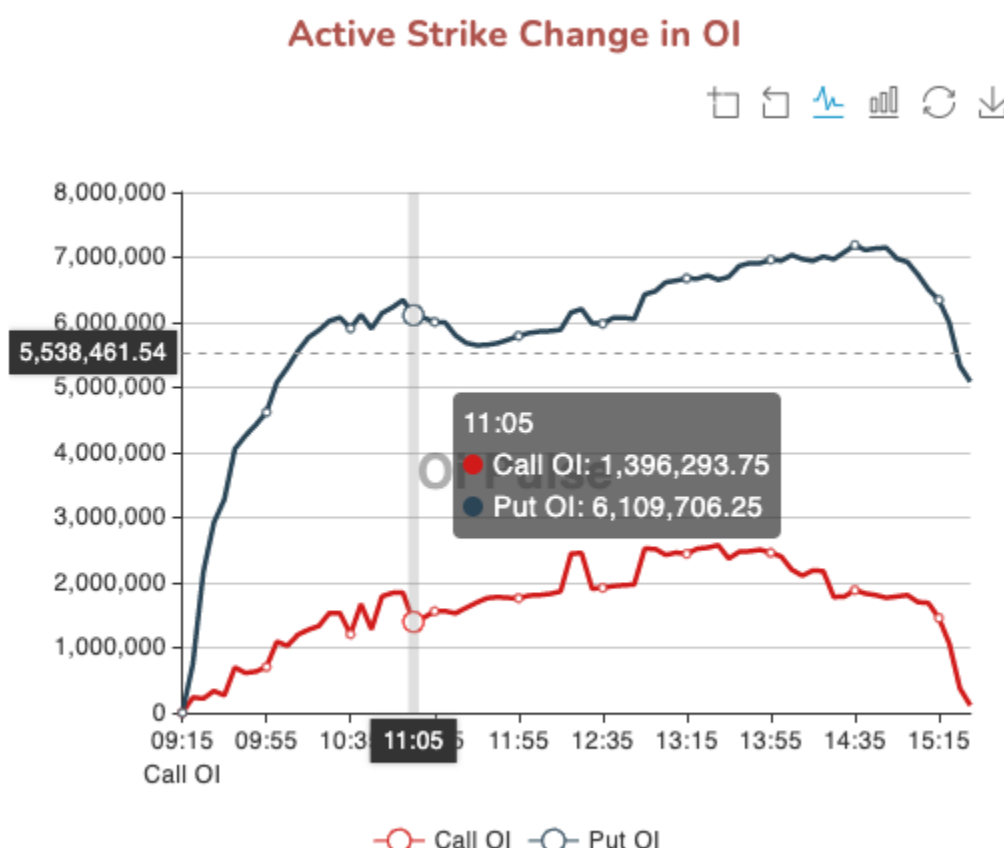
Now let us proceed further to understand the concept in a bit detail. The common underlying element in both these diagrams is “**ACTIVE STRIKE**”. So what is this?

During the day we see that some strikes see more activity in terms of Volume/Change in OI than others as the majority of the buyers and sellers are present and trading in these strikes. Any major changes in these strikes gives important clues about market sentiment and that is what we must know. However, keeping a tab of such strikes manually is very cumbersome. Thus this

is where OI Pulse comes to your rescue. The unique AI based OI Pulse identifies the most active strikes, analyses the data and presents it to you in a simple graphical form.

So now having understood the basic concept of Active Strike let us proceed to understand its application. We will use the Nifty Future contract and date of 24 Nov 2020 as an example.

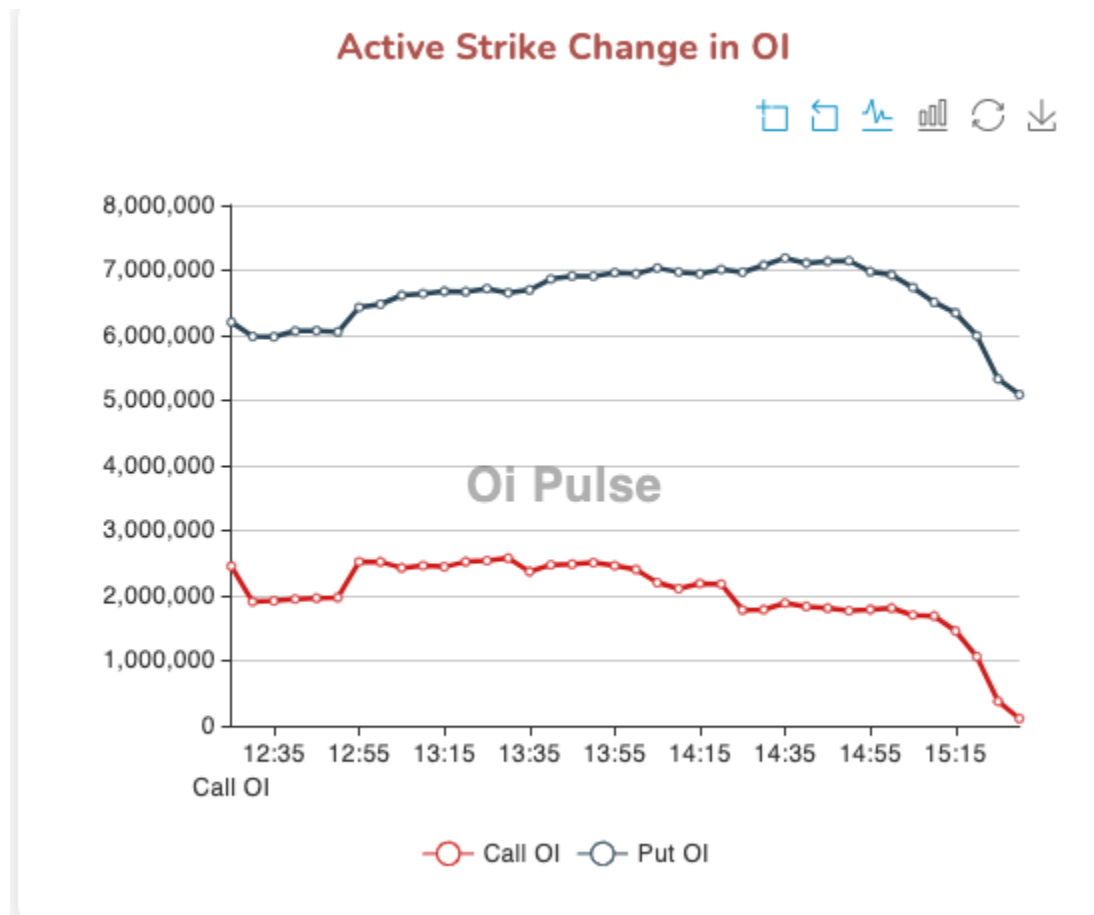
Let us first consider **Active Strike Change in OI** for the example



In the above example black line represents change in OI of Puts and the red line indicates change in OI of Calls. What this graph actually tells us is that after the market opened, there was a rapid increase in OI of Puts as compared to Calls. So the active Puts were written aggressively as compared to active Puts..so what does this indicate? It indicates that Put writers are very confident that this market is not going to fall and may rise. Though the Calls also saw an increase but it was at a very low rate. But such a stark difference in the rate of change of OI of Puts as compared to Calls only indicates bullishness.

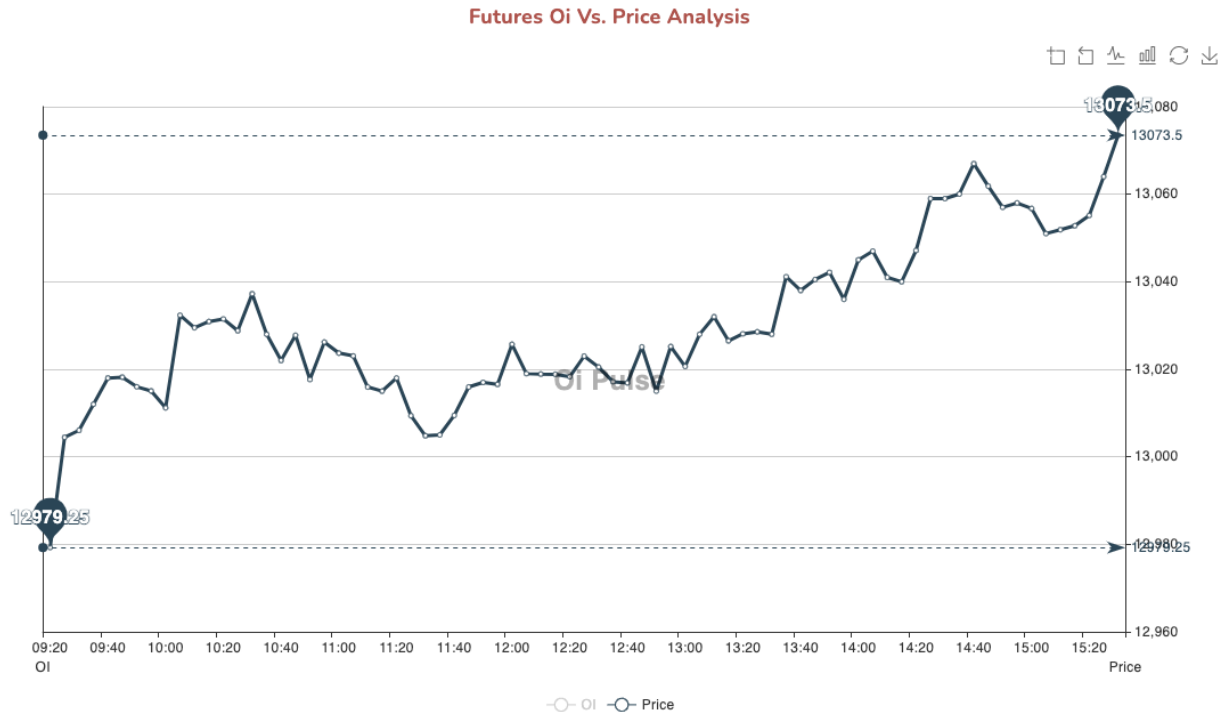
At 11.05 as shown the change in OI of active Puts is 61,09,706 and that of calls is 13,96,293, a difference of order of 5X which can only occur in bullishness.

Also note down the time period of 13.05 to 14.30 as shown below (obtained using zoom feature of OI pulse)



The Puts increased whereas the Calls decreased. That means that Call writers began to cover their short positions and continued it till the day end. Towards the end of day Put writers also unwinded their positions and booked their profits as shown by the graph.

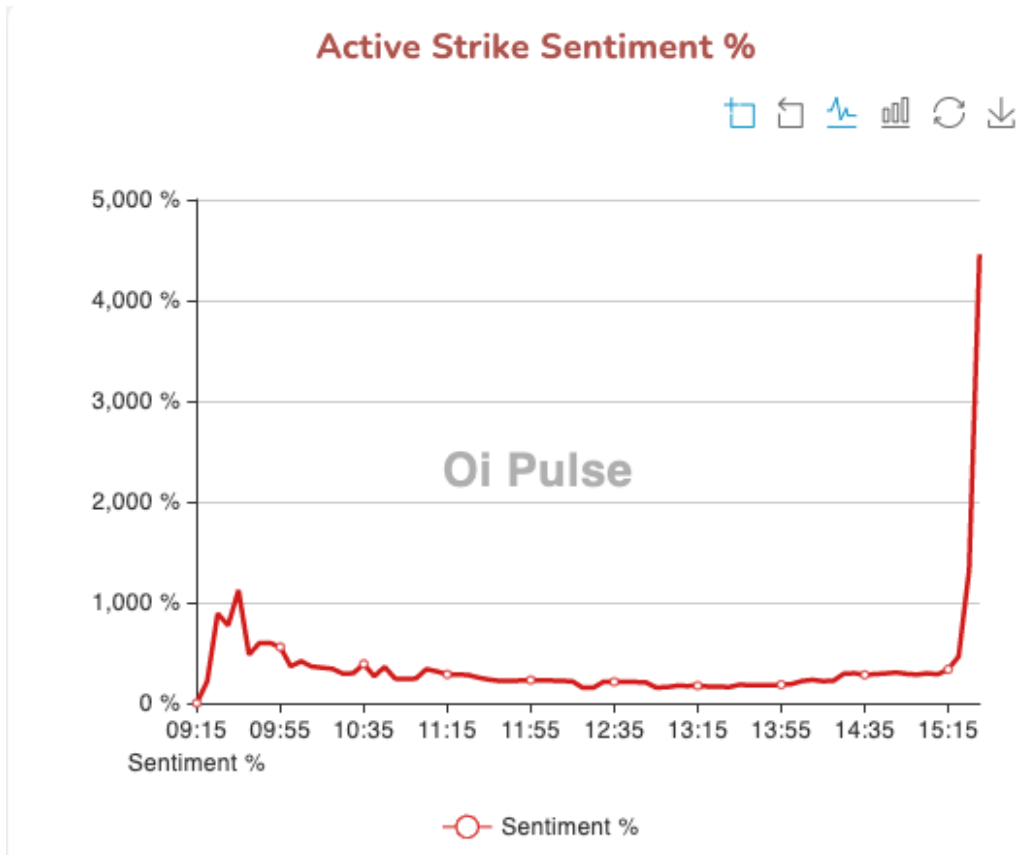
Now let us look at the price variation of the day



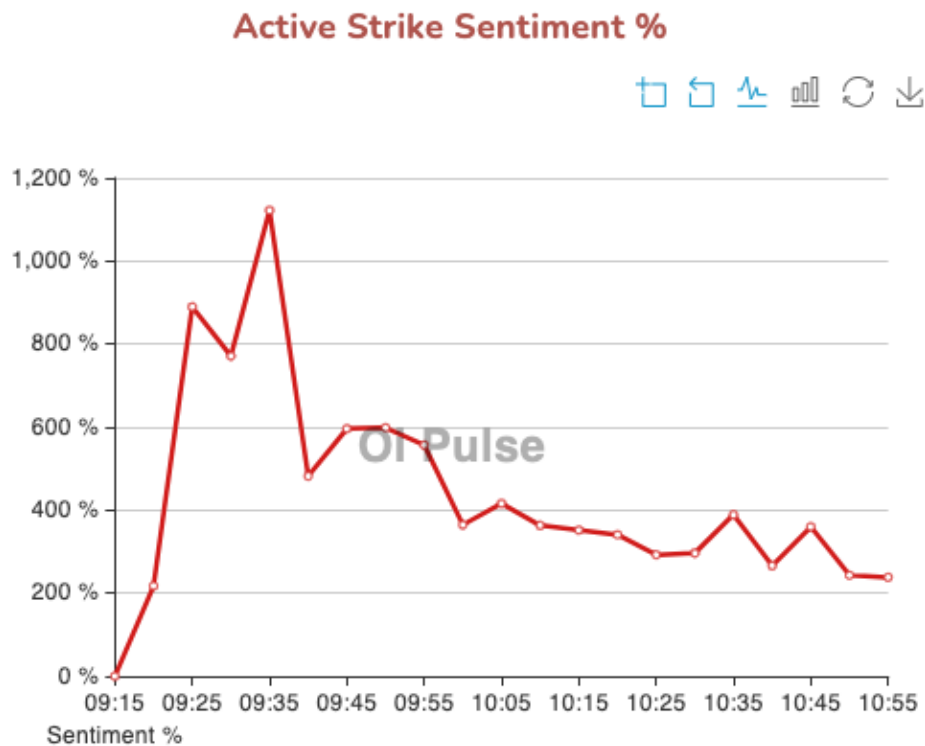
As can be seen we saw a straight upward rally till 10.30 AM and then another rally after 13.30 hours till day's end. This was captured by Active Strike change in OI. Thus this unique feature of OI Pulse would help you to identify the trend of the market for both Nifty and Bank Nifty.

Now let us proceed to the second graph of this feature, “**Active Strike Sentiment %**”. This feature also captures the essence of the market trend as seen in the previous graph. It is a more sensitive representation of active strikes.

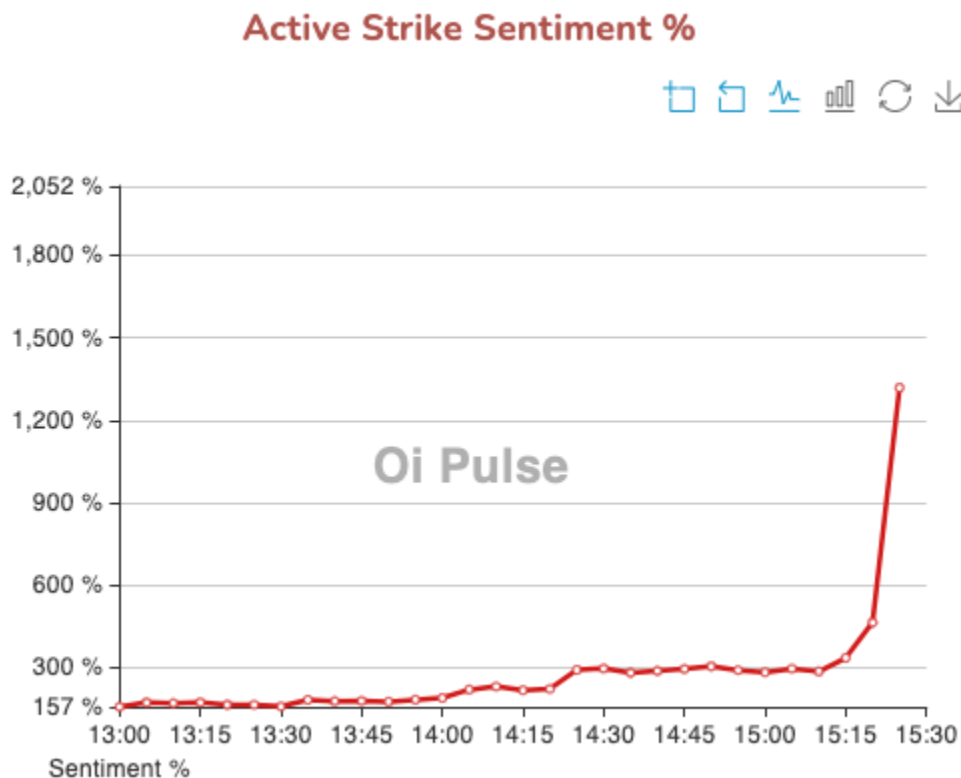
Following is the graph of Sentiment % for the day.



In order to analyse it further let us zoom it out. Following is the graph till 11.00 AM



As can be seen that the % Sentimeter increased rapidly in the morning but saw a decrease later on. It is important to note that this sentiment will give the market sentiment. If it is above 0 then it is bullish and if it is below 0 then it is bearish. On this particular day the % sentiment was above 180 the entire day. Though the levels changed drastically after 9.30 it was due to change in the active strikes as some strikes became less active as the market climbed and some became more active. So in this % sentiment it is very essential to analyse the overall sentiment levels. If the levels are above 0 and increase with time then it indicates that sentiment is bullish. Let us see what happened to it in the later part of the day.



Here also we saw that it kept on increasing and was above 157%. This is absolute bullishness.

Now it is very important to understand how to trade in such situations. If you think that we must jump and buy calls whenever you see bullishness then that is not the case. This is just sentiment and we must switch to the chart and look for buying opportunities at a certain level.

Thus these features of OI Pulse would give you the market trend and direction. They would tell you whether to go for buying calls or puts. In order to enter a trade you must switch to your chart and look for a good opportunity.

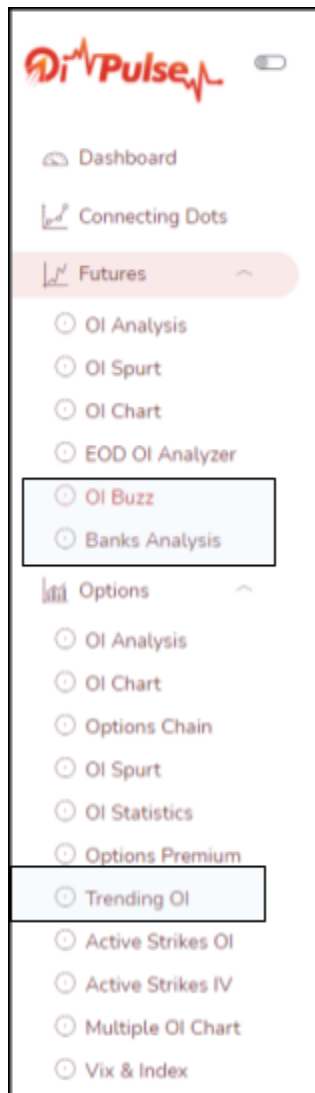
104



ADDENDUM 3

Continuing with our promise to simplify the complex market analysis we bring the following new exciting features that would help you in taking successful trades.

1. Options/Trending OI
2. Futures/OI Buzz
3. Futures/Banks Analysis



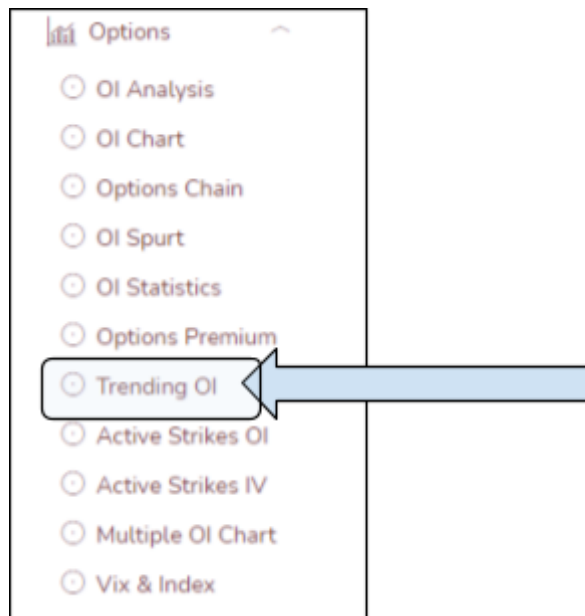
Let us examine all these features in detail and how they can be used to demystify the markets.

Options/Trending OI

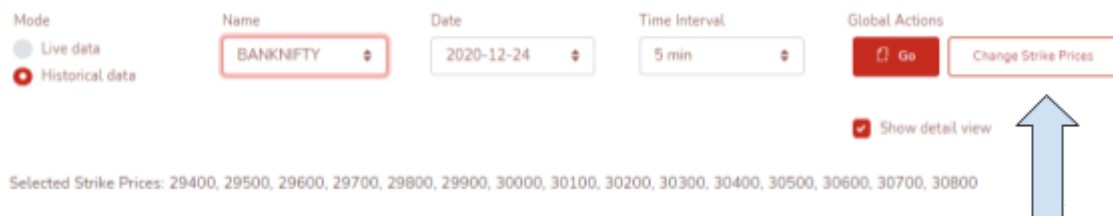
This feature of OI Pulse would give you an absolute edge to analyse the Open Interest Data of Options of different strike prices. We know that as the market makes a move, Call and Put writing accompany such moves. If we are able to see exactly where and how much Options writing is taking place that would give us confidence to take trades along the direction of the trend. Also whenever the trend of the day reverses then also we will witness it in OI data of options.

Thus the broad objective of this feature is to know whether Call or Put writers are dominating and where exactly they are writing options. From this information we can deduce where the market is likely heading and take trades accordingly.

Let us learn initially how we would access this feature and its basic elements.



This feature may be accessed under Options feature of OI Pulse



This feature is currently available for Nifty and Bank Nifty on a Live basis as well as for historical time periods.

The most interesting characteristic of this feature is that it gives you the option to **choose the Strike Prices** . Use the option as highlighted by the arrow in the above figure.

Select strike prices

Total Strike Prices: 15

Currently Selected Strike Prices:
29400, 29500, 29600, 29700, 29800, 29900, 30000, 30100, 30200,
30300, 30400, 30500, 30600, 30700, 30800

Clear all selection Reset strike prices

Select Strike Prices:

☐	27400	☐	27500	☐	27600	☐	27700	☐	27800	☐	27900
☐	28000	☐	28100	☐	28200	☐	28300	☐	28400	☐	28500
☐	28600	☐	28700	☐	28800	☐	28900	☐	29000	☐	29100
☐	29200	☐	29300	☒	29400	☒	29500	☒	29600	☒	29700
☒	29800	☒	29900	☒	30000	☒	30100	☒	30200	☒	30300
☒	30400	☒	30500	☒	30600	☒	30700	☒	30800	☐	30900
☐	31000	☐	31100	☐	31200	☐	31300	☐	31400	☐	31500
☐	31600	☐	31700	☐	31800	☐	31900	☐	32000	☐	32100
☐	32200	☐	32300	☐	32400	☐	32500	☐	32600	☐	32700
☐	32800	☐	32900								

Cancel OK

You may select as many strikes as possible from the above pop up box that would appear when you select the “Change Strike Prices” option.

We will have a short discussion on which strikes to select shortly, so keep on reading.

On selecting these basic elements following image would be presented

Mode

Live data

Historical data

Name

BANKNIFTY

Date

2020-12-24

Time Interval

60 min

Global Actions

Go

Change Strike Prices

Show detail view

Selected Strike Prices: 29400, 29500, 29600, 29700, 29800, 29900, 30000, 30100, 30200, 30300, 30400, 30500, 30600, 30700, 30800

Time

LTP

Call OI

Put OI

Difference in OI

Day High/Low Diff. in OI

Sentiment

1

15:30:00

30374.70

-3,39,200

35,55,400

38,94,600

-

Bullish

2

14:30:00

30439.65

40,65,850

92,57,800

51,91,950

-

Bullish

3

13:30:00

30425.35

35,45,675

97,62,300

62,16,625

-

Bullish

4

12:30:00

30336.75

38,08,875

1,01,00,175

62,91,300

-

Bullish

5

11:30:00

30323.75

28,78,575

83,72,200

54,93,625

-

Bullish

6

10:30:00

30382.90

17,21,425

80,70,800

63,49,375

Day High Break

Bullish

7

09:30:00

30219.90

8,18,825

26,60,500

18,41,675

-

Bullish

Rows per page 25

Prev

1 - 7 of 7

Next

Pay attention to the information conveyed by the Trending OI feature especially the ones highlighted by the arrows.

1. **Call OI** : This shows the **Total Cumulative Change in OI** of all the selected strike prices of **Call Options** during the day during the **selected time interval**.
2. **Put OI** : This shows the **Total Cumulative Change in OI** of all the selected strike prices of **Put Options** during the day during the **selected time interval**.
3. **Difference in OI**: This is the difference of **Change** in OI of selected Calls and Puts options. Mathematically it would be **{Change in Put OI - Change in Call OI}**.

Though it is written as **Change** in OI but it is actually the difference of **Change** in OI and not the total OI.

4. **Day High/Low Diff in OI**: The difference would be either positive or negative and would start getting reflected after 9.16 AM. There would be two different notations available under this label. "**Day High Break**" and "**Day Low Break**".

Day High Break: If during a selected time the difference of Put and Call change in OI **increases** more than the difference in the preceding time period then this option would be highlighted as "Day High Break". E.g in the above figure the difference in OI at 9.30 is 18,41,675. At 10.30 this difference increased to 63,49,375. This is certainly more than the previous difference thus it gets reflected as "Day High Break". Now if you observe during the entire day the difference in OI was less than 63,49,375 so we didn't get any new "Day High Break".

Day Low Break: If during a selected time the difference of Put and Call change in OI **decreases** more than the difference in the preceding time period then this option would be highlighted as “Day Low Break”.

Take into consideration following figure

Mode

☐ Live data
 ☒ Historical data

Name

BANKNIFTY

Date

2020-12-21

Time Interval

60 min

Global Actions

Go

Change Strike Prices

☒ Show detail view

Selected Strike Prices: 29900, 30000, 30100, 30200, 30300, 30400, 30500, 30600, 30700, 30800, 30900, 31000, 31100, 31200, 31300

	Time	LTP	Call OI	Put OI	Difference in OI	Day High/Low Diff. in OI	Sentiment
1	15:30:00	29325.65	52,56,350	-3,83,975	-56,40,325	Day Low Break	Bearish
2	14:30:00	29820.90	58,22,275	2,08,900	-56,13,375	Day Low Break	Bearish
3	13:30:00	30214.40	51,98,650	7,12,300	-44,86,350	Day Low Break	Bearish
4	12:30:00	30387.30	37,84,950	17,81,425	-20,03,525	Day Low Break	Bearish
5	11:30:00	30497.40	30,40,100	17,66,000	-12,74,100	-	Bearish
6	10:30:00	30465.70	29,14,850	14,39,275	-14,75,575	Day Low Break	Bearish
7	09:30:00	30369.75	18,06,700	5,00,450	-13,06,250	-	Bearish

Rows per page 25

Prev

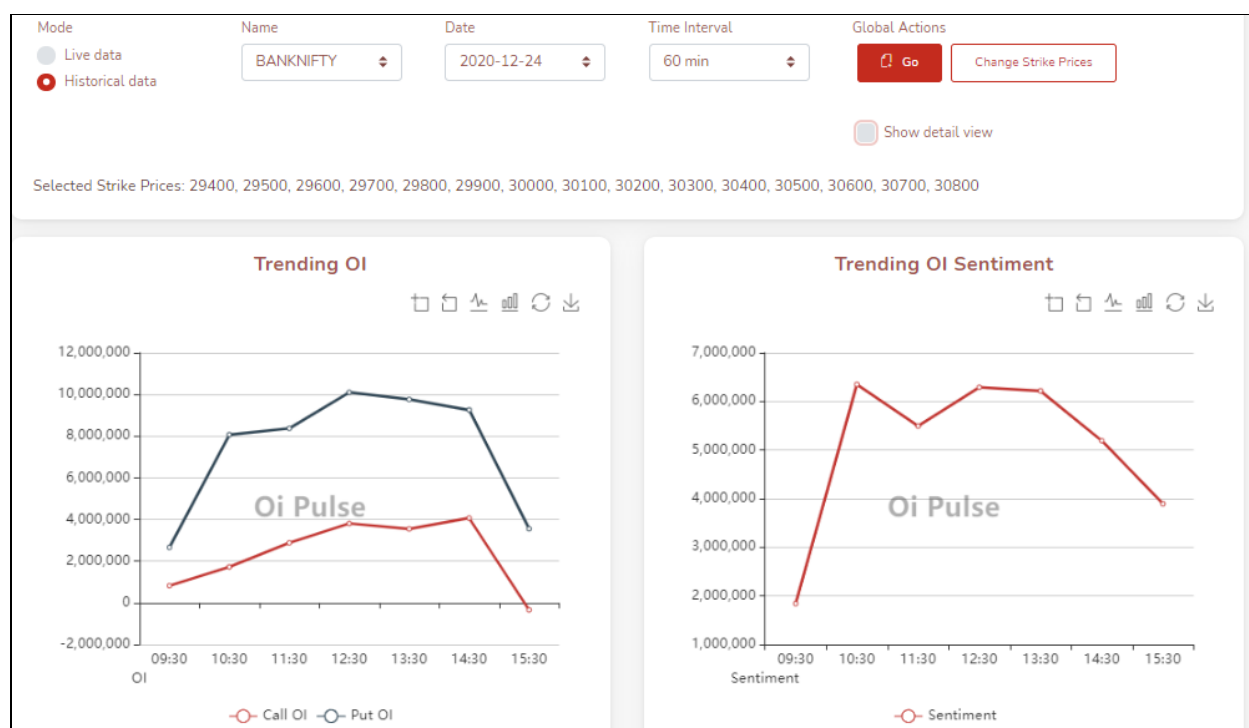
1 - 7 of 7

Next

E.g in the above figure the difference in OI at 9.30 is -13,06,250. At 10.30 this difference decreased to -14,75,575. This is certainly less than the previous difference thus it gets reflected as “**Day Low Break**”. Now at 12.30 the difference further decreased to -20,03,525. Thus it is again getting reflected as “**Day Low Break**”. During this day the change in OI kept on decreasing and it was getting reflected under the label.

- Sentiment:** This element would reflect the sentiment of the market. It may be Bullish or Bearish. If during the day more Puts are written as compared to Calls then it means that writers are more comfortable in writing Put options than Calls thus the market is unlikely to fall down. So we may assume that market sentiment is **Bullish**. So it would be reflected as Bullish under the sentiment. Similarly if more Calls are being written than Puts the Difference in OI would be negative which would mean that the market is unlikely to go higher. Thus the market sentiment may be assumed to be **Bearish** which would get reflected under the Sentiment column.

The processed information may also be viewed in graphical format if we unselect the “**show detail View**”. This graphical information will be shown as under



Under the Trending OI chart you can see the **Change in OI** of Call and Put options. The Trending OI sentiment would show the difference of Change in Put Options OI and change in Call Options OI.

Now having understood the basic elements let us proceed to understand the idea behind this feature.

IDEA BEHIND TRENDING OI

We have repeatedly stated that the information conveyed by OI is very important to know the sentiment of the market.

Let us proceed with a discussion on how would you expect the Open Interest to behave on a Trend Day? For sake of simplicity let us assume it is a downward trend day.

On a downward trending day an Options writer would be very comfortable in writing Call options especially OTM ones. Options buyers would be interested in buying Put options. So we would expect Open interest of both the Calls and Puts to increase. But certainly the increase in Open Interest of Calls would be much greater than that of Put options as it would be driven by sellers. This would be visible in Total Open Interest of Calls as well as Change in OI of Calls of that particular day. But for intraday analysis it is better to focus on Change in OI rather than Total OI. So certainly as the market gets more and more bearish the Change in OI of Calls would be much much greater than that of change in OI of Put Options. The relative difference would keep increasing during every downmove.

Which Strikes should we consider for analysing Trending OI?

On a bearish Trend day, Call writers would focus more and more on OTM Call strikes and Put option buyers would focus on OTM Put Strikes. Thus we should look at strikes on both sides of the ATM strike price while analysing the data.

OI Pulse simplifies the job for you as the AI enabled algorithm selects the strike prices on its own for the analysis.

Now we know that on a Bearish Trend day as the prices moves down, more Call Writing continues in OTM strikes. So if we see this continuously over a long time frame then we can think of proceeding ahead on the “**Sell on Rise**” strategy wherein we will look for buying Put options whenever the market makes a retracement provided other Connecting Dots are in favour.

Let us see an example of Bank Nifty Future 21 Dec 2020.

Following is the Trending OI chart of Bank nifty for that particular day

Mode

Live data

Historical data

Name

BANKNIFTY

Date

2020-12-21

Time Interval

60 min

Global Actions

Go

Change Strike Prices

Show detail view

Selected Strike Prices: 29900, 30000, 30100, 30200, 30300, 30400, 30500, 30600, 30700, 30800, 30900, 31000, 31100, 31200, 31300

	Time	LTP	Call OI	Put OI	Difference in OI	Day High/Low Diff. in OI	Sentiment
1	15:30:00	29325.65	52,56,350	-3,83,975	-56,40,325	Day Low Break	Bearish
2	14:30:00	29820.90	58,22,275	2,08,900	-56,13,375	Day Low Break	Bearish
3	13:30:00	30214.40	51,98,650	7,12,300	-44,86,350	Day Low Break	Bearish
4	12:30:00	30387.30	37,84,950	17,81,425	-20,03,525	Day Low Break	Bearish
5	11:30:00	30497.40	30,40,100	17,66,000	-12,74,100	-	Bearish
6	10:30:00	30465.70	29,14,850	14,39,275	-14,75,575	Day Low Break	Bearish
7	09:30:00	30369.75	18,06,700	5,00,450	-13,06,250	-	Bearish

We saw that at 10.30 we saw Day Low Break but there was no follow up at 11.30. But at 12.30 we saw a major rise in Call OI as compared to a negligible increase in Put OI. This meant clear Bearishness as more Calls were being written at important strike levels. This would have given a good confidence to look for a shorting opportunity. Lets jump to price chart of that day and see what happened at 12.30



We see that at 12.30 the price closed below the VWAP with a volume >50 K and RSI was less than 40. Now this is a good opportunity to short. But it would have been better if we wait for one more confirmation of another bearish candle along with a volume of 50 K. The 12.39 Candle was exactly what we were waiting for. Now at that juncture we had OI supporting us with Bearish candles accompanied with Volume >50 K, Price below VWAP, Red Supertrend and RSI less than 40. A perfect shorting opportunity and Sell on rise. It happened thereafter.

Now let's switch back to the previous Trending OI window and see what happened at 13.30. The CALL OI increased substantially from 37,84,950 to 51,98,650 while PUT OI decreased from 17,81,425 to 7,12,300. What else do you want? CALL writers are getting aggressive and Put writers are running to cover their losses.

Just see what happened after 13.30



Another great fall at 13.33 and sell on rise thereafter providing excellent scalping opportunities. Thus if you are able to analyse trending OI with price on a live basis, it can give you a good edge to enter a successful trade. Likewise on a bullish Trend day we will see Change in Put OI being much much higher than change in Call OI.

Lets us have a look at Bullish day too

The example is of Bank Nifty Future dated 23 Dec 2020.

Let us have a look at Trending OI of that particular day

Mode

Live data

Historical data

Name

BANKNIFTY

Date

2020-12-23

Time Interval

60 min

Global Actions

Go

Change Strike Prices

Show detail view

Selected Strike Prices: 28900, 29000, 29100, 29200, 29300, 29400, 29500, 29600, 29700, 29800, 29900, 30000, 30100, 30200, 30300

	Time	LTP	Call OI	Put OI	Difference in OI	Day High/Low Diff. in OI	Sentiment
1	15:30:00	29937.30	-33,125	24,78,525	25,11,650	Day High Break	Bullish
2	14:30:00	29805.55	19,77,150	43,64,750	23,87,600	Day High Break	Bullish
3	13:30:00	29785.50	21,19,025	43,69,300	22,50,275	Day High Break	Bullish
4	12:30:00	29751.80	22,27,650	36,31,600	14,03,950	-	Bullish
5	11:30:00	29676.95	18,93,850	37,33,350	18,39,500	Day High Break	Bullish
6	10:30:00	29761.10	23,93,425	28,77,275	4,83,850	Day High Break	Bullish
7	09:30:00	29554.45	8,68,025	7,20,100	-1,47,925	-	Bearish

We see that at 10.30 we saw a reversal from Bearish to Bullish Sentiment. At 11.30 The change in Put OI increased substantially from 28,77,275 to 37,33,350 while at the same time Change in Call OI decreased from 23,93,425 to 18,93,850. Thus clearly Put writers are becoming aggressive while Call writers are covering their positions. Thus we must look for buying opportunities and "Buy on Dips". Let us switch to price chart of the day and see what happened



We see that at 11.30 the OI data is suggesting Bullishness and price is just at the VWAP after being above it for a considerable amount of time. Thus it is a good opportunity to go for retracement trade with confidence even though RSI is less than 60 and Supertrend is negative because we know that chances of Retracement from VWAP are higher in this situation. AND it gave good scalping results thereafter as can be seen.

Thus we would summarise the learning in following table

S.no	Difference in Change in OI	Change in Call OI relative to previous Time frame	Change in Put OI relative to previous Time frame	Market Sentiment
1	Positive	Decrease	Increase	Extreme Bullish
2	Positive	Increase	Increase	Bullish
3	Positive	Increase	Decrease	Neutral
4	Positive	Decrease	Decrease	Neutral
5	Negative	Increase	Decrease	Extreme Bearish
6	Negative	Increase	Increase	Bearish
7	Negative	Decrease	Increase	Neutral
8	Negative	Decrease	Decrease	Neutral

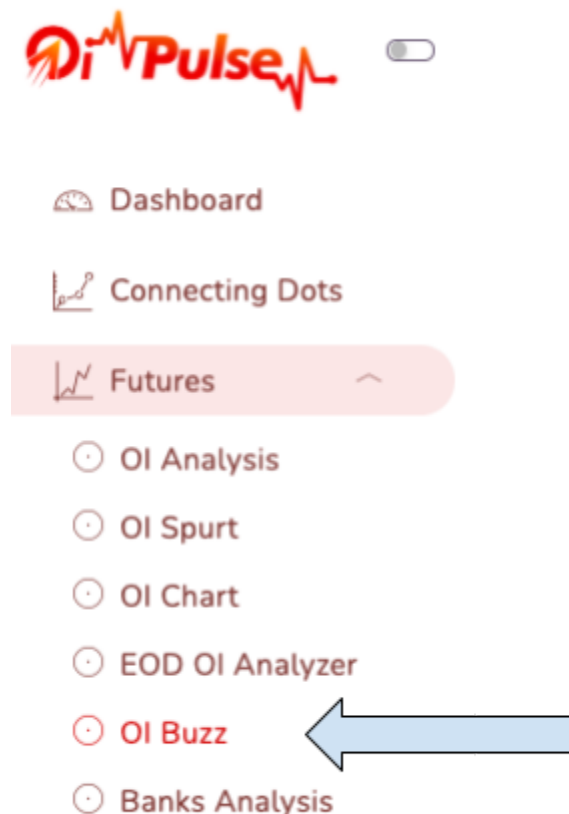
The whole idea lies in analysing the relative increase/decrease in Change in OI of Calls and Puts. The stronger this relative difference is, the stronger is the signal strength. But certainly the only thing to be kept in mind is that this is just one Connecting Dot and we need to look at other dots too before entering a trade.

OI Buzz

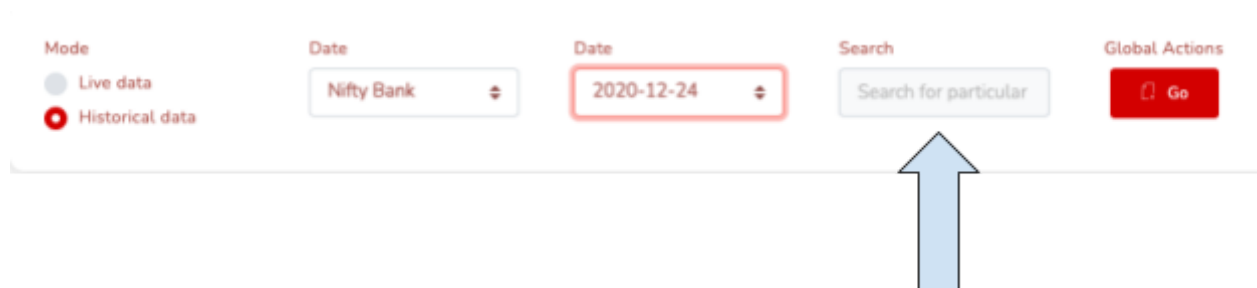
This new feature is actually a Heatmap of the major stocks of the indices and would provide a picture of how Open Interest has changed with respect to prices of individual stocks. Thus it would be ready to visualise OI analysis of individual stocks of both the indices viz Nifty and Bank Nifty.

The data is available on Live basis during the market hours as well as on Historical basis.

This feature may be accessed in following manner

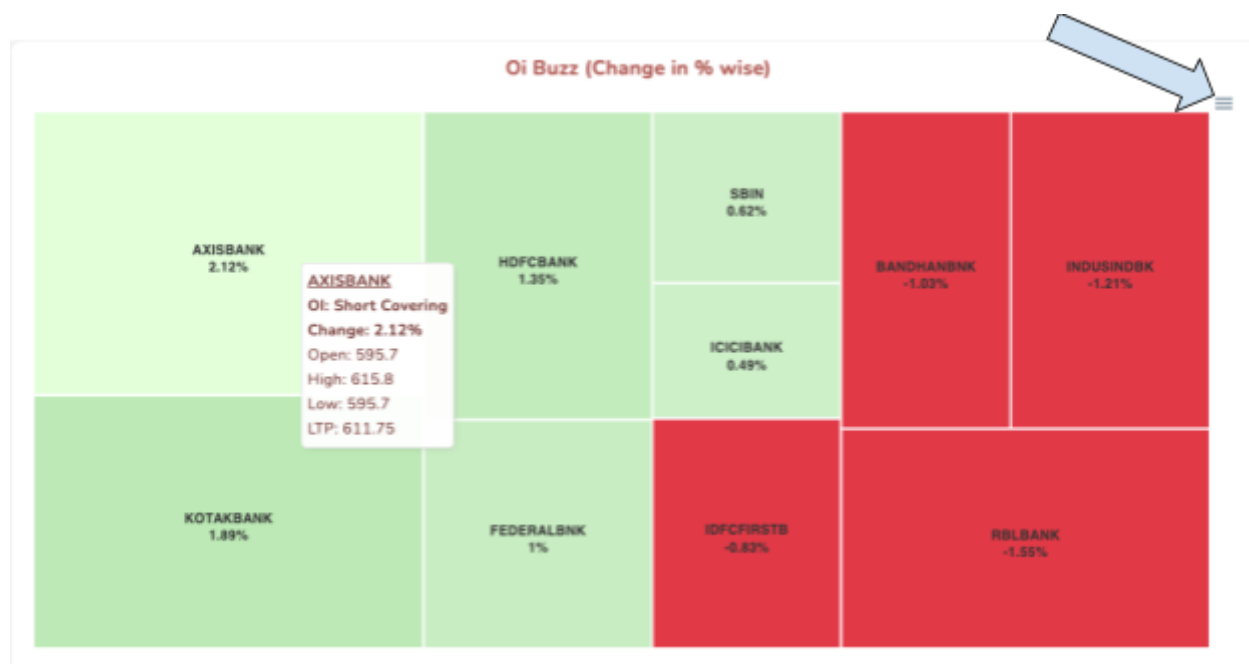


Once this tool is accessed, basic data needs to be selected.



One has the flexibility to choose any particular stock of the indices as well in the “Search” option as shown in above figure.

Once the data is selected we will have heatmap of individual stocks in front of us



If you scroll the mouse over any individual stock a pop up window would appear that would convey the OI Analysis for that stock.

In the above example we see that Axis Bank has undergone a Short Covering Rally today with a 2.12% rise in price. Likewise information about all the stocks can be known. The data can also be downloaded in three different formats by using the menu button on top RHS corner as indicated by the arrow.

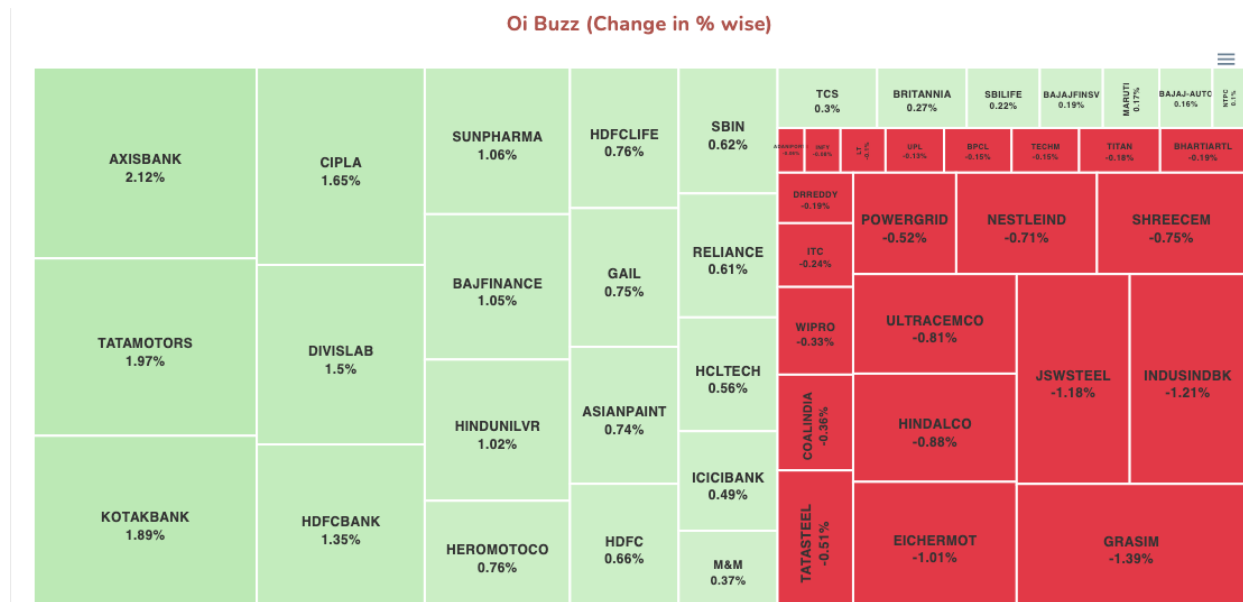


The downloaded file would have all the information about price change collectively as shown below

heatmap

category	% Change
AXISBANK	2.12
KOTAKBANK	1.89
HDFCBANK	1.35
FEDERALBNK	1
SBIN	0.62
ICICIBANK	0.49
IDFCFIRSTB	-0.83
BANDHANBNK	-1.03
INDUSINDBK	-1.21
RBLBANK	-1.55

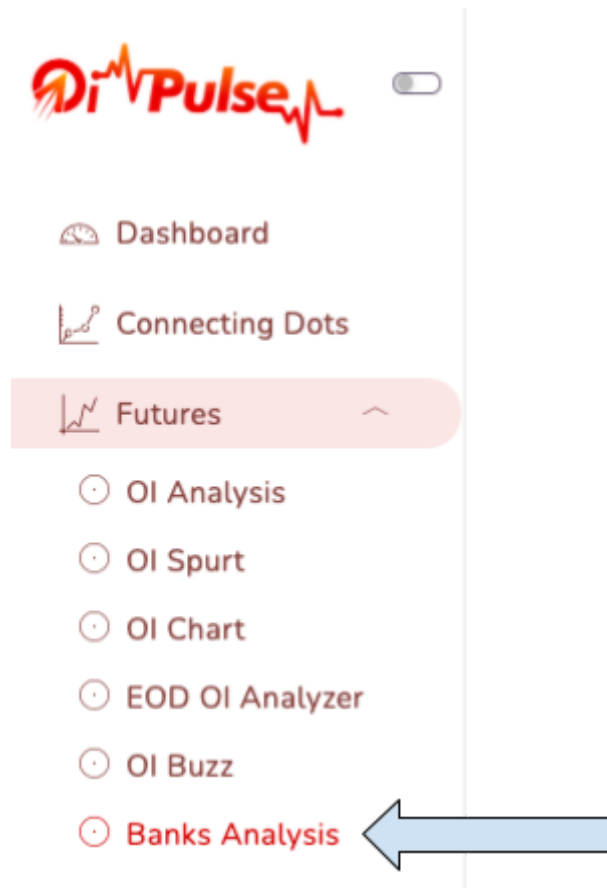
The heat map of Nifty would show all the information about 50 constituents of the Nifty Index as shown below.



This feature may be used to determine the day that went by and what can be the implications for the next particular day.

BANKS ANALYSIS

This feature is dedicated exclusively for the analysis of Bank Nifty stocks. It analyses the Open Interest and Price change of 6 major Banks which have maximum contribution in Bank Nifty. This feature may be accessed in following manner



After initial access one just need to select Time Frame for Live or Historical Data as shown below

Mode	Date	Time Interval	Global Actions
☐ Live data	2020-12-24	60 min	Go
☒ Historical data			

On selecting this option following information would be displayed on your screen

Mode

Live data

Historical data

Date

2020-12-24

Time Interval

60 min

Global Actions

Go

	Time	Hdfc Bank ⓘ	Icici Bank ⓘ	Axis Bank ⓘ	Kotak bank ⓘ	Indusind bank ⓘ	SBI ⓘ
1	15:30-EOD	(1.57% / -8.33%) S.C.	(1.90% / -7.49%) S.C.	(2.89% / -5.94%) S.C.	(2.03% / -7.78%) S.C.	(-0.49% / -6.04%) L.U.	(1.38% / -4.99%) S.C.
2	14:30-15:30	(1.47% / -1.36%) L.U.	(1.78% / 0.64%) S.C.	(2.84% / -3.31%) L.U.	(1.90% / -1.48%) L.U.	(-0.81% / 6.33%) L.U.	(1.48% / -1.83%) L.U.
3	13:30-14:30	(1.68% / -0.63%) S.C.	(1.65% / 2.10%) S.B.	(3.02% / -0.84%) L.U.	(2.05% / 0.52%) S.C.	(0.25% / 8.20%) S.B.	(1.74% / 0.97%) L.U.
4	12:30-13:30	(1.20% / -0.51%) S.C.	(2.17% / 1.86%) L.B.	(3.27% / -0.27%) S.C.	(1.59% / 1.73%) L.B.	(0.30% / 6.67%) L.B.	(1.86% / 1.24%) L.B.

Let us understand how to read the information in this diagram.

If you move your cursor to any bank there is an information icon ⓘ with the name of Bank. It gives following information

Hdfc Bank ⓘ	Icici ⓘ
Chg. In LTP % / Chg. in OI % / OI Interpretation	
(1.57% / -8.33%)	(1.90% / -7.49%)
S.C.	

Thus we get three different data in same sequence

- (i) % Change in LTP **with respect to previous day adjusted closing price.**
- (ii) % Change in OI **with respect to previous day Open Interest**
- (iii) OI interpretation with respect to previous time frame

Thus for HDFC Bank if we read following information,

	Time	Hdfc Bank ⓘ
1	15:30-EOD	(1.57% / -8.33%) S.C.
2	14:30-15:30	(1.47% / -1.36%) L.U.
3	13:30-14:30	(1.68% / -0.63%) S.C.

We shall read it as follows

- (1) From 13.30 to 14.30 Hours the **Price** of HDFC Bank Future has increased by 1.68% with respect to previous day adjusted close price along with reduction of 0.63% of **Open Interest with respect to previous day Open interest**. While during the last time period (60 mins) it has undergone **Short Covering**.
- (2) From 14.30 to 15.30 Hours the **Price** of HDFC Bank Future has increased by 1.47% with respect to previous day adjusted close price along with reduction of 1.36% of **Open Interest with respect to previous day Open interest**. While during the last time period (60 mins) it has undergone **Long Unwinding**.

So we try to capture the daily and hourly time frame together in this feature.

Likewise we can read the information for all the Banks and know how they are performing individually with respect to the previous day and also in the selected time period.

Analysis of these banks on an individual basis would help to know the strength of the market sentiment. If all or majority of the banks point in one direction then Banknifty index may move strongly. If however there is diversion in their individual performance then Bank Nifty may consolidate or make some irrational one candle moves.

Hope these new features of OI Pulse would help you to decode the markets further and develop an edge. Our effort will be to bring in more user friendly features in OI Pulse to help you succeed.

Kindly subscribe to our youtube channel for related videos on all features of OI pulse. Our channel may be accessed via following link

<https://www.youtube.com/channel/UC0kKxsSzUbJdbfRo89Cuxlw>

Regards

Team OI Pulse



ADDENDUM 4

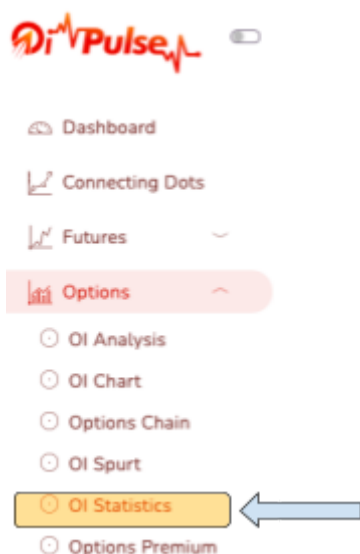
With encouraging feedback from active OI Pulse users we believe that our vision of empowering Retail traders by enhancing their knowledge is on the right track. Certain features have provided life changing experiences for such active users. Thus continuing with our mission we intend to simplify more things for our users. In this Addendum we shall explain new features added and elaborate more about the “Trending OI” feature that has actually proved to be the flagship feature of OI Pulse for Intraday trading.

Continuing with our promise to simplify the complex market analysis we have added a new element in already existing feature OI Statistics called “**Select Period**”

Let us first examine the OI **Statistics/ Select Period** feature first and then see how it can be used while we elaborate more about Trending OI.

OI Statistics feature has already been explained in previous versions and its details may be seen there. Still we would revisit some basics.

This feature may be accessed in following manner



Once we select the feature we get following options

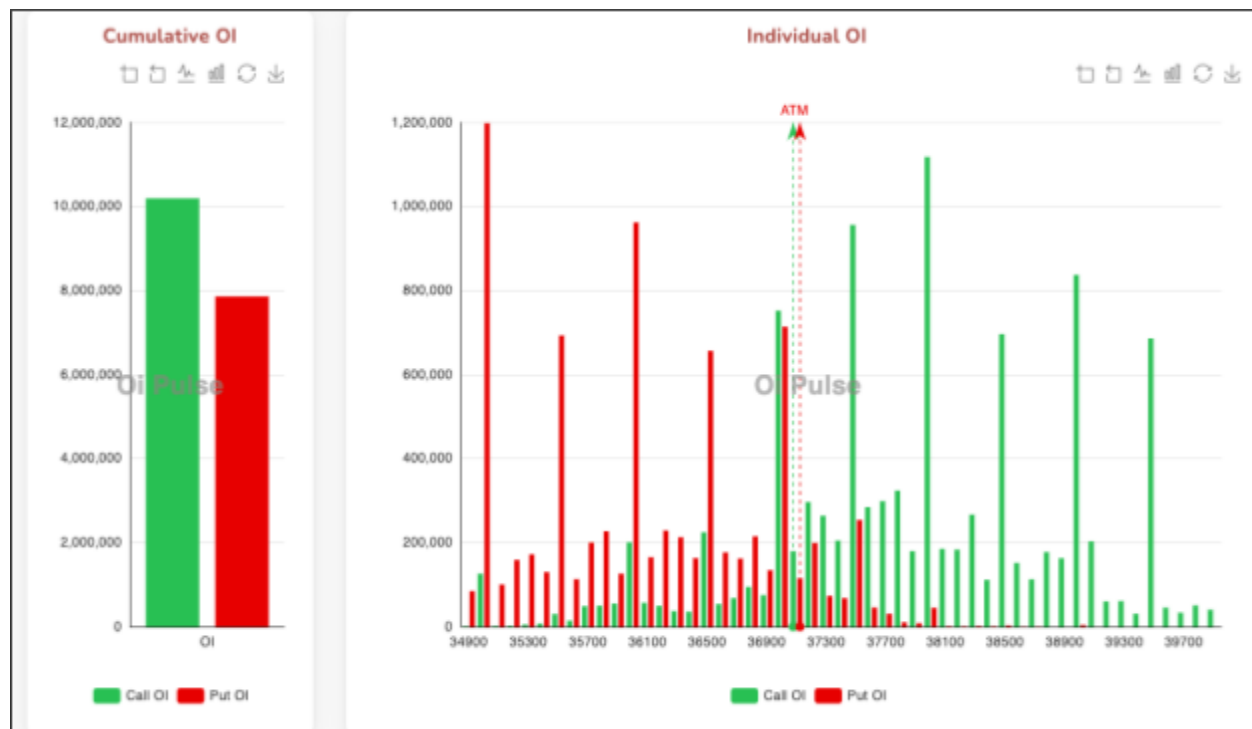


The Select Period as highlighted is a new feature added.

This unique feature of the tool would enable you to get a holistic picture of the entire Open Interest of both calls and Puts.

With this feature you can see the OI of different Calls and Puts with just a single click. You can analyse the OI of ATM strikes and see whether the CALLS are more or the PUTS. Also we can catch a glimpse of whether CALL writers are dominating or the PUT writers and at what strike prices.

The data can be seen for the cumulative Open Interest of different strikes or for the change in OI for that particular day in both Live Market as well as for historical Data.



For example in the above diagram which is OI Data for Bank Nifty Future on 18 Feb 2021 we see that strikes 37500 & 38000 have highest Call Open Interest while 35000 & 36000 strikes have highest Put Open Interest.

Though it gives a broad idea about support and resistance but conveys a little information about how the trading day went and what would be its implication for the next day.

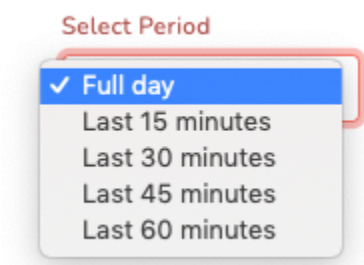
In order to prepare for the next day we must know how and where OI changed today. For this use the “Change in OI” feature on the menu of OI Statistics.



In the above diagram you can see we have plotted “Change in OI” while in the previous diagram we plotted “Total OI”. Here we see clearly that Call Writers have dominated the day. Call writers have written close to 34,00,000 call options while there has been negligible Put writing. This data compliments the overall Open Interest which shows total CALL OI at nearly 1,00,00,000 is much more than cumulative PUT OI of 80,00,000. Thus it is clear that at the end of day Call writers have a dominance. The “Change in OI” plot also shows us the levels at which Call Writing has happened. Thus gives us a hint that tomorrow in absence of any external influence Call writers would love to eat premiums and thus would resist any rise in the market. Thus any rise should invite sell off in case we get a Gap Up. This would hold valid till the previous day high is taken off.

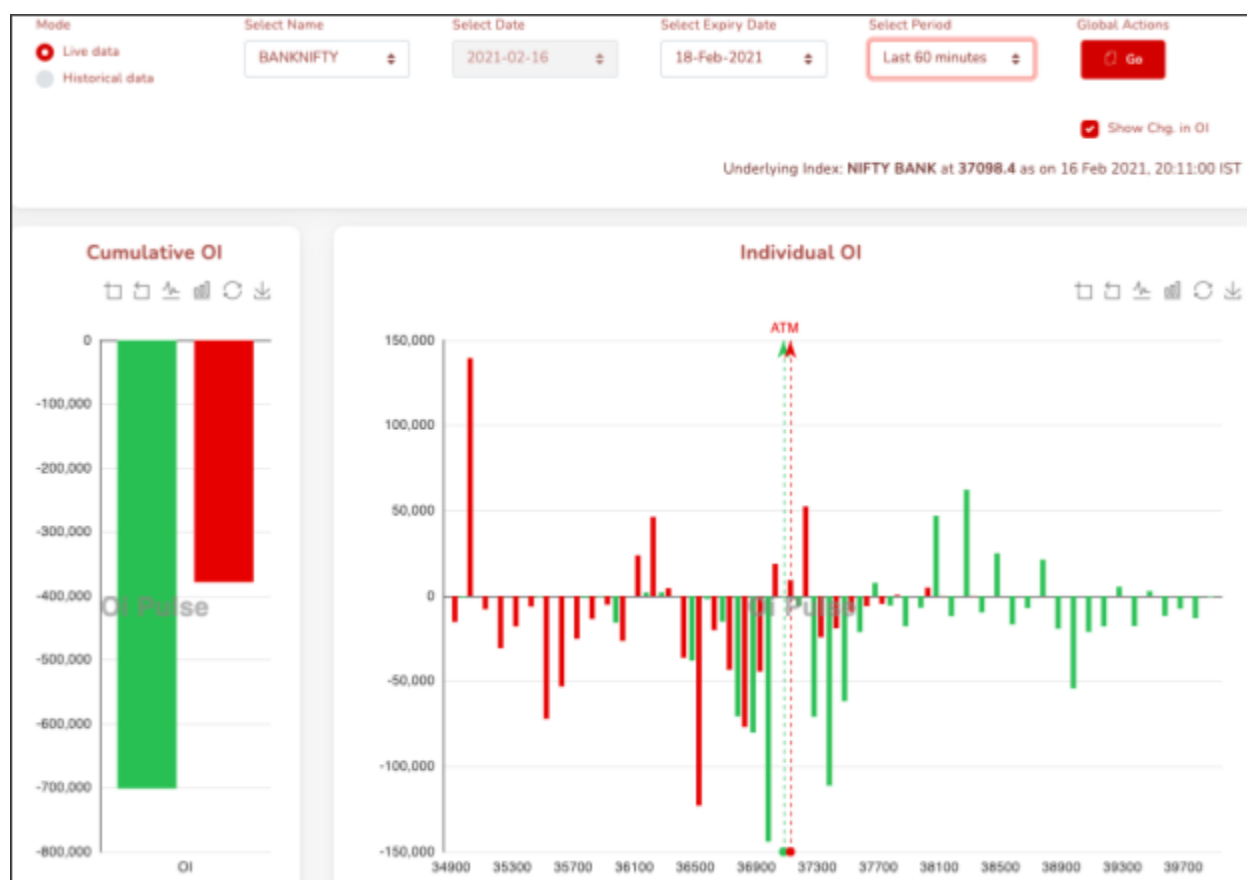
Now the new feature of OI Pulse would give us an added advantage for analysing the data. If we are able to analyse the data of change in OI of the last one hour then it would be very useful for us. This new feature gives us this flexibility.

If you see, this new feature has following options



So we may analyse the data for above mentioned time periods. This feature would be very helpful for intraday trading as we can see exactly where the action is happening. On expiry day this would be a very useful tool in the arsenal.

This would look like this



Here we see that in the last one hour the market saw major unwinding. On this day Bank Nifty saw a rise of 400 points in the last one hour. But despite the rise there was no significant Put writing that would have suggested that Bulls want to take the market higher tomorrow morning. This new feature when combined with trending OI would be very useful as you can see where exactly the options writing is happening in the last 15/30/60 minutes thus giving more confidence in taking trades.

Trending OI

Now let us switch to the **Trending OI** feature and analyse it in more detail.

The basic details of this feature have been elaborated in previous Addendum but let us revisit some basic elements of this feature

- The main idea behind this feature is to know how Options sellers are placing their positions in the market at any given time and who (either Call or Put writer) is dominating at the moment. This information plays a very important role in identifying the correct trading opportunities.
- This feature is focussed **primarily on the Change in OI of Calls and Puts** rather than their **absolute OI**. Information about absolute levels of Open Interest can be accessed via OI Statistics and Options Chain feature of OI Pulse.
- Information about change in OI is the most dynamic and essential element to enter a trade with high probability of success.
- OI Pulse has an inbuilt AI driven system that selects important strikes for analysing the change in OI data. Thus the user need not worry about selecting the strikes manually, though you can always change them manually too.

How to Use Trending OI

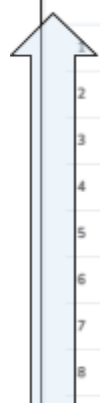
When you select the Trending OI feature of OI Pulse you would get following menu bar open

The screenshot displays the 'Trending OI' interface with the following components:

- Mode:** Two radio buttons for 'Live data' (selected) and 'Historical data'.
- Name:** A dropdown menu showing 'BANKNIFTY'.
- Date:** A date selector showing '2021-02-17'.
- Time Interval:** A dropdown menu showing '15 min'.
- Global Actions:** A red 'Go' button and a 'Change Strike Prices' button.
- Show detail view:** A checkbox that is currently unchecked.
- Selected Strike Prices:** A list of 18 strike prices: 36300, 36400, 36500, 36600, 36700, 36800, 36900, 37000, 37100, 37200, 37300, 37400, 37500, 37600, 37700.

You can select different time intervals and different instrument names for Live or Historical Data. We shall analyse the Live Data for reaching some conclusions.

We shall be analysing data for a 60/15 min time interval for Bank Nifty. Present example is for 16 Feb 2020.



	Time	LTP	Call OI	Put OI	Difference in OI	Day High/Low Diff. in OI	Sentiment
1	20:11:00	37098.40	26,64,800	4,99,725	-21,65,075	-	Bearish
2	15:30:00	37127.60	26,64,800	4,99,725	-21,65,075	-	Bearish
3	14:30:00	36943.50	32,17,825	5,86,450	-26,31,375	Day Low Break	Bearish
4	13:30:00	36925.00	33,39,700	7,74,600	-25,65,100	Day Low Break	Bearish
5	12:30:00	37132.30	31,89,825	14,77,875	-17,11,950	Day Low Break	Bearish
6	11:30:00	37169.75	28,47,650	16,04,675	-12,42,975	Day Low Break	Bearish
7	10:30:00	37280.45	20,23,925	13,33,650	-6,90,275	Day Low Break	Bearish
8	09:30:00	37673.15	5,96,250	7,85,200	1,88,950	-	Bullish

Rows per page 25 ▾

< Prev 1 - 8 of 8 Next >

First we need to understand how to read this chart

1. TIME:

It reflects the time interval one has selected. Read the table from bottom to Top rather than Top to bottom as shown by the arrow.

2. LTP:

It represents the Last Traded Price of Bank Nifty Future at end of Time Interval.

3. CALL & PUT OI:

The figures appearing under this column represents the **Change in OI** with respect to previous day OI of the **selected strikes**. Please pay attention to the work “Change in OI”. This would represent the cumulative Change in OI of selected strikes and not the absolute numbers.

Let us clarify this here with more elaboration. The above data is for 16 Feb 2021. The Strikes selected for analysing are

Selected Strike Prices: 36800, 36900, 37000, 37100, 37200, 37300, 37400, 37500, 37600, 37700, 37800, 37900, 38000, 38100, 38200

These strikes have been automatically selected by the **AI system** of OI Pulse and are the ones that would see maximum action. By the end of 15 Feb 2021 the cumulative Call OI of all these strikes was 10,00,000. At 9.30 in the morning this cumulative OI changed to 15,96,250.

So what is the change in OI? It would be 1596250-1000000=596250. So what you see on the table is change in OI and not absolute cumulative OI.

Following table would further clarify the point in consideration

S.No	Date	Time	Cumulative OI	Change in OI	Remarks
1	15 Feb 2021	End of Day	10,00,000	-	It is Change in OI and not absolute Cumulative OI that is reflected in Trending OI
2	16 Feb 2021	09.30 AM	15,96,250	5,96,250	
3		10.30 AM	30,23,925	20,23,925	
4		11.30 AM	38,47,650	28,47,650	
5		12.30 AM	41,89,825	31,89,825	
6		01.30 PM	43,39,700	33,39,700	
7		02.30 PM	42,17,825	32,17,825	
8		03.30 PM	36,64,800	26,64,800	

Cumulative and Change in OI of selected CALL strikes

Hope the point that we want you to understand is loud and clear.

Now let us proceed further and understand what other information is conveyed by Trending OI

1. Difference in OI :

It is simply the difference of Change in Put OI and change in Call OI.

Mathematically

Difference in OI = Change in Put OI - Change in Call OI

	Time	LTP	Call OI	Put OI	Difference in OI
1	20:11:00	37098.40	26,64,800	4,99,725	-21,65,075

For example in above data

Difference in OI= Change in Put OI - Change in Call OI

-21,65,075 = 4,99,725 - 26,64,800

Just for clarity observe following example for Bank Nifty data of 15 Feb 2021

	Time	LTP	Call OI	Put OI	Difference in OI
1	20:11:00	37306.25	-11,73,100	36,53,575	48,26,675



Just observe under Call OI the figure mentioned is -11,73,100 (negative). This simply means that Cumulative OI at the end of Day reduced by 11,73,100 from the previous day. Difference in OI would be calculated as

Difference in OI= Change in Put OI - Change in Call OI

$$42,26,675 = 36,53,575 - (-11,73,100)$$

Hope the concept is now clear.

2. Day High/Low Diff in OI

This column would compare the “Difference in OI” column.

There would be two options appearing under this column. These would be

Day High Break and **Day Low Break**

But when do they appear and what do they signify?

Let us examine first when these messages appear.

Day High Break would appear if the Difference in OI at a particular interval is positive and greater than Difference in OI of immediately preceding time interval.

4	13:30:00	35833.15	3,11,050	22,03,350	18,92,300	-
5	12:30:00	35984.85	67,950	23,34,475	22,66,525	-
6	11:30:00	36184.85	2,150	23,14,625	23,12,475	Day High Break
7	10:30:00	36215.40	-2,91,675	20,02,600	22,94,275	Day High Break
8	09:30:00	36158.45	2,21,250	7,80,375	5,59,125	-



comparison is made between present and immediately preceding time interval data.

Arrow 1 compares data at time intervals 10.30 and 9.30. At 10.30 we see that the Difference in OI is 22,94,275. It is higher than 5,59,125 and highest difference OI of the day, thus it would get reflected as **Day High Break**

Now let us focus on Arrow 2 which compares data at the time interval 11.30 with that at 10.30. At 11.30 Difference in OI was 23,12,475. It is higher than immediately preceding value 22,94,275 and highest value of the day, thus it again gets reflected as **Day High Break**

Now observe Arrow 3 which compares data at time intervals 12.30 & 11.30. AT 12.30 Difference in OI was 22,66,525 while at 11.30 the corresponding value was 23,12,475. Now this is LOWER than the preceding value, thus nothing would appear in the Day High/Low Diff in the OI column.

1. Thus for the message **Day High Break** to appear three conditions need to be fulfilled
2. Difference in OI should be a positive number
3. Difference in OI of selected Time interval should be higher than corresponding value in preceding Time interval
4. Difference in OI of the time interval should be the highest value of the day.
5. On similar lines the message **Day Low Break** appear when following conditions are met
6. Difference in OI should be a negative number
7. Difference in OI of selected Time interval should be lower than corresponding value in preceding Time interval
8. Difference in OI of the time interval should be the lowest value of the day.

Just try to figure out the messages in following table on your own based on above mentioned rules and concept would be crystal clear to you

21	10:30:00	37010.00	19,28,000	23,90,425	4,62,425	Day High Break
22	10:15:00	36940.25	23,80,150	18,80,050	-5,00,100	Day Low Break
23	10:00:00	36844.55	19,72,525	18,16,250	-1,56,275	Day Low Break
24	09:45:00	36876.05	13,24,400	14,69,700	1,45,300	Day High Break
25	09:30:00	37010.90	8,77,800	10,06,100	1,28,300	-

Now having understood when these messages appear it is time to understand what do **Day High Break** and **Day Low Break** signify?

We would come back to this topic again once we cover the last Column of Trending OI i.e Sentiment.

5. Sentiment

This column of Trending OI suggests whether the outlook of the market is **Bullish** or **Bearish** based upon changes in Open Interest during the day.

It would show Bullish always when the difference in OI column has a positive value and Bearish whenever the Difference in OI column has a negative value.

20	10:45:00	37125.35	19,53,025	27,01,875	7,48,850	Bullish
21	10:30:00	37010.00	19,28,000	23,90,425	4,62,425	Bullish
22	10:15:00	36940.25	23,80,150	18,80,050	-5,00,100	Bearish
23	10:00:00	36844.55	19,72,525	18,16,250	-1,56,275	Bearish
24	09:45:00	36876.05	13,24,400	14,69,700	1,45,300	Bullish
25	09:30:00	37010.90	8,77,800	10,06,100	1,28,300	Bullish

Just observe the Sentiment and how it has appeared.

Now having understood the basic concepts it is high time to know how to use this information for trading. For this we must understand the significance of data suggested by Trending OI.

So let us understand the significance of information conveyed by Trending OI.

At the very beginning we shall like to clarify

;

Do not trade exclusively on the basis of Trending OI

;

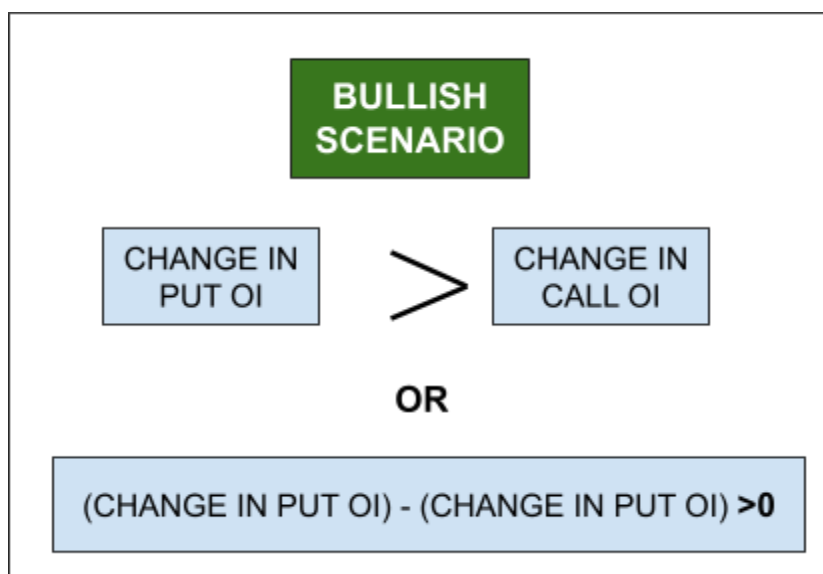
It is ***one of the major dots to connect but not the only one***. Do take into consideration other factors like Price levels, Volume, VIX, IV, Global Markets etc before making an entry. However information analysed through Trending OI shall help you identify scenarios ranging from weakly bullish/bearish to extremely bullish/bearish. But certainly this would highly increase the chances of a successful trade. So let us begin

We shall begin the process by discussing **bullish scenarios**.

When the Market is Bullish what do you expect Options Sellers to do?

They would certainly like to write more Puts than Calls during the day. So if that is the case then on any day when market outlook is Bullish then we expect the change in OI of Puts to be more than the change in OI of Calls.

To put it simply



Thus by virtue of this simple rule any situation when Diff in OI Column of Trending OI shows a positive value the outlook is Bullish. But this is very simple and naive. The probability of a Long Trade in this scenario would be very less.

Let us see an example

Take into consideration Bank Nifty Futures on 17 Dec 2021.

Just observe that at 12.30 the Sentiment is simply Bullish without any Day Break.

13	12:30:00	37272.15	16,28,200	35,24,050	18,95,850	-	Bullish
14	12:15:00	37183.75	15,61,550	34,07,075	18,45,525	-	Bullish
15	12:00:00	37249.05	14,69,825	33,91,350	19,21,525	Day High Break	Bullish
16	11:45:00	37224.45	14,38,100	32,77,075	18,38,975	Day High Break	Bullish
17	11:30:00	37229.95	14,16,900	31,91,525	17,74,625	Day High Break	Bullish

Also observe the price chart of the corresponding day at 12.30.



Would you enter a trade at this juncture? It might face resistance at Day's High. Also we do not see any significant Put Writing. Rather more calls were written than Puts in the last 15 minutes.

So though it is showing bullish but still odds are low in favour of a long trade.

Let us consider the price chart for this example



Just observe that at 10.45 we have a price above VWAP and get a moderately Bullish scenario as per Trending OI. Thus any further up move with volume would confirm the Bullish setup.

Let us see what happened next.



In the very next candle we saw a further up-move with volume. Thus Bullishness was confirmed and it became a buy on dips situation.

We would like to reiterate that Trade one should enter a trade when the majority of the dots are connected. Here in this example at 10.45 apart from Trending OI data we got a strong Marubozu type bullish candle with Volume > 50 K and RSI too jumped above 60..thus many dots in favour.

Now we have learnt how to identify bullish and moderately bullish scenarios with the help of Trending OI. The beauty of this tool is that it can also help you identify **extreme Bullish scenarios as well**. Still we would again emphasize that these are just scenarios, look for other factors like price levels, volume, RSI, Global Markets, VIX etc before entering a trade. What makes these scenarios extremely Bullish are the favourable reward risk ratio.

We can have two cases where the outlook is extremely Bullish and we will discuss them separately.

Extremely Bullish scenario 1

The starting point of such scenario would be

1. The "Sentiment" column in Trending OI has be **Bullish**
2. The "Day High/Low Diff in OI" column has to show **Day High Break**

Let us observe what happened



It actually took a strong resistance and moved lower.

So the lesson learnt is that in a simple Bullish scenario without any additional information wait for more confirmations.

So we have seen a simple bullish scenario. Now let us identify a **moderately strong Bullish** scenario based on Trending OI.

It would be based upon the information conveyed in the Day **High/Low diff** column in OI. For this we need to understand the significance of information first.

We get a **Day High Break** only when the difference between Put & Call Change in OI is maximum. This simply means that we have more numbers of Puts written in the day and now they are being written at a faster rate than the Calls.

So the key advancement over plain vanilla Bullish scenarios is that Puts are being written at a faster rate than Calls now. This is certainly a **more or moderately bullish scenario**.

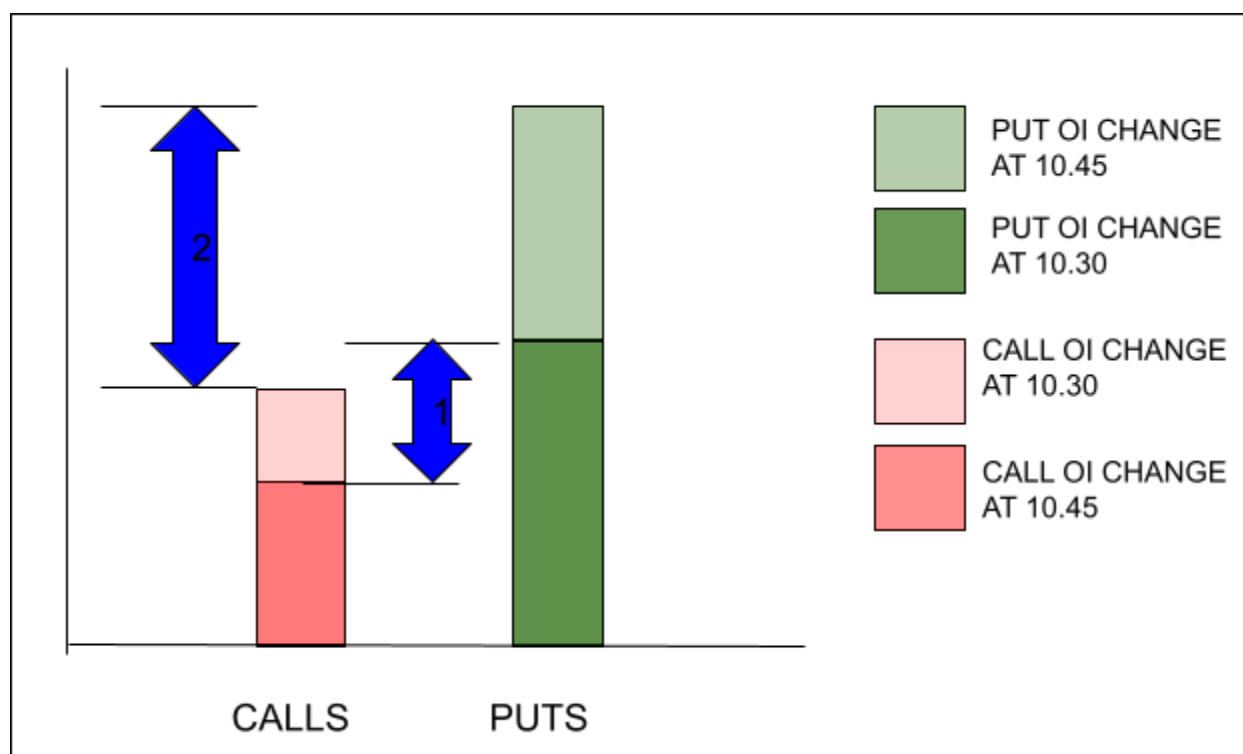
Just consider the following example of Bank Nifty 15 Feb 2021 and focus upon time 10.45

19	11:15:00	36826.60	7,75,975	34,07,800	26,31,825	Day High Break	Bullish
20	11:00:00	36764.15	8,74,650	32,75,550	24,00,900	Day High Break	Bullish
21	10:45:00	36723.00	7,83,550	31,63,825	23,80,275	Day High Break	Bullish
22	10:30:00	36698.30	7,31,625	30,17,675	22,86,050	-	Bullish
23	10:15:00	36728.10	6,66,775	28,73,700	22,06,925	-	Bullish
24	10:00:00	36712.10	2,71,875	25,65,650	22,93,775	Day High Break	Bullish
25	09:45:00	36722.25	69,500	22,14,175	21,44,675	Day High Break	Bullish
26	09:30:00	36812.25	76,350	10,50,975	9,74,625	-	Bullish

We see that at 10.45 both Puts and Calls were written but certainly more Puts were written as compared to Calls as a result of which we saw a Day High Break.

With the new element of “Select Period” in OI Statistics we can see exactly where the Options are being written that would prove out to be very useful.

The above change has also been explained in the following diagram.



Let us consider the price chart for this example



Just observe that at 10.45 we have a price above VWAP and get a moderately Bullish scenario as per Trending OI. Thus any further up move with volume would confirm the Bullish setup.

Let us see what happened next.



In the very next candle we saw a further up-move with volume. Thus Bullishness was confirmed and it became a buy on dips situation.

We would like to reiterate that Trade one should enter a trade when the majority of the dots are connected. Here in this example at 10.45 apart from Trending OI data we got a strong Marubozu type bullish candle with Volume > 50 K and RSI too jumped above 60..thus many dots in favour.

Now we have learnt how to identify bullish and moderately bullish scenarios with the help of Trending OI. The beauty of this tool is that it can also help you identify **extreme Bullish scenarios as well**. Still we would again emphasize that these are just scenarios, look for other factors like price levels, volume, RSI, Global Markets, VIX etc before entering a trade. What makes these scenarios extremely Bullish are the favourable reward risk ratio.

We can have two cases where the outlook is extremely Bullish and we will discuss them separately.

Extremely Bullish scenario 1

The starting point of such scenario would be

1. The "Sentiment" column in Trending OI has be **Bullish**
2. The "Day High/Low Diff in OI" column has to show **Day High Break**

So we know what happens in such a situation. Overall the Puts Change in OI would be more than Call change in OI. But can you think what would be the situation of Call writers in cases of extreme bullishness? **They would be frightened to the core and would unwind their positions to limit their losses.** In such a situation Put writers would become aggressive and Call writers would start to unwind their position.

In such a situation We would still get a fresh **Day High Break**. However the nature of this new Day high break would be somewhat different. IN this case The CALL OI would actually be less than the CALL OI figure of immediately preceding time interval while PUT OI shall be higher.

Let us see example and try to understand the point made here

Time	LTP	Call OI	Put OI	Difference in OI	Day High/Low Diff. in OI	Sentiment
20 11:00:00	37125.35	19,06,700	29,08,775	10,02,075	Day High Break	Bullish
21 10:45:00	37125.35	19,53,025	27,01,875	7,48,850	Day High Break	Bullish
22 10:30:00	37125.35	19,28,000	23,90,425	4,62,425	Day High Break	Bullish

In the above example, compare situation 1 and 2.

In situation 2 we got both **Bullish** as well as **Day High Break** also in Situation 1 we got both. Kindly pay attention to the respective CALL & PUT OI columns.

In situation 2 Put OI @ 27,01,875 increased from 23,90,425 meaning there was an increase in Put writing. Thus Put writers are confident about up move.

Also in situation 1 PUT OI further increased to 29,08,775 from 27,01,875 thus showing the confidence of Put writers about their belief of up move.

Now compare the CALL OI numbers.

In situation 2 the CALL OI **actually increased** from 19,28,000 to 19,53,025. Though the increase is small as compared to the rise in the number of PUT OI still it shows that there are some CALL writers who believe that the market may not move up thus **making Bullishness only Moderate**. But in situation 1, CALL OI **actually decreased** from 19,53,025 to 19,06,700. What does it show? It means that some call writers are running away and unwinding their position thus **Bullish outlook is strong**. More is the unwinding more is the strength of the Bullish outlook in this case.

In such a situation **if other factors like Price,Volume,RSI,Global Markets favour** we may get a very favourable reward.

Let us take an example of Bank Nifty 15 Feb 2021. Here is the price chart till 11.15 AM



Now let us analyse the Trending OI chart till 11.15

	Time	LTP	Call OI	Put OI	Difference in OI	Day High/Low Diff. in OI	Sentiment
19	11:15:00	36826.4	7,75,975	34,07,800	26,31,825	Day High Break	Bullish
20	11:00:00	36764.3	8,74,650	32,75,550	24,00,900	Day High Break	Bullish
21	10:45:00	36723.00	7,83,550	31,63,825	23,80,275	Day High Break	Bullish
22	10:30:00	36698.30	7,31,625	30,17,675	22,86,050	-	Bullish
23	10:15:00	36728.10	6,66,775	28,73,700	22,06,925	-	Bullish
24	10:00:00	36712.10	2,71,875	25,65,650	22,93,775	Day High Break	Bullish
25	09:45:00	36722.25	69,500	22,14,175	21,44,675	Day High Break	Bullish

REDUCTION IN CALL OI
...EXTREME BULLISHNESS

We saw an extreme Bullish scenario and after that if one would have followed buy on dips strategy ,one would have scalped with good returns as shown below



We have now identified one Extreme Bullish scenario, now let us identify one more Extreme Bullish scenario. The prerequisites would be

1. The “Sentiment” column in Trending OI has be **Bullish**
2. The “Day High/Low Diff in OI” column has to show **Day High Break**
3. We must see continuous **Day High Break** on time intervals
4. Price action must be Bullish.

Here let us consider the Bank Nifty situation on 12 Feb 2021. First we shall consider the price chart till 10.30 AM. We see that at 10.30 we got an upside move with volume.



Now let us also see what Trending OI said on that day till 10.30

22	10:30:00	35878.35	13,61,975	24,63,675	11,01,700	Day High Break	Bullish
23	10:15:00	35856.60	12,70,325	23,14,000	10,43,675	Day High Break	Bullish
24	10:00:00	35785.85	11,60,175	19,99,850	8,39,675	Day High Break	Bullish
25	09:45:00	35782.05	10,78,825	16,47,025	5,68,200	Day High Break	Bullish

If you see we got continuous Day High Break till 10.30 and also there was price candle confirmation, so Trending OI supported the Bullish move strongly.

And now let us see what happened next



It gave very handsome rewards while scalping.

Thus we see that Trending OI in this situation was used with price action to enter a trade that gave good results.

So now we can summarise our learnings for Bullish scenarios as under

1. Trending OI can be used to identify the market sentiment.
2. Trending OI may also be used to gauge the strength of Bullish or Bearish outlook.
3. In simple Bullish Outlook there would be no remark in the “ Day High/Low Diff in OI” column.
4. In Moderately Bullish Outlook we shall get **Day High Break** in the remark column.
5. In an extremely Bullish Outlook we shall witness reduction in CALL OI column figures with respect to figures of previous time intervals.
6. If we get continuous **Day High Break** then also the outlook is Extremely bullish provided Price action supports it.
7. With the new “Select Period” element of OI Statistics we can know where exactly the Option writing is taking place in time intervals of 15/30/60 mins.

So having summarised these findings we would still repeat that Trending OI data has to be analysed **not in isolation** but in conjunction with other major connecting Dots like Price, Volume, RSI, Global factors etc.

For example consider following situation

If Trending OI shows Extreme Bullishness but RSI is above 80 or there is a major resistance level nearby do not enter the trade. Wait for RSI to cool down or Price to cross the resistance with volume before entering a trade.

Thus we must know how to use Trending OI effectively. Once you know how to use it **Trending OI is a Beauty.**

Now on similar lines we may analyse Bearish scenarios as well. The broad contours would remain the same. So let us start straight away with the summary first and then jump to examples.

1. Trending OI can be used to identify the market sentiment.
2. Trending OI may also be used to gauge the strength of Bullish or Bearish outlook.
3. In simple Bearish Outlook there would be no remark in the “ Day High/Low Diff in OI” column.
4. In Moderately Bearish Outlook we shall get **Day Low Break** in the remark column.
5. In an extremely Bearish Outlook we shall witness reduction in Put OI column figure with respect to figures of previous time interval.
6. If we get continuous **Day Low Break** then also the outlook is Extremely bearish provided Price action supports it.

- With the new “Select Period” element of OI Statistics we can know where exactly the Option writing is taking place in time intervals of 15/30/60 mins.

Please consider following Trending OI of Bank Nifty for 18 Feb 2021 for identifying different Bearish Outlooks which are self explanatory as explained in Bullish scenarios.

	Time	LTP	Call OI	Put OI	Difference in OI	Day High/Low Diff. in OI	Sentiment
4	12:30:00	36545.55	83,75,875	25,11,600	-58,64,275	Day Low Break	Bearish
5	11:30:00	36781.50	64,57,600	39,56,775	-25,00,825	-	Bearish
6	10:30:00	36925.10	59,99,075	26,51,800	-33,47,275	Day Low Break	Bearish
7	09:30:00	36836.65	21,87,750	12,18,975	-9,68,775	-	Bearish

REDUCTION IN PUT OI

EXTREMELY BEARISH

MODERATELY BEARISH

SIMPLE BEARISH

Now let us see how Trending OI helped to enter a trade.

We will consider Bank Nifty Futures for 18 Feb 2021.

Consider the price chart till 11.45 AM first



Here you can see that at 11.45 the Price action looks Bearish as Price is Below VWAP and near Day's Low. We also have big Red Volume Candles to suggest that it is a bearish day.

But we got an Inverted Hammer candle , now should we enter or not. We shall take help of Trending OI.

14	12:15:00	36668.45	82,04,650	25,54,975	-56,49,675	Day Low Break	Bearish
15	12:00:00	36742.85	76,84,475	30,34,550	-46,49,925	Day Low Break	Bearish
16	11:45:00	36690.95	71,33,850	35,76,825	-35,57,025	Day Low Break	Bearish
17	11:30:00	36781.50	64,57,600	39,56,775	-25,00,825	-	Bearish
18	11:15:00	36852.65	62,29,925	38,42,275	-23,87,650	-	Bearish
19	11:00:00	36894.05	60,47,775	37,04,400	-23,43,375	-	Bearish
20	10:45:00	36929.00	62,25,700	29,78,150	-32,47,550	-	Bearish
21	10:30:00	36925.10	59,99,075	26,51,800	-33,47,275	Day Low Break	Bearish
22	10:15:00	36837.25	56,95,275	24,96,625	-31,98,650	Day Low Break	Bearish
23	10:00:00	36900.30	46,20,100	17,93,025	-26,27,075	Day Low Break	Bearish
24	09:45:00	36818.00	35,66,450	11,52,150	-24,14,300	Day Low Break	Bearish
25	09:30:00	36836.65	21,87,750	12,18,975	-9,68,775	-	Bearish

We see that at 11.45 we get an Extremely Bearish Outlook. So I would definitely look for Shorting this market. If price retraces with small volumes then it would be an ideal situation to enter short.

Even at 12.00 we got another Extremely Bearish Outlook as we saw unwinding of Put OI and rise in CALL OI that suggests that this is bear territory.

Let us see what happened



Till 12.00 there was minor retracement without volume till Supertrend thus a perfect entry and then the market fell rapidly thus confirming the Trending OI view.

Thus on this day Trending OI helped to trade with confidence and that is key to success.

Let us consider one more example to see how Trending OI helped a Bearish Short Trade while the market was Extremely Bearish.

Consider Bank Nifty Future of 10 Feb 2021.

Let us see the price chart of the day till 13.30 Hours



Here you can see that the price is below VWAP, and trying to test the Day's Low at 13.30 Hours and RSI below 40. Should one consider going short here? Let us see what Trending OI said on that day

	Time	LTP	Call OI	Put OI	Difference in OI	Day High/Low Diff. in OI	Sentiment
10	13:30:00	35759.75	32,69,800	12,99,350	-19,70,450	Day Low Break	Bearish
11	13:15:00	35840.90	32,15,750	12,61,050	-19,54,700	Day Low Break	Bearish
12	13:00:00	35873.30	31,58,000	12,78,400	-18,79,600	Day Low Break	Bearish
13	12:45:00	35892.75	30,52,325	14,40,150	-16,12,175	Day Low Break	Bearish
14	12:30:00	35908.40	29,71,200	13,96,925	-15,74,275	Day Low Break	Bearish
15	12:15:00	35916.85	29,60,450	14,12,125	-15,48,325	Day Low Break	Bearish
16	12:00:00	36005.70	29,13,800	16,02,950	-13,10,850	Day Low Break	Bearish
17	11:45:00	35970.50	28,01,425	17,41,725	-10,59,700	Day Low Break	Bearish
18	11:30:00	35939.95	26,86,375	17,37,650	-9,48,725	Day Low Break	Bearish
19	11:15:00	35879.65	24,97,475	16,77,650	-8,19,825	-	Bearish

As you can see, from 11.15 we got a continuous series of **Day Low Break** till 13.30. This is a case of Extreme Bearish Outlook meaning that Call Writers want the market to go down.

Now with price reaching the Day Low and that too with Volume is a bearish scene. The Outlook provided by Trending OI is a nail in the coffin for the occasion. Risk bearing Traders could have entered at 13.30 itself, while conservative players could have entered once the Day low gets broken with Volume (that happened at 13.39). IN both cases the reward was very good. Just observe what happened next



It was a further downward rally. Thus again Trending OI proved to be a beauty.

Thus we see how we can combine Trending OI with other Dots to enter a trade.

Thus with this we shall like to conclude the Trending OI feature. We would strongly suggest you make this a regular weapon in your arsenal.

Again towards the end we would re-emphasize that **Trending OI has to be used in conjunction with other connecting dots** like Price Action, Volume analysis, RSI, Global

Markets, VIX etc to enter a trade. Thus we would recommend you to go through the instructions again and again and backtest this feature to gain confidence.

On the basis of our analysis and backtests we can surely say that **“Trending OI is a Beauty”**.

We explain all the fine nuances of Connecting the dots to trade in workshops and mentoring programs in which you can enroll to become a better version of yourself. The details of these programs are regularly updated on our website <https://oipulse.com/app/dashboard>.

We hope that the Trending OI feature of OI Pulse would help you to decode the markets further to develop an edge and become a better version of yourself.

Kindly share your feedback about OI Pulse on our email support@oipulse.com.

Regards

Team OI Pulse





Addendum 5

Continuing with our endeavour to bring new features that would help traders to decode the complex market analysis we bring 2 new exciting features that would prove to be very important weapons in your arsenal.

These two features are

1. FII/DII Activity
2. Options/ OI Expiry Strategy

In this manual we shall first go through basic steps first as to how you can access these features and analyse data in different manner and then we shall use these features along with other connecting Dots to **prepare a Trading Plan for Expiry Day**.

So lets start

1. FII/DII Activity

Foreign Institutional Investors(FII) are big institutions of foreign origin who invest in Indian markets. These can be Global Mutual Funds, Hedge Funds, Pension Funds , Sovereign Wealth funds etc. Indian Derivative market is the largest market in the world so all the major Global Institutions like Merrill Lynch, HSBC, Citigroup invest actively in Indian Markets in both Cash as well as Derivative markets.

These institutions have deep pockets and invest professionally after doing thorough analysis. They have a dedicated team of professionals and experts to identify investment opportunities. Since they have deep pockets and invest heavily they are one of the most important **Market Movers**. Thus tracking their activity is very important.

Like FII we have Domestic Institutional Investors (DII's) who would be India based Institutions like Mutual Funds,LIC,UTI etc. Over the years they too have become very important players in the Cash as well as Derivative markets and their actions too need to be monitored actively.

Why are FII/DII Important?

Since these institutional players have deep pockets they trade in huge quantities with big capital running in thousands of Crores. Thus they are the Market Movers and can have a significant impact on the Trend of the Market.

Thus it is very important to analyse whether they are pumping in money or taking out money from the markets. It is also important to know where they are transacting , whether they are transacting in Cash Market or Derivative Markets, how much they are investing in Futures and by what amount they are trading with options. We need to track this information as it would have a major impact on the next trading session. This is where OI Pulse would ease the job for you.

Before proceeding further we must try to answer following question

“Will today’s FII/DII activity determine tomorrow’s market trend?”

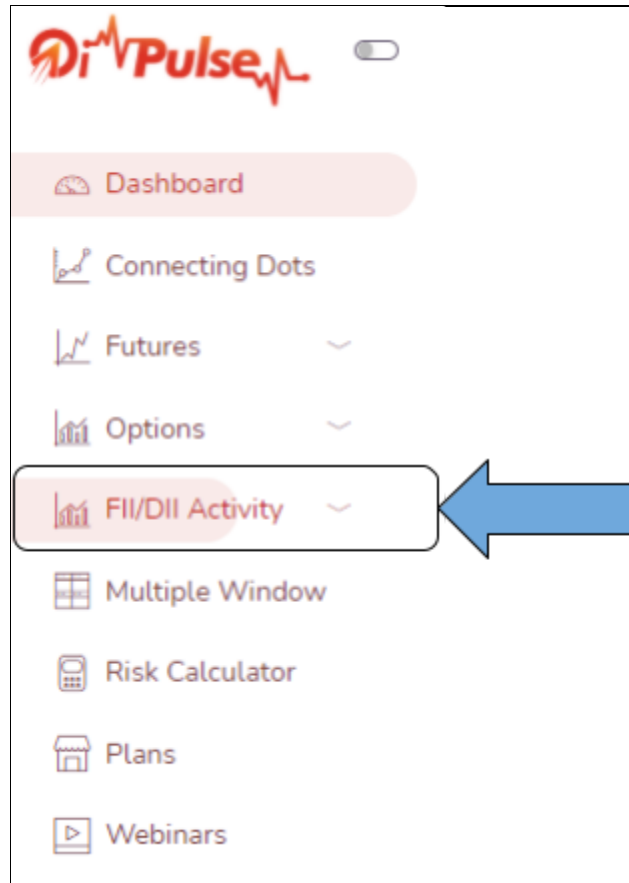
The best answer to this question is that **it will not determine but definitely affect** tomorrow’s trading session.

Let us say if today FII A pumps in INR 2000 Cr in cash and derivative market and market closes higher. Tomorrow there are high chances that the Euphoria may continue and the market may still rise higher. But certainly if FII B comes in and shorts the market with INR 3000 Cr then the market would certainly move down.

So the point is never use FII/DII data alone to decide the next day’s trading plan. Always use other connecting dots as well to form an opinion.

So with this let us see how OI Pulse would help you track their activity.

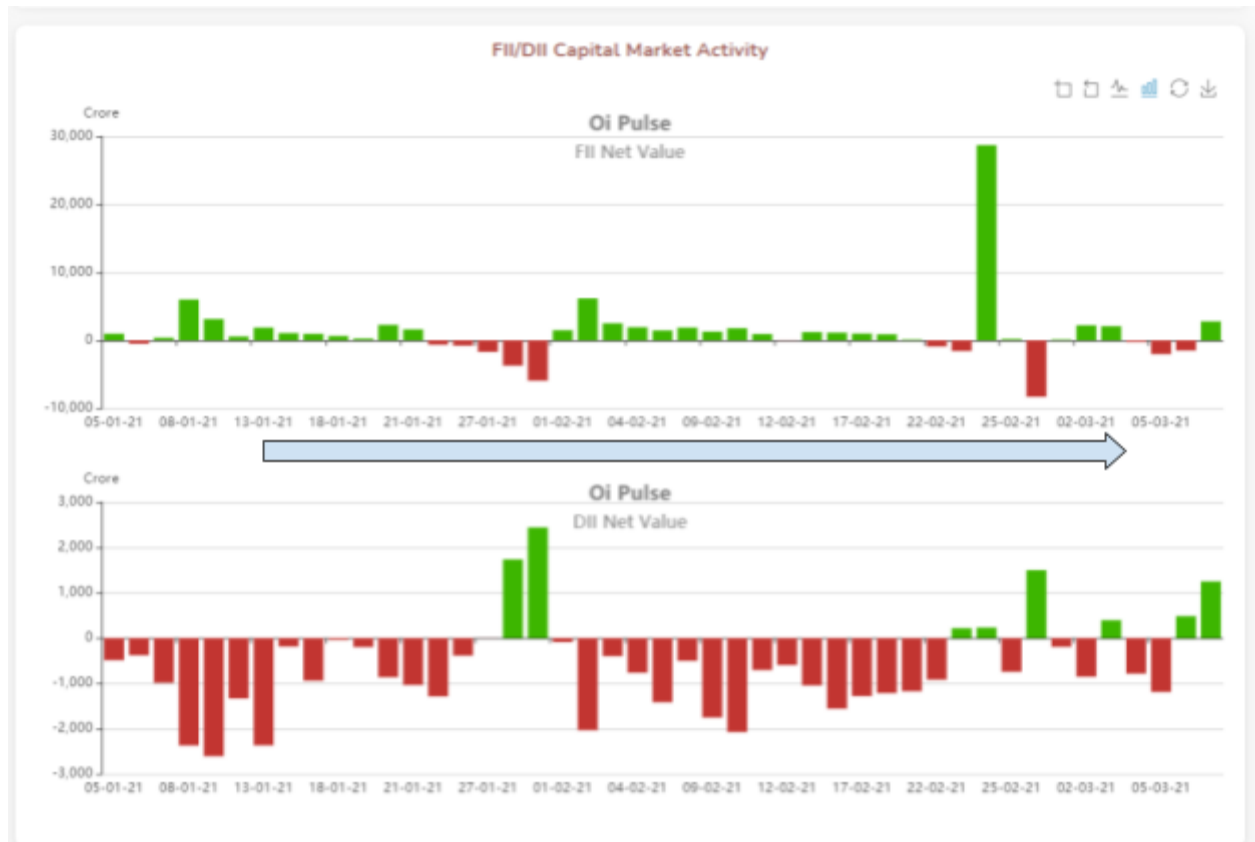
Access the feature in following manner



Once you are inside you can analyse their actions in Capital and Derivative Markets separately



In the FII/DII Activity Capital Market option you can see how the institutions traded in the Cash Market. You would see the data in following manner



You can see their action on different dates together.

Green Bars means they have made Investment on a particular day and red bars means they have made redemption on that day.

What is more important is to see their collective action and that too over a period of time because that would help you to form an opinion

Detailed FII/DII Capital Market Activity								
	Date	FII Buy	FII Sell	FII Net	In Market	DII Net	DII Buy	DII Sell
1	09-03-2021	11,281.25	8,479.38	2,801.87	4,052.09	1,250.22	6,216.33	4,966.11
2	08-03-2021	5,918.33	7,412.82	-1,494.49	-1,010.87	483.62	3,838.89	3,355.27
3	05-03-2021	9,383.17	11,397.33	-2,014.16	-3,205.35	-1,191.19	3,633.06	4,824.25
4	04-03-2021	11,733.98	11,957.09	-223.11	-1,011.3	-788.19	4,342.9	5,131.09
5	03-03-2021	10,944.98	8,856.28	2,088.7	2,481.61	392.91	5,414.38	5,021.47
6	02-03-2021	8,808.42	6,755.55	2,223.16	1,389.12	-854.04	4,315.34	5,169.38
7	01-03-2021	6,674.54	6,549.39	125.15	-86.73	-194.88	4,262.45	4,457.33
8	26-02-2021	22,163.45	30,458.62	-8,295.17	-6,795.47	1,499.7	7,534.99	6,035.29
9	25-02-2021	14,123.81	13,935.73	188.08	-558.49	-746.57	5,174.63	5,921.2

In this collective analysis you can see the combined actions of the institutions. A big green day implies bullishness while a red bar implies bearishness as they are taking money out of the system.

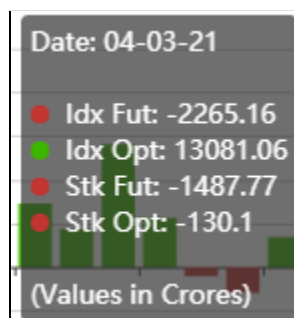
On similar lines we also need to analyse FII/DII data for Derivative Markets. This feature would focus on investment/redemption by FII/DII in following fields

1. Index Futures: Nifty/Bank Nifty/Fin Nifty combined (Near,Next Month,Far Month)
2. Index Options: Call & Put options combined for Nifty/Bank Nifty & Fin Nifty
3. Stock Futures : Futures of all F&O stocks for all Months
4. Stock Options: Call & Put Options combined for all F&O stocks.

This data when selected would look like this



To know the values in numbers just point the mouse over any particular day and you would get information like window like this in front of you



Read the above example like this

1. Institutions shorted Index Futures for 2265 Crores and shorted stock Futures by 1487 Crores.
2. Institutions bought Options worth 13081 Cr in Index. (Majority of it would be Put options)

Thus it presents a bearish picture.

If you look for Institutions data for same date it would be

5	04-03-2021	11,733.98	11,957.09	-223.11	-1,011.3	-788.19	4,342.9	5,131.09
---	------------	-----------	-----------	---------	----------	---------	---------	----------

Thus they shorted the cash market too by 1011 Cr.

So combining the Capital and Derivative market we can say that institutions were Bearish today and this Bearish sentiment would be prevalent the next day especially in the morning.

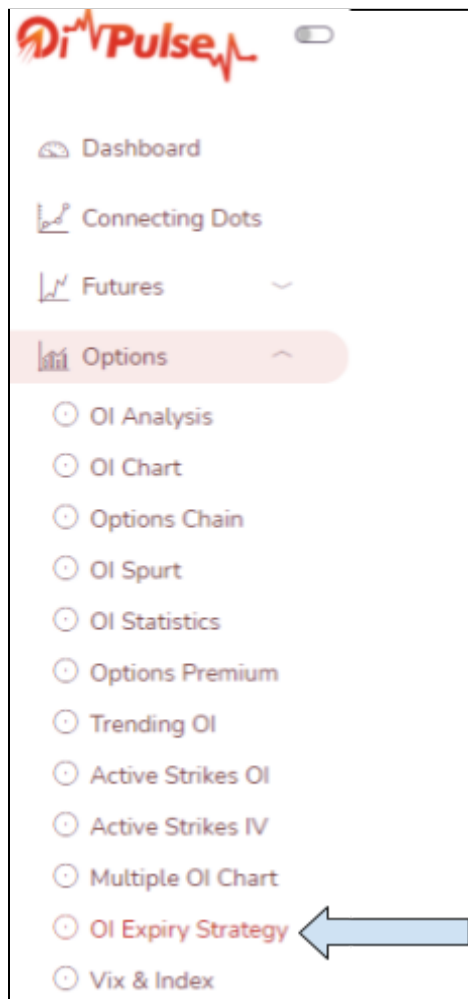
Just notice how the next day i.e 5 March was



Again we would reiterate that please consider all the Dots before taking a view for the next day apart from FII/DII Data.

2. Options/Expiry Strategy

This feature may be accessed in following manner



Though the name is Expiry Strategy, it may be used everyday too. With this feature you can see all the important strikes and their open interest & premium variation for the last 5 days. This data shall be presented to you in tabular form and would highlight both Calls and Puts for important strikes that would be determined by our AI based system.

Once you select the day you would see following window

Mode	Name	Date	Select Expiry Date	Global Actions
☒ Live data ☐ Historical data	BANKNIFTY	2021-03-10	10-Mar-2021	Go Change Strike Prices
Selected Strike Prices: 35000, 35500, 36000, 36500, 37000				

35000 CE								
	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI
1	10-Mar	1100.00	1199.95	781.65	935.20	1.67 %	-59.24 %	66,775
2	09-Mar	900.00	1140.00	664.60	919.85	57.68 %	-53.98 %	1,63,825
3	08-Mar	803.30	1134.40	507.00	583.35	-21.45 %	-5.1 %	3,55,975
4	05-Mar	853.10	1095.50	580.35	742.65	-35.31 %	164.43 %	3,75,100
5	04-Mar	978.30	1536.80	950.00	1148.10	-	-	1,41,850

35000 PE								
	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI
1	10-Mar	11.00	14.00	0.10	0.45	-98.76 %	-19.55 %	8,42,30
2	09-Mar	111.80	149.90	29.00	36.20	-87.89 %	30.3 %	10,46,97
3	08-Mar	373.45	436.90	176.55	298.90	-41.84 %	79.25 %	8,03,50
4	05-Mar	549.00	710.80	425.05	513.90	58.39 %	41.54 %	4,48,25
5	04-Mar	361.25	449.65	177.05	324.45	-	-	3,16,70

In this data you would see variation in the premiums of strikes along with change in OI. This would be the foundation for preparing a trading plan for the Expiry session.

We have also given you the flexibility to choose respective strikes of your choice as shown below

Select strike prices

Total Strike Prices: 5

Currently Selected Strike Prices:
35000, 35500, 36000, 36500, 37000

Clear all selection

Reset strike prices

Select Strike Prices:

☐ 33400

☐ 33500

☐ 33600

☐ 33700

☐ 33800

☐ 33900

☐ 34000

☐ 34100

☐ 34200

☐ 34300

☐ 34400

☐ 34500

☐ 34600

☐ 34700

☐ 34800

☐ 34900

☒ 35000

☐ 35100

☐ 35200

☐ 35300

☐ 35400

☒ 35500

☐ 35600

☐ 35700

☐ 35800

☐ 35900

☒ 36000

☐ 36100

☐ 36200

☐ 36300

☐ 36400

☒ 36500

☐ 36600

☐ 36700

☐ 36800

☐ 36900

☒ 37000

☐ 37100

☐ 37200

☐ 37300

☐ 37400

☐ 37500

☐ 37600

☐ 37700

☐ 37800

☐ 37900

☐ 38000

☐ 38100

☐ 38200

☐ 38300

☐ 38400

Cancel

OK

Now having gone through the basics of new features let us do an exercise where we would prepare a trading plan for an Expiry Day using the new as well as existing features.

Expiry Day Trading Plan

“To be prepared is half the victory.”

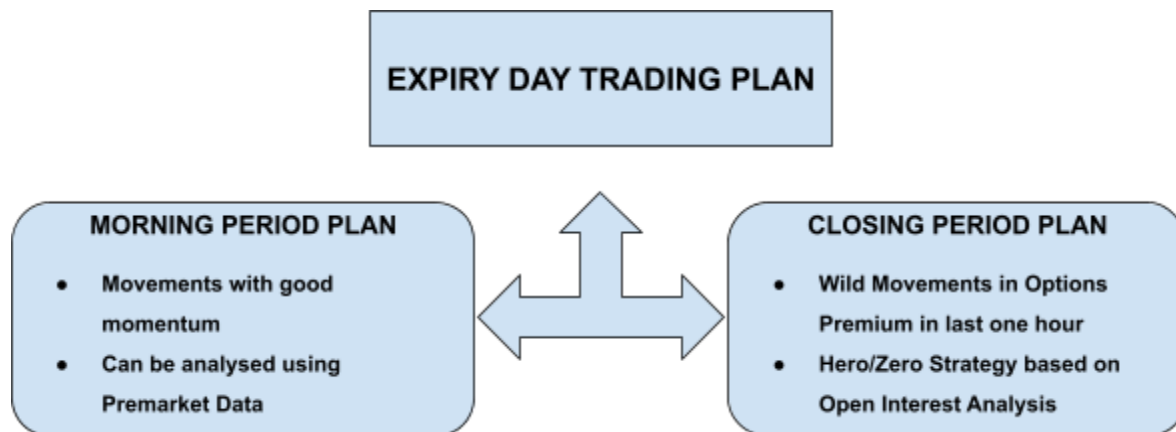
As has been rightly quoted above by the famous Spanish novelist Miguel de Cervantes if one is prepared then half the battle is won. This applies to every field including Trading. With this as the starting point we shall learn how to prepare oneself and make a trading plan for weekly and monthly expiry of Nifty & Bank Nifty F&O Contract.

We shall learn how to make a plan while taking into consideration a live example from the market. For this example we shall take into consideration the weekly expiry of **Bank Nifty 4 March 2021 Contract**.

So first things first, what should be the **desirable objectives** of a trading plan?

While doing analysis, we must be clear that the plan should give us a **clear trading direction** for two periods in the expiry session. The morning period and Closing period.

In this exercise of Expiry Day Analysis we shall learn to prepare two plans



Morning period (1 hour after market opens) is most important because it is **usually** based on Pre market factors and accounts for a major portion of the price range of the entire day. The price movements we get in the initial 1-1.5 hours are significant ones and usually accompanied with momentum. So having a trading plan for the morning period can give great results.

The Closing Period (1-1.5 hours before 3.30) of Expiry Day is also very crucial as we get some wild movements with momentum which can also be caught if one does proper intraday analysis of Open Interest.

Trading Plan for Morning Period of Expiry Day

The morning period of every trading session including that of expiry day is dependent on Premarket factors and can be analysed. If done properly it can give very good results because we usually get swift price movements in the first one hour.

Major Factors to be taken into consideration for Morning Period Trading Plan

- 1. *Price Action & Volume Analysis***
- 2. *Open Interest Analysis***
- 3. *Global Markets***
- 4. *FII/DII Data***
- 5. *Crude Prices & USD/INR forex prices***
- 6. *Any immediate factor impacting Economy/Markets***

So let us discuss these factors while taking an example of the Bank Nifty Weekly Expiry of **4 March 2021**.

1. Price Action & Volume Analysis

While doing Price and Volume Analysis our focus must be on following parameters

- Identifying important price levels that act as Support/Resistance. For this we need to do analysis on a higher time frame as it would give us better results.
- Identifying how Price has behaved in recent few trading sessions and what has been the last closing price with respect to important Support/Resistance levels identified previously.
- Volume Analysis with respect to Price Movement.

So let's do this exercise for our Expiry Example



Price and Volume Analysis For Expiry Day of 4 March 2021 Bank Nifty

So after reading this chart we must focus on following things

1. Bank Nifty Future had a major Gap down on 26 Feb and it plunged further lower till 34660 after breaking two important support lines around 35500 & 34950
2. For next two days price consolidated between previous two levels of 35550 & 34950
3. On 3 March we broke this consolidation zone, had a Gap Up and had a Bull run while filling the Gap created on 26 Feb. It took a stop at an exact Resistance of 36600 levels.

So based on this we can have following conclusions

The Price Action looks Bullish especially after the Bull run of the previous day.

36600 shall be the immediate Resistance level as it is a major swing region as well as previous day high.

Region of **35500-650 shall act as a Support zone** as it marks the previous day low and previous swing low. This may be seen as



So we now know the immediate Support and Resistance Levels. For any major bull move this resistance has to be taken out while the Support Area would try to hold the price if we get a downmove.

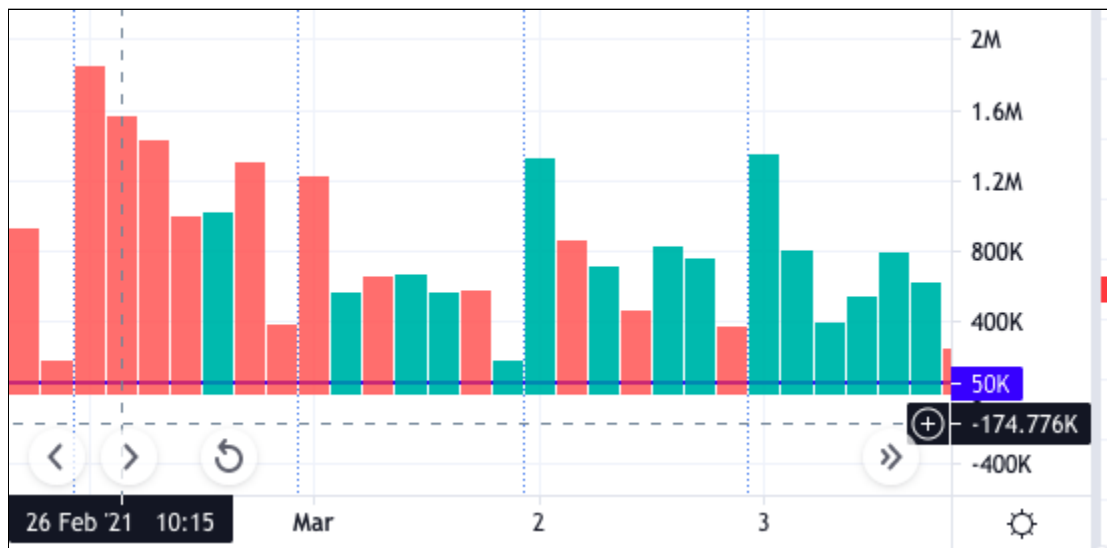
RSI above 60 on hourly time frame also suggest Bullish outlook

Volume Analysis

Through Price Analysis we know that Bulls are back after bears tried to take control but do they have ammunition to take the market higher?

For this we need to dive deeper into Volume Analysis.

Please focus on the volume for period 26 Feb to 3 March in following table



Kindly observe that on 26 Feb when Markets plunged nearly 1500 points it was with very high Volume and on 3 March when Price covered the fall and filled the Gap due to the Great fall of 26 Feb it was not with High Volume Candles. Thus the fall was with very high Volumes but rise was with relatively less Volume.

So what conclusion do we reach on the basis of Price and Volume Analysis?

1. The Price is in Up Move and the Bulls have not given up to the Bears.
2. Though Price has covered all the Gap but it has not come **up with equally high Volumes** thus the Resistance of 36600 shall be crucial level and must be cleared with high Volume for Bulls to gain actual control.
3. For Bears to get back into action the Support region of 35650-35500 has to be broken with volume though its probability looks weak if we take into consideration only price and Volume analysis.

So this is how we need to do Price and Volume analysis for an Expiry Day Trading Plan.

This is just one of Connecting Dots. Now let's look at what other factors have to say.

2. Open Interest Analysis

Open Interest (OI) is considered to be God for Options Trading as it gives vital information about the action of Market Movers. While analysing OI we shall focus on actions of Bulls and the Bears for the previous one week.

To analyse OI we shall use the Expiry Day analysis of OI Pulse.

So what Strikes should we analyse for Expiry Day Trading?

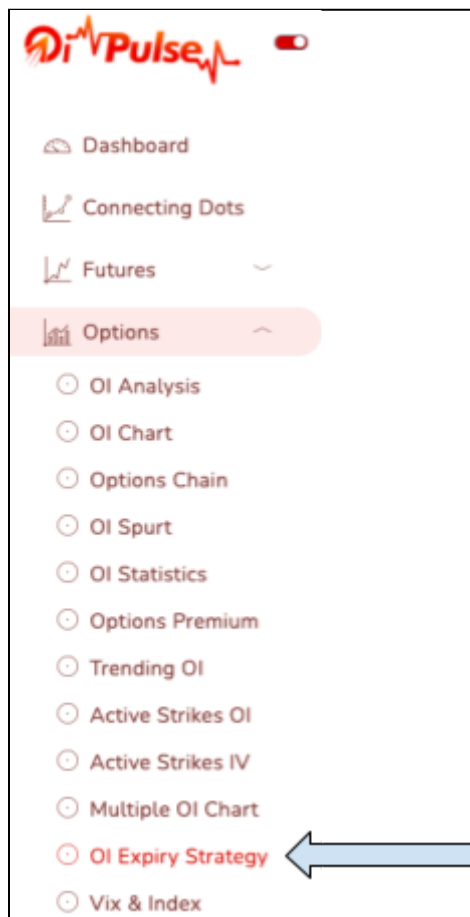
For Expiry day we must consider the Spot Price of Previous Close and then we should select 5-6 strikes around both the sides of ATM strike while ensuring we have maximum strikes in multiples of 500.

For this expiry the Previous Spot Closing was 36347 so the ATM strike would be 36300.

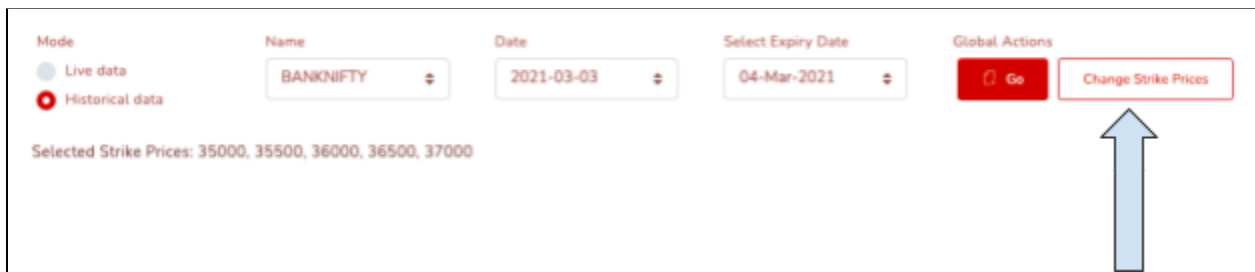
So we would analyse

35500,,35800,35900,36000,36100,36200,**36300**,36400,36500,36600,36700,36800,37000

You can Access this feature in the following manner.



Once inside this feature select the menu

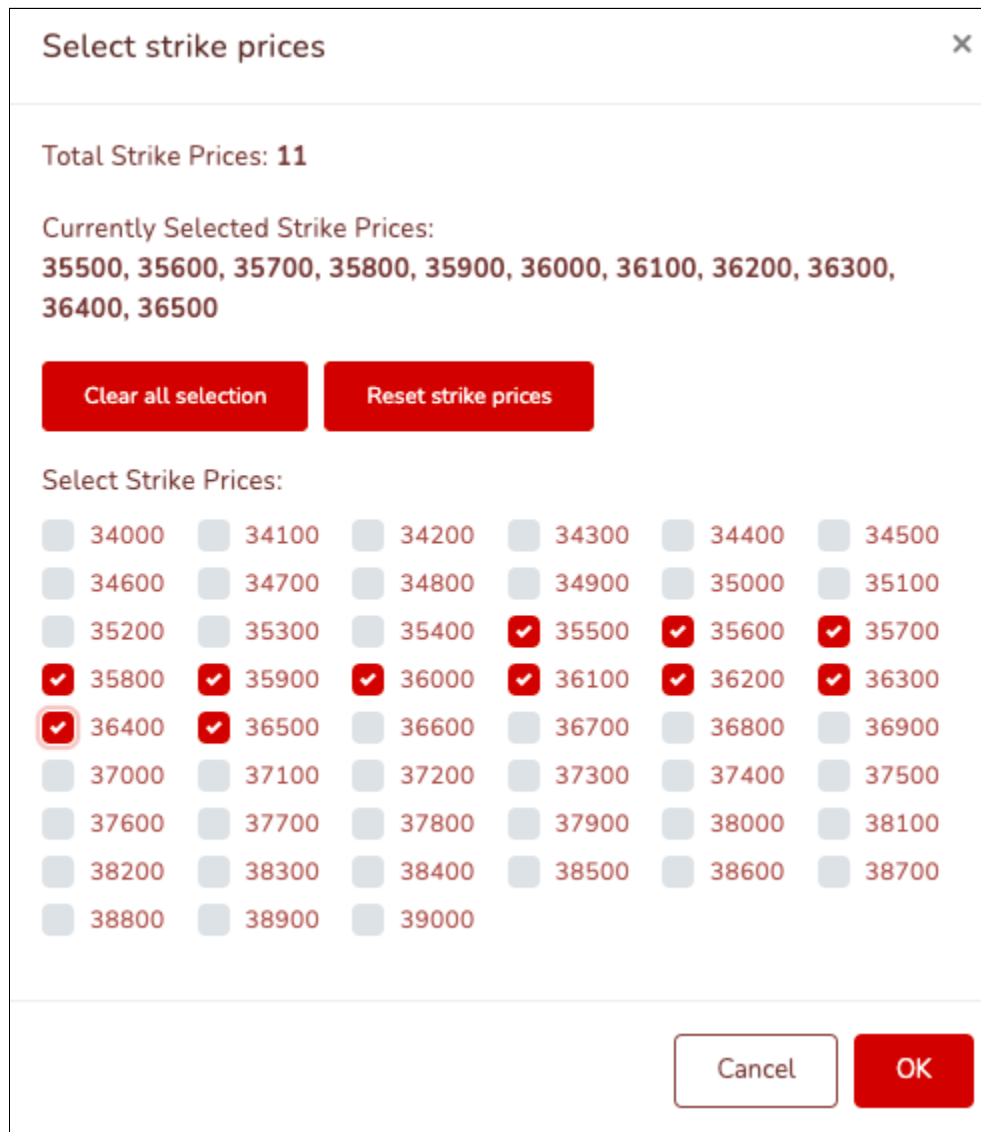


The screenshot shows a top navigation bar with the following elements:

- Mode:** Radio buttons for 'Live data' (selected) and 'Historical data'.
- Name:** A dropdown menu showing 'BANKNIFTY'.
- Date:** A date picker showing '2021-03-03'.
- Select Expiry Date:** A date picker showing '04-Mar-2021'.
- Global Actions:** A red 'Go' button and a red 'Change Strike Prices' button.

Below the navigation bar, it says 'Selected Strike Prices: 35000, 35500, 36000, 36500, 37000'. A blue arrow points to the 'Change Strike Prices' button.

This feature gives you the flexibility to choose strikes of your choice as shown above



The 'Select strike prices' dialog box displays the following information:

- Total Strike Prices: 11**
- Currently Selected Strike Prices:** 35500, 35600, 35700, 35800, 35900, 36000, 36100, 36200, 36300, 36400, 36500
- Buttons:** 'Clear all selection' and 'Reset strike prices'.
- Select Strike Prices:** A grid of checkboxes for various strike prices.

34000	34100	34200	34300	34400	34500
☐	☐	☐	☐	☐	☐
☐	☐	☐	☐	☐	☐
☐	☐	☐	☒	☒	☒
☒	☒	☒	☒	☒	☒
☒	☒	☐	☐	☐	☐
☐	☐	☐	☐	☐	☐
☐	☐	☐	☐	☐	☐
☐	☐	☐	☐	☐	☐
☐	☐	☐	☐	☐	☐

At the bottom right, there are 'Cancel' and 'OK' buttons.

Once you click the “Go” button you would have detailed analysis of all the strikes in front of you as shown below.
Once you get the results start decoding the data from the top

35000 CE									
	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI	OI Interpretation
1	03-Mar	805.05	1520.00	756.00	1447.70	133.97 %	-47.9 %	2,71,250	Short Covering ↑
2	02-Mar	655.75	914.95	406.40	618.75	-8.96 %	16.77 %	5,20,650	Short Build Up ↓
3	01-Mar	700.00	910.60	542.35	679.65	14.8 %	-14.3 %	4,45,875	Short Covering ↑
4	26-Feb	1270.55	1270.55	521.00	592.05	-66.6 %	285.46 %	5,20,275	Short Build Up ↓
5	25-Feb	1898.00	2365.60	1707.00	1772.70	-	-	1,34,975	-
Rows per page 25 ▾ ⏪ Prev 1 - 5 of 5 Next ⏩									
35000 PE									
	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI	OI Interpretation
1	03-Mar	114.60	114.60	20.00	21.90	-89.11 %	24.92 %	10,69,950	Short Build Up ↓
2	02-Mar	283.60	450.00	155.15	201.15	-47.79 %	70.52 %	8,56,500	Short Build Up ↓
3	01-Mar	464.50	631.55	325.15	385.30	-48.89 %	30.44 %	5,02,300	Short Build Up ↓
4	26-Feb	227.25	950.20	227.25	753.80	595.07 %	2.36 %	3,85,075	Long Build Up ↑
5	25-Feb	124.00	140.00	83.05	108.45	-	-	3,76,200	-
Rows per page 25 ▾ ⏪ Prev 1 - 5 of 5 Next ⏩									
35500 CE									
	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI	OI Interpretation
1	03-Mar	407.90	1047.95	319.85	969.30	182.97 %	-62.13 %	3,17,050	Short Covering ↑
2	02-Mar	449.70	579.85	212.55	342.55	-18.27 %	39.23 %	8,37,275	Short Build Up ↓
3	01-Mar	470.00	602.00	330.20	419.10	5.97 %	25.18 %	6,01,350	Long Build Up ↑
4	26-Feb	900.00	900.00	333.35	395.50	-70.82 %	951.15 %	4,80,375	Short Build Up ↓
5	25-Feb	1404.75	1897.90	1284.60	1355.20	-	-	45,700	-
Rows per page 25 ▾ ⏪ Prev 1 - 5 of 5 Next ⏩									
35500 PE									
	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI	OI Interpretation
1	03-Mar	300.00	300.00	39.00	42.70	-89.47 %	86.75 %	10,76,125	Short Build Up ↓
2	02-Mar	611.70	749.50	347.60	405.60	-35.38 %	106.74 %	5,76,250	Short Build Up ↓
3	01-Mar	667.70	919.55	525.05	627.65	-40.1 %	55.84 %	2,78,725	Short Build Up ↓
4	26-Feb	400.00	1264.75	302.20	1047.80	462.12 %	-25.6 %	1,78,850	Short Covering ↑
5	25-Feb	230.00	230.00	109.30	186.40	-	-	2,40,400	-
Rows per page 25 ▾ ⏪ Prev 1 - 5 of 5 Next ⏩									
36000 CE									
	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI	OI Interpretation
1	03-Mar	212.60	625.00	185.00	538.25	218.4 %	-42.58 %	6,55,375	Short Covering ↑
2	02-Mar	291.00	325.00	102.20	169.05	-29.91 %	22.39 %	11,41,425	Short Build Up ↓
3	01-Mar	298.00	371.05	186.00	241.20	-3.23 %	12.44 %	9,32,650	Short Build Up ↓
4	26-Feb	650.00	650.00	205.00	249.25	-74.72 %	435.47 %	8,29,450	Short Build Up ↓
5	25-Feb	1077.35	1472.00	905.65	985.95	-	-	1,54,900	-
Rows per page 25 ▾ ⏪ Prev 1 - 5 of 5 Next ⏩									
36000 PE									
	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI	OI Interpretation
1	03-Mar	549.95	549.95	96.50	113.15	-84.21 %	791.53 %	9,83,575	Short Build Up ↓
2	02-Mar	876.80	1130.00	605.00	716.50	-24.99 %	-6.6 %	1,10,325	Long Unwinding ↓
3	01-Mar	989.70	1256.65	796.25	955.20	-31.86 %	4.93 %	1,18,125	Short Build Up ↓
4	26-Feb	505.00	1621.00	505.00	1401.85	344.61 %	-59.64 %	1,12,575	Short Covering ↑
5	25-Feb	375.50	410.00	182.50	315.30	-	-	2,78,900	-
Rows per page 25 ▾ ⏪ Prev 1 - 5 of 5 Next ⏩									

So let us start straight away with the 36000 strike. We shall analyse both Call and Put Option

Next important question is what do we analyse once we are inside the data?

We shall analyse following parameters inside the data

- % Change in OI over the week along with % change in Price
- Variation in Price of the strike
- High/Low/Close of the Price
- OI Interpretation

So let us analyse 36000 CE based on these parameters

36000 CE									
	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI	OI Interpret
1	03-Mar	212.60	625.00	185.00	538.25	218.4 %	-42.58 %	6,55,375	Short Cover
2	02-Mar	291.00	325.00	102.20	169.05	-29.91 %	22.39 %	11,41,425	Short Build
3	01-Mar	298.00	371.05	186.00	241.20	-3.23 %	12.44 %	9,32,650	Short Build
4	26-Feb	650.00	650.00	205.00	249.25	-74.72 %	435.47 %	8,29,450	Short Build
5	25-Feb	1077.35	1472.00	905.65	985.95	-	-	1,54,900	-

Rows per page 25 ▾

◀ Prev 1 - 5 of 5 Next ▶

We know that on 26 Feb Bank Nifty dropped from 36500 levels to 34650. It was a Trending Day and price closed at Day's Low while making an intraday rebound.



- So on 36000 CE levels we saw a huge spike in OI as writers aggressively wrote Call Options. Just notice OI on CE jumped from 1,54,900 to 8,29,450 a jump of nearly **437%**.
- The price/premium decayed by 74 %
- Thus it was more than 50% rise in OI and more than 50% drop in price, a condition we identify as Strong Shortbuildup
- The Premiums decayed from 650 to 205 and closed at 249.

So clearly some major Call Writers or Bears entered the market on this particular day. That's what this data tells us. Now they would like to dominate and for that they would want the premiums to decay further and that would happen only if the Bulls don't get into the picture. So Bears must defend their territory from the Bulls. If however the Bears enter and take the market higher then Bears would have to run for cover while covering their losses. So let's see what happened during the week.

- During the next 2 days we saw that price consolidated between immediate support and resistance while the price of 36000 was never touched.
- The Premiums decreased by 3% and 29 % while OI increased by 12 % and 22% on 1 and 2 March. **Though this is a short buildup but a weak one.**
- This clearly shows that Bears are not able to take control and push the market lower.
- This is a sign of **weakness** from the Bears.

- In this scenario if Bulls get into action then weaker Bears would cover their position and this is what happened on 3 March
- On 3 March Price crossed 36000 levels and rallied till 36450

Just observe what happened on **3 March in OI chart**

- Bulls took control and Bears or Call writers covered their position as we saw drop in Call OI. It was a **Short Covering Day**.
- However not all the Call writers covered their position as the drop in OI was less than 50%.
- **The Premium rose all the way up to 625. The Call writers must have their average price of nearly 400 and now must be in loss.**

We get similar observations if we observe next strikes 36100,200,300,400,500.

36100 CE									
	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI	OI Interpret
1	03-Mar	193.60	552.30	152.55	467.05	226.38 %	-40.47 %	90,425	Short Cov
2	02-Mar	250.10	287.00	86.60	143.10	-33.21 %	30.98 %	1,51,900	Short Buil
3	01-Mar	300.00	336.80	166.40	214.25	-5.74 %	50.71 %	1,15,975	Short Buil
4	26-Feb	513.95	513.95	185.50	227.30	-75.11 %	1,311.93 %	76,950	Short Buil
5	25-Feb	1134.35	1393.05	857.60	913.25	-	-	5,450	-

36200 CE

	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI	OI Interpret:
1	03-Mar	155.00	481.55	127.60	399.80	228.24 %	-37.69 %	1,46,250	Short Cover
2	02-Mar	200.05	250.00	73.15	121.80	-35.54 %	40.6 %	2,34,700	Short Build
3	01-Mar	230.00	350.90	147.00	188.95	-9.01 %	55.28 %	1,66,925	Short Build
4	26-Feb	609.05	609.05	167.05	207.65	-75.78 %	980.4 %	1,07,500	Short Build
5	25-Feb	1199.05	1320.00	782.55	857.25	-	-	9,950	-

36300 CE

	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI	OI Interpret:
1	03-Mar	169.80	417.15	105.00	337.10	229.2 %	-31.23 %	2,02,825	Short Cover
2	02-Mar	240.25	240.25	62.65	102.40	-38.41 %	125.26 %	2,94,925	Short Build
3	01-Mar	248.90	270.00	129.40	166.25	-10.88 %	35.88 %	1,30,925	Short Build
4	26-Feb	358.85	574.40	151.45	186.55	-76.45 %	450.57 %	96,350	Short Build
5	25-Feb	754.25	1249.95	740.60	792.20	-	-	17,500	-

36500 CE									
	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI	OI Interpret:
1	03-Mar	98.95	300.00	70.05	228.20	207.75 %	-16.58 %	7,74,875	Short Cover
2	02-Mar	159.85	163.00	45.55	74.15	-41.66 %	12.9 %	9,28,850	Short Build
3	01-Mar	178.00	229.70	101.25	127.10	-14.76 %	27.22 %	8,22,700	Short Build
4	26-Feb	360.50	466.30	123.30	149.10	-78.07 %	184.12 %	6,46,650	Short Build
5	25-Feb	758.55	1110.00	625.00	680.00	-	-	2,27,600	-

So if we have to conclude our findings for 36000 CE we would summarise it as follows

- The Call Writers took aggressive position on 26 Feb
- They didnt add much position or pushed the market further down.
- On 3 March Bulls attacked and took the market higher.
- The Premiums reached levels higher than average selling price of Call Writers
- Weaker Bears covered their position and cut their losses.
- However this short covering was not a major one as not more than 50 % writers covered their positions.
- **Kindly pay attention to the fact that the closing of Premiums on 3 March is not near Day's high which suggests that Bulls are not absolutely in control. This has been witnessed on all the strikes.**

Thus for the next day it would be Strong Bears vs average Bulls as strong Bears are still retaining the fort and Bulls have not been able to close the premiums near Day's high.

In such a situation where Bulls have just taken control but not in a convincing manner while strong bears are still holding the fort Global Markets would play a very important role.

1. If the next day Global Markets are flat then Strong Bears might try to bring the market lower but Bulls would definitely push the market higher. **Thus Buy on Dips**

2. If however the Global Markets are in deep red then Strong Bears would try to gain control and use every opportunity to take the market lower thus **Sell on Rise**.

So this is how we shall decode the OI Data.

Now let's focus on Put side

Let us analyse 36000 price level first

36000 PE									
	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI	OI Interpret
1	03-Mar	549.95	549.95	96.50	113.15	-84.21 %	791.53 %	9,83,575	Short Build
2	02-Mar	876.80	1130.00	605.00	716.50	-24.99 %	-6.6 %	1,10,325	Long Unwind
3	01-Mar	989.70	1256.65	796.25	955.20	-31.86 %	4.93 %	1,18,125	Short Build
4	26-Feb	505.00	1621.00	505.00	1401.85	344.61 %	-59.64 %	1,12,575	Short Cover
5	25-Feb	375.50	410.00	182.50	315.30	-	-	2,78,900	-

On 26 Feb after the great fall the Put writers got scared away and covered their position.

They suffered major losses as prices soared from 315 to 1621 on 26 Feb. Just imagine their pain.

Next 2 days were consolidation days and they were still able to get the benefit of the decay premium.

Now on 3 March as the Markets soared once again they have entered aggressively as we saw 791% increase in OI and 84% decay in premium. Thus a Strong short buildup.

Also they were able to drive the prices from 549 to 96.

Their action would have been more convincing had the Premium close price been near day's low.

But overall the Put OI data shows Bullishness as they have taken some aggressive positions.

However please do note that maximum positions are near 36000 & 35500 levels despite price closing near 36400. Had 36500 seen a major Put OI buildup then things would have been absolutely bullish but it isn't.

Thus 36000 and 35500 would be good support levels based on Put OI.

Let's have a look at Put OI of different strikes

35500 PE									
	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI	OI Interpret
1	03-Mar	300.00	300.00	39.00	42.70	-89.47 %	86.75 %	10,76,125	Short Buil
2	02-Mar	611.70	749.50	347.60	405.60	-35.38 %	106.74 %	5,76,250	Short Buil
3	01-Mar	667.70	919.55	525.05	627.65	-40.1 %	55.84 %	2,78,725	Short Buil
4	26-Feb	400.00	1264.75	302.20	1047.80	462.12 %	-25.6 %	1,78,850	Short Cove
5	25-Feb	230.00	230.00	109.30	186.40	-	-	2,40,400	-

36100 PE									
	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI	OI Interpret
1	03-Mar	545.55	590.25	116.50	140.70	-82.13 %	1,765.56 %	1,67,900	Short Buil
2	02-Mar	942.10	1212.00	675.00	787.40	-21.74 %	5.57 %	9,000	Short Buil
3	01-Mar	1061.95	1325.00	865.00	1006.10	-32.84 %	4.92 %	8,525	Short Buil
4	26-Feb	740.00	1679.60	667.95	1498.00	328.61 %	-56.2 %	8,125	Short Cove
5	25-Feb	196.75	375.00	196.75	349.50	-	-	18,550	-

Rows per page 25 ▾

◀ Prev 1 - 5 of 5 Next ▶

36200 PE

	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI	OI Interpret
1	03-Mar	608.10	666.00	147.20	172.20	-80.71 %	1,437.9 %	1,90,700	Short Build
2	02-Mar	1000.75	1291.95	727.25	892.85	-18.4 %	18.66 %	12,400	Short Build
3	01-Mar	1160.95	1416.60	930.00	1094.20	-28.35 %	-4.57 %	10,450	Long Unwin
4	26-Feb	619.00	1783.75	619.00	1527.10	295.47 %	-60.18 %	10,950	Short Cover
5	25-Feb	443.15	443.15	265.20	386.15	-	-	27,500	-

Rows per page 25 ▾

◀ Prev 1 - 5 of 5 Next ▶

36300 PE

	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI	OI Interpret
1	03-Mar	693.55	754.25	181.05	210.50	-77.77 %	948.92 %	1,82,250	Short Build
2	02-Mar	1110.05	1380.00	808.50	946.80	-17.95 %	2.36 %	17,375	Short Build
3	01-Mar	1238.95	1493.95	995.45	1153.90	-30.19 %	-9.83 %	16,975	Long Unwin
4	26-Feb	995.90	1865.60	718.55	1652.85	287.58 %	-31.98 %	18,825	Short Cover
5	25-Feb	408.40	455.50	252.35	426.45	-	-	27,675	-

36500 PE

	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI	OI Interpret
1	03-Mar	817.45	909.75	263.15	301.20	-73.79 %	401.23 %	3,35,325	Short Build
2	02-Mar	1297.45	1566.50	941.20	1149.25	-11.75 %	-11.77 %	66,900	Long Unwind
3	01-Mar	1368.65	1653.75	1148.30	1302.20	-28.38 %	-21.18 %	75,825	Long Unwind
4	26-Feb	988.00	2030.00	750.00	1818.10	257.16 %	-64.2 %	96,200	Short Cover
5	25-Feb	600.00	600.00	344.95	509.05	-	-	2,68,750	-

36600 PE

	Date	Open	High	Low	Close	% Chg Close	% Chg OI	OI	OI Interpret
1	03-Mar	940.80	951.25	314.50	354.95	-70.35 %	108.53 %	35,450	Short Build
2	02-Mar	1227.20	1617.60	1035.00	1197.30	-15.71 %	-12.71 %	17,000	Long Unwind
3	01-Mar	1417.50	1696.90	1250.00	1420.50	-26.77 %	-4.65 %	19,475	Long Unwind
4	26-Feb	1339.25	2100.00	850.00	1939.80	248.23 %	-44.53 %	20,425	Short Cover
5	25-Feb	600.00	600.00	355.70	557.05	-	-	36,825	-

So overall the OI Picture is clear and shows that we have Strong Bears who are still in the game while Bulls have captured the fort but not in a convincing manner.

Had Call premiums closed near Day's high while Put premiums closed near Day's Low and we would have seen more Put writing at a higher level then things would have been much more Bullish.

In such a situation we must wait for the price level of 36600 to be taken out with volume to be absolutely Bullish while being cautious on the downside.

Global Markets would play a major role in deciding the Trading plan for expiry in such a situation.

3. *Global Markets*

Now having analysed the Price Action, Volume Analysis and Open Interest the next important parameter to be analysed is Global Markets, the next Connecting Dot.

In Global Markets we shall take into consideration following markets

1. US Dow Jones Spot/Future
2. US Nasdaq Spot/Future
3. Hang Seng Index Futures
4. Nikkei
5. European Markets FTSE/CAC/DAX

Out of these the US Dow Jones is most important as it is considered to be the Mother of all markets.

Now coming to our Expiry Analysis we see that Global Market Action is important for this particular day.

Let us analyse Dow Futures for the period

We shall see how Dow was when our Markets closed on 3 March 3.30 PM and how it is performing on the morning of 4 March and how it behaved in between the period.



As we can see that on eve of our Market closing on 3 March 2021 Dow closed in Green @ 31639. Then during the day in the evening when the Dow Spot traded it took a fall till 31350 and then in the morning by 9.00 AM it was trading @ 31130.

Thus the Dow was **-500** the morning.

With Dow Falling all the other markets, especially Nikkei, Hangseng were also in deep Red @ -2% by 9.00 AM on 4 March opening.

Thus in the current situation following can be the impact on our markets

Though 3 March was a Trend Day but **further Continuance of Up Move is unlikely today** due to following factors

- The Up Move, though covered the Gap was done with relatively low Volume
- The Short Covering on the Call Side was not aggressive and still we may assume that only weak hands were removed
- Put Premiums did not close at day's Low
- **Dow has moved significantly lower**
- **Asian Markets are also lower**

In such a situation following things need to be observed

- The Market is likely to move Down
- The Call Writers who suffered a loss Yesterday would become aggressive in the morning and try to bring the Market lower by Selling every Rise
- Put writers who entered Yesterday may become worrisome and weak hands would cover their position thus supporting the Down move.
- Dow needs to be continuously Monitored. If it falls further then Put writers who entered Yesterday would be in deep trouble and would cover their position.
- Important Price Support Levels of 35500 should be carefully monitored. If it breaks further with Volume and Dow falling along then expect a Downward rally.

Thus in short it is going to be a **Sell on Rise Market in the Morning.**

Certainly there would be **no point in chasing any GapDown**. The reason for this would be that once we get a Gap Down then **RSI would drop to below 20** for sure there is no point in going short in such a situation. Important Support of 35500 need to be taken out with heavy Volumes to chase any Down Rally.

So this is the analysis for Expiry Day Morning Trade-"**SELL ON RISE and NO CHASING GAP DOWN**".

4. FII/DII Data

We need to see how FII and DII behaved in Cash Market on 3 March



Detailed FII/DII Capital Market Activity								
	Date	FII Buy	FII Sell	FII Net	In Market	DII Net	DII Buy	DII Sell
2	03-03-2021	10,944.98	8,856.28	2,088.7	2,481.81	392.91	5,414.38	5,021.47
3	02-03-2021	8,808.42	6,755.55	2,223.16	1,389.12	-854.04	4,315.34	5,169.38
4	01-03-2021	6,674.54	6,549.39	125.15	-89.73	-194.88	4,262.45	4,457.33

March is a very special day for FII/DII Data. On this day both FII and DII were net buyers in the Cash Market and together they put in around 2400 Crore. This is certainly **Bullish**.

But we have a Sell On Rise scenario on the basis of other factors.

So what does it mean for this day?

- **It means that FII/DII are bullish** for the day they will not like the market to fall down. Thus in this scenario the important Support level of 35500 would be very important.
- If this level is not broken and Dow recovers or stabilizes the FII's who pumped in money Yesterday would like the market to recover.
- **If however we see the price of 35500 breaking with volume and Dow also going down then this data would be irrelevant as fresh FIIs would come into picture and Sell aggressively in the Cash Market.**

Thus we are now clear about how FII and DII data would play in the Market.

7. Any immediate factor impacting Economy/Markets

At this juncture the most relevant news that is important for our markets is **US Treasury Bond Yields**.

There is an inverse relationship between US Treasury Yields and Performance of Emerging Markets.

The major reason for the sell off on 26 Feb was a sharp increase in US Treasury yields that sparked a Global sell off and our markets too took a fall.

For 4 March the situation is not good as the **yields have started to increase after consolidating**.

This is a Bearish sign.

Thus now we have connected almost all the dots. Based upon our analysis we summarise our findings as follows

- 3 March 3rd was a Bullish Trend Day. It covered the huge Gap created by the sell of on 26 Feb.
- However the Bullish Trend took a stop at an important Resistance level of 36600.
- The Volume with which the market escalated was relatively lower than the volume with which the market went down.
- Thus any upside move is likely to be capped till we cross 36600 with great Volumes.
- We saw CALL writers covering their positions on important strikes but this covering was not a strong one as only 40% writers covered their position. Any covering of order of 55-60% would have been a strong signal for further up move. Plus there was no significant Long Buildup on that day. Thus any upmove is certainly capped.
- We saw significant Put writing happening but the Premiums did not close at Day's Low.
- The Global Markets including DOW are in deep red on the morning of 4 march.
- Thus pained Call writers would become aggressive in morning and weak Put writers would cover their position.
- FII/DII data was bullish for the previous day.
- Thus it would be wise to **Sell on Rise in the morning session and not chase the Gap Down** until the important support level of 35500 is taken out with Volume and Dow falls further.

Now having a Trading Plan ready let us see how markets behaved actually and let us see if we got any opportunities in the Morning.

Below mentioned is the Price Chart for the day of 4 March 2021.



Kindly observe that we saw a huge Gap down and RSI dropped below 20 on opening itself.

Let us also observe how Open Interest behaved in initial morning hours

	Time	LTP	Call Oi	Put Oi	Difference in Oi	Day High/Low Diff. in Oi	Sentiment
28	11:10:00	35696.15	38,62,525	9,63,125	-28,99,400	Day Low Break	Bearish
29	11:00:00	35646.15	36,23,375	12,08,600	-24,14,775	Day Low Break	Bearish
30	10:50:00	35658.70	32,76,050	12,10,100	-20,65,950	Day Low Break	Bearish
31	10:40:00	35683.05	31,84,225	12,22,850	-19,61,375	Day Low Break	Bearish
32	10:30:00	35637.70	30,16,900	11,29,775	-18,87,125	Day Low Break	Bearish
33	10:20:00	35644.80	27,92,175	13,49,325	-14,42,850	Day Low Break	Bearish
34	10:10:00	35641.15	23,63,750	11,42,350	-12,21,400	Day Low Break	Bearish
35	10:00:00	35595.20	21,35,000	13,39,825	-7,95,175	-	Bearish
36	09:50:00	35547.80	18,31,825	9,90,350	-8,41,475	-	Bearish
37	09:40:00	35660.00	15,42,925	6,18,650	-9,24,275	-	Bearish
38	09:30:00	35731.35	13,23,900	2,18,800	-11,05,100	Day Low Break	Bearish
39	09:20:00	35679.65	3,25,150	-6,28,900	-9,54,050	-	Bearish

Rows per page: All ▾ < Prev 1 - 39 of 39 Next >

We see that initially we witnessed heavy call writing. After 10 AM there was a massive increase in CALL OI as compared to Put OI as the price was consolidating. Thereafter the price broke the consolidation zone on upside and moved upwards. Thus weak CALL writers had to cover their position. Thus it was a part of the plan not to chase any down move until the critical support was broken with volume. It didn't happen and previous Day Put writers and probably FII/DII who invested heavily in the cash market took the market to a higher level.

Now let us find where we had **Trading Opportunities**.

- I. Professional scalpers would have entered in the opening candle itself and scalped on the Put side
- II. Once RSI climbed back to levels of 20 it was a good opportunity to Short the Market and buy Puts. It is clearly shown on the chart.
- III. Once the Price was below VWAP and it made an attempt to go up without any significant volume it was another opportunity to scalp on Put side.

Also observe that our decision not to chase Downward move played out well as the important Support level of 35500 was not broken with volume. Rather, the price climbed up thereafter.

So with this our **Morning View played out very well** and these 3 trades were enough to meet your daily targets.

The remainder of the Day was a battle between Bulls and Bears and Bears were not able to break 35500 and Bulls were not able to climb to 36600.

However now let us shift our focus to the second part of Expiry Day that is **Closing Session Trade**.

Trading Plan for Closing Period of Expiry Day

This analysis is dedicated exclusively for Expiry Day. The rationale behind this analysis is that we usually get wild swing movements in the last one hour on every expiry. This is mainly due to involvement of influential players in the Options market to make profit.

If we are able to analyse the plan of Market movers then we may earn some good results.

At the very outset we shall like to say that Market Movers make money on Expiry Day by both **Buying as well as Selling options** though their activity as sellers is **predominant**.

So what major factors do we analyse for this closing period on expiry day.

- 1. Price Action of the day**
- 2. Change in Open Interest during last hour**

So let us see this example for our expiry of Bank Nifty on 4 march 2021.

First we shall see how the day was in terms of Price Action



We see that during the day the lower support of 35500 was well protected and thereafter we saw consolidation till 11 AM. After 11 AM bulls took the market higher but could not reach an important level of 36500.

Thus it was clear that neither the Bulls nor the Bears had complete conviction to drive the prices either way. Thus we may have expiry in between these levels and price movement can be deduced if we do OI analysis during the last one hour properly.

So let us analyse OI change in last one hour

For this we must take into consideration the strikes that witness the highest change in OI. Usually they would be strikes in multiples of 500.

In our case it was 36000

Mode

Live data

Historical data

Select Name

BANKNIFTY

Select Date

2021-03-04

Select Strike Price

36000

Select Time Interval

15 min

Global Actions

Go

Time	Call OI	Total OI Chng	Call D. H/L Break	Call LTP	Call LTP Chng	Call Chng. in OI	Call OI Interpretation	Strike	Put OI Interpretation	Put Chng. in OI	Put LTP Chng	Put LTP	Put D. H/L
15:15-15:30	1174900	519525	O.L.B (0.00) ↓	0.05	-0.55	-7,24,850	Long Unwinding ↓	36000	↓ Long Unwinding	-2,45,700	-6.20	195.60	
15:00-15:15	1899550	1244175	O.L.B (13.80) ↓	0.60	-18.25	-1,83,250	Long Unwinding ↓	36000	↑ Shorts Covering	-4,83,075	81.70	201.80	
14:45-15:00	2082800	1427425	O.L.B (36.00) ↓	18.85	-24.55	5,39,000	Short Build Up ↓	36000	↑ Shorts Covering	-7,57,275	34.55	120.10	
14:30-14:45	1543800	888425	O.L.B (43.20) ↓	43.40	-88.80	1,40,475	Short Build Up ↓	36000	↑ Shorts Covering	-54,475	35.95	85.55	O.L.B (36.00) ↓
14:15-14:30	1403325	747950		132.20	-0.80	-7,65,400	Long Unwinding ↓	36000	↓ Short Build Up	13,23,150	-10.70	49.60	O.L.B (43.20) ↓
14:00-14:15	2168725	1513350		133.00	42.70	8,350	Long Build Up ↑	36000	↓ Long Unwinding	-7,700	-73.95	60.30	

14:15-14:30	1403325	747950		132.20	-0.80	-7,65,400	Long Unwinding ↓	36000	↓ Short Build Up	13,23,150	-10.70		
-------------	---------	--------	--	--------	-------	-----------	------------------	-------	------------------	-----------	--------	--	--

Kindly see what happened at 14.30 hours. We saw a massive Short Buildup happening on the Put side. An increase of OI by 13,23,150 is quite high.

If we analyse just Put writing then it is a Bullish sign but it has to be accompanied by other factors too for being really bullish. We must see following follow ups

1. Price making strong Up move
2. Long Buildup on the Call side
3. Decay in Put premium and further writing on Put side.

But none of above mentioned things happened

If you see after 2.30 there was no strong up move.

On the Call side we witnessed “**LONG UNWINDING**” indicating that Longs are not interested in taking the market higher from this level. This must have scared the Put writers.

So in case we get any down move then these Put writers would cover their position and we may see CALL writing on other hand.

Just observe

15:00-15:15	1899550	1244175	D.L.B (13.80) ↓	0.60	-18.25	-1,83,250	Long Unwinding ↓	36000	↑ Shorts Covering	-4,83,075
14:45-15:00	2082800	1427425	D.L.B (36.00) ↓	18.85	-24.55	5,39,000	Short Build Up ↓	36000	↑ Shorts Covering	-7,57,275
14:30-14:45	1543800	888425	D.L.B (41.20) ↓	43.40	-88.80	1,40,475	Short Build Up ↓	36000	↑ Shorts Covering	-54,475
14:15-14:30	1403325	747950		132.20	-0.80	-7,65,400	Long Unwinding ↓	36000	↓ Short Build Up	13,23,150

After 2.30 the price made no up move and we saw Short Covering on Put side and Short Buildup on CALL Side.

In this scenario 35900 PE made an obvious choice once downmove started and it too displayed similar behaviour.

Just observe the down move after 14.50. Put writers got trapped and ran for cover thereafter. Thus 35900 was our Hero of the Day.



35900 PE moved from a price of 40 to 100 during this period. Also as price once crossed VWAP it was a Golden Opportunity to enter the trade.

This exercise we have taken in this document shows that with proper analysis we can Decode any Market provided our understanding of the factors playing in the market is crystal clear.

In the end we again like to emphasise the fact that one must enter a market after making a proper Trading Plan and carrying out trades in accordance with that plan. This exercise would improve your performance by leaps and bounds for sure.

“An idiot with a plan can beat a genius without a plan”

-Warren Buffett

OI Pulse which is our tool for Decoding the markets has been developed exactly to do the job and would help to simplify complex things for you.

You may visit our website <https://oipulse.com/signin/> for more information.

Kindly share your feedback with us on this Expiry Day Analysis so we may improve further and achieve our mission of empowering Retail Traders through knowledge in a more effective manner.

Regards

Team OI Pulse





ADDENDUM 6

While we receive encouraging feedback from active users we still strive to bring new features that would help the traders decode the market and trade with confidence.

Continuing with our mission to empower retail traders we bring 3 new exciting features that would certainly help you improve your trading performance

These features are

- 1) Options/Big OI Movement
- 2) FII DII Activity/Participant wise OI
- 3) Strategies
 - a) Straddle Chart
 - b) Strangle Chart

In this addendum we shall learn how to access these features and how to interpret the conveyed information to enter or exit a trade.

So lets start

1. Options/Big OI Movement

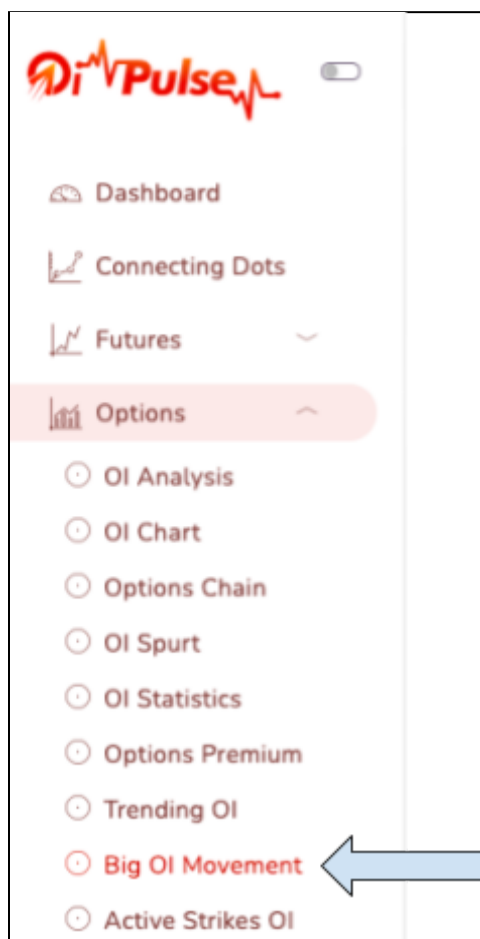
This feature has been developed after a lot of thought process and can certainly prove to be one of the most effective tools to decode the markets at micro level and thus help you take trades confidently and **optimise your position sizing**. Big OI when used with other features of OI Pulse especially Trending OI would let you know when you can be aggressive in taking trades and when you need to be cautious. So let's learn about it in a comprehensive manner.

So let us start by answering the question “**What** is the Big OI Movement and **Why** is it important?”

So let us take the “What” aspect first. Big OI Movement is the latest feature of OI Pulse that tracks the big or significant changes in Open Interest (OI) of Options of the indices of all the

strikes in real time. We have used our AI based system to identify such strikes where this Big change is happening. The computed data is presented separately for Call and Put Options. So let us see how this feature can be accessed.

It can be used under the “Options” feature of OI Pulse



Once inside the feature just select the standard option of Live or Historical Data for BankNifty or Nifty and you would see following result

Mode

Live data

Historical data

Name

BANKNIFTY

Date

2021-03-26

Select Expiry Date

01-Apr-2021

Global Actions

Go

CALL (CE)

	Time	Asset Price	Strike Price	Moneyness	LTP	Chg In LTP	Chg In OI	OI Interpretation
1	15:25-15:30	33439	33500	OTM	515.00	0.55	-42,125	Short Covering
2	15:20-15:25	33388.7	33600	OTM	463.30	50.85	-39,750	Short Covering
3	15:20-15:25	33388.7	33400	ATM	570.75	59.85	-27,425	Short Covering
4	15:20-15:25	33388.7	33500	OTM	514.45	57.35	-34,150	Short Covering
5	15:10-15:15	33239.35	33500	OTM	446.75	-22	-47,675	Long Unwinding
6	09:35-09:40	33434.6	33500	OTM	658.65	-49.4	36,500	Short Build Up

PUT (PE)

	Time	Asset Price	Strike Price	Moneyness	LTP	Chg In LTP	Chg In OI	OI Interpretation
1	15:20-15:25	33388.7	33500	ITM	504.20	-71.85	-36,325	Long Unwinding
2	15:15-15:20	33295.65	33400	ITM	525.05	-52.6	-45,625	Long Unwinding
3	15:10-15:15	33239.35	33500	ITM	627.50	11.65	-27,850	Short Covering
4	13:00-13:05	33341.85	33600	ITM	708.00	32.85	-27,150	Short Covering
5	11:55-12:00	33456.95	33500	ATM	600.70	32.65	25,900	Long Build Up
6	11:25-11:30	33299.4	33500	ITM	676.45	-30.8	-28,650	Long Unwinding

Here in the tabular form presented separately for Calls and Puts you would see different strikes appearing at different time intervals. These are the strikes that have seen the Big OI Movement. Consider following example of Calls

CALL (CE)								
	Time	Asset Price	Strike Price	Moneyness	LTP	Chg In LTP	Chg In OI	OI Interpretation
4	15:20-15:25	33388.7	33500	OTM	514.45	57.35	-34,150	Short Covering
5	15:10-15:15	33239.35	33500	OTM	446.75	-22	-47,675	Long Unwinding
6	09:35-09:40	33434.6	33500	OTM	658.65	-49.4	36,500	Short Build Up
7	09:25-09:30	33472.1	33400	ITM	718.80	54.4	32,325	Long Build Up

Read the table as follows

During the time interval **09.25-09.30 33400 CE** has undergone the **Big OI Movement**. Other data helps you realise how Big this movement was and what was the OI Interpretation. In the above example at 9.30 33400 strike was **ITM** as the spot was **33472.1**. It saw an OI increase of **32,325** with price increase of **54.4** thus **Long Build up**.

Now since the OI Movement is big it will have some ramifications. What these ramifications would be, we shall learn in the next part of “**Why is the Big OI Movement important ?**”

We have constantly reiterated that OI is the God of derivative markets. We need to track the OI changes of Futures as well as Options. OI Pulse has simplified the procedure for tracking OI of Futures. Tracking OI and change in OI of options can be a little tricky as we have to keep track of many strikes on the Call and Put side. “Trending OI” would give you the overall picture of what is happening at a macro level. But in order to decode the market effectively we need to know where exactly the action is happening and when. This is where this feature would help us. We know that sellers dominate the options market for the majority of time. If we know where and when they are taking positions we can position ourselves for a trading opportunity more confidently. **Our Position sizing can be optimised using this feature.**

Thus this is the major advantage of this feature. It would boost your confidence to take a trade and thus you can take a large position when we witness the Big OI movement along with the Price Movement. If we don't get BIG OI movement then we must trade cautiously with limited quantities.

We shall like to reiterate the fact that **do not trade exclusively based on any one factor but connect the dots** to take a trade while deciding the **Position sizing** and **risk management**.

Now we would demonstrate two examples where you would have an almost similar Bullish scenario. But you must use **different position sizing** in both the trades.

Example 1 would be a bullish scenario where you can be **aggressively bullish** whereas example 2 would be one where you need to be **cautiously bullish**.

Example 1: Aggressively Bullish

We consider an example of BankNifty Future Dated 23 March 2021. Consider the time period 14.15 hours on this particular day



We see that by the end of the 14.18 candle we saw a Bullish setup. We had two consecutive green candles and that too with ascending volume. Also the RSI was above 60. Now if we know what the Call writers are doing at this junction then we can manage our trade confidently. If CALL writers are writing more then it means that we need to be cautious on the rise. However if the Call writers are covering their position then it surely means that Call writers are afraid of further rise and thus limiting their losses by covering their position. This must happen on a large scale and we must have some significant change in OI. We also need to take into consideration the actions of Put writers. Any further up move must be accompanied with more aggressive Put writing. Let us see what the Big OI movement feature captured at that instance.

CALL (CE)									PUT (PE)								
	Time	Asset Price	Strike Price	Moneyness	LTP	Chg In LTP	Chg In OI	OI Interpretation		Time	Asset Price	Strike Price	Moneyness	LTP	Chg In LTP	Chg In OI	OI Interpretation
10	14:20-14:25	34163.4	33900	ITM	578.80	40.8	-40,525	Short Cover	14:25-14:30	34204.7	34200	ATM	372.70	-21	43,775		Short Build Up ↓
11	14:20-14:25	34163.4	34000	ITM	513.75	35.75	-61,450	Short Cover	14:20-14:25	34163.4	34000	OTM	305.00	-37.85	97,750		Short Build Up ↓
12	14:15-14:20	34088.45	34000	ITM	478.00	68.15	-50,175	Short Cover									

We see that ITM strike 34000 witnessed a significant covering on Call side till 14.20. By 14.25 the Call side saw further covering while Put side now saw major writing, thus a totally bullish scenario.

In such a scenario we can take a **large position**.

Let us see what happened next



Bank Nifty jumped from 34205 to 34424 thus the scalp with good quantity would have been really fruitful.

Thus the Big OI movement gave you confidence to go into the trade with maximum quantity.

Example 2: Cautiously Bullish

We consider BankNifty Future Dated 23 March 2021. Consider the time period 10.54 hours on this particular day



Here also we have 2 consecutive green candles with ascending Volume much greater than 50 K. This in fact seems to be more bullish than example 1. RSI around 80 would give you some doubt about further bullish moves but you can't be sure as RSI can easily touch 90 levels in such cases. Any change in OI would give concrete evidence. So let us look at what Big OI feature captured at this instance.

CALL (CE)								PUT (PE)							
Time	Asset Price	Strike Price	Moneyness	LTP	Chg In LTP	Chg In OI	OI Interpretation	Time	Asset Price	Strike Price	Moneyness	LTP	Chg In LTP	Chg In OI	OI Interpretation
10:55-11:00	34136.6	33800	ITM	681.25	-11.9	-1,03,050	Long Unwe	10:55-11:00	34136.6	34300	ITM	520.70	34.8	31,850	Long Build Up ↑
10:55-11:00	34136.6	34000	ITM	557.85	-5.65	-90,650	Long Unwe	10:55-11:00	34136.6	34200	ITM	468.65	32.6	37,575	Long Build Up ↑
10:55-11:00	34136.6	33900	ITM	618.45	-4.95	-89,100	Long Unwe	10:55-11:00	34136.6	34000	OTM	375.35	25.4	95,675	Long Build Up ↑
10:50-10:55	34173.6	33900	ITM	623.40	207.55	-37,800	Short Cover								
10:50-10:55	34173.6	34500	OTM	316.35	122.3	-1,18,500	Short Cover								
10:50-10:55	34173.6	34000	ITM	563.50	193.5	-44,800	Short Cover								

On the call side we see that initially we saw short covering but in the next 5 minutes there was Long Unwinding wherein profit booking on the up move came in. This is certainly not good for further up move.

On the Put side we must have seen Short buildup but what we saw was Long Buildup that is a bearish sign.

Thus although the chart gives you a Bullish Outlook, RSI creates a doubt and Big OI confirms that further up move would be capped. Thus if playing on the Bullish side **we must reduce our position sizing for this particular trade.**

Let us have a look at what happened next.



Though the price increased a bit, it soon dropped to 33365 from a high of 34367. Only a superfast scalp would have got some profit in this situation.

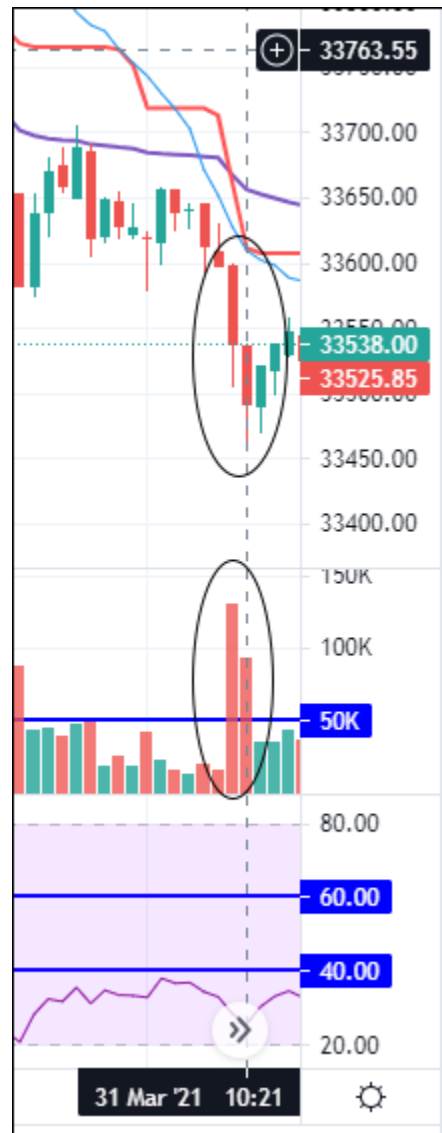
Thus we saw how the Big OI feature can actually help you trade with confidence. Now having taken into consideration Call side trades let us take some examples on Put side where Big OI shall give you an indication to be **aggressively short** or **cautiously short**.

Example 3: Aggressively Short

Here we shall consider an example of Bank Nifty on 31 March 2021. Consider the time period of 10.18-10.30 hrs.

In this example we shall learn how Big OI could help you **identify traps to remove the weak hands from downward movement.**

Let us see what happened on the Price chart



Here we can observe that by the end of 10.21 candle we had two consecutive red candles with volume greater than 50K. Supertrend and RSI favoured the down trend. Ideally your entry should be in the third candle. But what happened in the next two candles would have shaken many. Next two candles were green candles. This move would have **shaken the weak hands out**. Now in such a scenario. There must be a thought going on in many minds whether this is a **Trend Reversal or a Trap to remove weak hands**. In such a dilemma BIG OI feature would have helped you in a big way.

Let us see what Big OI recorded in that particular time frame.

CALL (CE)								PUT (PE)							
Time	Asset Price	Strike Price	Moneyness	LTP	Chg In LTP	Chg In OI	OI Interpretat	Time	Asset Price	Strike Price	Moneyness	LTP	Chg In LTP	Chg In OI	OI Interpretat
10:20-10:25	33357.2	33400	ATM	321.25	-24.9	53.375	Short Build	14 10:20-10:25	33357.2	33500	ITM	403.35	21.7	-1.66.875	Short Cover
								15 10:20-10:25	33357.2	33700	ITM	522.30	26.35	-49.725	Short Cover
								16 10:20-10:25	33357.2	33600	ITM	460.00	22.45	-56.675	Short Cover

We saw that with the down movement Call writers increased the OI with considerable Short buildup thus increasing the Downward pressure while Put writers in ITM covered their position thus signalling that this market will go further down.

Thus using Big OI you could have decided that **upward price movement was a trap by the Bears who wanted to remove the weak hands out.**

Let us see what followed later on



The price moved from 33525 to a low of 33270. Thus providing a very good opportunity to trade. In such a trade Big OI suggested that the upward move is a trap and **every rise was a Golden Opportunity to go aggressively short after we got 2 consecutive red candles.**

By this time you must have realised why this tool is important and how it can help you maximise your trading profits.

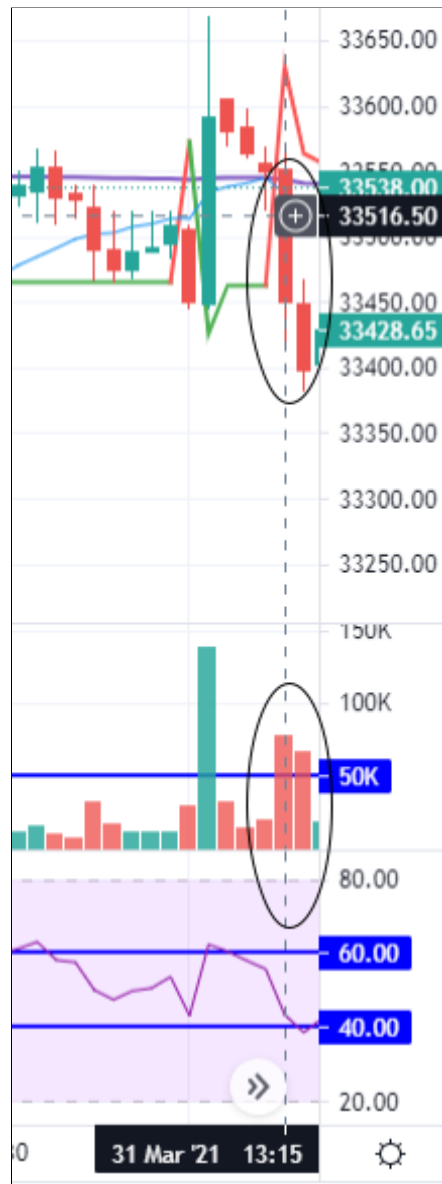
Let's consider one more example where it suggested you to be cautiously short.

Example 4: Cautiously Short

We will consider examples from the same day i.e 31 March 2021 and see how Big OI features would help us maximise our profits.

Consider the time period 13.15-13.30 on that day.

Let us see what happened on the price chart



In this particular time period we got two consecutive Bearish candles along with volumes more than 50 K. Super Trend and RSI two showed great potential of a downward trade.

But let us see what Big OI recorded for this time period.

CALL (CE)								PUT (PE)								
Time	Asset Price	Strike Price	Moneyness	LTP	Chg In LTP	Chg In OI	OI Interpretat	Time	Asset Price	Strike Price	Moneyness	LTP	Chg In LTP	Chg In OI	OI Interpreta	
NO BIG OI CHANGE IN THIS PERIOD								2	13:20-13:25	33300	33400	ITM	353.90	-10.25	-49,900	Long Unwind

We see that when price moved Lower Call writers didn't enter and write call Options thus signalling that they are not confident that the market would go further lower. Let us see what happened on the Put side. We saw "**LONG UNWINDING**". Thus Put buyers felt that the necessity to book the profits as they believed that this Market won't go down further.

So now if neither the Call Writers nor Put buyers believe that this market would go lower then how can a miracle happen and the market go lower?

Thus BIG OI screamed to be cautious on the down side.

Let us see what happened next



Thus we see that we didn't see any further down move during the remaining day. Only a quick scalp with less quantity made sense in this trade.

Thus now having gone through various examples we now know that Big OI can help you immensely by decoding the Market sentiment at the micro level at any given juncture. This tool, if used regularly, will certainly take your trading to the next level. Thus use it extensively to gauge the market sentiment at micro level.

2. FII DII Activity/Participant wise OI

We all are aware of the importance of FII for Indian Capital markets in general and Derivative market in Particular. NSE publishes data about the activity of FII in cash and derivative markets separately. This data when analysed systematically would help to a great extent in preparing your Trading Plan for the next day.

As it has been explained earlier we would again reiterate that consider information conveyed by FII data as one of the Dots and not the only factor to prepare your trading plan.

So coming back to FII Data we know that we get information from NSE about FII activity in the Cash Market and Derivative Market.

FII activity in the Cash Market may not always have an immediate impact on the next trading day as positions in the Cash market are usually taken for a longer time frame. On the other hand Derivative positions in Futures and Options have more impact in near term. So we must analyse the data carefully.

In the Derivative market one of the most important data to analyse is **Participant Wise OI**. We are aware of the importance of OI, now we need to know the importance of Participant wise OI.

So who all are the Participants in Derivative markets?

NSE classifies the market participants in Derivative markets (Futures and Options) into 4 categories

1. FII- Foreign Institutional Investor
2. DII- Domestic Institutional Investors (Mutual Funds,LIC etc)
3. Pro- High Networth Individuals(HNI's), Professional Trading Houses
4. Client- Retail investors/traders like us.

All of them trade in the Derivative market. If we know how these categories are placed in the market at any given time then we may form an opinion. Before we proceed further to know how OI pulse would decode the data let us have a foundational understanding of the Participant wise OI data. We will try to understand how we can form an opinion by analysing 3 hypothetical scenarios.

We will consider Index Futures (that means Nifty & Bank Nifty Futures of all series). Suppose that the OI of Index Futures is 1000000. This means that there are 10 lakh open positions. So there are 10 Lakhs Long and 10 Lakh Short positions. If we know who is Long and who is short then we can have a good idea what can be expected the next day.

Scenario 1:

TOTAL OI= 10,00,000	
LONGS	SHORTS
FII : 5,00,000 (50%)	FII : 50,000 (5%)
DII : 1,50,000 (15%)	DII : 50,000 (5%)
PRO : 3,00,000 (30%)	PRO : 1,00,000 (10%)
CLIENT : 50,000 (5%)	CLIENT : 8,00,000 (80%)
-----	-----
TOTAL :10,00,000 (100%)	TOTAL : 10,00,000 (100%)

We know that there would always be some FII's who would be Long and some would be short and similar would be the case with other market participants.

Now let us analyse the Net positions of all the market Participants in this case

NET OPEN INTEREST	
LONGS	SHORTS
FII : 4,50,000 (5,00,000-50000)	
DII : 1,00,000 (1,50,000-50000)	
PRO : 2,00,000 (3,00,000-100000)	
	CLIENT : 7,50,000 (8,00,000-50000)

So what can we analyse from the given data?

1. Total Long positions is equal to the total short positions.
2. At any given time some participants would be Long and some would be short.
3. Even each participant type e.g FII would have both Long as well as Short positions.

Now in this case what is the major inference to be made.

- **In Long positions FII hold maximum open positions**
- **Pro's also hold significant Long Positions**
- **In short position Clients hold majority of open positions**
- **FII,DII and Pro are net Long and Clients are net short.**

We know that in such a situation the market has more chances of going higher as usually FII,DII and Pro would control the market and Clients or retailers would just be following the moves. So if you get such a scenario expect the market to be Bullish next day provided World markets do not go aggressively down.

Scenario 2

TOTAL OI= 10,00,000	
LONGS	SHORTS
FII : 1,00,000 (10%)	FII : 5,00,000 (50%)
DII : 50,000 (5%)	DII : 1,00,000 (10%)
PRO : 1,00,000 (10%)	PRO : 3,00,000 (30%)
CLIENT : 7,50,000 (75%)	CLIENT : 1,00,000 (10%)
-----	-----
TOTAL : 10,00,000 (100%)	TOTAL : 10,00,000 (100%)

Let us now also consider the Net Positions of the Market participants

NET OPEN INTEREST	
LONGS	SHORTS
CLIENT : 6,50,000 (7,50,000-100000)	FII : 4,00,000 (5,00,000-100000) DII : 50,000 (1,00,000-50000) PRO : 2,00,000 (3,00,000-100000)

In this case we clearly know that all the institutional players are on the short side and retailers on Long side.

We observe that Clients are majority of Short position holders and FII & Pro's are majority of Open Position holders.

In such a situation it makes sense to be on the Short side.

There would be days when we get data of this kind. But for the majority of days we will get mixed data. Let us consider third scenario to have a look at this mixed situation

Scenario 3

TOTAL OI= 10,00,000	
LONGS	SHORTS
FII : 2,50,000 (25%) DII : 3,00,000 (30%) PRO : 2,50,000 (25%) CLIENT : 2,00,000 (20%) TOTAL : 10,00,000 (100%)	FII : 2,00,000 (20%) DII : 2,50,000 (25%) PRO : 3,00,000 (30%) CLIENT : 2,50,000 (25%) TOTAL : 10,00,000 (100%)

Let us see the net positions to understand it properly

NET OPEN INTEREST	
LONGS FII : 50,000 (2,50,000-200000) DII : 50,000 (3,00,000-250000)	SHORTS PRO : 50,000 (3,00,000-250000) CLIENT : 50,000 (2,50,000-200000)

- In this situation we see that there is no participant that has a majority of the open or long open position.
- Though FII's are net Long but it is not significant enough to form an opinion.

So if we are to summarise our learnings till this point we can do it in following manner

1. Total Long open positions is equal to the total short open positions.
2. At any given time some participants would be Long and some would be short.
3. Even each participant type e.g FII would have both Long as well as Short positions.
4. If FII/Pro hold the majority of the positions on either Long or short side then we can have a directional view.

In terms of relative importance of Participants follow following sequence

FII > Pro > DII > Client.

We need to analyse the data for Futures as well as Options (Calls & Puts) for Index and Stocks all together to form an opinion.

Now we know how this data can help us form directional views. But we already know that situations where the absolute data gives such clarity are few. In the majority of cases we would have mixed situations as shown in Scenario 3. So is there a way we can decode this data further? Absolutely yes. We can do so by tracking the **Change In OI** on a day to day basis. This is where OI Pulse would help you keep track of the changes in OI data of all the participants in a systematic way and also help you decode the interpretation of the data.

Now before we switch to OI Pulse let us understand how we can decode the data based on changes in OI. For simplicity we would consider Scenario 3 again. Since we need to make inferences based on change in OI we need data of two consecutive days.

So DAY 1 data is as under

DAY 1 TOTAL OI= 10,00,000	
LONGS	SHORTS
FII : 2,50,000 (25%)	FII : 2,00,000 (20%)
DII : 3,00,000 (30%)	DII : 2,50,000 (25%)
PRO : 2,50,000 (25%)	PRO : 3,00,000 (30%)
CLIENT : 2,00,000 (20%)	CLIENT : 2,50,000 (25%)
-----	-----
TOTAL : 10,00,000 (100%)	TOTAL : 10,00,000 (100%)

On Day 2 the market went through some changes and at the end of day 2 there was a shift in Open positions. We witnessed an increase of OI from 10 lakh to 15 lakhs and the new OI data looked like this

DAY 2 TOTAL OI= 15,00,000	
LONGS	SHORTS
FII : 7,50,000 (50%)	FII : 50,000 (4%)
DII : 3,50,000 (23%)	DII : 1,00,000 (8%)
PRO : 3,50,000 (23%)	PRO : 1,00,000 (8%)
CLIENT : 50,000 (4%)	CLIENT : 12,50,000 (80%)
-----	-----
TOTAL : 15,00,000 (100%)	TOTAL : 15,00,000 (100%)

Now we need to focus only upon change in OI. and for that we need to look at data in following manner

PARTICIPANT WISE CHANGE IN OI DATA FOR INDEX FUTURE		
	CHANGE IN LONG OI	CHANGE IN SHORT OI
FII	+5,00,000 (7,50,000-2,50,000)	-1,50,000 (50,000-2,00,000)
DII	+50,000 (3,50,000-3,00,000)	-1,50,000 (1,00,000-2,50,000)
PRO	+1,00,000 (3,50,000-2,50,000)	-2,00,000 (1,00,000-3,00,000)
CLIENT	-1,50,000 (50,000-2,00,000)	+10,00,000 (12,50,000-2,50,000)

Now let us understand what is an aggressively bullish, cautiously bullish, aggressively bearish and cautiously bearish scenario

Aggressively Bullish Scenario

1. Increase in Long Open Interest (Similar to Long Build up)
2. Decrease in Short Open Interest (Similar to Short Covering)

Cautiously Bullish Scenario

1. Dominant Increase in Long Open Interest (Similar to Long Build up)
2. Increase in Short Open Interest (Similar to Short Build up)

Or

1. Decrease in Long Open Interest (Similar to Long Unwinding)
2. Dominant Decrease in Short Open Interest (Similar to Short Covering)

Aggressively Bearish Scenario

1. Increase in Short Open Interest (Similar to Short Build up)
2. Decrease in Long Open Interest (Similar to Long Unwinding)

Cautiously Bearish Scenario

1. Dominant Increase in Long Open Interest (Similar to Long Build up)
2. Dominant Increase in Short Open Interest (Similar to Short Build up)

Or

1. Dominant Decrease in Long Open Interest (Similar to Long Unwinding)
2. Decrease in Short Open Interest (Similar to Short Covering)

So based on the data for the above example we know that FII,DII and Pro are Aggressively Bullish whereas Clients are Bearish.

FII: Increased their long positions and decreased their short position (Aggressively Bullish)

DII: Increased their long positions and decreased their short position (Aggressively Bullish)

Pro: Increased their long positions and decreased their short position (Aggressively Bullish)

Client: Increased their short positions and decreased their long position (Aggressively Bearish)

Thus we know that since the institutions have turned aggressively Bullish and clients have turned bearish. **So we must align ourselves with the institutions and hold a Bullish outlook for the next day especially morning hours.**

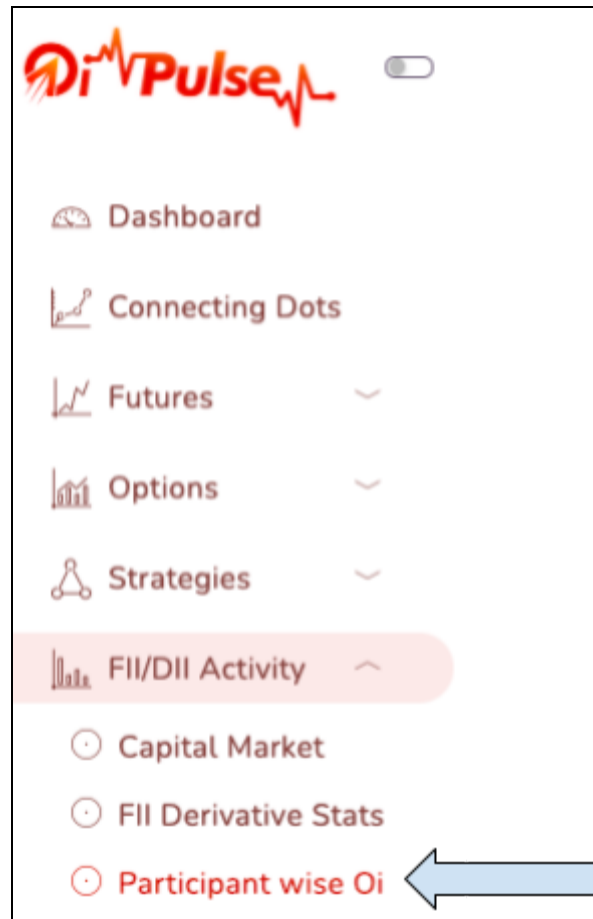
Till now we considered only hypothetical examples and that too only for Index Futures. In the real world we need to analyse a lot of data. We need to analyse the absolute and change in OI data for all the 4 participants

1. Index Futures
2. Stock Futures
3. Index Calls
4. Index Puts
5. Stock Calls
6. Stock Puts

It would be a complex task but with an OI pulse it would be much easier.

So let us first see how to access this feature in OI Pulse.

Follow the following step in Dashboard



Once you are inside just select the date for which you need to analyse the data
You would get following tabs on selecting the date

Participant Wise OI (No. Of Contracts)							
Date							
31-03-2021							
Type	Long	Short	Total Diff.	Chng. In Long	Chng. In Short	Chng. In Total	Interpretation

Let us understand the items briefly

Type: It would be further classified into Index Future, Future Stock, Option Index Call, Option Index Put, Option Stock Call, Option Stock Put

Long: Total open long position of a participant on a particular day

Short: Total open short position of a participant on a particular day

Change in Long: Change in Long OI with respect to previous day

Change in Short: Change in Short OI with respect to previous day

Change n Total: Total change in Position of a participant

Interpretation: Bullish, Bearish outlook based on change in OI

	Type	Long	Short	Total Diff.	Chng. In Long	Chng. In Short	Chng. In Total	Interpretation
FII								
1	Future Index	72,869 (24 %)	49,295 (16 %)	23,574	-5,887	16,560	-22,447	Bearish
2	Future Stock	5,99,613 (37 %)	4,72,317 (29 %)	1,27,296	4,768	12,886	-8,118	Bearish
3	Option Index Call	2,58,256 (15 %)	2,14,035 (12 %)	44,221	79,491	88,924	-9,433	Bearish
4	Option Index Put	3,36,493 (19 %)	1,81,765 (10 %)	1,54,728	66,498	31,031	35,467	Bearish
5	Option Stock Call	21,974 (5 %)	30,621 (7 %)	-8,647	3,699	5,260	-1,561	Bearish
6	Option Stock Put	25,241 (9 %)	25,475 (9 %)	-234	4,417	3,337	1,080	Bearish
Pro								
1	Future Index	26,669 (9 %)	28,422 (9 %)	-1,753	5,010	-3,790	8,800	Bullish
2	Future Stock	1,56,774 (10 %)	69,445 (4 %)	87,329	6,502	6,920	-418	Bearish
3	Option Index Call	3,49,986 (20 %)	4,52,561 (26 %)	-1,02,575	58,556	1,44,713	-86,157	Bearish
4	Option Index Put	3,62,662 (21 %)	3,81,384 (22 %)	-18,722	98,787	1,25,433	-26,646	Bullish
5	Option Stock Call	71,660 (17 %)	1,74,714 (42 %)	-1,03,054	11,291	21,921	-10,630	Bearish
6	Option Stock Put	1,17,096 (43 %)	56,090 (21 %)	61,006	6,679	10,259	-3,580	Bullish
DII								
1	Future Index	1,358 (0 %)	26,300 (9 %)	-24,942	0	-1,858	1,858	Bullish
2	Future Stock	20,104 (1 %)	8,63,107 (54 %)	-8,43,003	112	4,415	-4,303	Bearish
3	Option Index Call	267 (0 %)	0 (0 %)	267	0	0	0	
4	Option Index Put	7,362 (0 %)	0 (0 %)	7,362	187	0	187	Bearish
5	Option Stock Call	0 (0 %)	2,297 (1 %)	-2,297	0	1,369	-1,369	Bearish
6	Option Stock Put	11 (0 %)	0 (0 %)	11	0	0	0	
Client								
1	Future Index	1,98,840 (66 %)	1,95,719 (65 %)	3,121	43,479	31,690	11,789	Bullish
2	Future Stock	8,30,764 (52 %)	2,02,386 (13 %)	6,28,378	1,11,794	98,955	12,839	Bullish
3	Option Index Call	11,65,789 (66 %)	11,07,702 (62 %)	58,087	4,61,964	3,66,374	95,590	Bullish
4	Option Index Put	10,29,444 (59 %)	11,72,812 (68 %)	-1,43,368	3,42,164	3,51,172	-9,008	Bullish
5	Option Stock Call	3,26,394 (78 %)	2,12,396 (51 %)	1,13,998	68,045	54,485	13,560	Bullish
6	Option Stock Put	1,27,325 (47 %)	1,88,108 (70 %)	-60,783	30,938	28,438	2,500	Bearish

Let us take an example from the Market to take our understanding further. Consider Bank Nifty of 26 March 2021.

At the end of this day FII Open Interest looked something like this

Date							
26-03-2021							
Type	Long	Short	Total Diff.	Chng. In Long	Chng. In Short	Chng. In Total	Interpretation
FII							
1 Future Index	78,756 (31 %)	32,735 (13 %)	46,021	12,049	-7,386	19,435	Bullish
2 Future Stock	5,94,845 (40 %)	4,59,431 (31 %)	1,35,414	7,633	4,774	2,859	Bullish
3 Option Index Call	1,78,765 (15 %)	1,25,111 (11 %)	53,654	41,624	33,669	7,955	Bullish
4 Option Index Put	2,69,995 (22 %)	1,50,734 (12 %)	1,19,261	26,807	40,631	-13,824	Bullish
5 Option Stock Call	18,275 (5 %)	25,361 (8 %)	-7,086	7,511	8,766	-1,255	Bearish
6 Option Stock Put	20,824 (9 %)	22,138 (10 %)	-1,314	5,493	8,277	-2,784	Bullish

Let us analyse the data step by step

Future Index Data:

FII increased their Long Positions by 12,049 thus Long buildup and decreased their short positions by 7386 (Short Covering). Thus they are **aggressively bullish** as per this data.

Future Stock Data

FII increased their Long Positions by 7633 thus Long buildup and increased their short positions by 4774 (Short Buildup). Though we saw both Long as well as short build up but since Long buildup is dominant we call it Cautiously **Bullish**.

Option Index Call Data

FII purchased 41624 call options and sold 33669 Call options. So the majority of FII's believe that the market would go higher. Thus it is **Bullish**.

Option Index Put Data

FII purchased 26807 put options and sold 40631 Put options. Since they sold more Put options rather than buying them the scenario is Bullish.

Option Stock Call Data

FII purchased 7511 call options and sold 8766 Call options. This is Bearish as they are net sellers of Call options.

Option Stock Put Data

FII purchased 5493 put options and sold 8277 Put options. Since they sold more Put options rather than buying them the scenario is Bullish.

If we have a look at the OI Pulse Interpretation it would look like

Chng. In Total	Interpretation
19,435	Bullish
2,859	Bullish
7,955	Bullish
-13,824	Bullish
-1,255	Bearish
-2,784	Bullish

Only 1 data suggests Bearishness and that too Options Stock Call. So we may safely assume that FII are Bullish on Change in OI data basis.

Also on absolute term FII held a majority of Open Long positions in Index Futures that is bullish

	Type	Long	Short
FII			
1	Future Index	78,756 (31 %)	32,735 (13 %)
2	Future Stock	5,94,845 (40 %)	4,59,431 (31 %)

So the outlook is Bullish for the next day.

Now this outlook would be valid only for next morning trading hours and that too if Global factors do not come up strongly. In the later half of the day the sentiment can change in an independent manner.

Also Pro's and DII were neutral for the index both in absolute as well as change in OI term. Clients though were the dominant short position holders.

Pro			
1	Future Index	21,659 (8 %)	32,212 (13 %)
DII			
1	Future Index	1,358 (1 %)	28,158 (11 %)
Client			
1	Future Index	1,55,361 (60 %)	1,64,029 (64 %)

In such a situation with retailers as major Bears and FII as Bulls it is better to be on the long side.

Still let us look how the market behaved in morning half of next trading day



On the next day i.e 30 March 2021 we had a Gap up and the market moved almost 400 points from 33747 till 34182.

OI Pulse with its “Interpretation” feature would help you know the market sentiment in an instant. Just make an inference based on the majority position holders and how they have changed their position with respect to the previous day.

3. Strategies/ Straddle Chart and Strangle Chart

OI Pulse is committed to provide best support to its users. Though it is primarily focussed on Options buying but we know that there are instances when Option selling makes absolute

sense. Our goal is to provide the best user experience. So in order to take advantage of situations where Option selling makes sense we have this new feature called “Strategies” wherein you can make use of the AI based chart to enter or exit a straddle or a strangle strategy.

So we shall start with basics

What is a Straddle Strategy?

A strategy in which we simultaneously sell both Call & Put Options of the same Strike Price that is generally the ATM strike. The objective is to maximize the gain through reduction in premiums.

What is the Strangle Strategy?

A strategy in which we simultaneously sell both OTM Call & OTM Put Options that are usually at the same distance from ATM Strike Price. The objective is to maximize the gain through reduction in premiums. E.g in Bank nifty if the ATM is 35000 then if we sell 35500 CE and 34500 PE then we are executing a Strangle strategy.

When to use Straddle and Strangle Strategy?

These strategies can be best used in two scenarios

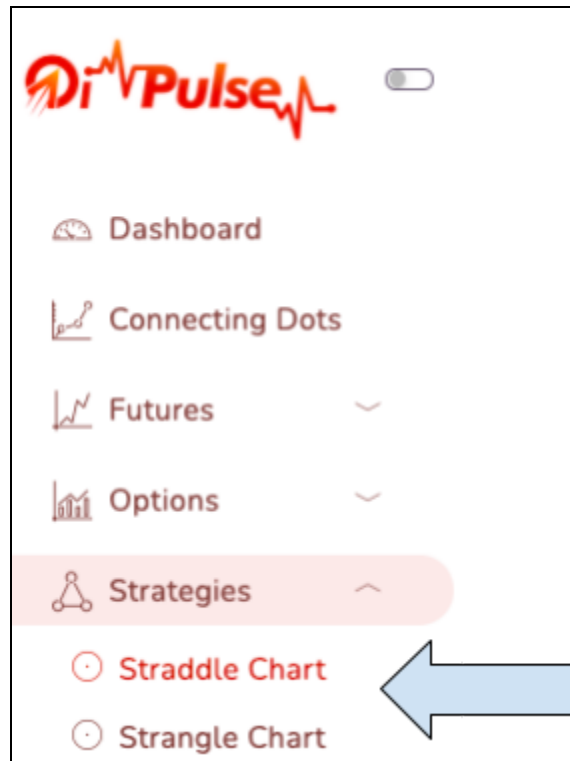
1. Just before an important event when Implied Volatility (IV) is high on both the call and put side.
2. When the market is in a range bound state. That is both the upside and downside are limited or capped. This scenario can be identified using OI data as well. If the OI on the Call and Put side is of similar size and there is no global factor then the market is expected to move in a range bound manner.

How will OI Pulse help the user in Straddle or Strangle strategy?

OI Pulse would help the user in Straddle or Strangle strategy in two ways.

1. OI Pulse through its various **OI and IV based features** would help to identify the scenarios when these strategies could be deployed.
2. Through the AI based Charts, OI Pulse would help the user to time the trades and adjust the position sizing.

So let us see initially how to access the feature



Once inside the Strategy one needs to select the Correct Strike prices.

For Straddle just select ATM strike or any other strike and for Strangle select OTM Call and OTM Put strike price.

Mode
☒ Live data
☐ Historical data

Select Name
Please select an options nar

Select Date
Please select a date

Select Expiry Date
Please select an expiry date

Select Time Interval
3 min

Select Call Strike Price
Please select a strike price

Select Put Strike Price
Please select a strike price

Global Actions
Go

Underlying Index: at as on IST

Options Strangle Chart

Mode
☒ Live data
☐ Historical data

Select Name
Please select an options nar

Select Date
Please select a date

Select Expiry Date
Please select an expiry date

Select Time Interval
3 min

Select Strike Price
Please select a strike price

Global Actions
Go

Underlying Index: at as on IST

Options Straddle Chart

Let us consider an example where playing with a Straddle made absolute sense and see how the OI Pulse Strategy feature would have helped to enter the trade.

Let us consider Bank Nifty Future dated 26 March

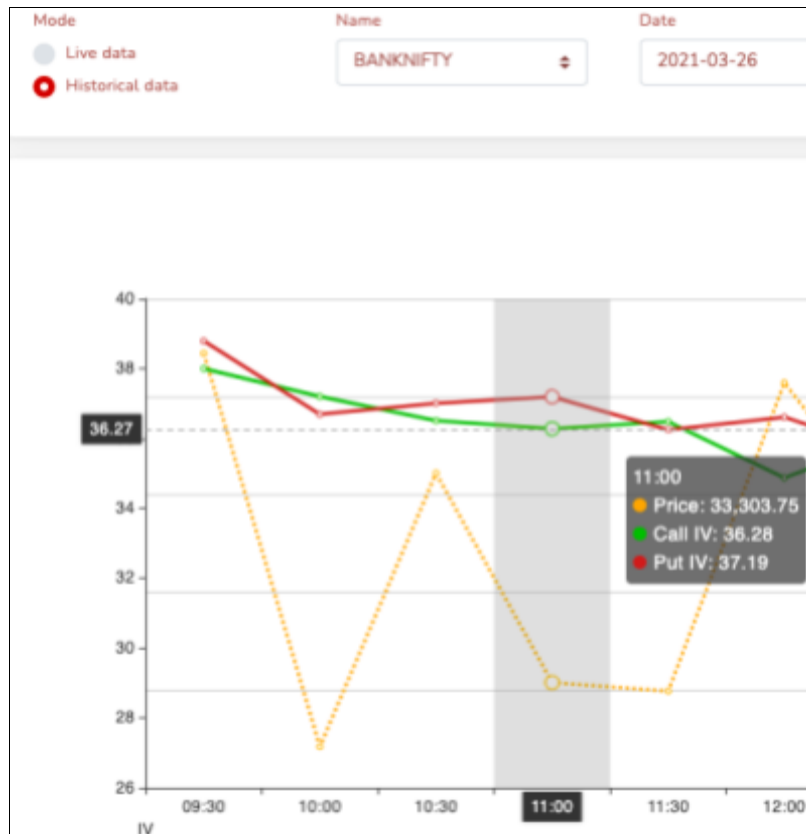
Let us identify why on this particular day we could have played Straddle or a Strangle.

Let us look at Trending OI data for that day

	Time	LTP	Chng. In Call OI	Chng. In Put OI	Difference in OI	Direction of chng
16	12:00:00	33456.95	17,87,250	20,69,225	2,81,975	2,81,975
17	11:45:00	33394.95	18,20,725	19,21,500	1,00,775	1,00,775
18	11:30:00	33299.40	17,73,800	17,99,175	25,375	25,375
19	11:15:00	33317.25	17,16,975	19,19,950	2,02,975	2,02,975
20	11:00:00	33303.75	16,29,900	18,76,075	2,46,175	2,46,175
21	10:45:00	33420.25	15,97,225	18,47,200	2,49,975	2,49,975
22	10:30:00	33410.80	15,25,800	17,44,950	2,19,150	2,19,150
23	10:15:00	33346.30	15,28,250	16,45,175	1,16,925	1,16,925
24	10:00:00	33271.05	13,60,525	15,86,600	2,26,075	2,26,075
25	09:45:00	33284.80	10,77,750	15,57,275	4,79,525	4,79,525

Just observe that the data didn't Trend on that day. The difference in Call & Put OI remained static on that day.

Now just observe the IV data for that day in Morning hours



Just observe that till 11 the IV levels were of the order of 37 and 36. Very high on both the sides. Now when OI is not building up on either the Call or Put side and IV is high it makes sense to play Strangle Strategy.

For selecting the strikes let us observe the Price chart.

We will select Call strike above Day High and Put strike below Day low till 11 when we decide to play Strangle



On this particular day till 11 am 33800 was day high and 33392 was day low. SO we will select OTM strikes above and below these levels.

OTM Call Strike: 33900 (Above Day High)

OTM Put Strike : 33300 (Below Day Low)

Now if we select these strikes in “Strategy feature” we would get following result



This graph is based on the internal system of OI Pulse. Here the blue line refers to the VWAP Price of the selected strikes and the Yellow line represents the combined premium of Call and Put.

When these two are plotted together they give a unique combination. Whenever the premium comes near the VWAP we can enter or increase the position.

On this particular day the price came near to VWAP till 11.35 and we could have built our position accordingly.

For the remainder of the day the Premium due to Time Decay and drop in IV decreased from 960 to 682.

Thus using this feature and others like Trending OI, Active IV one could have easily made some money.

The key lies in identifying the opportunities and OI Pulse would assist you in that.
On similar lines Straddle would also be played.

We hope that you would find the latest features of OI Pulse quite useful for your trading.
Kindly share your feedback with us on these new features so we may improve further and achieve our mission of empowering Retail Traders through knowledge in a more effective manner.

You may visit our website <https://oipulse.com/signin/> for more information.

Regards

Team OI Pulse





ADDENDUM 7

We hope that you are making full use of OI Pulse for your trading purposes. We keep on adding more and more features that help you to improve your trading skills. In this addendum we are going to share one of our most profitable **in-house Proprietary Trading Strategy** that has been developed on the basis of years of trading experience.

We call it the “**OPEN HIGH**” strategy. Not only we would discuss the concept of the strategy we would also introduce the latest **feature of OI Pulse “Open & High Strategy”** that would facilitate you to deploy this strategy right at the opening of the market.

So we will learn not only the concept but the practical way to convert the trading idea into Trading opportunity with help of OI Pulse.

So let's begin.

OPEN HIGH

We know that one of the best trading techniques for retailers is to align their trades with that of Big Boys or Market movers. The objective of this concept is to decode the mindset of such Big Players and find trading opportunities.

Now we shall try to understand the concept by dealing with following questions

- 1. What exactly do we mean by Open & High?***
- 2. How & Why does such an opening happen in the first place?***
- 3. What can be the reasons behind Open & High Opening?***
- 4. What is Open & Low and how is it related to Open & High***
- 5. How can this be used for our trading advantage?***

Once we are done with OPEN HIGH concept understanding we will learn a trading system for such cases. We will learn trading system by answering following questions

- 1. When should we enter the trade when we see Open High Opening?**
- 2. How should we manage our position sizing for these trades?**
- 3. Which strikes should we select for OH trades?**
- 4. Till what time is this setup valid?**
- 5. What should be the target for such trades?**
- 6. How can OI Pulse help me in Open High trade setup?**

Towards the end we will discuss the following question

“Is this strategy always successful?”

“How does this strategy fail sometimes?”

“Can OH be used to determine the direction of the market?”

OPEN HIGH CONCEPT

For better understanding we shall initially restrict our discussion to Bank Nifty Call Options & Futures in a Bullish scenario and then later on extend it to other scenarios.

1. What exactly do we mean by Open & High?

What exactly we are referring to Open and High is actually a specific type of Price opening scenario of an underlying asset (Call options & Bank Nifty Futures in our case).

So whenever you see that the Open Price is the same as High Price till the time you observe the market we have an OPEN HIGH scenario.

Let us see this as an example

Trading Symbol	% Change	LTP	Bid Rate	Bid Qty	Ask Rate	Ask Qty	Prev Close	Open	High	Low
BANKNIFTY21FEBFUT	-0.85	36291.00	36290.95	50	36298.45	150	36603.30	36402.00	36402.00	36120.15
BANKNIFTY21FEB36000CE	-22.77	672.05	672.00	75	673.70	25	870.20	719.95	728.20	585.85
BANKNIFTY21FEB36200CE	-24.17	558.05	558.35	50	560.15	25	735.90	560.15	608.10	485.00
BANKNIFTY21FEB36300CE	-24.61	508.70	505.75	50	507.30	25	674.80	560.10	560.10	439.15
BANKNIFTY21FEB36400CE	-25.00	456.90	456.65	100	458.00	25	617.15	540.85	540.85	397.15
BANKNIFTY21FEB36500CE	-26.50	412.75	411.95	75	413.10	50	563.25	474.05	474.05	357.00
BANKNIFTY21FEB36600CE	-27.95	371.00	371.85	25	372.95	25	514.90	474.05	474.05	320.75
BANKNIFTY21FEB36700CE	-29.03	334.25	332.15	75	333.00	25	466.75	291.15	366.45	286.50
BANKNIFTY21FEB37000CE	-31.52	232.85	232.40	25	232.85	25	340.05	272.15	272.15	200.35
BANKNIFTY21FEB36000PE	41.19	380.00	378.80	50	380.00	3925	269.15	344.45	466.00	330.00
BANKNIFTY21FEB36100PE	39.90	422.00	420.80	50	422.00	75	301.65	451.05	512.90	384.00
BANKNIFTY21FEB36200PE	38.00	465.00	464.20	50	465.00	225	336.95	380.00	561.85	380.00
BANKNIFTY21FEB36300PE	37.26	513.00	512.40	25	514.10	50	373.75	533.85	617.85	469.35
BANKNIFTY21FEB36400PE	35.77	563.50	561.30	25	563.55	25	415.05	449.55	673.80	449.55
BANKNIFTY21FEB36500PE	35.07	619.45	616.15	50	618.75	50	458.60	572.55	734.00	567.35
BANKNIFTY21FEB37000PE	26.90	936.00	936.55	25	940.10	25	737.60	896.35	1075.00	875.80

BANK NIFTY
CALL OPTIONS

BANK NIFTY
FUTURES

The above prices that you see are from the **Trading terminal on 19 February at 9.30 AM.**

So what do you observe

- Bank Nifty Future opened at 36402.00 and its high **till 9.30** is also 36402.00
- Banknifty 36300 CE opened at 560.10 and its high till 9.30 is also 560.10
- Banknifty 36400 CE opened at 540.85 and its high till 9.30 is also 540.85
- Banknifty 36600 CE opened at 474.05 and its high till 9.30 is also 474.05

- Banknifty 37000 CE opened at 272.15 and its high till 9.30 is also 272.15

So we call such a scenario the OPEN HIGH scenario. When the Open Price is the same as High Price till the time you make the observation. It is a dynamic concept that means that if you observe the trading terminal later, let us say at 10.00 AM such a situation may not be valid once again. It may happen that Bank Nifty moves to 36500. In such a scenario the new High will be 36500 and it would replace the earlier entry of 36402 in the trading terminal.

We get to see such an opening many times.

There is a reason behind such an opening and that can be used as a trading opportunity especially in Options trading that we will understand further.

So let us continue our original sequence of questions to understand the concept.

2. How & Why does such an opening happen in the first place?

In order to understand the “Why” in this question it is important to understand how prices are determined at the opening and how “LTP” is subsequently determined.

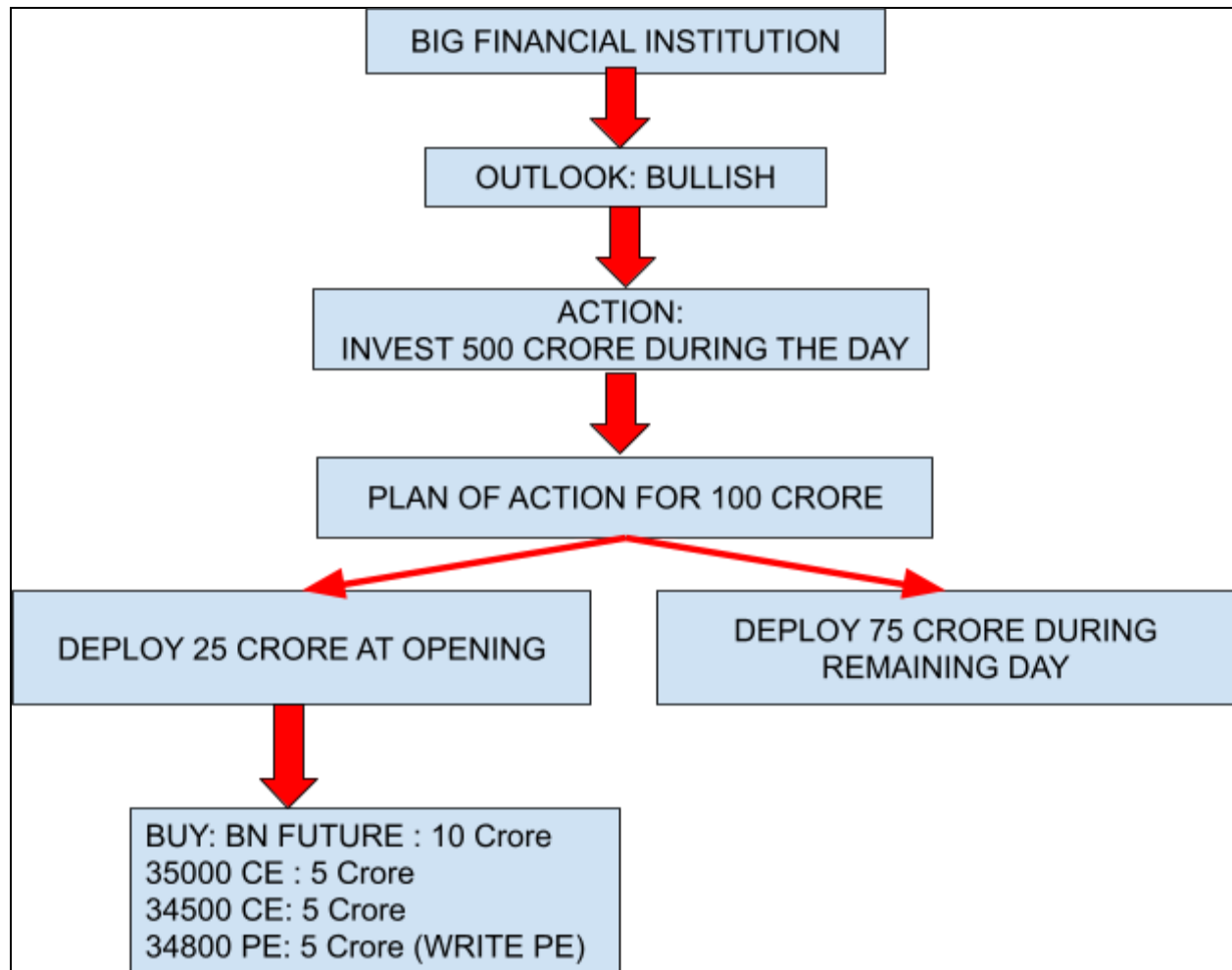
The NSE website has a dedicated section for this concept. I request you to kindly go through the following link to understand the concept in detail

<https://www.nseindia.com/products-services/equity-market-pre-open#:~:text=The%20opening%20price%20is%20determined,the%20maximum%20volume%20is%20executable.&text=In%20case%20if%20no%20price,market%20is%20the%20open%20price.>

We would try to understand this Price determination in an Oversimplified manner for grasping the concept.

Now imagine you are a Big Institutional Player who is **Bullish** for the day and wants to invest say 500 crores in the market. What would you do? You would invest a portion of this 100 crore right at opening. Let us say this portion is 25 crore. Rest 75 crore you would invest during the day as you are Bullish for coming sessions.

So my plan would be something like this



Now let us see how you will go and place your orders.

Consider **Banknifty 35000 CE** in this case. Its LTP was 250 Rs. In Pre Open session Buyers and sellers place their BID and ASK till 9.08 AM and at 9.06 it would look something like this to you

BID QTY	BID PRICE	ASK PRICE	ASK QTY
		265	15000
		260	20000
		258	25000
		255	20000
10000	250		
15000	249		
10000	245		
20000	240		
10000	239		

BID & ASK for 35000 CE at 9.06 AM

Now you are a Big player and want to invest 5 Crore in 35000 CE right at opening.

So what would you do to get the maximum quantity of 35000 CE in 5 crore?

In order to do so I must place my BID at the highest ASK Price i.e 265.

So I will place my order for 80,000 qty at a price of 265 to ensure that my order gets filled.

So right at opening 80,000 qty would get filled at 265 and after that since the next bidder is at 250 price LTP would drop down immediately.

BID QTY	BID PRICE	ASK PRICE	ASK QTY
80000	265	265	15000
		260	20000
		258	25000
		255	20000
10000	250		
15000	249		
10000	245		
20000	240		
10000	239		

INSTITUTIONAL BID

ALL ASK PRICES GET FILLED BY INSTITUTIONAL BUY ORDER

NEXT BID AT 250 ,SO LTP WOULD DROP

SITUATION AFTER INSTITUTIONAL BID AT HIGHEST ASK PRICE

So this is how we will get a price where in High is equal to the Opening Price.

We have oversimplified the mechanism for understanding. In reality it is a bit complex as it involves Market Orders in addition to Limit orders but the broader aspect remains the same.

So this is **“HOW & WHY”** we get an Open High scenario.

Let us proceed further to the next question.

3. What can be the reasons behind Open & High Opening?

Well the answer to this question has already been answered in Previous explanation. One Big Institutional player is Bullish for Bank Nifty that is the reason why he is pumping in the money right at opening.

This Player wants to get maximum quantity as per his plan right at the opening so he will try to control the opening price. If the price is not in his control then he may not get the desired quantity and that may hamper his plan.

So the primary reason is that some big player is Bullish and wants to take control of the price at the opening to get maximum quantity as per his plan.

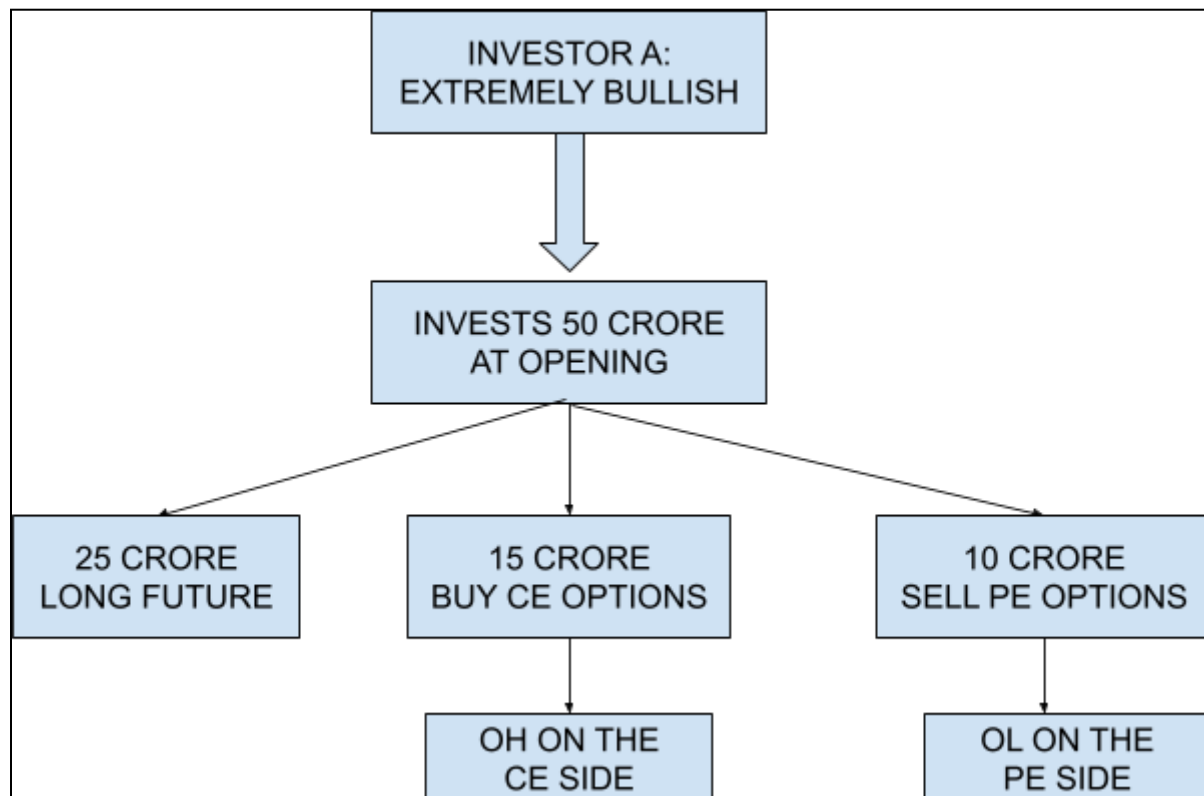
4. What is Open & Low and how is it related to Open & High

The answer to this question lies in the basic understanding of Open & high. If someone is confident about taking the market in one particular direction he will deploy funds in every possible way.

Say I'm extremely bullish and want to pump in 25 crores right at the Open. I will deploy 15 crore to buy Futures, 10 crores to buy CE and that would lead to Open & High on the call side.

Similarly I will also deploy 5 crore in Selling Put Options. Now when I sell PE options at opening and simultaneously buy Futures and call it would lead to Open & Low on Put options because of the aggressiveness of the person deploying the fund. Just like the manner in which OH gets created on the call side , OL would get created on the Put side.

So OH is for buyers while OL is for sellers.



Prev Close	Open	High	Low	Total
24931.20	25110.00	25499.90	25070.45	
733.15	858.95	1142.90	833.00	
397.50	400.10	691.95	400.00	
302.70	320.00	566.00	320.00	
262.65	299.70	510.00	299.70	
226.85	256.80	455.75	256.80	
199.30	252.40	407.35	245.90	
168.85	195.95	363.30	195.95	
143.30	180.00	321.70	135.95	
206.20	140.05	180.00	93.25	
336.20	235.70	269.95	166.15	
535.75	358.40	434.35	286.75	

5. How can this be used for our trading advantage?

If we get Open High Opening then there is a **very high probability that the high price/premium of CE/PE is hit again after bottoming out.**

For example for 35000 CE if open and high level is 265 and the current LTP is 190 then there is high probability that premium may go once again to 265 level or beyond. This is where we will plan a trade subject to fulfillment of conditions.

There are two reasons for it

1. If the Big Player's view coincides with broader Market view then prices will again rise to High price and go beyond after testing some previous support.
2. If the Big Players view is against the broader market view then in order to minimise his loss he will use remaining capital to bring the price near the High levels once again.

Please read these explanations again to understand the concept.

So what we are talking about is **HIGH PROBABILITY** of price coming back to the High level in any situation. We can trade in such a case.

So I guess the concept is clear for you. I will just highlight the key aspects of identifying high probable trades

High Probability of Open & High for trading with CALLS

1. Open & High on Bank Nifty/Nifty Futures
2. Open & High on Call Options of Bank Nifty
3. Open & Low on Put Options of Bank Nifty

High Probability of Open & High for trading with PUTS

1. **Open & LOW** on Bank Nifty/Nifty Futures
2. Open & High on Put Options of Bank Nifty.
3. Open & Low on Call Options of Bank Nifty

So we must get Open & High on either the Calls or Puts. The probability for Call OH increases when we get OH on Futures as well along with OL on Puts while probability of OH on puts increases when we get OL(Open=Low) on Futures along with OL on Calls.

However kindly note that there will be instances when we get OH on options on both Calls and Puts but not on Futures. In such a scenario we can trade on both sides but with caution.

Here is a summary

S.no	Futures	Options	Interpretation
1	OPEN=HIGH	CALL OPTIONS OPEN=HIGH & PUT OPTIONS OPEN=LOW	HIGH PROBABILITY FOR OPTION PREMIUMS TO REACH BACK TO HIGH LEVEL ONCE AGAIN
2	-	CALL OPTIONS OPEN=HIGH & PUT OPTIONS OPEN=LOW	MILD PROBABILITY
3	OPEN=LOW	PUT OPTIONS OPEN=HIGH & CALL OPTIONS OPEN=LOW	HIGH PROBABILITY
4	-	PUT OPTIONS OPEN=HIGH & CALL OPTIONS OPEN=LOW	MILD PROBABILITY
5	-	CALL OPTIONS OPEN =HIGH & PUT OPTIONS OPEN=HIGH	MILD PROBABILITY ON BOTH THE SIDES

Table 1: Probability of OH success on basis of Futures and Options.

So till now we have talked just about Probabilities, this does not mean you will straight away buy Calls or Puts on seeing the Open & High scenarios.

We will learn specifics of the trade in the next section.

Now we will focus on specifics of trades.

OPEN HIGH TRADE SETUP

As discussed in the introduction we shall learn the trade setup in a sequential manner by answering certain questions

1. **When should we enter the trade when we see Open High Opening?**
2. **How should we manage our position sizing for these trades?**
3. **Which strikes should we select for OH trades?**
4. **Till what time is this setup valid?**
5. **What should be the target for uch trades?**
6. **How can OI Pulse help me in Open High trade setup?**

So let's begin

1. When should we enter the trade when we see Open High Opening?

I would start by asking a counter question " Should you enter straightaway in the trade when you see Open=High Opening on Call or Put side?"

I would outrightly say "**NO**".

The reason behind this is "**PROBABILITY**". We must enter when the Probability is maximum. For High Probability we must look at certain other factors as well to decide whether to go for this trade or not. These would be

- A. OH, OL on Futures & OL on opposite side**
- B. Price changes along with Volumes after opening**
- C. Global Markets**
- D. VIX**

Let's discuss them one by one

A. OH, OL on Futures & OL on opposite side

Since we are talking about probabilities the chances of success of OH on any particular side would increase substantially if Futures and Opposite options also show similar behaviour. Here is a summary of ideal circumstances for success of OH concept

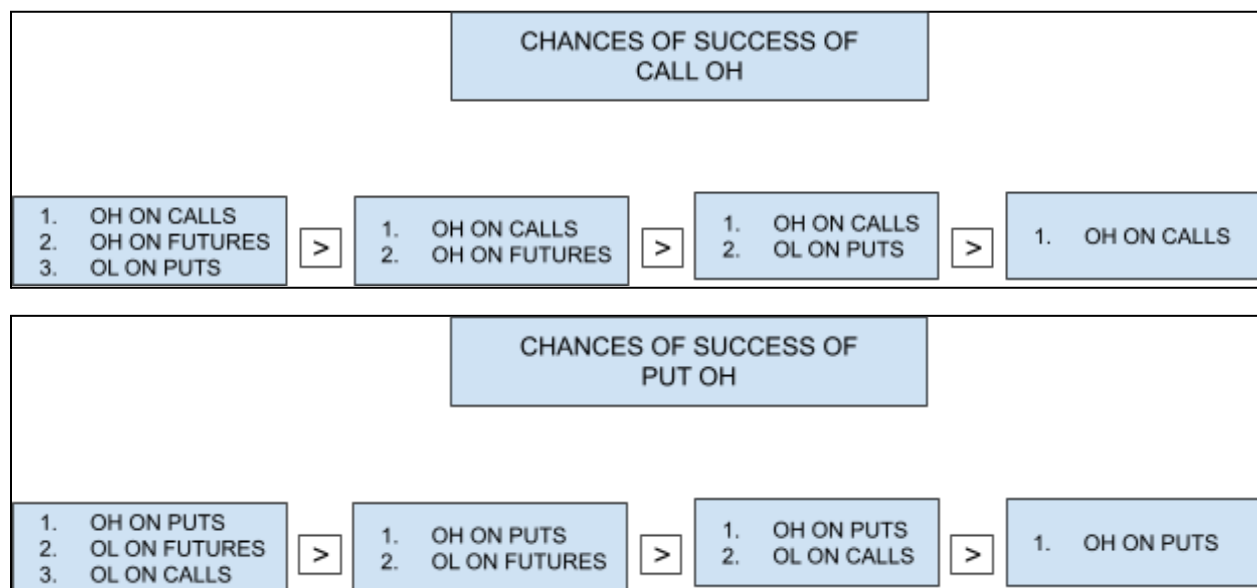
Ideal Bullish Scenario

1. OH on Calls
2. OH on Futures
3. OL on Puts

Similarly for a bearish scenario following outcomes would be helpful

1. OH on Puts
2. OL on Futures
3. OH on Calls

So if we get these outcomes then chances of success of OH would increase and would be more than circumstances when we get plain vanilla OH on either calls or puts.



So I guess now you know what is more favourable.

B. Price changes along with Volumes after opening

We know that one big trader has come up with a big sum say 500 crores in the Market but what will happen if another Player enters sometime later with even a larger sum say 1000 Crore?

What will happen to the probability? It would decrease substantially.

But how can we determine that this is happening?

It can be gauged by interpreting the Price variations along with Volume.

Let us consider two cases to prove the point

25 May 2021: Low Probability

26 May 2021: High Probability

Let us consider 25 May 2021 first



On 25 May we got Open=HIGH for the strike 35400 that was quite close to the opening levels of BankNifty Future. So this means someone must have entered in a big way thinking the market can move up.

Now it is a Mild Probability scenario as we got OH on CE option but not on BankNifty Futures as per table 1.

Now what happened next as the Market proceeded, the market started falling and that too with volumes, this is an indication that the View of the Big Player who was Long at opening is going

wrong and thus the probability for the price of CE option to go back to its High levels is also decreasing.

At 10.18 we got a major fall and with significant Volume. So surely someone bigger has entered the market who feels that market has to go down. Now the probability of CE premium going back to a higher level is very very low and we should not think of going into the trade at all. On this day the 35400 CE never reached the High Level of 297.45 and closed at Rs 52 only. I guess you have an idea when this concept fails.

Now let us consider 26 May 2021



On this day BANK Nifty Future opened around 35K , though the Future didn't give OH but 35000 CE gave OH opening. As you can see there was no further fall with Volume, thus the **Probability of 35000 CE to go back to the High level is very high.**

In fact on this day 35000 CE opened at 190 level, went down to 90 level and then climbed back to make a fresh high of 228.

So if we are able to enter the trade it would be a fantastic trade.

So you must look for follow up price movements and analyse them with Volumes.

Let us summarise this

S.no	OH	Subsequent price Candles	Corresponding Volume candles	Probability of success of OH
1	CALL OH	FALLS	LESS THAN 50 K	INCREASES
2	CALL OH	FALLS	MORE THAN 50 K	DECREASES
3	CALL OH	FLAT	FLAT	INCREASES
4	PUT OH	RISES	LESS THAN 50 K	INCREASES
5	PUT OH	RISES	MORE THAN 50 K	DECREASES
6	PUT OH	FLAT	FLAT	INCREASES

Table 2:Probability of OH success on basis of subsequent price and volume candles

So you must not enter blindly but wait for subsequent price and volume candles to play their part.

C. Global Markets

Global markets should not go against the direction of Opening Big Players. If we get OH on CE and world markets fall then the probability of success will diminish. Likewise you can analyse PE trades.

D. VIX

Like Global markets VIX should not go against the OPening player. If we get OH on the CE then any rise in VIX along with fall in price will diminish the probability of success of the trade

Exact Entry Point

Now having analysed Price,Volume,Global markets and VIX we need to define the **exact entry point for the trades**. We must enter the trade when we get momentum on our side. By

momentum I mean we must enter as soon as we see prices approaching the High levels with Volumes.

Please remember **“Execution is the key”**. This setup has to be scalped and not taken as a **positional trade**.

Let us see on 26 May where we should have entered



You can see how the price moved thereafter. This was a high probable trade.

Let us proceed further and understand other aspects of the trade

3. How should we manage our position sizing for these trades?

Position sizing should be based upon the **level of confidence** you have in the trade.

For example if we get OH in both Futures as well as CE options and Global Markets and VIX are also in favour you can go with higher quantity.

There may be certain occasions where we will get OH on both PE and CE sides. On such occasions we must reduce our quantity as the markets may take violent turns any moment.

4. Which strikes should we select for OH trades?

If you track OH on various strikes across the Options chain then you would see that a lot of deep ITM & deep OTM strikes exhibit OH phenomenon. But we need to neglect them.

We must select only **3-4 strikes around the ATM strike at the opening.**

Prefer strikes with Premiums in the price range of Rs 200-300 within these strikes for playing this concept.

5. Till what time is this setup valid?

It is very important to realise that the probability of OH concept to materialise will start decreasing exponentially after 11.00 AM. **So it is better to avoid pursuing such trades after 11.00 AM.**

6. What should be the target for such trades?

We have outrightly said that this trade has to be considered from Scalping point of view rather than Positional Trade.

We must enter as soon as the Momentum in the favourable direction picks up and we must trail the profits.

Sometimes the price will just fall short of reaching the Open High levels , if we trail we will be in profit and if we rather wait for the price to cross the High level always then we may lose the opportunity at times.

So we must enter with Momentum and trail our profits rather than waiting for the price to cross the High levels to book our profits.

So let us summarise all the steps we have discussed once again to gain a holistic view

Step 1: Future OH & OL on Opposite side

Check for Open High (for CE trades) on Futures (Or Open Low for PE trades).

- ❖ If we get Open High on Futures then it will increase the probability of OH on CE options to be successful.
- ❖ If we get Open Low on Futures then it will increase the probability of OH on PE options to be successful.

Step 2: Options OH along with OL

Check for OH along with OL on Calls or Put sides of the Option chain. You can check this on your trading terminal and consider them

Just like the following example

Trading Symbol	% Change	LTP	Bid Rate	Bid Qty	Ask Rate	Ask Qty	Prev Close	Open	High	Low
BANKNIFTY21FEBFUT	-0.85	36291.00	36290.95	50	36298.45	150	36603.30	36402.00	36402.00	36120.15
BANKNIFTY21FEB36000CE	-22.77	672.05	672.00	75	673.70	25	870.20	719.95	728.20	585.85
BANKNIFTY21FEB36200CE	-24.17	558.05	558.35	50	560.15	25	735.90	560.15	608.10	485.00
BANKNIFTY21FEB36300CE	-24.61	508.70	505.75	50	507.30	25	674.80	560.10	560.10	439.15
BANKNIFTY21FEB36400CE	-25.00	456.90	456.65	100	458.00	25	617.75	540.85	540.85	397.15
BANKNIFTY21FEB36500CE	-26.38	412.75	411.95	75	413.10	50	566.00	423.60	451.30	357.00
BANKNIFTY21FEB36600CE	-27.95	371.00	371.85	25	372.95	25	574.90	474.05	474.05	320.75
BANKNIFTY21FEB36700CE	-29.03	334.25	332.15	75	333.00	25	666.75	291.15	366.45	286.50
BANKNIFTY21FEB37000CE	-31.52	232.80	232.40	25	232.85	25	340.05	272.15	272.15	200.35
BANKNIFTY21FEB36000PE	41.19	380.00	378.80	50	380.00	1925	269.15	344.45	466.00	330.00
BANKNIFTY21FEB36100PE	39.90	422.00	420.80	50	422.00	75	301.65	451.05	512.90	384.00
BANKNIFTY21FEB36200PE	38.00	465.00	464.25	50	465.00	225	336.95	380.00	561.85	380.00
BANKNIFTY21FEB36300PE	37.26	513.00	512.40	25	514.10	50	373.75	533.85	617.85	407.35
BANKNIFTY21FEB36400PE	35.77	563.50	561.30	25	563.55	25	415.05	449.55	673.80	449.55
BANKNIFTY21FEB36500PE	35.07	619.45	616.15	50	618.75	50	458.60	572.50	734.00	477.35
BANKNIFTY21FEB37000PE	26.90	936.00	936.55	25	940.10	25	737.60	896.35	1075.00	875.80

BANK NIFTY CALL
OPTIONS OH

BANK NIFTY
FUTURES

BANK NIFTY PUT
OPTIONS OL

Alternatively you can use OI Pulse to determine such strikes. (More on it in subsequent sections)

Step 3: Strike Selection

Out of all the strikes that show OH concept, consider only those strikes that are near to the ATM or in the price range of Rs 200-300. Ignore the rest.

Step 4: Validation

Validate the opportunity by analysing

- OH/OL on Futures and OL on opposite side
- Subsequent Price & Volume candles
- Global Markets
- VIX

Assign probabilities based on such validation as per following 2 tables

S.no	Futures	Options	Interpretation
1	OPEN=HIGH	CALL OPTIONS OPEN=HIGH & PUT OPTIONS OPEN=LOW	HIGH PROBABILITY FOR OPTION PREMIUMS TO REACH BACK TO HIGH LEVEL ONCE AGAIN
2	-	CALL OPTIONS OPEN=HIGH & PUT OPTIONS OPEN=LOW	MILD PROBABILITY
3	OPEN=LOW	PUT OPTIONS OPEN=HIGH & CALL OPTIONS OPEN=LOW	HIGH PROBABILITY
4	-	PUT OPTIONS OPEN=HIGH & CALL OPTIONS OPEN=LOW	MILD PROBABILITY
5	-	CALL OPTIONS OPEN=HIGH & PUT OPTIONS OPEN=HIGH	MILD PROBABILITY ON BOTH THE SIDES

Table 1: Probability of OH success on basis of Future & Options

S.no	OH	Subsequent price Candles	Corresponding Volume candles	Probability of success of OH
1	CALL OH	FALLS	LESS THAN 50 K	INCREASES
2	CALL OH	FALLS	MORE THAN 50 K	DECREASES
3	CALL OH	FLAT	FLAT	INCREASES
4	PUT OH	RISES	LESS THAN 50 K	INCREASES
5	PUT OH	RISES	MORE THAN 50 K	DECREASES
6	PUT OH	FLAT	FLAT	INCREASES

Table 2:Probability of OH success on basis of subsequent price and volume candles

Step 5: Position Sizing Decision

Decide the position size you want to enter based on probability of success. If it is high probability then go for higher qty and lower qty if probability is mild.

Step 6: Entry

Make an entry only when the Momentum picks up in your favour. Enter as soon as you see prices rising with volumes greater than 50 K from lower levels.

You can go pyramiding to a certain extent.

Step 7: Trailing your Profits

As soon as you are in profit you need to protect your capital first. So start trailing the profits rather than waiting for exact High level to be crossed.

Now as one more example consider Bank Nifty example of 19 Feb 2021

Consider the Opening on your trading terminal first

It would look like this

Trading Symbol	% Change	LTP	Bid Rate	Bid Qty	Ask Rate	Ask Qty	Prev Close	Open	High	Low
BANKNIFTY21FEBFUT	-0.85	36291.00	36290.95	50	36298.45	150	36603.30	36402.00	36402.00	36120.15
BANKNIFTY21FEB36000CE	-22.77	672.05	672.00	75	673.70	25	870.20	719.95	728.20	585.85
BANKNIFTY21FEB36200CE	-24.17	558.05	558.35	50	560.15	25	735.90	560.15	608.10	485.00
BANKNIFTY21FEB36300CE	-24.61	508.70	505.75	50	507.30	25	674.80	560.10	560.10	439.15
BANKNIFTY21FEB36400CE	-25.00	456.90	456.65	100	458.00	25	617.75	540.85	540.85	397.15
BANKNIFTY21FEB36500CE	-26.50	412.75	411.95	75	413.10	50	567.25	422.60	431.30	357.00
BANKNIFTY21FEB36600CE	-27.95	371.00	371.85	25	372.95	25	554.90	474.05	474.05	320.75
BANKNIFTY21FEB36700CE	-29.03	331.25	332.15	75	333.00	25	466.75	291.15	366.45	286.50
BANKNIFTY21FEB37000CE	-31.52	232.85	232.40	25	232.85	25	340.05	272.15	272.15	200.35
BANKNIFTY21FEB36000PE	41.19	380.00	378.80	50	380.00	1925	269.15	344.45	466.00	330.00
BANKNIFTY21FEB36100PE	39.90	422.00	420.80	50	422.00	75	301.65	451.05	512.90	384.00
BANKNIFTY21FEB36200PE	38.00	465.00	464.25	50	465.00	225	336.95	380.00	561.85	380.00
BANKNIFTY21FEB36300PE	37.26	513.00	512.40	25	514.10	50	373.75	533.85	617.85	449.55
BANKNIFTY21FEB36400PE	35.77	563.50	561.30	25	563.55	25	415.05	449.55	673.80	449.55
BANKNIFTY21FEB36500PE	35.07	619.45	616.15	50	618.75	50	458.60	572.50	734.00	477.35
BANKNIFTY21FEB37000PE	26.90	936.00	936.55	25	940.10	25	737.60	896.35	1075.00	875.80

BANK NIFTY CALL
OPTIONS OH

BANK NIFTY
FUTURES

BANK NIFTY PUT
OPTIONS OL

Step 1: Future OH & OL on opposite side

We have OH on Future thus probability of success of OH on CE if any will be high. Also we have OL on PE side

36200 PE @ OL 380

36400 PE @ OL 449.55

Thus chances of success of OH on CE side is high.

Step 2: Options OH

We have OH on many Call strikes. Thus we select such strikes. These will be namely

36300 CE @ OH 560.10

36400 CE @ OH 540.85

36600 CE @ OH 474.05

37000 CE @ OH 272.15

Step 3: Strike Selection

We will select strike closest to ATM strike i.e 36400 first

Step 4: Validation

We will observe the price chart and analyse Price and Volume candles. Any red candles with volume greater than 50 K will be detrimental



Step 7: Trailing the Profits

This particular day Option premiums increased appreciably.

Trading Symbol	% Change	LTP	Bid Rate	Bid Qty	Ask Rate	Ask Qty	Prev Close	Open	High	Low
BANKNIFTY21FEBFUT	-1.86	35922.60	35923.10	75	35927.00	200	36603.30	36402.00	36680.00	35570.25
BANKNIFTY21FEB36000CE	-50.25	432.95	425.10	700	437.35	25	870.20	719.95	920.00	320.00
BANKNIFTY21FEB36200CE	-52.44	350.00	350.00	1375	352.00	300	735.90	560.15	784.90	256.50
BANKNIFTY21FEB36300CE	-53.91	311.00	310.00	25	311.00	100	674.80	560.10	719.05	228.45
BANKNIFTY21FEB36400CE	-55.04	277.60	275.00	150	279.95	200	617.45	540.85	658.00	202.00
BANKNIFTY21FEB36500CE	-56.41	245.00	242.05	100	245.00	150	562.05	422.60	600.00	179.45
BANKNIFTY21FEB36600CE	-57.47	219.00	215.00	300	219.00	1600	514.90	474.05	545.70	158.60
BANKNIFTY21FEB36700CE	-60.36	185.00	185.05	25	192.05	125	466.75	291.15	493.00	140.10
BANKNIFTY21FEB37000CE	-61.36	131.40	131.00	50	132.00	125	340.05	272.15	360.00	96.10
BANKNIFTY21FEB36000PE	86.96	503.20	490.05	200	503.20	175	269.15	344.45	750.00	246.25
BANKNIFTY21FEB36100PE	86.19	561.65	535.60	200	564.85	25	301.65	451.05	822.50	276.35
BANKNIFTY21FEB36200PE	81.04	610.00	610.00	300	624.85	50	336.95	380.00	887.95	302.00
BANKNIFTY21FEB36300PE	78.42	666.85	658.80	25	675.00	25	373.75	533.85	959.05	336.20
BANKNIFTY21FEB36400PE	75.67	729.10	729.20	25	750.10	25	415.05	449.55	1032.30	382.30
BANKNIFTY21FEB36500PE	75.49	804.80	803.35	100	818.75	50	458.60	572.55	1108.60	423.55
BANKNIFTY21FEB37000PE	63.48	1205.85	1192.45	25	1205.65	125	737.60	896.35	1528.50	681.00

Just notice the new highs

36300 CE: 560 ----> 719

36400 CE: 540---->658

36600 CE: 474---->545

37000 CE: 272---->360

So I guess that if you followed the concept step by step you would have been in profit more than 1% of your entire capital just by this trade alone.

7. How can OI Pulse help me in Open High trade setup?

So now you know that you need to follow 7 steps to identify the correct trading opportunity. But sometimes following these steps all together becomes a bit difficult especially given the Adrenaline rush of Morning hours. So it would be very helpful if we can have a tool to help us in this regard.

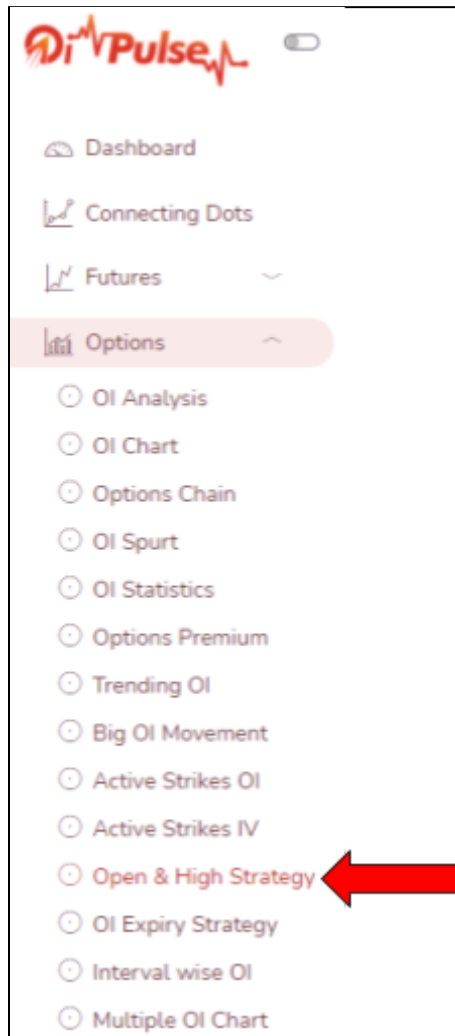
This is where **OI Pulse** will help you to a great extent.

The latest feature "**Open & High Strategy**" makes things simpler for you by doing a lot of analysis through AI based algorithms.

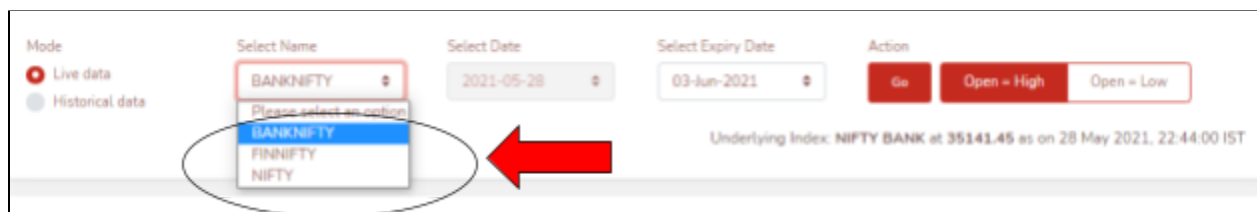
So let us see this feature in a bit detail

Accessing this feature

This feature may be accessed in following manner



Now once you are inside the feature you can select from options



This is the biggest advantage: **You can do analysis for Nifty, bank Nifty and Finnifty in a master of clicks. So your 7 x 3 steps for analysing Nifty, BankNifty & Fin Nifty shall be greatly reduced.**

You may also do backtesting using this feature for previous trading sessions.

It works beautifully **in the Live market** as prices get updated too **on a real time basis**.

Once you select the data points you would get following screen in front of you

Day Open	Day High	New D.High	New D.Low	O=H / O=L	Triggered Time	Probability	Call LTP	Strike	Put LTP	Probability	Triggered Time	O=H / O=L	New D.Low	New D.High	Day High	Day Open
-	-	-	-	-	-	-	-	33800	34.75	95%	10:02 ✓	O=H	33.0	142.45	99	99
1295.2	1295.2	1496.8	862.85	O=H	09:22 ✓	100%	1191.5	33900	73.85	95%	10:02 ✓	O=H	45.15	185	129	129
-	-	-	-	-	-	-	-	34100	112.25	95%	10:02 ✓	O=H	66.85	268.3	199	199
-	-	-	-	-	-	-	-	34200	129.45	95%	10:00 ✓	O=H	77	303	218.5	218.5
-	-	-	-	-	-	-	-	34300	151	95%	09:32 ✓	O=H	89.45	340	230	230
-	-	-	-	-	-	-	-	34500	198.95	95%	09:33 ✓	O=H	119.7	424.55	300	300
-	-	-	-	-	-	-	-	34800	231.6	95%	10:00 ✓	O=H	139.6	474.4	350.75	350.75
-	-	-	-	-	-	-	-	34800	300.5	95%	09:32 ✓	O=H	187.75	584.75	429	429
-	-	-	-	-	-	-	-	35200	464.6	95%	09:18 ✓	O=H	329.5	845.75	569.8	569.8
-	-	-	-	-	-	-	-	35400	594.85	95%	09:18 ✓	O=H	425.05	1000.25	695.95	695.95
-	-	-	-	-	-	-	-	35500	653.15	95%	09:18 ✓	O=H	480	1075.9	761.15	761.15
-	-	-	-	-	-	-	-	35700	784.65	95%	09:17 ✓	O=H	601.1	1248	870.05	870.05
-	-	-	-	-	-	-	-	35800	850.75	95%	09:17 ✓	O=H	671.65	1278.6	970.45	970.45
-	-	-	-	-	-	-	-	36000	1031.6	95%	09:18 ✓	O=H	810.1	1500	1159.85	1159.85
-	-	-	-	-	-	-	-	36100	1128.15	95%	10:06 ✓	O=H	915.6	1554.3	1121.95	1121.95
102	102	117	27	O=H	14:49 ✓	100%	50.1	36200	-	-	-	O=H	-	-	-	-
-	-	-	-	-	-	-	-	36300	1081.35	95%	-	O=H	1081.35	1111	1111	1111
83	83	83	16.25	O=H	-	20%	33.25	36400	1421.4	90%	-	O=H	1387.35	1734.95	1734.95	1734.95
70	70	70	17	O=H	-	20%	29.05	36500	-	-	-	O=H	-	-	-	-
-	-	-	-	-	-	-	-	36600	1670.85	95%	09:35 ✓	O=H	1506.3	2023.95	1674.7	1674.7
-	-	-	-	-	-	-	-	36700	1636	95%	-	O=H	1636	1636	1636	1636

This screen will help you

1. Identify all the strikes where OH is getting formed right at opening
2. It would tell you which are the strikes where OH is still yet to be triggered and where it has triggered.
3. It would tell you the time when OH was triggered after forming at the open
4. It will do 7 step analysis using AI based algorithms and give you a Probability of success if you pursue this trade.

So it makes your job easier.

So let us understand the screen itself first and try to read it.

We will focus on Call side first

Day 	Day 	New 	New 	O=H / O=L	Triggered 	Call 	Strike	
Open	High	D.High	D.Low		Time	Probability	LTP	
-	-	-	-	-	-	-	-	33600
-	-	-	-	-	-	-	-	33800
1295.2	1295.2	1496.8	862.85	O = H	09:22 ✓	Hit ✓	1191.5	33900

Strike Price:

- In this table you will see the strikes where OH got formed on either the Call side or Put side.
- In the above table, at the strike price of 33900 OH was formed on the CE side whereas 33600 & 33800 saw OH getting formed on the PE side.
- Since 33700 does not appear it means it saw no OH on either side.

Day Open:

In this column you will see the price at which the strike began to trade at opening.

So it is the open price of the strike.

Day High:

This will be the same as Day Open as it highlights the High price at open.

New D. High:

It stands for New Day High. If the Open High has been breached and a new high has been formed it will get reflected in this column. It will get updated on the screen as the LTP changes.

New D. Low:

It stands for New Day Low. For all practical purposes it will show the intraday Low made by the price till the time you observe the chart .

O=H/O=L

It will show whether the price at open made a High or a Low and would show accordingly. It would be static and will depend only upon the opening prices.

Triggered Time:

If the OH level has been breached then this column will show you the time at which this happened.

In the above chart it is showing 9.22. So we will read the data as

33900 CE made an **OH** on opening, the Open and High Price were **1295.2** but at **9.22** this OH was breached and subsequent **new high was 1496.8** while the **Low** made till the time of observation was **862.85**.

Call LTP:

It will show you the latest LTP and will be updated regularly.

Probability:

This is the unique element of OI Pulse that gives some values based on an AI algorithm. Higher the number higher is the probability of success of taking a trade.

But **please please please** don't take this number as a shortcut to take a trade.

Our recommendations

Take into consideration OH trade only when you see Probability greater than 90 %.

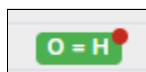
So what this feature does is that it spares you from the work of continuously monitoring the prices.

Only when you see a probability greater than 90 % just do a quick analysis of the price and volume of candles and be ready to take this trade.

So Probability>90% is a **trigger signal** for you to **prepare yourself** for taking the trade and not actually enter the trade.

Enter only when you see **momentum** and not anytime before.

There is one more feature the "Red Dot" that is also an outcome of AI algorithms. It would look like this



This is an additional feature to the Probability feature.

So if you get Probability >90% and a red Dot then forget everything and divert all your attention to play OH trade.

I again re emphasise 90%probability and the red dot is just a trigger point and not an entry signal. Enter only when momentum picks up.

This feature will help you identify opportunities in a very quick manner.

33100	27.85	Hit ✓	10:03 ✓	O = H	20.5
33300	35.65	Hit ✓	10:03 ✓	O = H	25.2
33500	47.55	Hit ✓	10:03 ✓	O = H	31.45
33600	54.75	Hit ✓	10:03 ✓	O = H	35.6
33800	73.85	Hit ✓	10:02 ✓	O = H	45.15
33900	-	-	-	-	-
34100	112.25	Hit ✓	10:02 ✓	O = H	66.85
34200	129.45	Hit ✓	10:00 ✓	O = H	77
34300	151	Hit ✓	09:32 ✓	O = H	89.45
34500	198.95	Hit ✓	09:33 ✓	O = H	119.7
34600	231.6	Hit ✓	10:00 ✓	O = H	139.6
34800	300.5	Hit ✓	09:32 ✓	O = H	187.75
35200	464.6	Hit ✓	09:18 ✓	O = H	329.5
35400	594.85	Hit ✓	09:18 ✓	O = H	425.05
35500	653.15	Hit ✓	09:18 ✓	O = H	480
35700	784.65	Hit ✓	09:17 ✓	O = H	601.1
35800	850.75	Hit ✓	09:17 ✓	O = H	671.65
36000	1031.6	Hit ✓	09:18 ✓	O = H	810.1
36100	1128.15	Hit ✓	10:06 ✓	O = H	915.6

Just notice the number of signals and the price at which they got hit. If you use it in the Live market you will be highly benefited.

Now having covered almost all the aspects of OH concept and strategy I would like to proceed towards the conclusion by answering the most important question

“Is this strategy always successful?”

I would say that there is no strategy that works every time. But on the basis of our experience we can say that out of every 10 times you take a trade you will be happy more than 7 times.

“How does this strategy fail sometimes?”

The basic premise of this strategy is that someone is pumping in vast amounts of money right at the beginning of the trading session. What happens if somebody pumps in more money than this early investor during the later part of the day?

This strategy will fail.

Let us see some examples for this

Trading Symbol	% C	UTP	Bid Rate	Bid Qty	Ask Rate	Ask Qty	Prev Close	Open	High	Low	Total Ask	Total Bid Qty	Open L	Total Open	Net Chg	Volume	Vol
SWANFTY20NOV0100	2.21	2540.40	2540.40	25	2540.40	25	2491.20	25130.00	2540.40	2540.40	131175	270000	2042525	0	336.40	100125	25
SWANFTY20NOV020000	33.07	1122.25	1114.00	200	1119.00	25	731.15	855.95	1142.50	831.00	23800	36950	306025	0	388.10	154075	25
SWANFTY20NOV02010000	69.80	674.95	675.40	25	677.45	50	397.58	480.10	691.95	430.00	36300	57900	103550	0	277.45	322000	25
SWANFTY20NOV02010000	82.79	551.30	552.30	50	553.80	25	302.78	520.00	566.80	520.00	54400	51025	124525	0	256.60	678025	25
SWANFTY20NOV02010000	88.50	466.30	465.95	25	467.35	25	262.65	299.70	510.80	296.70	57000	47050	98500	0	233.55	895300	25
SWANFTY20NOV02010000	95.63	444.25	444.00	25	445.15	50	226.65	256.80	455.75	256.80	180225	139500	601775	0	217.40	2720500	25
SWANFTY20NOV02010000	99.60	397.80	397.25	25	398.70	100	199.38	232.40	407.25	240.90	30550	28600	102775	0	198.50	822000	25
SWANFTY20NOV02010000	100.12	351.10	351.00	25	354.15	25	168.65	195.95	363.30	195.95	40000	20175	208025	0	184.25	679050	25
SWANFTY20NOV02010000	118.74	313.45	312.30	25	313.45	100	143.30	180.00	321.70	135.95	49450	77625	105000	0	170.15	732050	25
SWANFTY20NOV02010000	122.84	97.25	96.80	25	97.30	50	206.20	140.05	180.00	97.25	90000	114025	947250	0	-108.95	1246125	25
SWANFTY20NOV02010000	148.84	172.00	171.40	50	172.00	25	336.20	235.70	269.95	166.15	90575	116000	851250	0	-164.20	1334175	25
SWANFTY20NOV02010000	144.13	298.25	297.30	25	298.25	100	535.75	358.40	434.25	286.75	107625	162725	447000	0	-237.50	1249025	25

Above example is for 3 Nov 2020. On this day we got a lot of OL matches on the CE side. So ideally the Low should have been hit once that day just like OH.

IFTY05N	Prev Close	Open	High	Low	Total
	24931.20	25110.00	25499.90	25070.45	
	733.15	858.95	1142.90	833.00	
	397.50	400.10	691.95	400.00	
	302.70	320.00	566.00	320.00	
	262.65	299.70	510.00	299.70	
	226.85	256.80	455.75	256.80	
	199.30	252.40	407.35	245.90	
	168.85	195.95	363.30	195.95	
	143.30	180.00	321.70	135.95	
	206.20	140.05	180.00	93.25	
	336.20	235.70	269.95	166.15	
	535.75	358.40	434.35	286.75	

But just observe what happened that day

Trading Symbol	% C...	LTP	Bid Rate	Bid Qty	Ask Rate	Ask ...	Prev Close	Open	High	Low	Total
BANKNIFTY20NOVFUT	0.04	25680.00	0.00	0	0.00	0	25669.55	25110.00	25735.00	25070.45	
BANKNIFTY05NOV2024500CE	-0.01	1262.40	0.00	0	0.00	0	1262.55	858.95	1309.95	833.00	
BANKNIFTY05NOV2025100CE	-0.23	765.85	0.00	0	0.00	0	767.65	400.10	818.50	400.00	
BANKNIFTY05NOV2025300CE	1.13	635.00	0.00	0	0.00	0	627.90	320.00	680.00	320.00	
BANKNIFTY05NOV2025400CE	3.07	574.15	0.00	0	0.00	0	557.05	299.70	613.95	299.70	
BANKNIFTY05NOV2025500CE	1.29	500.00	0.00	0	0.00	0	493.65	256.80	545.00	256.80	
BANKNIFTY05NOV2025600CE	0.05	433.75	0.00	0	0.00	0	433.55	252.40	486.00	245.90	
BANKNIFTY05NOV2025700CE	-0.99	375.00	0.00	0	0.00	0	378.75	195.95	423.05	195.95	
BANKNIFTY05NOV2025800CE	-0.55	325.00	0.00	0	0.00	0	326.80	180.00	367.70	135.95	
BANKNIFTY05NOV2024000PE	-0.29	69.00	0.00	0	0.00	0	69.20	140.05	180.00	65.00	
BANKNIFTY05NOV2024500PE	-5.84	112.00	0.00	0	0.00	0	118.95	235.70	269.95	110.80	
BANKNIFTY05NOV2025000PE	-3.45	200.00	0.00	0	0.00	0	207.15	358.40	434.35	192.25	

LTP	Bid Rate	Bid Qty	Ask Rate	Ask ...	Prev Close	Open	High	Low	1
25680.00	0.00	0	0.00	0	25669.55	25110.00	25735.00	25070.45	
1262.40	0.00	0	0.00	0	1262.55	858.95	1309.95	833.00	
765.85	0.00	0	0.00	0	767.65	400.10	818.50	400.00	
635.00	0.00	0	0.00	0	627.90	320.00	680.00	320.00	
574.15	0.00	0	0.00	0	557.05	299.70	613.95	299.70	
500.00	0.00	0	0.00	0	493.65	256.80	545.00	256.80	
433.75	0.00	0	0.00	0	433.55	252.40	486.00	245.90	
375.00	0.00	0	0.00	0	378.75	195.95	423.05	195.95	
325.00	0.00	0	0.00	0	326.80	180.00	367.70	135.95	
69.00	0.00	0	0.00	0	69.20	140.05	180.00	65.00	
112.00	0.00	0	0.00	0	118.95	235.70	269.95	110.80	
200.00	0.00	0	0.00	0	207.15	358.40	434.35	192.25	

Ideally OL on the CE side must have been taken out as somebody in the morning sold the CE options aggressively. So the price should have come towards it after opening. But on that particular day the market rallied. VIS dropped and our markets rallied along with DOW. CE's closed near Day's high and our opener Call seller had to lose.

Now is there a way we can know whether some other big player has entered and taken the market in the opposite direction?

Well the answer is Yes.

Let's take it with an example.

IF we get OH on Call side then

- Someone is willing to take the market higher
- But the market has fallen by some extent.

Our original Buyer of Call options would pump in money to take the market higher from lower levels but if another player enters and takes the market lower further with more money then there is no way the original buyer can take the market higher.

So as a rule if we see drop in prices of options more than 50 % from their opening levels then OH concept is likely to fail.

SCENE A	SCENE B
35000 CE O=H=100 LTP=70	35000 CE O=H=100 LTP=45
CHANCES ARE THERE FOR MARKET TO GO HIGHER	CHANCES ARE VERY LOW FOR MARKET TO GO HIGHER

“Can OH be used to determine the direction of the market?”

Well the answer to this question is “NO”.

Do not use this concept to find the trend of the day as this concept is mostly used to fulfill one’s ego at times.

What happens is once the OH levels are taken out the Market reverses most of the times.

So keep this concept for just trading one trade rather than finding the market direction.

I am sure that you must have heard many concepts like “Short the market on OH” but if we understand the concept behind such an opening we can make handsome money by going the other way that our master scalper Mr. Sivakumar Jayachandran has been doing so for many years now.

So with this I conclude the strategy and the setup. I would request you go watch following videos on the topic to gain more clarity

<https://youtu.be/wd65VD24-0E>

<https://youtu.be/xw-QiaptWlg>

Kindly share your feedback with us on these new features so we may improve further and achieve our mission of empowering Retail Traders through knowledge in a more effective manner.

You may visit our website <https://oipulse.com/signin/> for more information.

Regards

Team OI Pulse





Addendum 8

Hello everyone, we hope that OI Pulse has made an appreciable difference in your trading journey. We have been constantly upgrading and updating our backend systems to provide the best user experience in terms of features and user interface. We give a lot of emphasis to the user feedback and update our systems accordingly.

In line with the feedback received over time we have introduced following new features

1. Advance Chart
2. OSPL Signal
3. Pre-open Market
4. Morning Trade
5. 3.20 Strategy

All these features would help you identify trading opportunities with a higher probability of success.

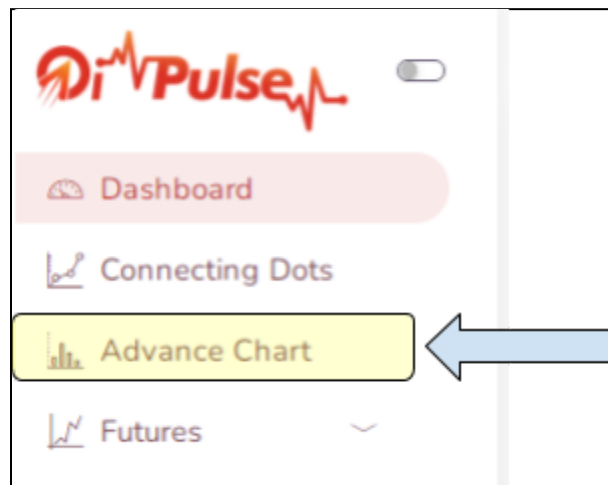
Since we got a lot of requests for aligning OI Pulse with identifying trading opportunities in stocks we have introduced Pre-Open & Market Movers strategy.

Advance Chart

This new feature is a milestone in the journey of OI Pulse. With this new feature you can see the live chart of any stock/indices through OI Pulse. We have partnered with Market leader “**TradingView**” for this aspect.

What is unique about this is that you get many add on features for the chart that makes the cost benefit ratio highly favorable for OI Pulse users.

Accessing the Advance Chart



When you use this option you will have your chart of your desired security in front of you



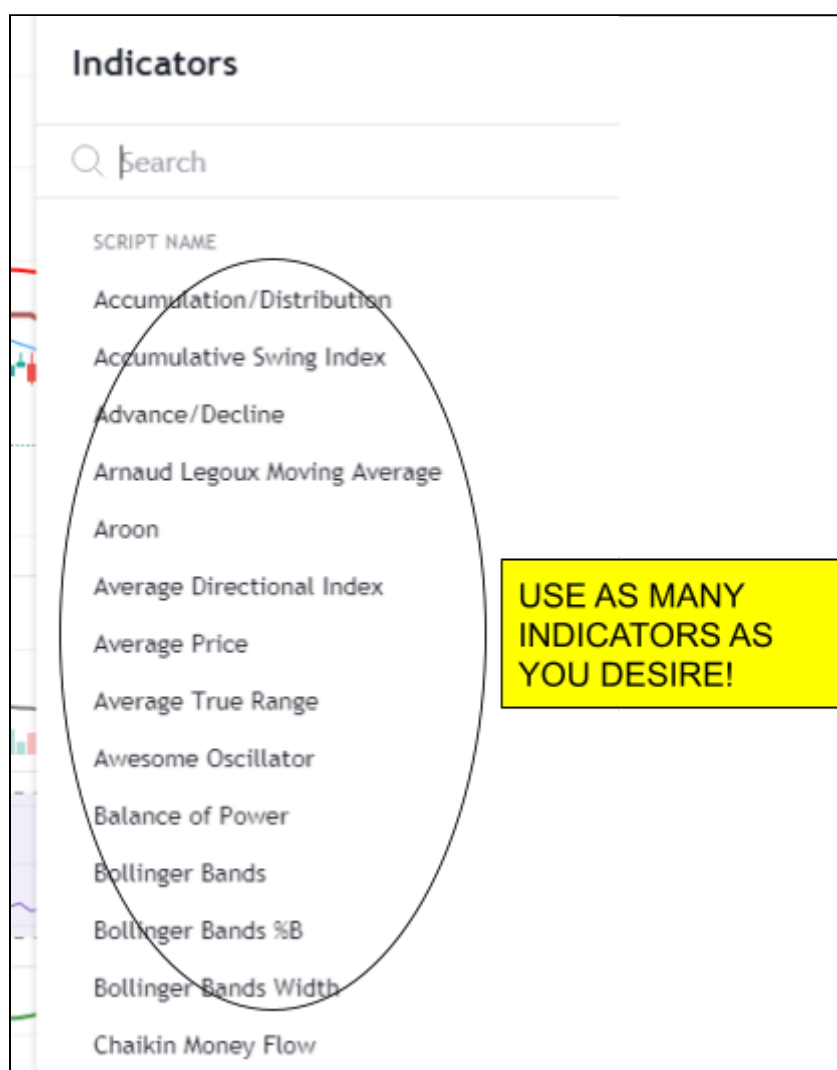
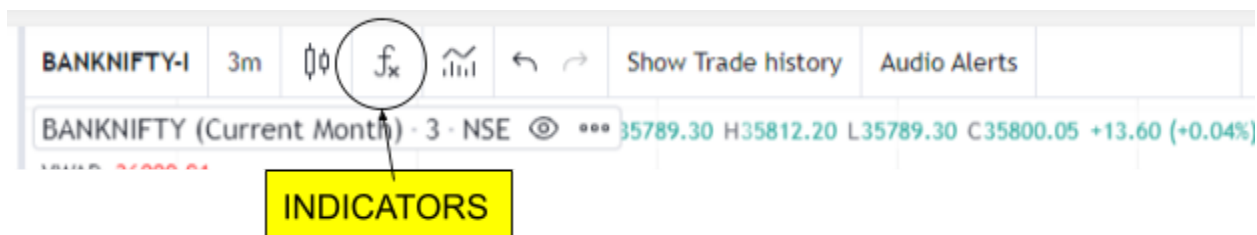
This is a standard template of the Trading View with many **add on features** exclusively for our users.

Currently this chart is supporting Futures of all the indices and stocks but we plan to add other assets soon.

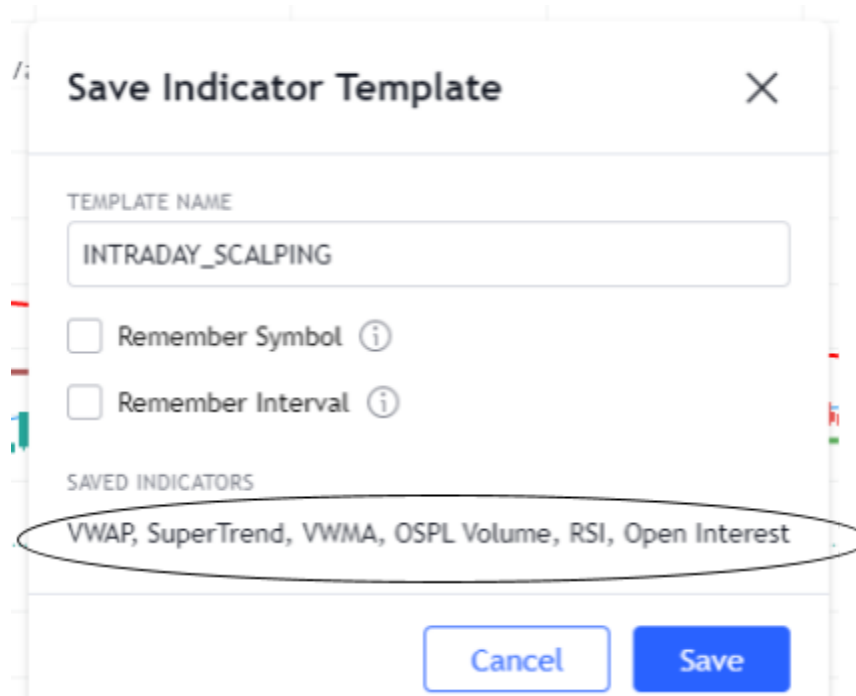
Unique features of Advance Chart

1. Indicators

Using this chart you can add as many indicators as you desire on the futures chart. There is no number restriction. This unique feature is exclusively for our users.



You can save all the indicators you want as a template for different trading styles.



Save Indicator Template ✕

TEMPLATE NAME

INTRADAY_SCALPING

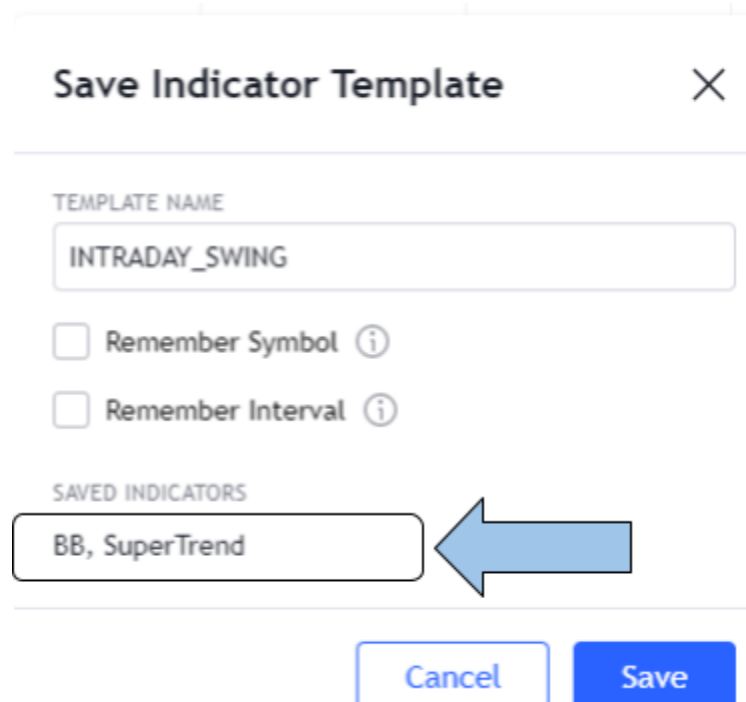
☐ Remember Symbol ⓘ

☐ Remember Interval ⓘ

SAVED INDICATORS

VWAP, SuperTrend, VWMA, OSPL Volume, RSI, Open Interest

Cancel Save



Save Indicator Template ✕

TEMPLATE NAME

INTRADAY_SWING

☐ Remember Symbol ⓘ

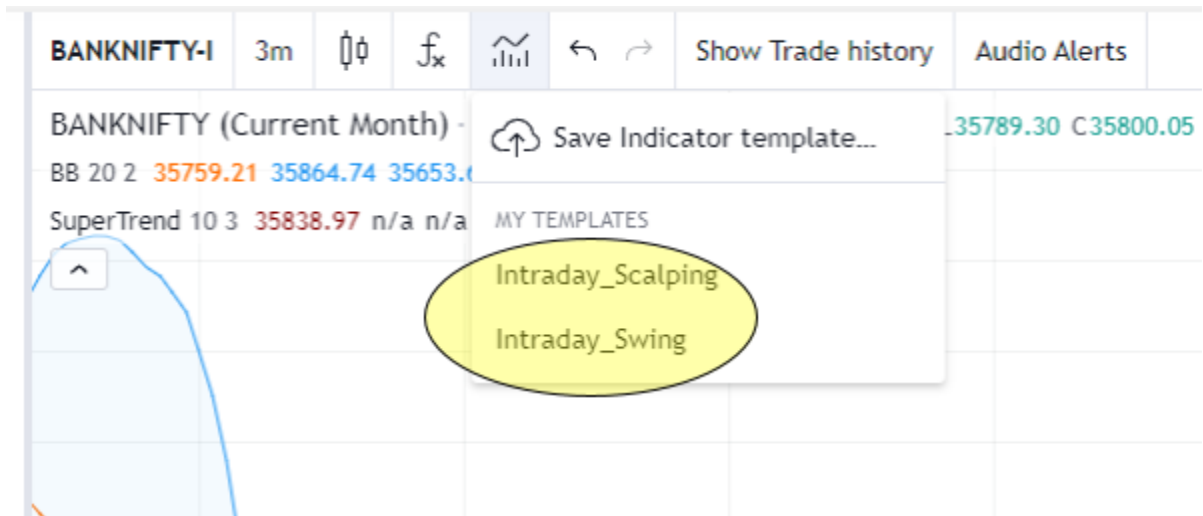
☐ Remember Interval ⓘ

SAVED INDICATORS

BB, SuperTrend

Cancel Save

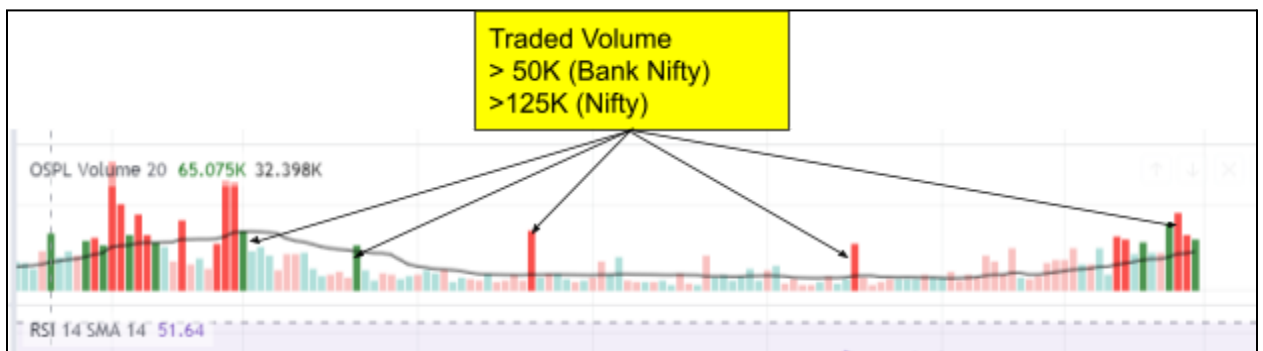
While trading you can switch between the template set easily using the “Indicator Template” option.



2. OSPL VOLUME

As we know that any traded volume for BankNifty Futures above 50K & 125K for Nifty Future has great significance we came up with our innovative indicator that helps you identify when this happens.

For this our team has coded a new indicator and named is OSPL Volume that looks something like this



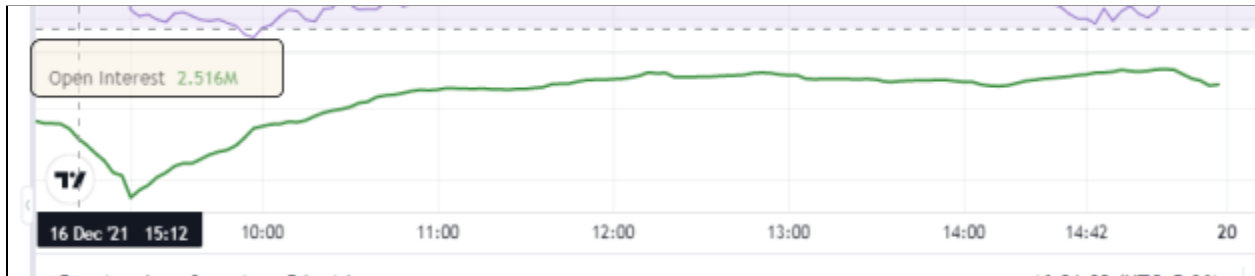
In this unique color coded schematic presentation whenever you see a dark colored Volume candle then it means it is above a certain threshold level.

This threshold level is 50 K for Bank Nifty & 125 K for Nifty futures.

So this indicator would help you identify trading opportunities with much ease.

3. Open Interest

We all know that OI is one of the most important factors in intraday trading. We also know that most of the trading platforms do not offer Open Interest levels as part of the indicator and you need special packages to see it on your chart. Identifying this crucial limitation we have brought you this new feature where you can see the Open Interest and its change for Futures with the price movement on live basis.



This unique feature on TradingView Platform is exclusive for our users.

4. Ad free Version

The charts that are presented to you on OI Pulse are totally ad free and provide an enhanced user experience.

5. Multiple Chart Layout

As we know that to get a better picture of the markets we need to analyse the chart on different timeframes and using different indicators. This task is possible only if you save your charts, in particular **“Templates”**.

However in the free version of TradingView you are entitled to save only one chart template. We have removed this restriction for you by enabling you to save multiple chart templates.





Thus we see that using OI Pulse Advance Chart we can make a plan for our trading right from weekly to intraday time frame of 3 mins using different indicators and saving them as separate templates.

This feature is not available to free version users of trading view.

So summing up the Advance chart feature of OI Pulse we can surely say that the features that are being made available to users would outweigh the subscription charges. This unique set of add ons enables you to trade seamlessly on one platform alone.

OSPL SIGNAL

This new feature is the **crux of our trading philosophy** and using our **in-house proprietary Artificial Intelligence** based softwares we generate a signal known as **OSPL signal**.

So what is this signal all about?

We know that in order to make a trade we need to identify the underlying trend and that can be done by connecting different dots.

Our AI based programs continuously monitor the market and identify certain periods when there is a clearly defined **Trend and Momentum** in that direction.

So if we take a **trade in that particular direction** we have high chances of winning.

As a responsible trader we also need to know when this **Trend and Momentum will fade away** so our Algo's take care of that as well and tell you when the apt conditions are not available furthermore and that you should not trade in that direction further and come out of any existing trade as a **Stop Loss** hit condition.

Isn't it exciting?

So let's learn finer nuances about this feature.

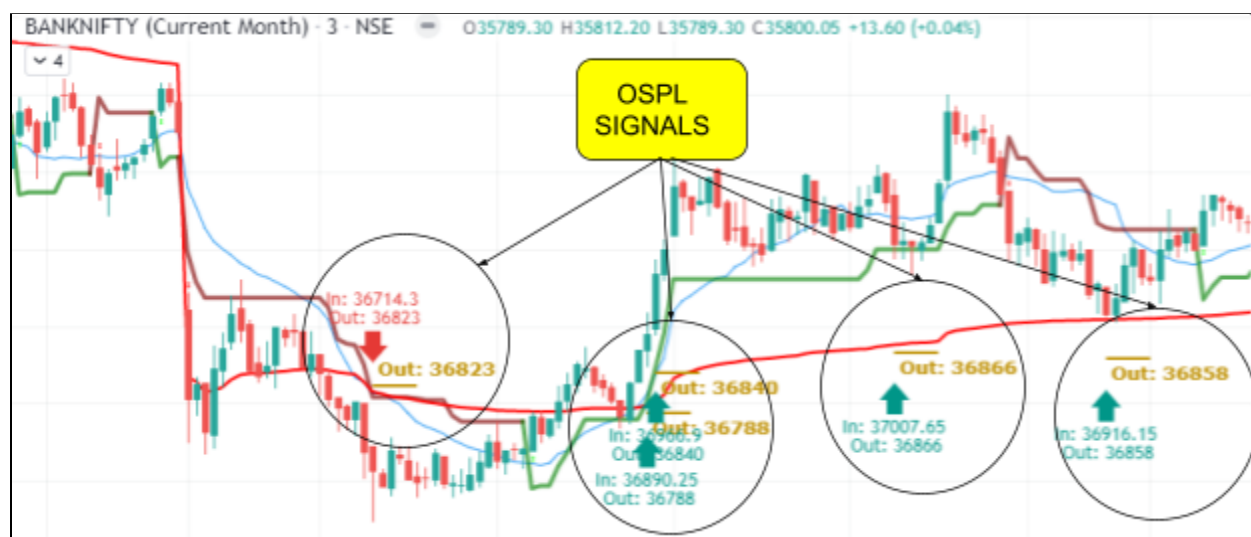
Accessing OSPL Signal

This OSPL signal can be added as an indicator to your chart in the following manner.



This signal is currently available for “Go Annual Users “ only so kindly ensure this prerequisite.

A typical chart with OSPL signal would look like this



Now we shall understand the system through a series of questions

6. **When and how does a signal appear?**
7. **What is the meaning of “In” & “Out” as per signal?**
8. **How to decide whether to buy CE or PE on the basis of OSPL signal?**
9. **For how long should we remain in trade?**
10. **When to make an exit from the trade?**
11. **When not to trade further as per OSPL signal?**

Lets understand OSPL by answering these questions.

1. When and how does a signal appear?

This aspect has already been discussed. The signal is generated by AI driven programs that scan all the market variables like Price,Volume,Open Interest,VIX, Global Markets etc on a live basis and determine when a **particular trend** and **momentum** in that direction is likely to happen with **high probability**.

So when our systems calculate this probability it will throw a signal that the market is likely to fall or rise.

2. What is the meaning of “In” & “Out” as per signal?

Appearing of a signal means that a particular trend and momentum in that direction is likely to happen.

“In” marks the triggering of such conditions. So you may start to enter trade.

Let's consider an example



On this particular day at the end of 12.21 candle our systems felt that the market may fall downward. It did this by computing Price, Volume, Open Interest, Supertrend etc altogether.

So it gave a signal with downward Red arrow  meaning that the market is likely to fall down.

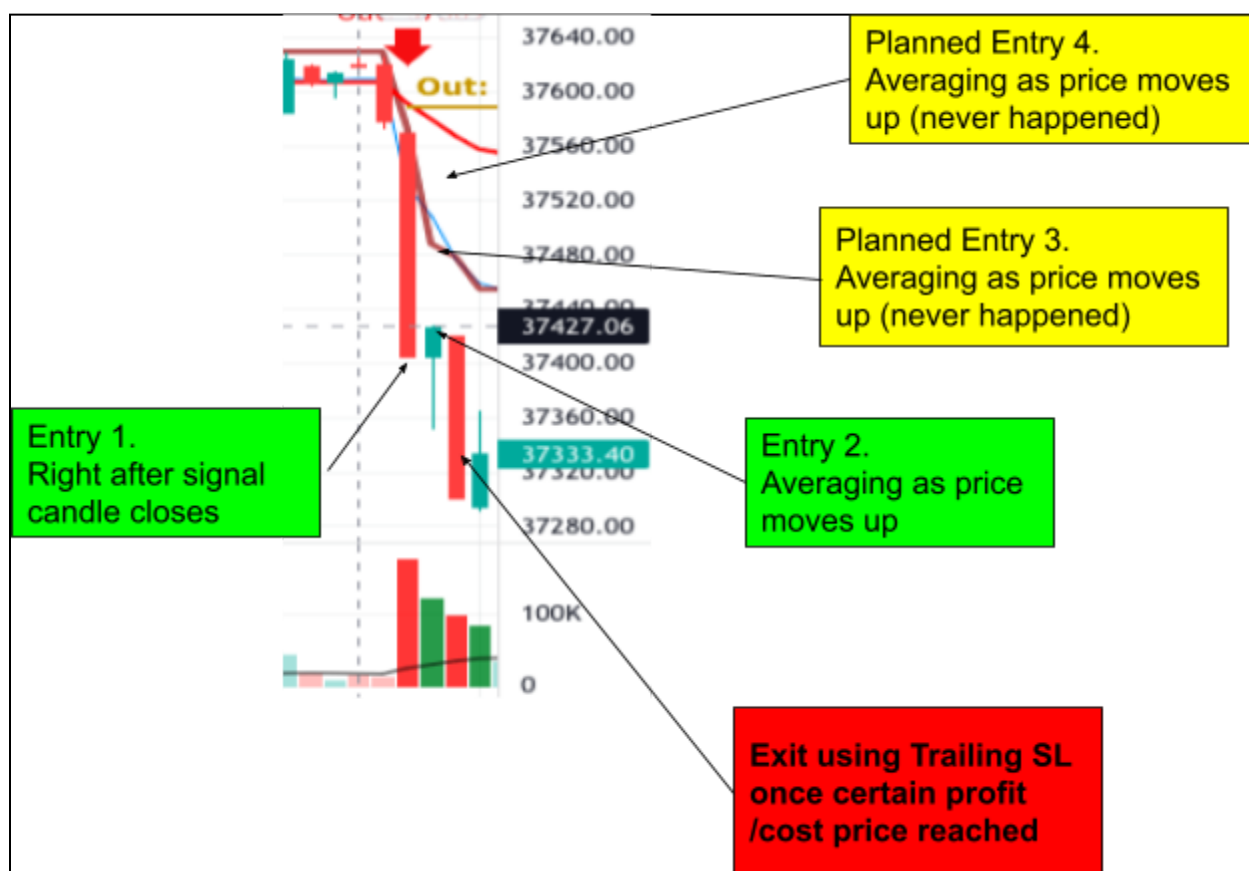
Please focus on the word “**Likely**”. It is just a high probability and nothing can be said with certainty.

Now you can look to buy PE options ,sell CE options if you are a buyer or short Future if you are a Future player.

So “**In**” means triggering an entry.

You can buy straightaway or average if the price moves in the opposite direction but there is a very high probability that price may fall further.

In the previous example our Entry would be as follows



So the entry has to be planned in a phased manner as per your risk appetite and capital.
You can apply the **Martingale system** in this too as per your capital and risk appetite.

We strongly suggest you to Trail once a certain profit is attained. This move is enough to make 1 % of your capital on most of the occasions and that is what we all desire.

Here is a hypothetical illustration for the above example

S.No	37500 PE LTP	Action	Lots	Remarks
1	350	Buy	1	Right after signal candle closes
2	340	Buy	2	Averaging
3	330	Buy	3	Averaging
4	320	Buy	4	Averaging
5	360	Sart Trailing	10	Trailing SL

If you do this exercise you will easily achieve 1 % of your capital majority of the time.

“OUT” signal

OUT signal means that the momentum in the direction of the trend has ended. So though the market may still move in the direction of the trend but it may not move with enough speed or may reverse too. In any case one must refrain from entering into any trade.



As can be seen once the price touches the “Out” signal one should be aware that further down movements may not occur/ may occur slowly/ up move may happen.

So “IN” & “OUT” means triggering of conditions and not entry & exit for a trade.

3. How to decide whether to buy CE or PE on the basis of OSPL signal?

This is quite simple. If you get an upward green arrow  then look for opportunities to go Long and when you get a downward arrow  look for shorting opportunities.

4. For how long should we remain in trade?

Since the program identifies High Probability conditions you should remain in the trade till the time you are in profit or till your Stop Loss gets hit.

5. When to make an exit from the trade?

Start Trailing your Profits once you gain a decent amount or make an exit once the SL is hit. SL should be near to the “OUT” levels.

6. When not to trade further as per OSPL signal?

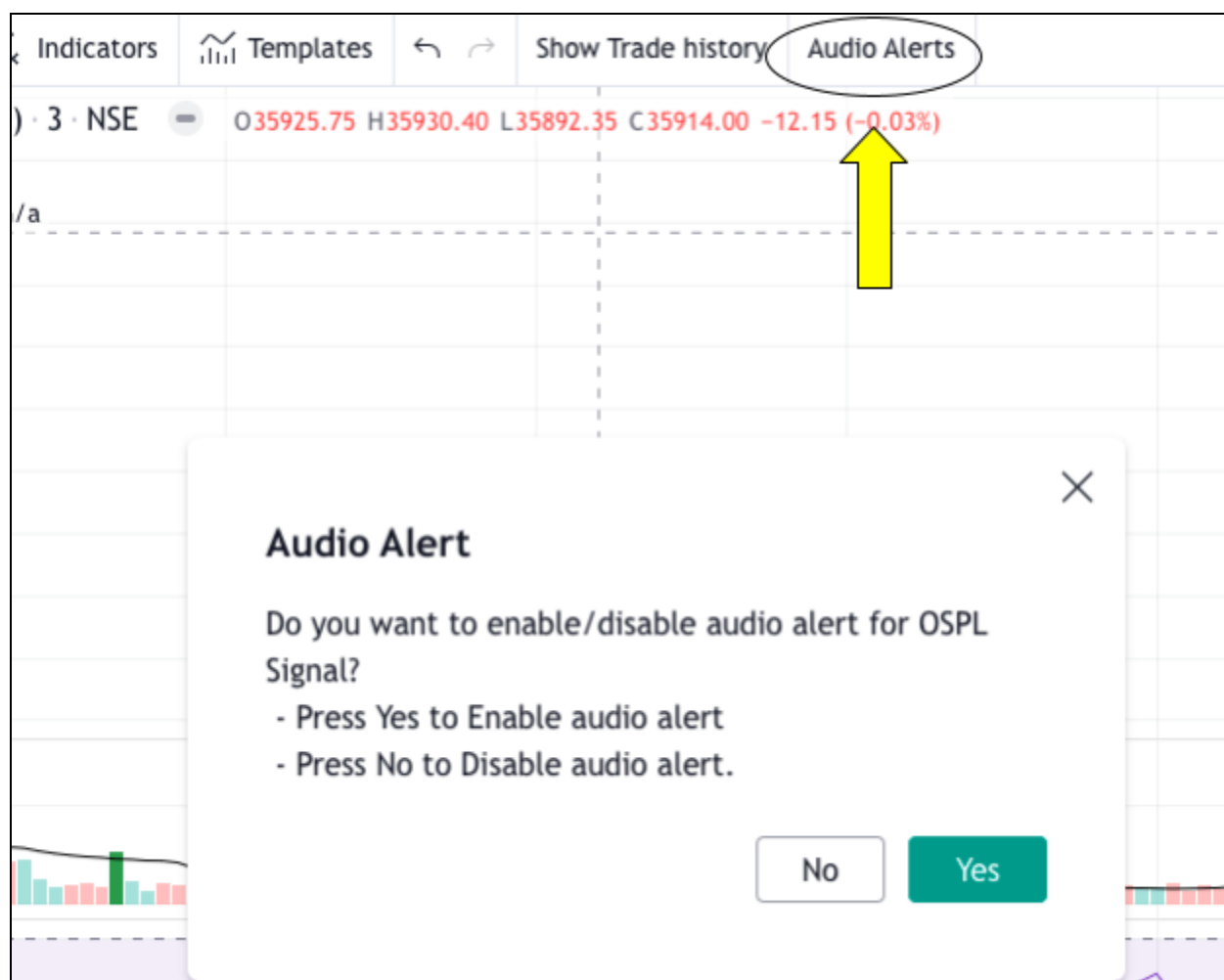
Once the “OUT” signal comes it is an indication that the momentum of the trend has dried up and thus we should refrain from taking any further trade.

As a suggestion we suggest you to be aggressive once the signal appears in terms of Quantity and gradually reduce the qty in further trades once the signal is there.

It simply means that if you spot 2 opportunities while the signal is “IN” then go with higher quantity in the first opportunity as the probability is much higher in that case.

So I guess that OSPL signal would surely be a powerful weapon in your arsenal.

In order to further enhance the user experience we have added “**AUDIO ALERT**” of OSPL signal as well.



This feature would be really helpful if you cannot devote maximum time to your screen. Our AI based programs would crunch the data and give the signal when there is high probability of a particular trend and momentum.

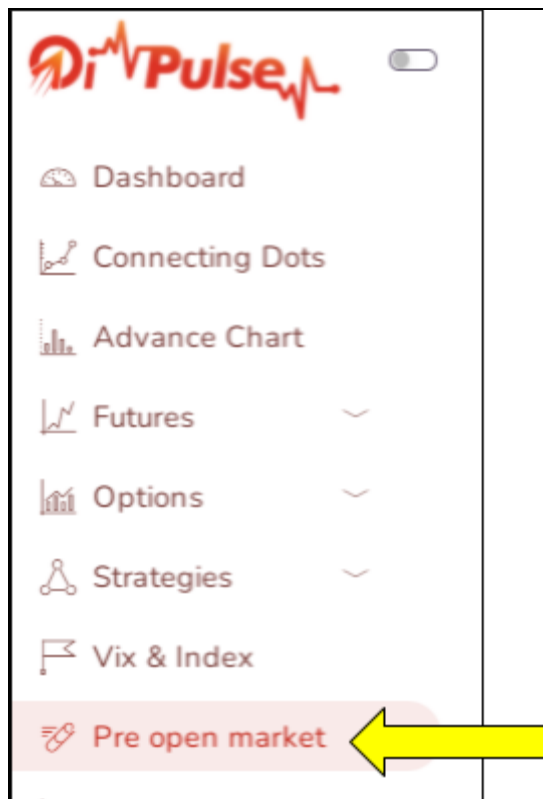
Pre-Open Market

As Option Scalpers we will find many opportunities right at the beginning of the day. For this we need to see how the market is behaving at opening.

As you are aware that exchange makes available Pre opening data at 9.08 AM so this data shall be available only after that time and before 9.15 when the market opens.

This feature may be used for Indices as well as **FNO stocks**.

So first things first this feature may be accessed in following way



Upon accessing this feature you will see following screen

Pre open market | Tool

Mode

Live data

Historical data

Date

Fri, Dec 17, 2021

Indices

All F&O Data

Search

Search for particular symbol

Global Actions

Go

NIFTY BANK: 36491.80 -56.85 (-0.16%)

NIFTY 50: 17276.00 +27.60 (0.16%)

Data last Updated At: 17-12-2021, 09:08:00

Advances: 75 | Declines: 99 | Unchanged: 14

Pre-open Market Advances

Name	Today Open	Prev. day Close	LTP Chng %	LTP Chng	Prev. Day Break
INFY	1820.00	1771.60	2.73 %	48.40	High Break
WIPRO	660.00	644.30	2.44 %	15.70	High Break
IDEA	15.00	14.70	2.04 %	0.30	-
COFORGE	5427.00	5355.35	1.34 %	71.65	-
PERSISTENT	4560.00	4503.70	1.25 %	56.30	-
LTI	6917.20	6839.55	1.14 %	77.65	High Break
HCLTECH	1172.00	1159.75	1.06 %	12.25	High Break

Rows per page 7

Prev

1 - 7 of 89

Next

Pre-open Market Declines

Name	Today Open	Prev. day Close	LTP Chng %	LTP Chng	Prev. Day Break
VEDL	345.65	357.50	-3.31 %	-11.85	Low Break
ABBOTINDIA	18251.00	18439.95	-1.02 %	-188.95	Low Break
CROMPTON	417.90	421.70	-0.90 %	-3.80	-
TITAN	2336.00	2357.25	-0.90 %	-21.25	-
JKCEMENT	3541.00	3570.85	-0.84 %	-29.85	-
TATAMOTORS	488.00	491.95	-0.80 %	-3.95	-
ONGC	144.20	145.35	-0.79 %	-1.15	Low Break

Rows per page 7

Prev

1 - 7 of 99

Next

Pre-open Index Advances

Name	Today Open	Prev. day Close	LTP Chng %	LTP Chng	Prev. Day Break
NIFTY IT	36704.20	36160.30	1.50 %	543.90	High Break
NIFTY SERV SECTOR	24417.95	24315.05	0.42 %	102.90	-

Pre-open Index Declines

Name	Today Open	Prev. day Close	LTP Chng %	LTP Chng	Prev. Day Break
NIFTY METAL	5576.70	5597.15	-0.37 %	-20.45	-
NIFTY COMMODITIES	5614.10	5627.25	-0.23 %	-13.15	-
NIFTY ENERGY	23124.85	23175.15	-0.22 %	-50.30	-

One of the most unique aspects of OI Pulse Pre Open Market data is “**Historical Data**” that even the exchange does not provide. So this would help our traders to analyse past data as well.

How to use this feature for trading?

This feature may be used as a supplement for your market analyses and planning your trades, especially Morning trades.

Let us see in a stepwise manner

1. Advances & Declines

Data last Updated At: 14-12-2021, 09:08:00
 Advances: 40 | Declines: 138 | Unchanged: 10

Using this feature you can know what the general behaviour of the broader market is going to look like at opening.

In the above example it shows that 138 stocks are opening in negative territory as compared to 40 stocks in positive category. So this suggests that you should look for identifying Bearish opportunities at the opening.

2. Pre-Open Indices Advance/Decline

As the next logical step you must look for sectors or indices that are going to open negative

Pre-open Index Declines					
Name	Today Open	Prev. day Close	LTP Chng %	LTP Chng	Prev. Day Break
NIFTY PSU BANK	2742.90	2758.90	-0.58 %	-16.00	Low Break
NIFTY INFRA	5009.80	5039.35	-0.59 %	-29.55	Low Break
NIFTY FIN SERVICE	17919.95	18006.90	-0.48 %	-86.95	Low Break
NIFTY IT	35946.75	36050.55	-0.29 %	-103.80	Low Break
NIFTY PVT BANK	18761.35	18842.60	-0.43 %	-81.25	Low Break
NIFTY ENERGY	23093.95	23177.35	-0.36 %	-83.40	Low Break
NIFTY MEDIA	2409.55	2428.35	-0.77 %	-18.80	Low Break

Now you can see that the majority of the indices are opening negative and they are opening well below their **Previous Day Low. This is highly bearish.**

- Now on this day we see all major indices are opening below their previous day low so we may look for opening trades for PE in Nifty as well.
- Since Nifty PSU Bank and PVT banks indices are also opening in negative we may look for PE opportunities in Bank Nifty as well.

- We may also select stocks that are likely to continue with the downward trend.

So let us look at stocks in this case

Name	Today Open	Prev. day Close	LTP Chng %	LTP Chng	Prev. Day Break
NMDC	138.80	147.50	-5.90 %	-8.70	Low Break
CHOLAFIN	561.00	579.05	-3.12 %	-18.05	Low Break
INDHOTEL	198.20	203.35	-2.53 %	-5.15	Low Break
COFORGE	5338.80	5476.45	-2.51 %	-137.65	-
APOLLOHOSP	5126.00	5206.70	-1.55 %	-80.70	Low Break
IEX	281.00	284.95	-1.39 %	-3.95	-
JINDALSTEL	390.50	395.85	-1.35 %	-5.35	Low Break

Rows per page 7 ▾ < Prev 1 - 7 of 138 Next >

Too high

Good Opportunities

We see that there are some stocks that have already fallen 5 % that are too much to fall and then may not fall further.

Rather look for stocks that have fallen but not much. These stocks may fall further and help you earn 1 % intraday target.

As a suggestion look for stocks from the sectors whose indices too have fallen.

This feature will help you diversify your trading styles and even help you immensely in identifying Morning trades for Nifty & Bank Nifty options that we will see further.

TWO NEW STRATEGIES

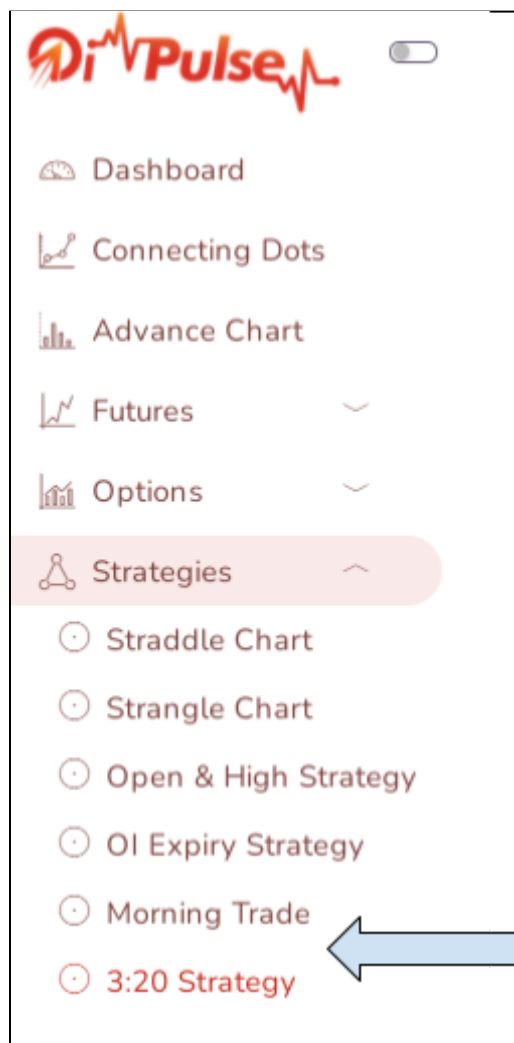
At OI Pulse we are highly motivated to help you identify trading opportunities by simplifying the data analysis.

As you are aware that markets are most volatile during opening and closing periods and we as scalpers absolutely love Volatility. Expert traders do rigorous data analysis to go for these trades. Now this rigorous data analysis can be done by AI based programs and opportunities may be identified. OI Pulse has developed such programs and we would like to present to you 2 new strategies

a. MORNING TRADE

b. 3.20 TRADE

These may be accessed under the “Strategies” tab of the menu



MORNING TRADE

If one has to take a Morning Trade right at the opening then we must analyse various market variables right before the market opens and identify opportunities.

We would understand how to take Morning Trade with an example and then see how OI Pulse will help us in this regard.

Consider opening trade for Bank Nifty 14 Dec 2021.

For planning the Morning trade in Bank Nifty we need to look at following major factors

- Price Action behaviour/Chart of previous day.
- Open Interest Analysis.
- Behaviour of broader markets.
- Overnight Global factors.
- Pre open Market Analysis

So let's plan an opening trade for this particular day.

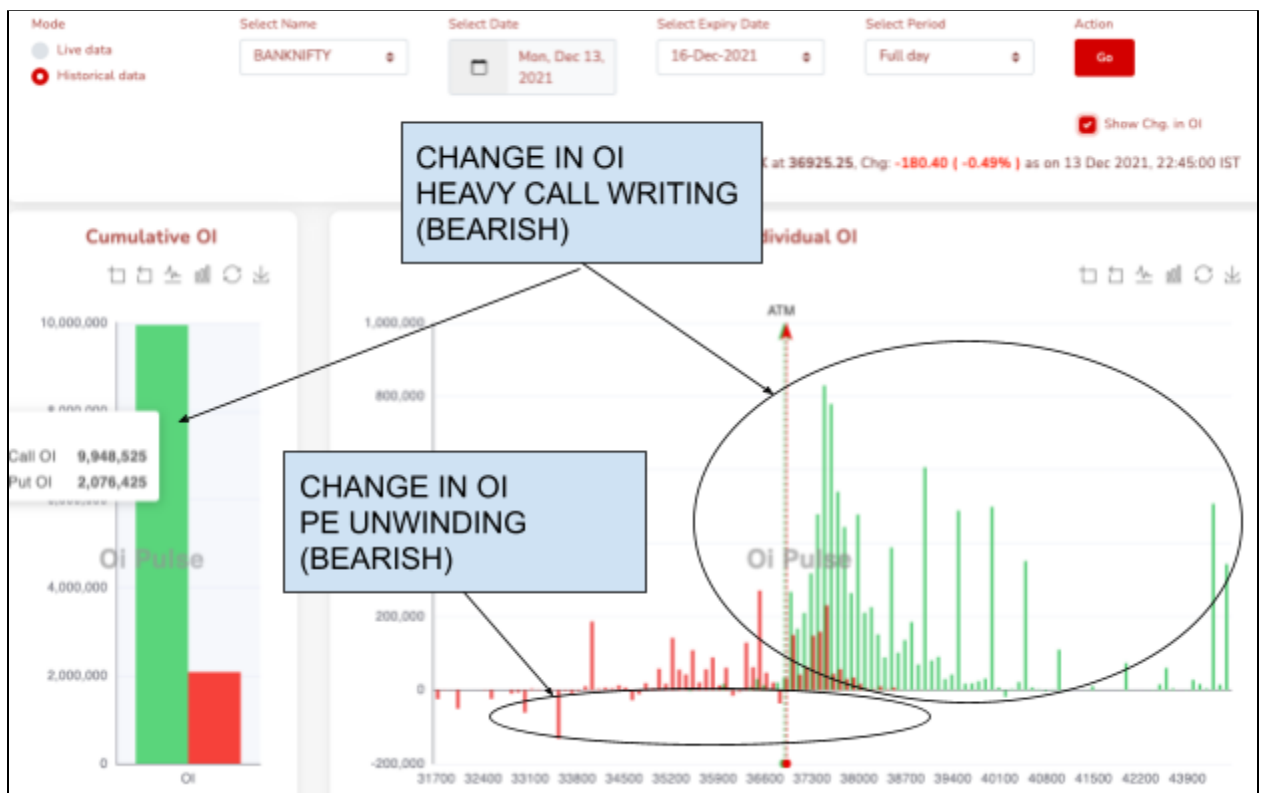
1. Price Action behaviour/Chart of previous day.



So this above chart analysis of the previous day clearly suggests Bearishness and hold of Bears. So Bears would like to take absolute control now.

2. Open Interest Analysis.

So we will analyse Open Interest and Change in Open Interest for the previous day. OI Pulse does the job simpler for you.



So we see both the Total OI and Change in OI suggest that Bank Nifty is in the grip of Bears.

3. Behaviour of broader markets.



On 13 Dec Nifty fell 1.72% from a higher level which is very high for Nifty. Thus it shows the BEarish grip. Also since Nifty broke a previous support level the Price Gap as shown in picture is likely to be filled if market comes down and probability of this to happen is very high.

Now if this is to happen then Bank Nifty too will go down.

Also look at FII data

Detailed FII/DII Capital Market Activity (Values in Crores)								
	Date	FII Buy	FII Sell	FII Net	In Market	DII Net	DII Buy	DII Sell
5	13-12-2021	7,862.77	10,606.21	-2,743.44	-1,392.41	1,351.03	6,301.91	4,950.88
6	10-12-2021	5,595.06	6,687.46	-1,092.4	-705.77	386.63	4,477.51	4,090.88
7	09-12-2021	6,194.93	7,780.48	-1,585.55	-802.71	782.84	5,623.94	4,841.1

FII's have been continuously selling since the last three days and yesterday it was the highest. So this shows the seriousness of the Bears.

Overall Broader markets are highly Bearish.

4. Overnight Global factors.

Global factors DOW being primary may change the entire scenario or it may strengthen the Bearish Grip depending upon its action.

SO let's see how DOW behaved on the 13th night before our markets opened.



So we see that DOW's actions strengthened the belief of the BEars that they may push the market lower.

5. Pre open Market Analysis

This is the final stage of analysis for opening trade. It has to be planned at around 9.08 Hrs when the Pre Open Market details are made available by the exchange.

So lets us see what was the Pre Market Condition on that particular day

Pre-open Indice Declines					
Name	Today Open	Prev. day Close	LTP Chng %	LTP Chng	Prev. Day Break
NIFTY SERV SECTOR	24402.80	24512.60	-0.45 %	-109.80	Low Break
NIFTY REALTY	511.25	512.40	-0.22 %	-1.15	-
NIFTY PVT BANK	18761.35	18842.60	-0.43 %	-81.25	Low Break
NIFTY PSU BANK	2742.90	2758.90	-0.58 %	-16.00	Low Break

On 14th Morning all the Bank nifty stocks were weak as shown by NIFTY PVT Bank and NIFTY PSU Bank indices, moreover they were opening below their previous day low that suggests absolute bearishness.

So now we can plan a Bearish trade right at the open. But there are some catches. We know that it is going to be a Gap Down but can we trade it?

If the Gap down is **too big then there is no point in chasing it.**

If however the Gap down is till a certain level then we may chase it.

For this we need to go back to the charts again.

Since Pre Open levels are available for Spot I will use BankNifty spot for the analysis here.



We see that 36825 is an important support level and there is a high probability that Bears will try to take this level out and that too right at opening.

So we may have three types of Gap down

1. Gap Down but Opening Price above 36825.
2. Gap Down but Opening Price slightly below 36825.
3. Gap Down but Opening Price very well below 36825

Of these 3 conditions Condition 1 is most favourable if one has to Buy PE right at the open and there will be no trade if price opens as per condition 3 i.e well below 36825.

For that particular day the Gap Down was at 36830 i.e as per Condition No 2.

So a Downward chase makes sense right at the opening but with moderate quantity.

Now there is something one must realise that these are very risky trades and one must allocate only that much capital as one can easily afford to lose. So we recommend that you allocate just **10% of your Previous day Profit** as your risk for this trade.**DO NOT RISK YOUR CAPITAL.**

Next you need to know that upto what levels you should plan to buy PE options. This is a difficult part as it involves calculating Option premiums using Option Greeks.

You need to take into account the Gap down and IV spike for this and do some calculations. You cannot just go and blindly buy the PE options. This is where OI pulse is going to help you in a big way.

So I will summarise what we have learned till now.

1. In order to plan Morning Trade you need to analyse the following market variables.
 - i. Price Action behaviour/Chart of previous day.
 - ii. Open Interest Analysis.
 - iii. Behaviour of broader markets.
 - iv. Overnight Global factors.
 - v. Pre open Market Analysis
- b. **DO NOT RISK YOUR CAPITAL FOR THIS TRADE.** Deploy just 10 % of previous day profit for this trade.
- c. Do not enter into trade blindly. Enter only if Options premium fall within a range and calculate that range with help of Option greeks.

Now you must be wondering how we calculate the Option premiums. I would say leave that part to OI Pulse as its AI based systems not only analyse all the market variables but also computes the Options Premium range.

So OI PULse's AI programs would analyse all the market variables and let you know if there is a buying opportunity or not. Not only this it would also tell you the levels in which these options are to be bought.

Just see how this feature works on OI Pulse

The screenshot shows the OI Pulse trading interface. At the top, there are fields for 'Select Name' (BANKNIFTY), 'Select Date' (Tue, Dec 14, 2021), and an 'Action' button (Go). Below this is a 'Note' section with several warnings. The main area contains two tables: 'Call Signal Entry' and 'Put Signal Entry'. The 'Call Signal Entry' table is empty, with a note 'No signals generated for selected date and expiry'. The 'Put Signal Entry' table contains two rows of data. Annotations highlight the 'Call Signal Entry' table as 'NO CALL SIGNAL' and the 'Put Signal Entry' table as 'PUT SIGNAL'.

Call Signal Entry					
Date	Options	Expiry	Strike Price	Option type	Signal Range
No signals generated for selected date and expiry					

Put Signal Entry					
Date	Options	Expiry	Strike Price	Option type	Signal Range
1	14-12-2021	BANKNIFTY	16-Dec-21	36900	PE 250.89 - 350.89
2	14-12-2021	BANKNIFTY	16-Dec-21	37000	PE 296.89 - 396.89

So we see that signal gives following information

1. Whether there is an Opening trade opportunity or not.
2. Which Option type is to be bought at the opening.
3. What strike Price has to be selected.
4. Till what levels or in what range the Strike price is to be purchased.

Now since the trade is a risky one, there are two conditions for exit.

1. Start trailing as soon as your average price reaches the Cost Price.
2. Exit within the first 3 mins.

These 2 conditions have been formulated keeping in mind the Volatility at market opening.

So let us see how the trade went on that particular day

The OI Pulse signal advised to trade 36900 PE in a range of 296 to 396.

Put Signal Entry						
	Date	Options	Expiry	Strike Price	Option type	Signal Range
1	14-12-2021	BANKNIFTY	16-Dec-21	36900	PE	250.89 - 350.89
2	14-12-2021	BANKNIFTY	16-Dec-21	37000	PE	296.89 - 396.89

Let us see the chart of 36900 PE on the morning of 14 Dec 2021.



The very first candle of 36900 PE opened at 306 and went up to a high of 462. SO it was a great scalping opportunity had someone bought 36900 PE between 305 and 396 as per OI Pulse Signal and trailed it.

So we hope that the OI Pulse Morning trade signal would help you a great in identifying trading opportunities right at the beginning of the day and help you make 1% right at opening of market at times.

3.20 TRADE

On lines similar to Morning trade we have another strategy 3.20 Trade which is an **overnight trading strategy**.

The idea behind this strategy is that there are times when the market moves in a strong trending way and there is a high probability that the same trend will continue next morning at the opening itself.

Though there would be theta decay but the directional movement due to trend will cover the theta decay losses. SO that is the crux of the day.

So identifying a strong trend is important for this strategy. So in order to identify the trend following market variables need to be analysed just before the market closes around 3.20.

- Price Action behaviour/Chart of day
- Open Interest Analysis.
- Behaviour of broader markets.

So in this case we shall again use the example of 13 Dec 2021 as discussed above.

1. Price Action behaviour/Chart of day

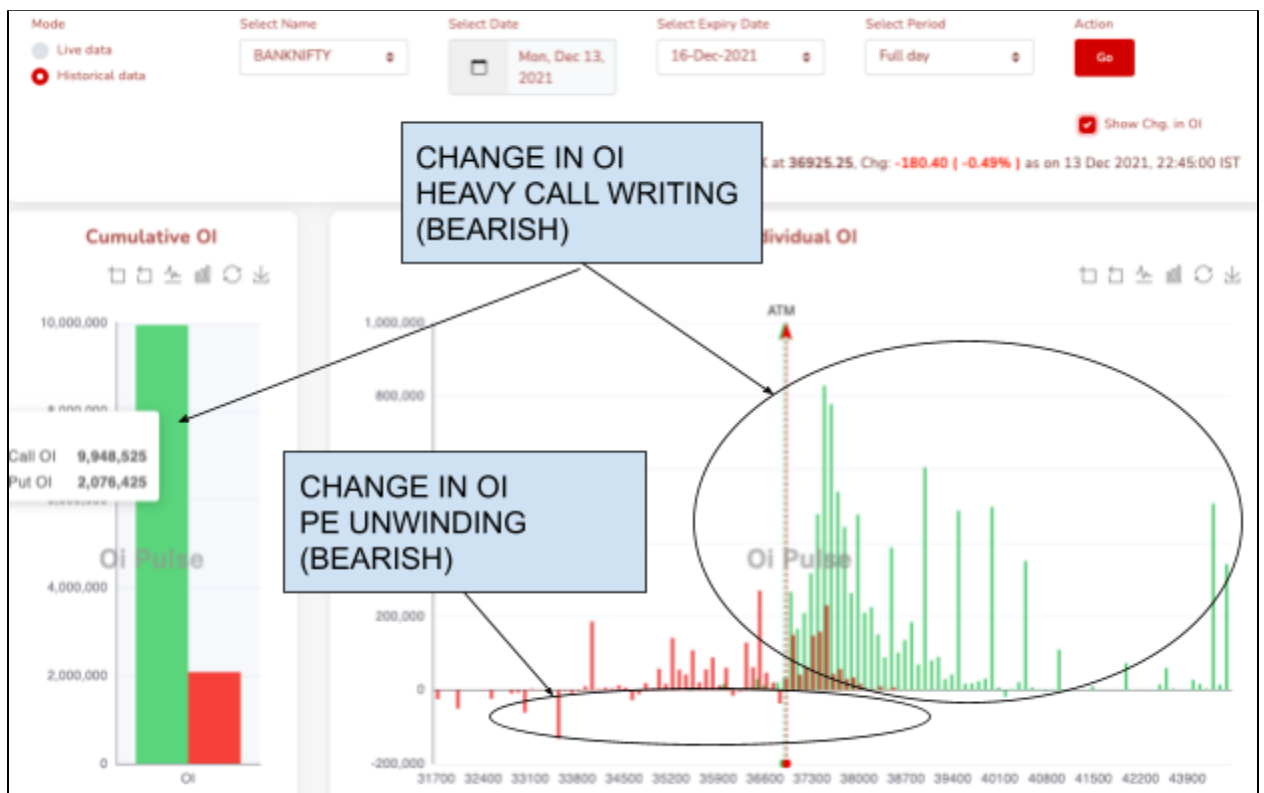


So this above chart analysis of the previous day clearly suggests Bearishness and hold of Bears. So Bears would like to take absolute control now.

2. Open Interest Analysis.

So we will analyse Open Interest and Change in Open Interest for the previous day.

OI Pulse does the job simpler for you.



So we see both the Total OI and Change in OI suggest that Bank Nifty is in the grip of Bears.

3. Behaviour of broader markets.



On 13 Dec Nifty fell 1.72% from a higher level which is very high for Nifty. Thus it shows the BEarish grip. Also since Nifty broke a previous support level the Price Gap as shown in picture is likely to be filled if market comes down and probability of this to happen is very high.

So with these factors we can conclude that the Trend is highly Bearish and it may continue tomorrow morning as well. So we can think of buying a PE and carrying it overnight.

However there are following risks associated with this thought process.

1. Overnight Global market Risk...What will happen if Global markets suddenly turn bullish?

2. Domestic News factor... What will happen if the Finance Minister announces a sudden tax relief?

Thus keeping these factors in mind we have kept following conditions for this trade

- a. DO NOT RISK YOUR CAPITAL FOR THIS TRADE.
- b. Deploy just 10 % of Day's profit for this trade.
- c. Next day once the Option price is above Buying Price start trailing it.
- d. Keep SL as 50% of premium or as per you risk appetite whichever is lower.

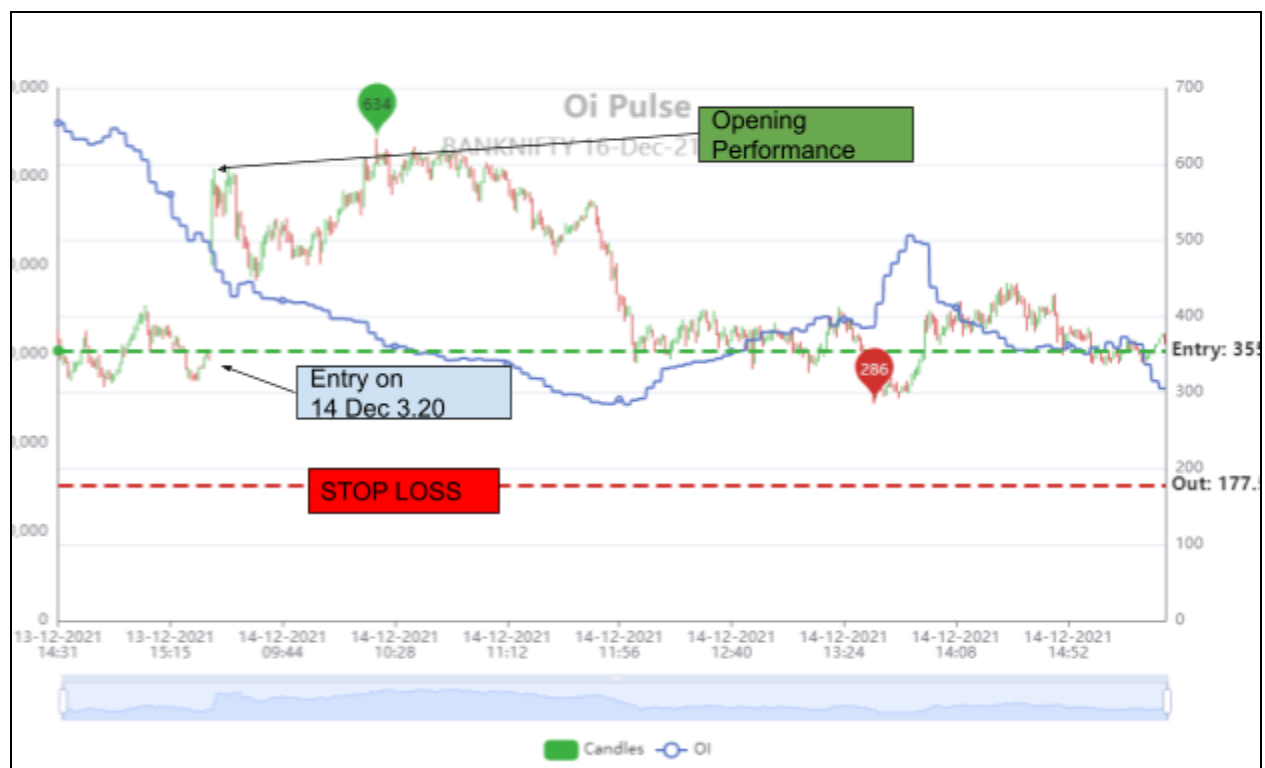
OI Pulse AI based programs would do all the analysis and let you know if there is a signal or not.

This signal will be generated at 3.20 PM if there is any signal at all and also give you the price level at which an option can be bought.

For the same date i.e 13 Dec there was following signal

Put Signal Entry					
Options	Expiry	Strike Price	Option type	Signal	Chart
BANKNIFTY	16-Dec-21	37100	PE	355.00	

OI Pulse has also come up with a chart option where you can see Candlestick pattern of the Option with signal marked upon it.



So we see that the OI Pulse AI backed programs crunched the data and suggested looking for making an entry around 355 as premium for 37100 PE .
Now just see what happened the very next day



So it made a high of 594 in the very first candle. Enough to make a 1 % target for the day.

So OI Pulse would help you find such trading opportunities.

But we again reiterate that since this is an overnight trading strategy DO NOT RISK YOUR CAPITAL rather just risk some portion of your previous day profit for this trade.

EVENT DAYS

Budget Days

The event day tool gives you quick access to the Option Chart, Nifty Futures OI Chart and Bank nifty OI Chart all in one single page.

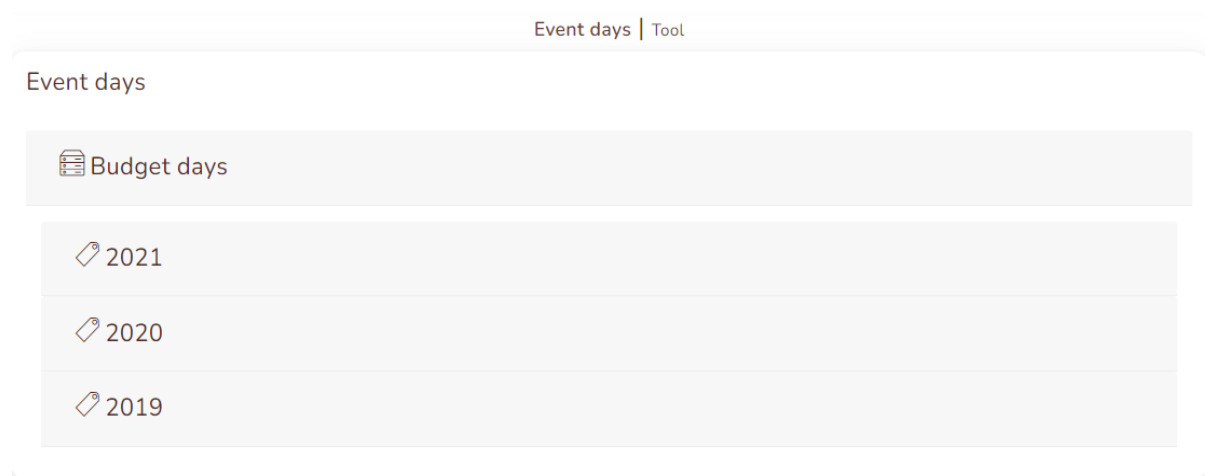
The event day tool gives you quick access to all 3 days the Pre Budget day, Budget Day and Post Budget Day.

Purpose of Event days

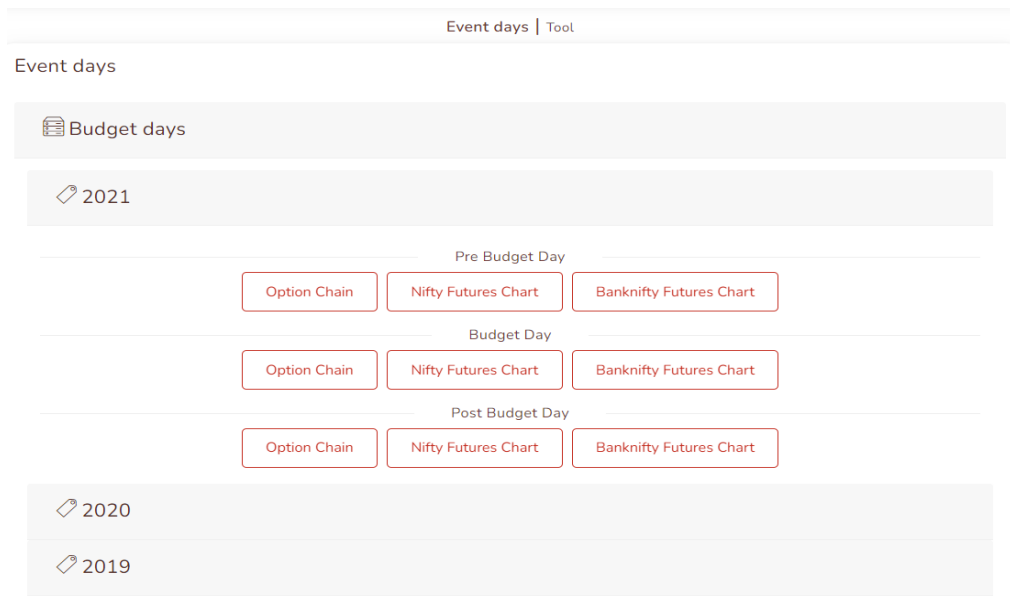
Event days tend to play out in fairly similar ways if the factors affecting the event days are similar. It is a known fact in the stock markets that patterns repeat themselves over the years. Tracking all creating a base view of probability is easier when you have quick access to previous years' data.

The main page

The main page includes data of the previous years that is available. You will be able to select the year for which you want to study the data in.



Access to data for a particular year opens up when you click on the year mentioned towards the left of the page.



The above image gives you quick access to the Pre Budget-Day, Budget Day and Post Budget Day. Let's see the Option Chain, Nifty Futures Oi Chart and Bank nifty Futures Oi Chart look like when accessed.

OPTION CHAIN

The Option chain gives you immediate access to the pre-budget day data. You can select different time frame in option chain to see how the day played out.

The immediate access to this page saves you the time to look up the dates in question and then access the data. This is a ready to use tool for event days.

Options Chain | Options Analysis

Mode

Live data

Historical data

Select Name

BANKNIFTY

Select Date

Fri, Jan 29, 2021

Expiry Date

04-Feb-2021

Interval

Full Day

Action

Go

Column Setting

Underlying: NIFTY BANK at 30565.5, Chg: 207.20 (0.68%) as on 29 Jan 2021, 20:11:00 IST

CALL										PUT										
Int.	OI %	OI	OI Chng.	Volume	IV Chn...	IV	LTP	LTP %	LTP Chg	Strike	LTP Chg	LTP %	LTP	IV	IV Chn...	Volume	OI Chng.	OI	OI %	OI Int
L.B.	215.79 %	3,000	2,050	12,950	74.78	108.96	1274.05	19.70 %	209.70	29600	-58.95	-18.42 %	261.05	101.4	62.28	17,94,275	14,450	33,300	76.66 %	76.66 %
S.C.	-13.97 %	3,850	-625	15,600	73.63	105.26	1184.30	23.64 %	226.45	29700	-60.20	-17.32 %	287.45	100.93	62.15	18,28,100	13,200	40,750	47.91 %	47.91 %
L.B.	0.28 %	8,875	25	64,875	77.25	109.81	1141.80	26.39 %	238.40	29800	-61.50	-16.28 %	316.15	100.51	62.05	35,33,575	63,775	1,27,200	100.55 %	100.55 %
S.C.	-21.97 %	12,250	-3,450	87,850	73.20	106.55	1057.70	24.38 %	207.35	29900	-70.35	-16.94 %	344.90	99.72	61.23	40,83,850	32,125	65,025	97.64 %	97.64 %
S.C.	-26.78 %	1,40,575	-51,425	9,17,450	73.04	106.13	991.75	26.48 %	207.65	30000	-75.45	-16.66 %	377.35	99.2	60.84	1,55,06,875	1,96,725	4,84,450	68.37 %	68.37 %
S.C.	-34.81 %	17,975	-9,600	2,29,725	73.03	106.13	930.55	28.39 %	205.75	30100	-82.60	-16.76 %	410.20	98.37	60.12	27,57,350	16,575	46,025	56.28 %	56.28 %
S.C.	-4.18 %	20,050	-875	3,32,525	72.57	105.99	870.80	29.29 %	197.25	30200	-89.45	-16.67 %	447.30	97.86	59.64	35,40,825	29,450	52,025	130.45 %	130.45 %
L.B.	0.34 %	22,150	75	9,68,950	71.12	104.54	805.20	29.91 %	185.40	30300	-92.15	-15.95 %	485.50	97.14	59.27	39,94,925	62,125	82,375	306.79 %	306.79 %
L.B.	152.00 %	1,18,375	71,400	23,01,625	68.79	103.63	745.20	25.71 %	152.40	30400	-91.45	-14.78 %	527.35	96.6	59.22	43,70,975	81,700	1,14,300	250.61 %	250.61 %
S.C.	-1.77 %	2,15,200	-3,875	85,83,000	68.73	102.78	687.90	29.44 %	156.45	30500	-101.95	-15.16 %	570.35	95.85	58.37	98,21,250	2,08,775	3,11,200	203.83 %	203.83 %
L.B.	494.72 %	1,43,625	1,19,475	47,86,475	69.07	102.62	637.40	33.40 %	159.60	30600	-104.45	-14.44 %	619.10	95.59	58.29	36,36,525	1,00,650	1,05,400	2118.95 %	2118.95 %
L.B.	196.66 %	77,725	51,525	46,02,175	68.61	102.37	588.75	34.17 %	149.95	30700	-112.85	-14.54 %	663.55	94.25	57.19	26,01,425	48,200	53,575	896.74 %	896.74 %

Nifty Futures Oi V/s Price Analysis chart



Bank Nifty Futures Oi V/s Price Analysis chart



The Futures chart is given here as both buyers and sellers can create positions in the Futures. You can use these charts in the normal way selecting time frame as well as zoom in to have a closer look at specific time periods.

EQUITY- ANNOUNCEMENT

Company announcement data

The company announcement data page gives you immediate access to company announcements as and when they are made available.

Now the need to search for company announcements in various websites or news articles/paper is over. You can get access to all such information in one click.

The Main Page

The main page contains the following details.

1. Date – Date of announcement
2. Time – Time of announcement
3. Name – Name of company
4. Subject – Subject of the announcement
5. Detail – Short note of details of announcement
6. Attachment – Click “Open file” to view complete details of announcement

 All Menu ▾ Dashboard Connecting Dots Advance Chart Plans Webinars



Announcement | Equity

Search

Please write name of equity symbol...

Start Date

Mon, Nov 14, 2022

End Date

Mon, Nov 21, 2022

Actions

Go

Date	Time	Name	Subject	Detail	Attachment
21-Nov-2022	17:21:42	SBICARD	ESOP/ESPS/SBEB Scheme	SBI Cards and Payment Services Limited has informed the Exchange about allotment of 440740 Equity shares pursuant to exercise of Employee Stock Options under the SBI Card - Employee Stock Option Plan 2019 (ESOP Scheme 2019).	Open File
21-Nov-2022	17:19:54	GRWRHITECH	General updates	Garware Hi-Tech Films Limited has informed the Exchange about Intimation of calendar of events for the postal ballot process.	Open File
21-Nov-2022	17:19:45	STARHEALTH	Schedule of Analysts/Institutional Investor Meet/Con. Call	Star Health and Allied Insurance Company Limited has informed the Exchange about Schedule of Analysts/Institutional Investor Meet/Con. Call dated November 21,2022.	Open File
21-Nov-2022	17:19:27	ROLEXRINGS	Related Party Transaction	Rolex Rings Limited has informed the Exchange about related party transaction for the period ended September 2022	Open File
21-Nov-2022	17:19:15	LAMBODHARA	General updates	Lambodhara Textiles Limited has informed the Exchange about Shifting of operations of Unit II to Unit I	Open File
21-Nov-2022	17:17:15	LOKESHMACH	General updates	Lokesh Machines Limited has informed the Exchange about Memorandum of Understanding with IIT, Madras	Open File

Complete details accessed from the attachment made available by the Company.

	
November 21, 2022	
The BSE Limited Corporate Relationship Department. Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai - 400 001 SCRIP CODE: 543066 SECURITY: Equity Shares/Debentures	The National Stock Exchange of India Limited Exchange Plaza, C-1, Block G, Bandra-Kurla Complex. Bandra (E), Mumbai - 400 051 SYMBOL: SBICARD SECURITY: Equity Shares
Dear Sirs,	
<u>Re: Intimation of allotment of 440740 Equity shares pursuant to exercise of Employee Stock Options under the SBI Card - Employee Stock Option Plan 2019 (ESOP Scheme 2019).</u>	
We hereby inform that Nomination and Remuneration Committee of the Board vide its resolution dated November 21, 2022 has approved allotment of 440740 Equity shares of Rs. 10/- each to the eligible employees of the Company pursuant to the exercise of options under the SBI Card - Employee Stock Option Plan 2019 (ESOP Scheme 2019) at the exercise price of Rs. 152.10 per share.	
We further inform that, post allotment, the paid-up capital of the Company has increased from Rs. 9,45,05,62,590/- consisting of 94,50,56,259 equity shares of Rs. 10/- each to Rs. 9,45,49,69,990 /- consisting of 94,54,96,999 equity shares of Rs. 10/- each.	
Kindly take the same on record.	
Thanking you,	
Yours faithfully,	
For SBI Cards and Payment Services Limited	
PAYAL MITTAL CHHABRA	Digitally signed by PAYAL MITTAL CHHABRA Date: 2022.11.21 16:05:17 +05'30'
Payal Mittal Chhabra Company Secretary & Compliance Officer	

Specific company search

You also have an option to search for specific companies for their announcements.

You can view announcements from specific dates by selecting date ranges as well.

Announcement Equity					
Search		Start Date	End Date	Actions	
HDFCBANK		Tue, Nov 01, 2022	Mon, Nov 21, 2022	Go	
Company Announcement Data					
Date	Time	Name	Subject	Detail	Attachment
18-Nov-2022	09:28:21	HDFCBANK	Newspaper Advertisements	HDFC Bank Limited has informed the Exchange about Newspaper Advertisements of the meeting of the equity shareholders (which include public shareholders) of HDFC Bank Limited (the Bank) convened by Hon'ble National Company Law Tribunal, Mumbai Bench, Mumbai ('NCLT')	Open File
14-Nov-2022	20:25:06	HDFCBANK	ESOP/ESPS/SBEB Scheme	HDFC Bank Limited has informed the Exchange regarding allotment of 369700 equity shares under ESOP	Open File
12-Nov-2022	14:40:36	HDFCBANK	Acquisition	HDFC Bank Limited has informed the Exchange about Disclosure under Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015	Open File
12-Nov-2022	14:31:51	HDFCBANK	Amalgamation/Merger	HDFC Bank Limited has informed the Exchange about Update on Regulatory Approvals Receipt of approval from Pension Fund Regulatory and Development Authority (PFRDA) for change in shareholding of HDFC Life Insurance Company Limited, (HDFC Life), associate of Housing Development Finance Corporation Limited (HDFC Limited), sponsor of HDFC Pension Management Company Limited (HDFC Pension), a wholly owned subsidiary of HDFC Life, on account of proposed composite scheme of Amalgamation (Scheme) for the amalgamation of: (i) HDFC Investments Limited and HDFC Holdings Limited, wholly-owned subsidiaries of HDFC Limited, with and into HDFC Limited; and (ii) HDFC Limited with and into HDFC Bank Limited (HDFC Bank)	Open File

EQUITY

Delivery data

The delivery data page gives you access to the delivery data of stocks by searching the equity symbol name.

You have the option to look up data from the last 7 days way up to the last 6 months depending on the view you want to create.

Purpose of delivery data

This is specifically helpful for people who trade in stocks but not limited to stocks. Someone who wants to create a position in a particular stock and look at delivery data apart from various aspects that you may look for to create a position.

Delivery data can give important cues to identify if big institutions are accumulating in particular stocks over a period of time to form a view along with other parameters to form a view. Delivery data holds key when there is more than an average delivery of the stock from the time you want to track this data and it can give valuable cues.

The Main Page

Delivery data | Equity

Search

Please write for equity symbol...

Period

Last 15 Days

Actions

Go

Company delivery info table

Date	Open	High	Low	Close	% LTP Change	% Delivery	Delivery Quantity	Total Traded Quantity	Announcement
No data for table									
Rows per page 15									Prev 0 - 0 of 0 Next

The company delivery data info table contains the following details. You can see all the below details in the image shared below of a random example “Axis Bank”

1. Date
2. Open price
3. High
4. Low
5. Close price
6. % LTP change
7. % Delivery
8. Delivery quantity
9. Total traded quantity
10. Announcement

Delivery data | Equity

Search

AXISBANK

Period

Last 15 Days

Actions

Go

Company delivery info table

	Date	Open	High	Low	Close	% LTP Change	% Delivery	Delivery Quantity	Total Traded Quantity	Announcement
1	18-11-2022	859.30	865.80	855.00	859.20	0.12	47.21	33,35,335	70,65,304	-
2	17-11-2022	855.40	861.40	852.70	858.20	0.33	47.96	23,54,828	49,09,607	1
3	16-11-2022	858.00	861.60	850.60	855.40	-0.38	56.94	37,13,710	65,21,854	1
4	14-11-2022	850.50	853.90	847.35	851.00	0.04	66.63	46,54,361	69,85,306	2
5	11-11-2022	847.00	854.70	844.15	850.70	0.83	62.61	1,21,02,255	1,93,29,819	1
6	10-11-2022	843.70	856.70	841.00	843.70	-3.43	57.71	1,09,39,268	1,89,56,575	2
7	09-11-2022	875.05	880.75	868.50	873.70	0.09	61.18	62,34,412	1,01,90,209	2
8	07-11-2022	876.25	876.80	861.30	872.95	0.56	56.42	56,03,701	99,31,261	1
9	04-11-2022	869.00	872.90	862.30	868.10	0.47	55.82	40,88,336	73,23,879	-
10	03-11-2022	857.90	880.40	856.00	864.05	0.06	40.60	41,35,585	1,01,85,978	1
11	02-11-2022	875.00	877.00	861.60	863.55	-0.94	66.02	72,81,963	1,10,29,140	-
12	01-11-2022	904.00	904.00	869.00	871.75	-3.78	52.62	1,53,61,322	2,91,91,921	2
13	31-10-2022	908.00	918.00	902.10	906.00	0.33	67.53	61,03,807	90,38,777	1
14	28-10-2022	915.00	917.95	898.90	903.05	-1.32	54.30	39,74,578	73,20,207	-

Announcements data

Announcement data gives you access to company announcements as and when they are made available. You can access them by simply clicking on the number mentioned towards the right side of the day indicating the number of announcements available.

AXISBANK - Announcement data ×

1. Schedule of Analysts/Institutional Investor Meet/Con. Call
Axis Bank Limited has informed the Exchange about Schedule of Analysts/Institutional Investor Meet/Con. Call
Released: 17-11-2022 - 18:22:06 File: [Open file](#)

OK

AXISBANK - Announcement data ×

1. Schedule of Analysts/Institutional Investor Meet/Con. Call
Axis Bank Limited has informed the Exchange about Schedule of Analysts/Institutional Investor Meet/Con. Call
Released: 14-11-2022 - 19:56:36 File: [Open file](#)

2. Schedule of Analysts/Institutional Investor Meet/Con. Call
Axis Bank Limited has informed the Exchange about Schedule of Analysts/Institutional Investor Meet/Con. Call
Released: 14-11-2022 - 17:12:15 File: [Open file](#)

OK

The “open file” option in the image above will open the details of the meeting/Con. Call. You may find the entire details of the Con. Call that is made available by the company through a link to their website.

AXIS/CO/CS/403/2022-23

November 17, 2022

Chief Manager,
Listing & Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, "G" Block
Bandra-Kurla Complex
Bandra (E), Mumbai – 400 051

NSE Symbol: AXISBANK

Deputy General Manager,
Listing Department
BSE Limited
1st Floor, New Trading Ring,
Rotunda Building
P. J. Towers, 'Dalal Street Fort',
Mumbai – 400 001

BSE Scrip Code : 532215

Dear Sir(s),

SUB.: Schedule of analysts/institutional investors meets.

Please find enclosed herewith the details of analyst/institutional investors meet held on November 17, 2022, in terms of the Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Further, a copy of presentation is available on the website of the Bank on following link:

<https://www.axisbank.com/docs/default-source/investor-presentations/investor-presentation-q2fy23-2022.pdf>

This is for your information and records.

Thanking You.

Yours Sincerely,

STRATEGY BUILDER

Strategy builder is a tool that lets you create strategies around options and Futures in Nifty and in Bank Nifty. This is an option that lets to see how a trade will play out if you don't want to trade on a naked buy or a sell in options and/or Futures.

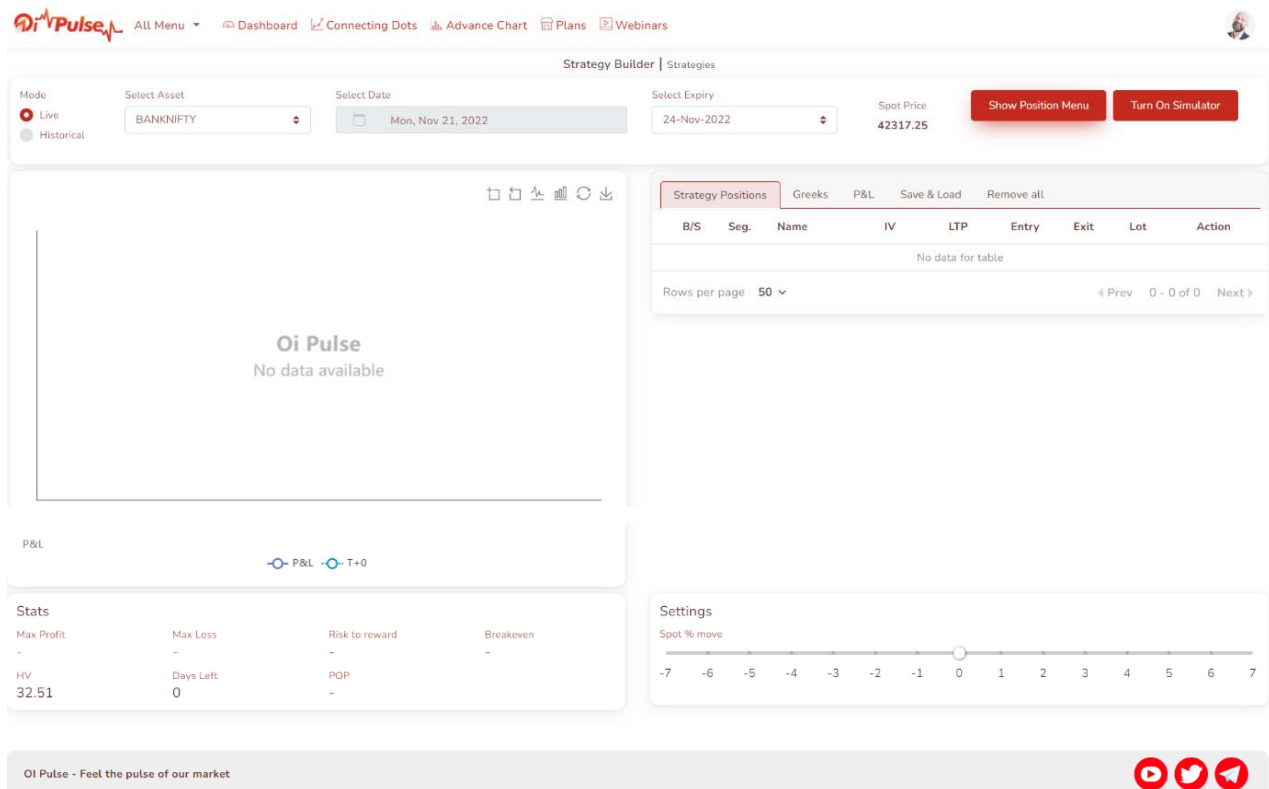
Strategy builder lets you create strategies based on your preferences using option chain. Option chain provides you all the details you need to know like price, IV levels, Delta, Theta, Vega and OI before you take the trading decision.

Live rates of all these factors all in one place are an added advantage

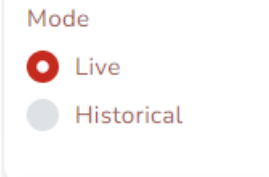
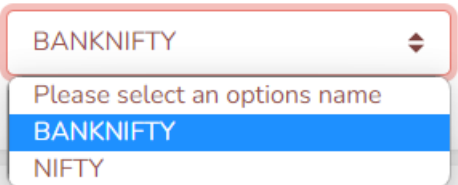
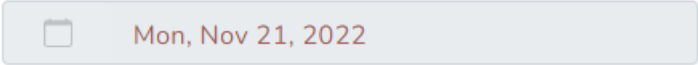
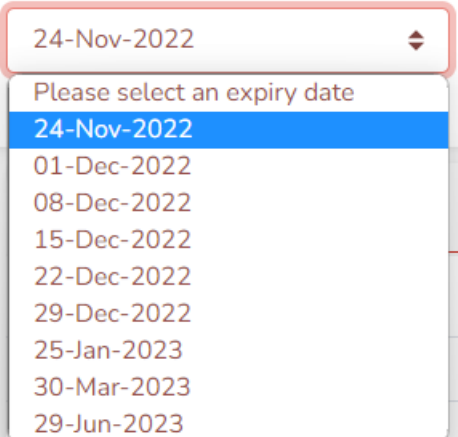
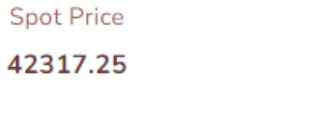
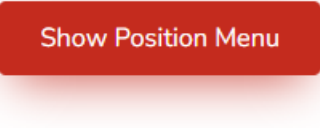
Main callouts of Strategy builder

- Strategy builder is an amazing new feature that allows you to build a strategy of your own and see how it progresses.
- The feature populates strategy positions of the strategy you have built, Greeks and P&L of the strategy.
- You can save your strategy, load an already built strategy or edit an existing strategy.
- You can use the auto play function and set time interval to see how the strategy worked during the course of the day.
- The strategy builder allows you to build strategies for Options and Futures in the same page.

The Main Page



Exploring Strategy Builder features

	Mode – Allows you to work on live data or select historical for testing purpose
	Select asset – Access Bank nifty or Nifty to build your strategies on
	Select data – Will be defaulted to current date
	Select expiry – Allows you to select the expiry in which you want to build the strategy in.
	Spot price- Shows the spot price of the asset selected.
	Show positions menu – Opens the Options chain/Futures page to build strategy in.

You can click on add or sell from the Option Chain page or Futures page to create your strategy.

Add
Add
Add
Add
Add
Add
Add
Add
Add

Strike Price: 42300 CE
Lot
— 1 +
Price
— 238 +
Buy Sell

Add
Add
Add
Add
Add
Add
Add
Add
Add

Strike Price: 42200 PE
Lot
— 1 +
Price
— 184.3 +
Buy Sell

The open positions you have created for the strategy can be seen in the **Strategy Positions** tab as shown below.

Strategy Positions									
Greeks P&L Save & Load Remove all									
	B/S	Seg.	Name	IV	LTP	Entry	Exit	Lot	Action
1	B	OPT	BANKNIFTY-24-Nov-22-42200-CE	13.19	275.5	292.7	-	1	
2	B	OPT	BANKNIFTY-24-Nov-22-42200-PE	13.99	193.8	184.3	-	1	
3	B	FUT	BANKNIFTY-24-Nov-22	-	42281.2	42291	-	1	
4	S	FUT	BANKNIFTY-29-Dec-22	-	42501.8	42515	-	1	
Rows per page 50 ▾									
◀ Prev 1 - 4 of 4 Next ▶									

Option Greeks can be seen in the **Greeks tab** as shown below.

Strategy Positions			Greeks	P&L	Save & Load	Remove all				
	B/S	Seg.	Name	LTP	IV	Delta	Theta	Vega	Gamma	Rho
1	B	OPT	BANKNIFTY-24-Nov-22-42200-CE	275.50	13.19	0.54	-79.91	17	0.000286	2.25
2	B	OPT	BANKNIFTY-24-Nov-22-42200-PE	193.80	13.99	-0.46	-68.36	17	0.000286	-2.06
3	B	FUT	BANKNIFTY-24-Nov-22	42281.20						
4	S	FUT	BANKNIFTY-29-Dec-22	42501.80						
Total		-	-		-	0.08	-148.27	34.00	0.000572	0.19

Rows per page 50

Prev1 - 4 of 4Next

The P&L for the open positions can be seen in the **P&L tab** of Strategy builder.

Strategy Positions									
Greeks									
P&L									
B/S	Seg.	Name	LTP	Entry	Exit	Lot	P&L		
1	B	OPT	BANKNIFTY-24-Nov-22-42200-CE	278.35	292.7	-	1	-358.75	
2	B	OPT	BANKNIFTY-24-Nov-22-42200-PE	191.1	184.3	-	1	170.00	
3	B	FUT	BANKNIFTY-24-Nov-22	42285.55	42291	-	1	-136.25	
4	S	FUT	BANKNIFTY-29-Dec-22	42502.2	42515	-	1	320.00	
Total		-	-	-	-	-	-	-5.00	
Rows per page 50 ▾									
◀ Prev 1 - 4 of 4 Next ▶									

The **Save & Load** tab lets you save the strategy you have created using the save option from the dropdown menu when clicked on “Save & Load” tab.

You can give a name for the strategy to differentiate it from different strategies you might want to create with strategy builder.

You can add a description for the strategy created for ease of understanding.

You can select market view as per your view while creating your strategy.
Click on **save** strategy and you are done.

Save strategy

×

Strategy Name

Enter strategy name

Strategy Description

Enter strategy description

Strategy Market view

☒ Not Known

☐ Bullish

☐ Bearish

☐ Range Bound

☐ Big move either side

Cancel

Save strategy

You can load saved strategies from the saved strategies section by clicking on load option from the dropdown menu in **“Save & Load” tab**.

You can use the update strategy option from the dropdown menu **“Save & Load” tab** to edit details of the strategy.

Update strategy

×

Strategy Name

ATM strangle

Strategy Description

ATM strangle

Strategy Market view

☐ Not Known

☐ Bullish

☐ Bearish

☒ Range Bound

☐ Big move either side

Cancel

Update strategy

The load option in the dropdown menu **“Save & Load”** tab lets you add an existing saved strategy to save time.

Saved Strategy

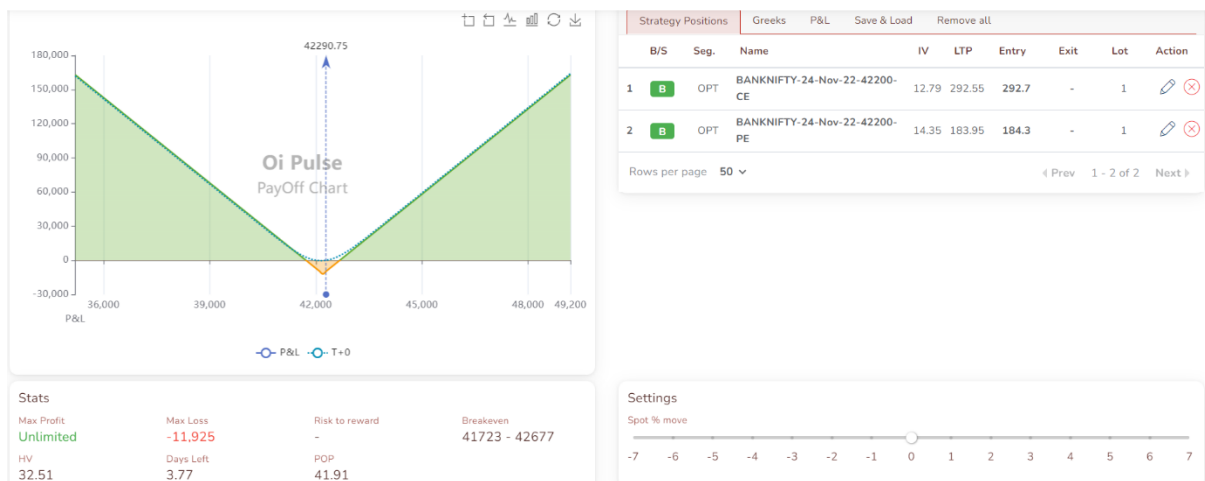
	Asset	Name	Market View	Max Profit	Max Loss	RR	Updated At	Action
1	BANKNIFTY	ATM strangle	Range Bound	Unlimited	-5125.25	0	21-11-2022, 11:43	 

Rows per page 15 ▾

« Prev 1 - 1 of 1 Next »

The **Payoff chart** lets you see the payoff for the strategy created in the strategy builder as shown in the image below.

The complete section here showcases the positions for the strategy created along with P&L time left till expiry.



The pen symbol in the image below under the **“Action”** tab allows you to edit the position created in the strategy.

The **“X”** symbol next to the edit button allows you to exit the position in the strategy built to see updated positions.

Position: BANKNIFTY-221124-0-null
×

Name	Expiry	Strike Price	Options Type
BANKNIFTY	221124	0	

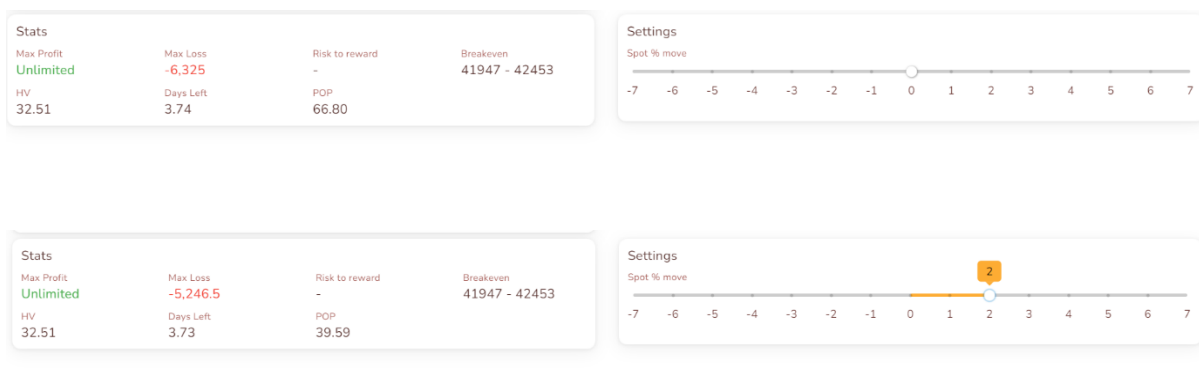
Order Type	Entry Price	No of Lots
☒ Buy ☐ Sell	42291	1

Is position exited?	Exit Price	No of Lots
☐ Yes, Position Exited	0	1

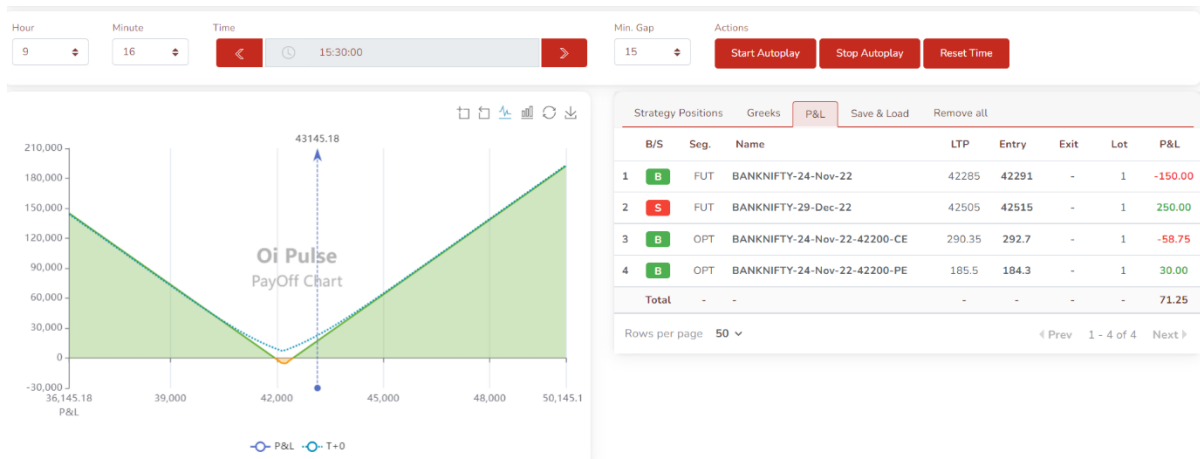
Cancel
OK

The Stats section below the **Pay off chart** of the strategy created in the strategy builder. This section includes the following information.

1. Max profit.
2. Max loss.
3. Risk/Reward.
4. Breakeven.
5. HV.
6. Days left – days left for expiry.
7. POP.
8. Settings- Settings section towards lets you see how the stats change when you apply a percentage of movement (Possible movement) in the spot price of the asset selected.



The turn on simulator button allows you to simulate the strategy for the day. You can play the same in durations you select from the min. gap tab. You can set the start time from where you need to simulate the strategy and use the auto play button to play the simulation.

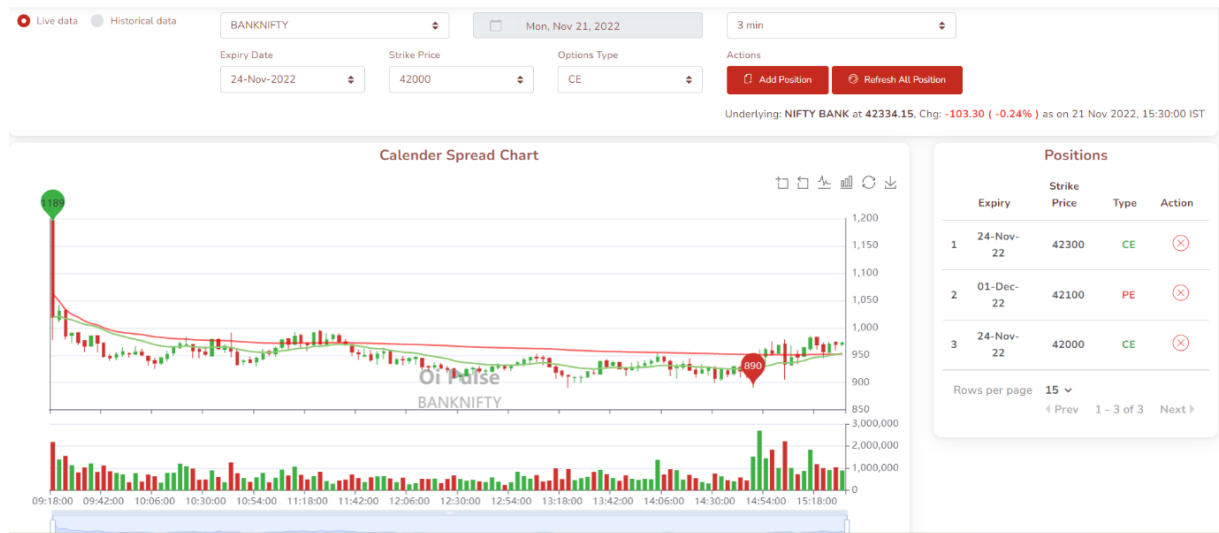


Calendar Spread – Strategies

The Calendar Spread Chart lets you see the positions you have created visually as a chart. The Calendar Spread page has the following features/Tabs.

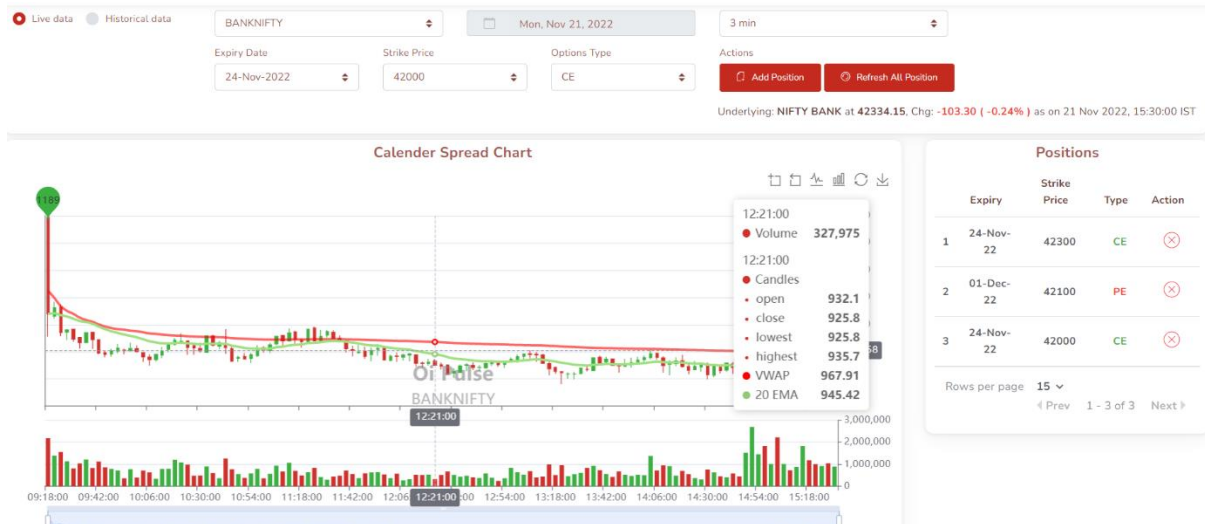
1. Mode – Access Live data or Historical data
2. Name – Select name of script or asset from dropdown menu
3. Date – Defaulted to current date
4. Time – Time frame to view the chart, from 1 minute to 60 minutes
5. Expiry date – Allows you to select the expiry in which you want to create the Calendar Spread.
6. Strike Price – Allows you to select the strike price.
7. Option type – allows you to select the option type.
8. Actions – Allows you to add positions to the calendar spread using the “Add Position” button. The “Refresh All Position” button lets you close all the positions created.

9. Calendar Spread Chart pane – The Calendar Spread Chart displays the graphical view of the positions you have created.
10. The chart displays candlesticks, VWAP level of the spread, 20 EMA level and volume candles.
11. Positions – The positions pane shows the open positions created towards the right of the chart.



When you hover the mouse over individual candlesticks, it displays the volume, open, close, high and low price of the candle.

It also displays the VWAP level and EMA level in numbers or value as shown in the below image.



The slider provided below the chart allows you to have a closer and clear view of specific time stamps of the chart for better clarity.

Position pane

The positions pane displays the positions created for the Calendar Spread. The “X” under the action menu in positions pane lets you close any or all positions created.

	Expiry	Strike Price	Type	Action
1	24-Nov-22	42300	CE	✕
2	01-Dec-22	42100	PE	✕
3	24-Nov-22	42000	CE	✕
4	24-Nov-22	18150	CE	✕

Rows per page 15 ▾

◀ Prev 1 - 4 of 4 Next ▶

We hope that you would find the latest features of OI Pulse quite useful for your trading. Kindly share your feedback with us on these new features so we may improve further and achieve our mission of empowering Retail Traders through knowledge in a more effective manner.

You may visit our website <https://oipulse.com/signin/> for more information.

Regards

Team OI Pulse

